Strides Pharma (STAR)

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Call: Jun 2023

June 01, 2023
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to A udited Financial Results for the quarter and year ended March 31, 2023.

Ref: Earning Call held on May 25, 2023 pertaining to A udited Financial Results for the quarter and year ended March 31, 2023.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on May 25, 2023. The said transcript is also available on the website of the Company at: https://www.strides.com/investor- annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,

For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515
Encl: a/a

"Strides Pharma Science Limited
Q4 FY'23 Earnings Conference Call"
May 25, 2023

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– EXECUTIVE DIRECTOR - FINANCE & GROUP CFO

ANALYST: MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to the Strides Pharma Science Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and you will be able to ask questions after the presentation concludes. Should you need assistance during this conference call, please signa l an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, sir. Good evening, and thank you for joining us today for Strides Earnings Call for the fourth quarter (Q4FY23) and full year-ended 2023(FY23).
Today, we have with us on the call Arun, Founder, Executive Chairperson, and Managing Director; and Badree, Executive Director, Finance, and Group CFO, to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website and the stock exchange. The transcript of this call will be available in a week on the company's website.
Please note that today's discussion may be forward-looking in nature and must be viewed with the risk to our business. After the end of this call, if you have any further questions, please feel free to contact the Investor Relations team. I now hand over the call to Arun to make his opening comments.
Arun Kumar: Thank you, Abhishek. Good afternoon, everybody, and thanks for joining today's Earnings Call.
I'm pleased to report a very strong performance from Strides, considering how we began this year with just INR 4.2 crores of EBITDA last year. Not only did we come back very strongly, but we've also achieved many firsts as we have now reported our highest annual sales. This is at INR 3,704 crores, about 20% over last year. At INR 990 crores, this is our highest quarter ever reported, up 14% sequentially and year on year.
We are delighted with the performance and calibrated reset we have achieved in the U.S. market.
At $232 million, our U.S. business in FY23 ha s increased from $157 mill ion in FY22 and has significantly surpassed pre-COVID period sales. Also pleased to announce, led by our U.K. operations, the other regulated markets have achieved their highest ever quarter sales of $48 million, and at $157 million, that again becomes the highest sale for the year since we got into this market.
While pulling revenu es up quite significantly, our focus was to get to a historical gross margin.
In Q4, our gross margins inched very close to our historical peaks of 60%. And I'm very happy that in Q4, we are just a few basis points(bps) below that net target. Du ring the year, important outcomes included revenue growth of almost INR600 crores, an absolute increase in EBITDA of gross margins of nearly INR500 crores, and from INR 4.2 crores EBITDA throughout last year.
We have grown quarter-on-quarter focusing on costs for product launches and the discipline that this business requires to have increased our EBITDA to INR446 crores and with Q3 EBITDA

at INR160 crores. While the percentage out of that EBITDA is not yet to our targets or our historical targets, which is about 20% to 21%, I'm pleased that we are inching very close to that, and as we reset our business ev en further and complete all the works that we commenced in April of last year. I'm very confident that we will continue to build momentum from here on.
We have reduced our gross debt by about INR250 crores during the year. And that is a significant improvement in our debt-to-EBITDA ratio. In Q1FY23, we started at 8.3 times, coming from a dismal FY '22 to an annualized exit run rate of 3.4x.
We did call out that our target will be closer to 3x, but as yo

u would imagine, most of the growth has come from the U.S., which we all know is working capital intensive.
On Stelis, while we have had significant challenges with our Sputnik, we have reduced debt by about INR470 crores. Consequently, in the group, we have reduced debt by about INR720 crores in FY '23. And this will co ntinue to be a focus for the company in the coming year.
In a challenging regulatory e nvironment, I'm happy to confirm that we have now completed (received EIRs) for all our sites that were inspect ed during the financial year, namely Chestnut, Ridge, New York facility, our flagship Bengaluru facility, Singapore, and most importantly, the Puducherry facility, which was issued a warning le tter in 2019. We comple ted remediations very quickly; however, considering COVID-19 travel re strictions and that the plant does not deliver any significant products in shortage, we had to wait for the new regulations, which allow companies to request inspection, and we are pleased that the inspection happened.
We have now received official confirmation from the FDA that they are satisfied with our completed remediation. This will lead to more product approvals on the side, but prod. However, the product has never been a concern for the company, considering that we still have 280-odd products filed and approved that we earlier ha d commercialized approximately 60 products in that region. And that is because we want the luxury of letting go of a product or revenue when challenged for price. And this way, we become not necessarily the primary supplier most times, but in the U.S., it allows us to keep th e margin and the price discipline we want.
We started internally resetting the organization this year, recalibr ating our growth strategies of priorities, capital allocation methodology, and a focus on governance. All of that is playing through. And I'm happy with the re sults, especially during this tim e. So I touched on the revenues on the quarterly performance. So I will lead for questions later and get very specific to each

market.
Regulated markets continue to be leading the business. We currently classify our access market/institutional business and our emerging markets. And therefore, you will notice the lumpiness of that P&L, as it is very dependent on the contracts we win, and it's not necessarily a steady-state business. Consequent ly, you will notice in future sl ides how we propose to migrate our commentary from this year so that investors can better understand how we present the pace of emerging markets. Emerging markets are a key focus area for the group and continue to grow.
We grew in the core emerging markets and achieved significant growth. For the US, at $232 million, we are somewhere middle of our $220 mi llion to $240 million guidance, up from $157

million. That has been a barrier because most of you know the Strides focus on niche therapies, which means that these revenues have now come back to historical levels.
It has been an exceptional growth from the other regulated markets(ORM) because we are very determined to ensure that ORM catches up with the U.S. market in terms of revenue to have a mirrored market opportunity. But interestingly, we see the number of players dropping in smaller therapies where we specialize. So we like the grow th and believe we'll be able to continue that momentum.
It has also been a good year for the institutional business. We have been awarded a slightly higher share of the wallet, but the wallet keeps getting impacted in terms of pricing pressures and others in the anti-retroviral business; it’s always a business we conduct for manufacturing recovery and overhead absorption rather than us building this into a large strategic business considering that they are not fully integrated unlike some of our peers. Importantly, our emerging marketplace, especially in Latin Am

erica and Asi a, is going through the regulatory filing and partnering phase.
And towards that, we launched a new division within Strides called SynergICE, which is our B2B business that partners with companies worldwide, especially in markets where we don't intend to front end ourselves unless it's a frontier market of Africa where we are heavily focused on building a large pharmaceutica l business considering that it is the market still unpenetrated.
And we have a lot of success and experience in that market.
Because we have this extensive U.S. portfolio of approved products, we see quicker approvals due to mutual recognition. Of co urse, we have to do a little more work regarding different types of packaging formats sold in Latin America and Asia, but we see this as a pivot for us to grow even stronger. These are traditional markets that we shied away from earlier. But last year, we consciously invested in building out the emerging marketplace.
Coming to market specifics. In the U.S., at $232 million, with 19 of our 60 commercial products, we are number 1 in market share. We specialize in defining very niche and small products and then take market leadership to avoid the price pressure that happens as chronic and large early products. This was the 2019 strategy for us, and we reset to what it was, and that's playing out well. We have 60-odd products, which are going through very aggressive improvements before we launch these products. So, we are very comfortable with the products we have identified that will be launched soon.
So most importantly, we like our market share, price discipline, and ability to keep three consecutive quarters of $60 million plus. That's very important because, as you know, the U.S. working capital cycle time is about 200 and 200-plus. And we wanted 3 or 4 steady-state quarters before we stepped up the gas to expand the market and use the free cash generated from the U.S. business for its club.
The U.S. business otherwise is one -- it's almost $1 of new sales, including -- depending on the working capital cycle time based on the working cap ital cycle time, it is a very capital-intensive business -- working capital-intensive business.

So we remain invested in Syne rgICE, our partner business. It's a larger part of our growth strategy even in the U.S. If we combine it with our very efficient front end, we are poised for even more success with that strategy, which is highly differentiated from our competitors, especially India-based competitors.
The other regulated market was mainly led by a reset in the U.K. We are delighted to the fact that in the rest of Europe, we have now partnered with marquee names, and almost 3 of the top 5 companies are our partners, which would never be the case when we were contending ourselves. The strategic alliances and partnerships and leading in several markets we don’t

intend to contain are key to our growth strategies in the future.
We are also investing most of our R&D spend in market rates in the U.S., considering that we have a significantly improved portfolio. But having said that, we announced a partnership with another player to develop a range of controlled substance nasal sprays from our Chestnut Ridge facility, which has the ability to produce very complex products in nasal sprays. And we are very excited about this partnership and look forward to product filings and approvals in the near term.
Our branded Africa business maintained its growth trajectory. It is upscale, but we think we have established a long-range plan to take that business to an important size. And we, at this time, are not in a position to exactly give more details about it because a lot is still work in progress, but we are very excited about the opportunity, the margins that the business provides us, and also the IMS leadership position that we have in many markets, specificall

y in French-Africa. We have now also embarked into English-speaking Africa, but only in selected markets, and we are also happy to progress that as we need.
Now reflecting our effect, we have decided going forward to restate our markets into regulated markets, Africa and emerging markets and access markets. And for the benefit of our investors and the analyst community follow us, we have recast the numbers for easy reference.
And going forward, we will be using this format so that you'll have mo re granularity on our strategy and our numbers flowing through.
We normally don't do guidance, but we are considering coming back from a very difficult period.
A, we want to give all our investors the confidence that the leadership that I am very committed to building Strides to a very significant player, mostly focused on niche portfolio and margin expansions. So we want to give comfort to our investor community that -- and therefore, we have given framework guidance where we say the continuing business will grow quite significantly, but our emerging markets to grow faster as we get more and more products approved.
We are confident of increasing our EBITDA from INR446 crores to about INR750 crores in the upper range and INR700 crores at the bottom of the range.
We intend to reduce another INR500 crores of debt between Strides and Stelis. And we are now very confident that Strides' net debt-to-EBITDA will be under 3x. All of this will be achieved through emphasizing our network optimization, new product launches, market expansion, branded business increases in Africa, and improved cash flow generation, which will lead to a

stellar strong, if I may say FY '24. And we are all excited about our current order book and confidence level.
On a high level, I will also take you through the debt book, and then I will leave the house for questions.
As you can see, we have given a little bit more granularit y around debt. Our long-term loans have been reduced by about INR250 crores. Our working capital has not increased despite an INR600 crore increase in revenues. Our gross debt consequently has come down. We have increased our US revolver slightly because Q1 for us in the U.S. is about $45 million. But from Q2 onwards, we ha ve been hitting $60+ million.
Ideally, the revolver has got no recourse to India. This could be akin to a factoring facility, but we are considering our loan agreements; we just want to call out the revolver, which was renewed a couple of months ago for another five years. It has got no guarantees or recourse to India. And our focus would be to reduce long-term loans.
Our long-term loans have got a repayment of only around $15 million to $16 million a year. So even as our cash generation is much more than that, we'll now start dipping our working capital loans, considering some of these loans are at a good cost and where LIBOR is today, obviously, the cost of money has increased significantly.
So our high-cost debt is what we would reduce through a combination of strategies. So adjusted for forex on constant currency, there hasn't been any significant net debt increase, while the business has delivered incremental revenues and gross margins.
So overall, a very solid outcome, and we continue to be very bullish about the prospects of Strides and its continued focus on optimizing its business. I will also address Stelis as it’s a material associate. During the year, at Stelis, we reduced peak debt from INR1,200 crores to now INR650 crores at the end of March. And this is despite a very significant impairment mainly out of Sputnik. And while we have commenced arbitration in London, given the geopolitical situation, we have no clue and idea when this will get done, but we keep the investor community updated on progress.
We have taken the hit and moved on to focus on building a world-class CDMO business, and we have several h

ighs, including 2 U.S. FD A and 1 EU-GMP inspection. Our first product
approval for PTH has been secured, and we have now partnered in over 19 countries, covering almost 80% of the market opportunity, and we will soon be closing out our partner in Europe
and expect to launch the product within FY24.
We have added five new partners to our CDMO business, and I'm pleased to let you know that
3 of these five new partners are amongst the top 10 companies globally, and we now have a total of around 20 partners.
So most critical for Stelis is that we can confir m that we will be EBITDA positive. We will still
have some challenges around the mismatch in cash flows. We are resolving many of those things.

And the Stelis Board has appointed strategic advise rs for the reset. We will announce all of those
outcomes with our Q1 results in a couple of months from now.
And also importantly, we've just completed installing additional 8,000 liters of Drug substance
capacity, and our first multimillion contract for an MSA for biologics has been secured, while
we also have other customers that we have signed up. Post our FDA approvals, our average size
of RFQs has increased dramatically. But like I said, onboarding a customer takes anywhere from 18 months because it's not only GMP audits, but it's several other audits in terms of computer
systems, ESG, EHS, and the whole works. But once they're onboarded, it's a very exciting
business to be in.
We are heavily invested in this business, and we'll stay invested here as we believe that the
upside opportunities for stakeholders are significant. So based on now -- and I'm also pleased to
let you know that our first commer cial sales will start in June as one of our partners has now
received 2 product approvals from this site for the inspection.
Consequently, while our revenues will be lumpy because our revenue recognition is a function
of work done, we should be able to have complete coverage of our operations. From an operational standpoint, we will not only be cash positive, but I mean slightly more than it needs,
but we still will have to work on finding the last leg of the solutions related to Stelis, and we're working very hard to ensure we get there.
Bear with us until the last week of July or the first few days of August is when we believe that
we should finally be able to present to shareh olders what we think would be a very exciting
outcome for the business, wh ich is significan tly valuable in the medium term.
So with that, I will -- we will ta ke questions. I have with me colleagues, Badree, our CFO, and
Vikesh, and we're more than happy to address your questions. As always, if you have follow-on
questions, please do write to us in our e-mails, and we'll be more than happy to address them.
Thank you all.
And most importantly, to many of our investors who stayed invested, believe in us, and believe
in the story, we are delighted with our Q4 numbers. We look forward to pleasantly surprise you
with more good news soon. Thank you.
Management: Can we take the questions, please?
Moderator: Thank you. The first question is from Mr. Dhruv Maheshwari, an Individual Investor. Please go
ahead.
Dhruv Maheshwari: I have a couple of questions. The first one, it's good to see our U.S. business has maintained its
quarterly run rate in line with the last quarter and on guidance. Could you give a growth outlook
for the same over the next 2, 3 years? What would be the key gr owth drivers for the $232 million
base?

Arun Kumar: Yes. So we do -- we have a guidance. We have mentioned that we will grow the total business
at around 15-odd percent, with emerging markets gr owing faster than regulated markets. So that
is the benchmark guidance.
Dhruv Maheshwari: I got it. The second one is that the Endo facility achieved breakeven at an operati

ng profit level
during the quarter.
Arun Kumar: Yes, it does.
Dhruv Maheshwari: And last, from a portfolio build-out perspectiv e, how should we look at the future R&D
investments for the business?
Arun Kumar: Considering we have such a large basket of group products, we have redirected our R&D spend
to emerging markets and Europe. Consequently, our R&D spend, which historically used to be
about $20 million to $25 million, droppe d to about $12 million to $13 million.
Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please
go ahead.

Cyndrella Carvalho: Can you help us understand the U.S. market from our product perspective today? What has allowed us to sustain the ongoing quarterly run rate? If I look at our gross margins, are we entirely supported only by

Arun Kumar: Cyndrella, You're not very audible. So I would appreciate it if you could speak up on the phone, especially with regard to the first question. I got your second question, though.

Cyndrella Carvalho: Yes. So I'm trying to understand the U.S. market from a product perspective, like from our product basket; how is the scenario today? What changes have helped us sustain the ongoing run rate and growth apart from the new launches? Is there any change? Are there any supply issues that are helping us to maintain our market share in the existing products? How should we see this? And overall, our strategy in the U.S. market has been to approach smaller-sized product but higher in number. So is that -- does that work for us? Or are you planning to change it?

Arun Kumar: We are not -- in fact, we returned to that strategy. And some of our challenges were the panic during COVID as an organization and the focus more on chronic where many players compete for market share. And considering that during COVID, acute globally dropped over 50% in volumes because acute was not happening, elective surgeries were not happening at that time.

Considering COVID is behind us, and probably we are all struggling and doing all the things that we normally used to do. Acute has come back quite strongly. What has changed for us to be very specific to your question? is we see that the number of players has reduced in the smaller molecules because all companies rationalize thei r portfolio because it's expensive to produce small products.

It requires great skill in settin g up your manufacturing facility, change over time, and cleaning validation. These are all very expensive cost centres given the current expectations of the regulators globally, but we have specialized in producing these kinds of products. The most

important thing for us is we -- I can now proudly say when I tell you that in 19 products, we are number 1 by a very large margin. So we are talking like 40%, 50% market share. And we also cherish the fact that more than 70% of our nu mber 1 portfolio has got no Indian competition for several, several years.

So that is a key advantage where you can set price discipline. I'm not suggesting -- it just makes life a lot easier when price disc ipline is there. You focus on supply chain. You ensure that customer advocacy is great. We just brought all of that thing, and it's not to blame anybody, but COVID ensured that logistics got very out of whack and costly and we've got all that organized and a failure to supplier have dramatically started coming down. We never used to have one for almost 3 or 4 years pre-COVID, we had less th an 0.5%, but COVID changed that for us and for a lot of companies. And supply chain is back, the normalcy is set right, no more exuberant, all of this in place.

As far as gross margins, clearly, for a combined gross margin of 60%. The U.S. is the gross margin leader historically for us. So if the business grew in the U.S. back from this higher than its pre-COVID level, then is just a logical reset

of a business that we did well for several decades.

We're just doing the same things. I think there wo uld be always competition in specific products, but we are not shy in giving away market share also when we think it's irrational.

Cyndrella Carvalho: It's helpful. On injectable filings

Arun Kumar: Strides doesn't work injectable business at all.

Cyndrella Carvalho: You were planning to come back, right? That's the reason?

Arun Kumar: Well, we have plan. As I said, just hang on till we complete our conversa tions around Stelis and its resets and then maybe that will be more in appropriate time to have this discussion.

Cyndrella Carvalho: And with overall price erosion right now, how much per our portfolio we see for the overall industry, where we are present from a U.S. perspective.

Arun Kumar: If I say 0, you won't believe me, but that's where I'm going to put my neck out.

Cyndrella Carvalho: For our portfolio, right?

Arun Kumar: Yes.

Cyndrella Carvalho: That's good. And in terms of overall thought process over '25 and beyond, how do you think or you think we should wait for one or two more quarters to ask you this question?

Arun Kumar: Yes, good idea.

Moderator: Thank you. The next question is from the line of Tarang Agarwal from Old Bridge Capital. Please go ahead.

Tarang Agarwal: Mine's bookkeeping question, I'm unable to reconcile the changes in working capital that's been provided in the cash flow with the numbers on the balance sheet. For instance, increase in trade

and other receivables is about negative INR3,473 million. For financial year '23. But when I go
to the balance sheet, the receivables have not grown by that amount. It's grown by maybe only less than $100 million.
Similarly, when I go down and I look at decrease in trade payables are about INR1,022 million,
I'm unable to reconcile. So can you just help me figure out what I'm missing here.
Arun Kumar: I am going to let Vikesh, my colleague, to probably address this, please.
Management: Yes. So the major difference that is coming is on 2 accounts. One is we had deconsolidated UCL
in Q2 -- end of Q2. So that is reflected in open ing financials, but it's not there in the closing
financials. So that is having one impact. But in the cash flow, it is part of the INR300 crores
impact that you see on receivables.
And also corresponding on inventories and payables, plus there are certain assets that have been
identified as held for sale and those assets held for sale is also forming part of the cash flow grid. So those are the 2 major
items that are causing the -- that are impacting the difference between
the balance sheet and cash flow. The entire transactions pertaining to these 2 items will be
presented in the notes in a much more detailed manner.
Tarang Agarwal: Okay. I'll have a look and I'll probably drop in an email.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go
ahead.
Nitin Agarwal: Congratulations on the turnaround. I'll start with a couple of housekeeping questions. One is, a;
there's been a pretty sharp Q-o-Q increase in our other expenses. Any specific drivers for that?
Badree Komandur: Yes. So Nitin, just to answer this question. The overall, the operating cost has remained the
same. We had some exchanges, there has been an increase in sales in Q4, responding there has been increase in
expenses, plus there is also an exchange impact, which is sitting here.
Nitin Agarwal: And Badree, how much would the exchange impact be?
Badree Komandur: For Q4, it is INR15 crores.
Nitin Agarwal: But given at where the business today is assuming at this run rate of about INR1,000 crores of
revenues, this INR250 crores thereabouts is SG&A expense number to go with? Or there is a
scope for rationalization over here?
Badree Komandur: Yes. So overall, we have said that it will be in the region of $208

milli on last time you said and
it will be in that range, $200 million.
Arun Kumar: $200 million.
Nitin Agarwal: This is across staff costs and other expenses?
Badree Komandur: That is correct

Nitin Agarwal: And Arun, on the other regulated markets, there's b een a very sharp delta in this Q4. So is there
some seasonality in this business or this is a base on vision business growth going forward?
Arun Kumar: No, there is a positive impact fro m our Australian business, which is mainly the -- post-COVID,
the Australian government mandated a certain level of stock keeping by the leading players in return for better PVS pricing.
So we are seeing a significant uptick in Australia. We are not sure
if this is -- this will be a yearly function, but wi ll it kind of the big Q4 event every year, we are
not so sure. But we are very confident to grow from the numbers that we have achieved in the
other regulated market at $157 million.
But, Australia did play a very significant role. But the exit run rate is $200 million on $157
million business, which effectively means that the average last 3 quarters is about 35%. It is
really hard to beat this quarter, but we are doing -- we have a very strong pipeline. Over the year,
we will still achieve the company guided growth even in this platform.
Nitin Agarwal: And on the U.S., you talked about the fact that the U.S. business, currently, the price erosion
seems to be almost negligible on the current portfolio. So 2 things. One is, A, is there, again, an
element of seasonality in our U.S. business...
Arun Kumar: Nitin, I'm not suggesting that there is no price erosion. We don't accept price erosion. We have
the luxury of portfolio and size on what we want to achieve. So if you get challenged for a $10 million product or a $5 million
product or a $20 million product, which is where the challenge
is happening mostly, we're happy to let go because we have 14, 15 products being launched
every year. If we keep -- if we say that we have not lost business on our base business in the last
year, that is not fair. We have, because we have given away business.
But we've also added business because we are now very focused on going back to our historical
numbers, which is U.S. business delivers closer to 65% to 67% gross margin. This also addresses
the previous question. But to get there, sometimes in your challenge, you have to let go business.
So I'm not suggesting the price erosion. Price erosion is when you want to keep your market
share. I'm saying we have the luxu ry of letting go when challenged.
Nitin Agarwal: Got it. That's understandable. And secondly, in terms of the pipeline, which is not launched here

versus we already have in the market, in your assessment, is there a qualitative difference in the quality of the products that you potentially launch versus what we already have in the market.
in terms of qualitative, I mean revenue per product potential.
Arun Kumar: Yes. So I mean the key element here is that the end of out of the 280-odd products, almost 100
high-quality products came from the Endo portfolio. The challenge we had in the first 2 quarters of the transition was that Endo is still marketing the products for us, and we didn't have control
on products and portfolio and pricing because that's how the deal is structured.
Now that they have, we obviously have brought the same level of hygiene and discipline that we
are generally known for in the U.S. market, and that's also led to an update because we were
bleeding money in Chestnut Ridge, and if I was addressing a previous question that if you make money in Q4 in Chestnut Ridge and the answer is yes it means that we have now solved for a
lot of things.

Most importantly, Nitin, we've reduced our Chestnut Ridge cost by almost $15 million during
the year. And that comple

te flow-through will only happen from April -- has happened only
from April end.
So that's almost about INR8 crores to INR10 crores a quarter, almost $1 million to $1.2 million
per quarter, I mean, as the residual costs that we are bearing in Q1. So that also will give you an
indication of what Chestnut Ridge could do. Yes. So we -- if you look at IMS today, you will see us in market leadership on several products. In many products, we are the sole supplier, but
we are disciplined in pricing. We don't want to do anything irrational, but we have several
products where we are the sole player in the market. But they're small products.
Nitin Agarwal: And 2 last questions. One is when will the nasal spray portfolio that we partnered recently
coming to the market?
Arun Kumar: Well, it's got to take a release about 3 years beca use it's a very complex controlled substance on
a very special device. So it's a lot of work, including potentially some clinical to supply.
Nitin Agarwal: And lastly, Badree, the increase cost seems to be very high for the quarter. Any specific drivers
for that?
Badree Komandur: Yes. So the interest cost is there are some loans which has been taken in the later part of the Q3,
the full impact has come in the current quarter. And second thing is, while we close the
transaction on Arrow in December last week just because of the procedural matters of the
repayment to the banks in time. So that's the re ason the interest cost is slightly higher. But
overall, it will be in the INR65 crores range is what we expect going forward.
Nitin Agarwal: INR65 crores quarterly range is what you should work with?
Arun Kumar: It's also to do with LIBOR, right, because our Well s Fargo line is linked to LIBOR, so it's LIBOR
going up. There is a 3%, 4% increase on that line cost, too.
Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Congratulations team on a good set of numbers on the pharma side. Sir, first question on Stelis,
I just wanted some more clarity . I think you have written that we are expecting some outcome
to come from the strategic options. So are we in the next -- by the next quarter or so, are we concluding a transaction or planning to conclude a transaction? Or are we just going to be
deciding what is the way forward on what to be there and what needs to be done for a stake that we have?
Arun Kumar: It's more definitive way forward and how to ensure that we become a very important CDMO
company of size and scale and the strategic options include that, amongst other things that you
mentioned. So bear with us, it's only 2 months away.
Sarvesh Gupta: Okay. Because in the last quarter commentary, it appeared as if we wanted to conclude a strategic
sale or something like that, wherein we sort of get out of our shareholder...

Arun Kumar: You reading between the lines, but I can't blame you for that. When we -- when the Board
appoints advisers for strategic options, it effectively means it could be anything. What I'm trying to tell you is that anything for us in this case is how do we build Stelis to become one of India's
leading CDMO companies. And what does it take us to do that.
Sarvesh Gupta: Understood. So that is what we are expecting, maybe by the time we have the results for the next
quarter, right? Okay. And secondly, what is the current level of corporate guarantees that Strides has given to Stelis?
Arun Kumar: The outstanding debt in Stelis is about INR600-odd crores after cash and cash equivalent. I think
the outstanding liabilities related to Stelis is in the range of around INR500 crores because you
don't need to give guarantees on all the COVID loans. So yes, it is in that ballpark. Although if among the strategic options or

refinancing is wh at we want to do, then we have shareholder
approval to issue guarantees up to INR700 crores.
Sarvesh Gupta:

Understood. And now coming to the rationalization of the cost part. So we can see that our other expenses has come down. But at the same time, some normative expenses would have gone up. So what is the extent to which we have gained in terms of permanent removal of the other expenses from our cost structure?
Arun Kumar: Yes. So you have to assume Q4 as the base and like we said, $200 million run rate in for the whole year, so $50 million. We are very close to those levels. There would be a little more opportunity for us to reduce, but it won't increase from that.
Sarvesh Gupta: Understood. Because I think related -- there were some higher expenses related to our U.S. facility also which you were carrying until end of April '23.
Arun Kumar: Yes. So that was when we issued a WARN notice where we rightsized more than 50 people. There are certain regulations that leads to a fair significant amount of severance. All of that has been taken into account, and that ended as of end of April. So that's all done with now.
Moderator: Thank you. The next question is from the line of Zaki Nasser from Nasser Investment. Please go ahead.
Zaki Nasser: Congratulations on a fantastic set of numbers. The company looks at the cost of turnaround in '24, as you rightly mentioned in your presentation, sir. My 2 questions, sir, is like we did around INR1,000 crores on the top line this quarter. Going forward, do you think we could -- I mean, this will become like a normalized quarterly run rate for Strides?
Arun Kumar: Thank you for your commentary on our numbers. We appreciate that. We did have a good bump up on our institutional business, but we called that out in our de ck where there is lumpiness in that business. And that's why we have agreed on a restatement on how we -- I mean how we would present numbers going forw ard. So I think that the ins titutional business is lumpy in nature for the whole indu stry, for those of us who are in this business.
But if you take that off and we have guided numbers, then on that number, you could safely add 20%. So this is a good kind of guardrail number, if you wish, but you would -- I would be

cautiously optimistic on th e institutional business, because it's not a business in our hands. It depends on donor funding, on the ability for you to deliver at short notice and stuff like that. At this time, we are building businesses which are more in our destiny, in our strategy. And while the donor business is extremely important from a manufacturing recovery standpoint, it's not a business that is predictable or gu idable like the rest of the business.
Zaki Nasser: Okay. But sir, I mean like you -- the word you rarely use like guardrail number. So could we safely assume 6%, 7% from here on the lower end in terms of if you subtract the part of the institutional business also?
Arun Kumar: If you subtract the institutional business, you can safely count 15% to 20%. If you add the institutional business, 6%, 7% is also very comfortable.
Zaki Nasser: Okay. And sir, in terms of Stelis, the debt number is INR600-odd crores. And what would be in Strides. And what would your comfort level or going forward by the end of '24 and '25, what would you want these 2 numbers to look like, sir?
Arun Kumar: Not over 3.5 times EBITDA.
Zaki Nasser: Okay, sir. And 1 last question , sir. In Stelis, have we ta ken the total wr ite-down from the problems on the Sputnik? Or we still ha ve some carry forward things from that?
Arun Kumar: None.
Zaki Nasser: Is there any possibility of something coming back on th e books?
Arun Kumar: No.
Zaki Nasser: No. I mean in some kind of insight from the authorities or things like that?
Arun Kumar: No.
Moderator: Next question is from the line of Siddhanth Choudhary, Individual Investor.
Siddhanth Choudhary: I just have a single question. As you have given guidance for FY '24 is around 15% re

venue
growth with our target EBITDA of around INR750 crores. So could you highlight the key drivers for this top line growth and margin expansion for this fiscal year?
Arun Kumar: So one is cost, obviously. Second, continued success in the U.S. that is key and synergize our B2B business, converting to -- I mean, customers that were converted moving to revenue recognition. Those are some of the key drivers.
Moderator: Next question is from the line of Omkar, Individual Investor.
Omkar: Congratulations to Strides for good gross margin improvement and focus on margin improvement. My first question is price has delivered $63 million revenue in a year. As far as Q-o-Q performance is concerned, there is no improvement in U.S. revenue. Any specific reason

for it? And how many products we are introducing this financial year from Endo. In Q3, end products got launched from Endo in U.S.

Arun Kumar: So it's not launched, it's actual ly relaunched. So like I said, if we get challenged on pricing, we are happy to let go. So it's not how much we want to grow in the U.S., it's about margin expansion. And with that discipline, we have got to 60% of margin expansion -- almost 59.9%, and we want to focus on that. And this year is all about improving our gross margins and EBITDA and further reducing our debt to a comforta ble level, which is what our focus is. So we are not so much concerned if sequentially, we didn't grow 10% or 15% Q-on-Q. We grew 58% Y-on-Y. So if we end up the year 15% growth on $232 million, that's what we need to look at. And are we improving our gross margin beyond 59%. That will be a good indicator.

Moderator: The next question is from the line of Chetan from Pragya Equities Private Limited.

Moderator: Your voice is low, we are not able to hear you. Please keep your headset closer to your...

Chetan: Can you give us what percentage of promoter stake is pledged? Or is there any guidance for reduction reduce it?

Arun Kumar: Yes. So see, we did guide that our idea is to reduce our prices quite significantly. But considering -- we had a choice last year to keep the lights on in Stelis. So promoters have invested over INR500 crores, which to ensure that nothing is called from the guarantees that Strides is delivered, and that was key to our strategy. And absolute loan book on the pledges have not increased, but pledges is a functio n of the share price. We believe that we will be able to reduce the pledge levels by about 33% to 40% during this financial year.

Moderator: Ladies and gentlemen, this was the last question. I would now like to hand over the conference over to the management for the closing comments.

Arun Kumar: Thank you. Thank you all for joining today's call. And like I earlier alluded, thanks for your confidence in Strides, and thank you for your support.

Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Aug 2023

August 07, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to un-audited Financial Results for the quarter ended June 3 0, 2023.

Ref: Earning Call held on August 2, 2023 pertaining to un- audited Financial Results for the quarter ended June 30 , 2023.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on August 2, 2023.
The said transcript is also available on the website of the Company at:
https://www.strides.com/investor- annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,

For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515
Encl: a/a

“Strides Pharma Science Limited
Q1 FY24 Earnings Conference Call ”

August 02, 2023

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– EXECUTIVE DIRECTOR - FINANCE & GROUP CFO

2. MR. VIKESH KUMAR
– CFO - FRONT END BUSINESSES

INVESTOR RELATIONS : MR. ABHISHEK SINGHAL

Strides Pharma Science Limited
August 02, 2023

Moderator: Ladies and gentlemen, good day , and welcome to the Q1 FY24 Earnings Conference Call of Strides Pharma Science Limited .
As a reminder, all participant lines will be in listen -only mode, and you can ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conferenc e over to Mr. Abhishek Singhal . Thank you, and over to you, Mr. Singhal .
Abhishek Singhal : A very good afternoon, and thank you for joining us today for Strides Earnings Call for the First Quarter Ended Financial Year 2024.
Today , we have Arun - Founder, Executive Ch airperson , Managing Director , Badree, Executive Director (Finance), and Group CFO , to share the " Highlights of the Business and Financials for the Quarter ."
I hope you have gone through our results release and the " Quarterly Investor Presentation " uploaded on our website and the Stock Exchange website. The transcript for this call will be available in a week on the company's website. Please note that today's discussion may be forward-looking and must be viewed concerning the risks of our business. After the end of this call, if you have any further questions, please feel free to contact the Investor Relation team. I now hand over the call to Arun to make his opening comments.
Arun Kumar : Good afternoon, and thank you, Abhishek. We appreciate everybody's time today for attending our call.
Let me start by saying this has been an extremely pleasing quarter in terms of performance. We have bounced back strongly with three consecutive quarters of EBITDA in greater of Rs. 150 crores coming from post -COVID, the reset is now complete, and continuingly, our revenues grew from Rs. 838 crores to Rs. 932 crores . However, our reported numbers have not been adjusted for the discontinued business. So, you may see those numbers as flat, but growth has been by 11 %. Still, more importantly, we have increased our gross margin significantly by almost 600 basis points and 3.5- time growth in our EBITDA from Rs. 48 crores to Rs. 168 crores. Still, for Stelis's loss pickup, which we will continue till H1 FY24 when Stelis becomes EBITDA positive , we have reported a Rs. 30 PAT for the first time after many quarters.
Overall, as you know, the Strides is focus ed on acute drugs . We have historically had a 45 -55% split between our revenues in H1 and H2 in terms of linearity. From that perspective, we are

bang on target to meet our EBITDA guidance and revenue grow th that we hope to achieve during this financial year. Importantly, we have been focusing on cost control , and those actions have started flowing through and reduced our OpEx cost significantly, leading to an impr oved margin. We hope our EBITDA margin from the 18% levels now will inch more towards the historical 20% in the next couple of quarters , and our continued free cash generation will ensure that our debt book will be further improved.
We guided between Stelis and Strides for Rs. 500 crore s reduction in debt. Most of you are familiar with the fact that we announced the sale of the vaccine/ multimoda l facility to Syngene for a consideration of Rs. 720 crores, which we hope to close by the end of Q3 , and with those proceeds, we will beat the Rs. 500 crore s guidance on debt reduction which will significantly improve the overall performance and the balance sheet of the company .
US business has grown significantly since we have an extensive seasonal product portfolio in the US, considering that we have had good growth in the US with almost 30% growth, Y-on-Y. This is a good start to our overall US strategy. We continue to have product

leadership in several
products and do not see any margin pressure on our portfolio. The business has stabilized , and the general sentiments around the US markets are playing through regarding improved margin expansions.
Our other regulated market grew by 15%, which remains a key focus market for us as we build out that market. As you probably know , our access market is lumpy; it depends very much on the tenders we win. It is a small part of our business these days, considering that we don't focus so much on the access markets, but we continue to stay invested heavily in our growth markets in Africa and emerging market s. Although these businesses are small, we believe that we will
exit our growth markets from a very low base to almost $ 60- odd million this year . That is our target for the year , and with all of these initiatives paying through, we are very happy with the company's overall performance. We are confident we will take stronger S trides as we move forward in the following quarters.
Regarding Stelis, a significant associate of S trides, we have now de -risked this business completely. We have had a good beginning of the year. A s you probably know, we got our FDA

approvals for the site a couple of quarters before , and since then, we have been adding significant customer acquisitions. We have closed contracts of $25 million of CDMO work in Q1, which is greater than our last three years' CDM O book. Our commercial supplies started from the previous quarter. Our customer got the first approval for a product developed and produced at our site , and we now have customers who have received 3 product approvals. We will see a momentum of several product approvals coming our way. W e are leading the Ste lis operations through our complex manufacturing of devices and complex injectables. We just commissioned our drug substance plant, and I am very pleased to announce our largest drug substance award from a top ten pharmaceutical company that has come our way. This is a significant con tract for

developing p artnering from a CDMO perspective for a key biologics product going off pa tent towards the end of the decade.

Post the Syngene transaction , our debt in Stelis , which was a high of Rs. 1,400 crores last year and is now about Rs. 740 crores . We will come down sub -Rs. 300 crores, significantly releasing the guarantees Strides has issued for Stelis . One of the larger questi ons m any of our stakeholders have been asking me is about the family's commitment to running this business . We are pleased to come back and run the ship and have committed ourselves to build Stride s into a significant player. Consequently, to ensure that there are no conflicts, we are proposing to combine the CDMO businesses of the group under Stelis so that we build Stelis into a multispecialty CDM O with capabilities in biologics, complex injectables, sterile injectables, which comes from the family offers, but also in other complex drug delivery systems. The intent is for S telis to be a division of Strides and for Strides to have control. At this time , we have appointed a Big 4 valuation expert and a leading global banker for fairness opinions. We expect all of this to be in place in the next 12 weeks and therefore I am not in a position to give you granularity except to state that we will have a CD MO business of close to about $ 150 mil lion in year 1 and it is a significantly profitable business from the beginning and it will unlock value for all stakeholders. This is of cours e subject to shareholder approvals, lender approvals, and other processes that are involved in such combinations , but the intent is to ensure that our interests are aligned with those of the Strides shareholders. This has been a call for quite some time since I have come back to run the business and I am glad we too

k this call, and we will give you more details in the next 12 weeks in terms of how and what this will all end up . All I can tell you is that the CDMO platform that we are build ing will be very differentiated, it will not have APIs or normal oral dosage formats but will be a pureplay specialty pharmaceutical CDMO and I am sure that this will create significant v alue to Strides’ shareholders in the near term.

With that rather longish opening statement, I am happy to answer questions . I have with me, my colleagues Badree and Vikesh, who will support in any questions related to the financials or other parts of the business.

Moderator: Thank you very much, s ir. We will now begin the question-and -answer session. We will take the first question from the line of Shantanu Maheshwari , an Individual Investor. Please go ahead.

Shantanu Maheshwari : I have a few questions on our US business. First of all, our US business is at Rs. 57 million in quarter 1 FY24 , any guidance you can provide on the growth of this business over the medium term or over the financial year FY24?

Arun Kumar : We think the US business will be steady this year at around $ 250 odd million . That is our target in terms of revenues . It is about $ 240 to $ 250 million range.

Shantanu Maheshwari : The second question is if you can provide your view around the current compet itive scenario in the market as there are several reports on drug shortages in the US marke t, are there any short -

term opportunities that you see emerging? What kind of price erosion that you are seeing in our current portfolio?

Arun Kumar : The US is witnessing the highest number of shortages since several years now in terms of number of products in the shortage list . We don't see any immediate upsides because most of the shortages are related to inject ables. There is a lot more discipline in the supply situation in the orals . I think I don't see any immediate one -off upsides coming our way because firstly, we are in niche therapies and acute therapies only. So, we have a very good t rack record for compliance and for supplies, so we are not leading any supply shortages. So, we are meeting all our requirements and I don't see any significant movement of shortages coming our way in the kind of products that we offer.

Moderator : Thank yo u. We will take the next question from the line of Gaurang Sakar e from Elara Capital. Please go ahead.

Gaurang Sakare : Congrats on a great set of numbers. So, just continuing on the US market, while, we may not be seeing any short -term opportunities, but do you feel that the long- term trend in US regarding price erosion or competitive scenario is changing, do you see that price erosion easing because some of your larger peers have reported that pricing scenario is improving in US, t hat is why I wanted to just have your thoughts on the topic ?
Arun Kumar : If you see my calls, go back to my calls. Over the last three quarters, I have consistently said we don't see price erosions on our portfolio. I continue to maintain that, and that is because the nature of our portfolio is in acute therapy; there are few competitors, and the volumes are very small. I think it is more to do with the general commodity generics that we see stability from our perspective. So, I agree with the prevailing view of our larger peers, but overall, I think the buying universe is also becoming a lot more sensible in terms of being practical and not squeezing manufacturers out of the system as the cost for compliance increases, you can't be in a lose-lose situation. I think that is causing shortages, and the regulators and the senate is taking even the consolidators to task. All of this is playing out well for manufacturers, finally.
Gaurang Sakare : Secondly, regarding the combining CDM O business under Stelis, so for Strides, what would be th

e margin trajectory, let us say in next 2-3 years after the amalgamation and all these things are complete?
Arun Kumar : Stelis is a very large asset, right, and while we have over $400 million of contracts for commercial supply starting from FY27 and Stelis will be EBITDA positive from H2 onwards.
CDMO business trades between 28% and 30% EBITDA and we think that will be the EBITDA that the business will continue once the biologics business starts commercial supplies, then this will be a very profitable part of the group's business in the future.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from D AM Capital. Please go ahead.
Nitin Agarwal : Arun, on the proposed Stelis restructuring of sorts that you are talking about, if you can give us some qualitative sense on what could be the nature of the business that will get created, post once approvals are through?
Arun Kumar : So, I just want to take this word, restructuring away from you because it is consolidating our businesses to make it an even more attractive company. And what this will include is delivery technologies, mainly programs like soft gelatins which we are a global leader. It will consist of complex injectables devices, particularly devices, and auto -injectors, one of the few players who can do that. We are huge in the GLP programs; two of our partners have already be en first to file, so we have a strong presence there in the GLP programs and all the GLP programs, the old, the ones going off patent soon in a couple of years and the new ones that are going off patent even in mid -2030, we are the primary supplier for most of the GLP's that are going off place.
We have complex injectables, lyophilization, and so that is the combination. So, we are not doing anything in APIs. We will not do anything in the standard vanilla oral dosage CDMOs.
Nitin Agarwal : And say 2–3-year period, what could be the size and scale of this business if you can hazard, maybe a possible guess around it?
Arun Kumar : So, pro forma day 1, subject to approvals, it will be approximately $150 plus million in revenues, of which about $50 or $60 million are related to Strides CDMO. So, incremental for Strides would be approximately $100 million of revenues in year one, and we believe the CDMO business will hit about $400 million in FY27.
Nitin A garwal : That is a combined business ?
Arun Kumar : The CDM O combined business, you a re right.
Nitin Agarwal : So, that will include portions of biologics and everything else that is getting brought in now ?
Arun Kumar : Correct a nd the biologics is all contracted . So, we have signed commercial sales agreement (CSA) which will deliver a little more than $100 million a year from FY27.
Nitin Agarwal : And from a CAPEX commitment perspective, for you to hit this milestone for the CDM O business and for whatever Strides intends to do in its own business , what kind of CAPEX are we looking at over this time horizon ?
Arun Kumar : Basically, incremental CAPEX in a CDMO busines s is funded by partners. So, we don't see any near-term need for significant CAPEX. We only have 8000 liters of drug substance capacity, given that we have sold the large facility to Syngene. So, we will probably have to add more

microbial and drug substance capacities, which will require approximately $30 million of new CAPEX to get to that $ 400-odd million of revenues that I am alluding to.
Nitin Agarwal : So, aside from this, excluding the Strides CDM O part of the business, how do you envisage the

growth for the S trides business except for Stelis over th e time horizon?
Arun Kumar : Nitin, at this time , this whole year, we are very focused on margin expansion. We have come a long way from where we started four quarters. So, our revenue CAGR is forecasted

only at 15%, whereas our EBITDA CAGR has to be greater than that, and that is what we have achieved in the last four quarters, and that will be our focus also for the next year till FY25. The idea is to generate significant free cash and bring our debt to EBITDA on the combined entity to 102. So, once we do that, we can again press the accelerator. Remem ber, we have over 150 ANDAs that have yet to be commercialized. So, it is not a function of us waiting for the product to prove it is to launch and increase the market. It is a calibration of price discipline that we have brought about the business that we want to maintain for another year, and that is why our free cash generation has started to improve, and our debt is beginning to reduce. You will see a lot more free cash generation coming up in the subsequent quarters as we right -size the inefficiencies we acquired in the last couple of years. So, I am more focused on that Nitin to be candid and building out the CDMO business to be scaled because that is all contracted. We have 15 customers. We secured $25 million of CDMO contracts in the first three mont hs of this year, more significant than the contracts we booked in the last three years. So, I am very bullish on building that part of the business. At the same time, the products division will continue to grow, and we will expand, not necessarily in the U S, as much as it will expand in emerging markets and other regulated markets.
Nitin Agarwal : If I can squeeze one last one on $25 million contract that you mentioned that you won in Q1, typically , what is the period over which such contracts are executed?
Arun Kumar : Typically, a master service agreement is executed in as low as 12 months but not later than 24 months.
Moderator : Thank you. We will take the next question from the line of Janil Shah from J M Financial. Please go ahead.
Janil Shah : My first question is on the other expenses and employee costs have declined , so can you highlight what are the cost initiatives that we have taken, which has led to this decline?
Arun Kumar : I am going to request Vikesh who is our young CFO (Front End Businesses) to answer this question.
Vikesh Kumar : On the employees' cost and other expenses, one significant factor that has played out is our cost optimization initiatives. So, last year, we mentioned that we are doing a cost optimization at

Chestnut Ridge in our plant in the US. So, that has entirely played out from this quarter. So, that is one significant benefit. The freight costs have also improved. Outside of that, there is a small impact because of the exchange rate, which is positive. So, we expect overall both the operating and employee costs to settle at around Rs. 400 crores per quarter.
Janil Shah : And how much for the debt reduction are we looking at from here, obviously the Syngene 740, you are go ing to raise around Rs. 700 crores from S yngene sales ?
Arun Kumar : So, we are asking for targets from Rs. 500 crores between the two companies and now closer to Rs. 700 crores.
Janil Shah : And what is the rationale for selling our unit 3? We are creating an entire CDMO business under one roof, s o just a little more color on the same?
Arun Kumar : If I didn't sell it, then your question would be, why are you carrying so much debt? So, it is a chicken or egg situation. Given the challenges which led to the write -offs, we needed the right size of the Stelis balance sheet. It was strategic for us to do this transaction, and incremental capacities can always be added to our FDA complex very quickly. The facility that we built for, the multimodal facility , is extensive in terms of capacity, and it will take us a few more years of underutilization of that plant which has dragged down our P&L in Stelis and would not have allowed us to consolidate our CDMO's and create more value by being very

comprehensive
CDMO company. The whole CDMO process, therefore, got acceleration by that tactical or strategic move or the way you want to put it.
Moderator : Thank you. We will take our next question from the line of Abdul kade r Puran wala from ICICI Securities. Please go ahead.
Abdulkader Puranwala : I had a question on the gross margins , so this quarter, there was a good swing in the gross margins, but going ahead, when we talk about the 60 product portfolio, what you have in the US and the rest 100 and 150 products you w ould be launching , the product realization if you see is close to $4 million on an annualized basis, so out of this 150, are we reasonable confident that you know what ever we a re launching would not be margin dilutive and not only just drive revenue, but EBITDA as well ?
Arun Kumar : So, Abdulkader, just for your benefit. Our gross margins have been in this range for the last three quarters. So, we increased the margins from 50 to 57 to 60 in the previous three quarters. So, we have been consistently improving our gross margin because of our pricing discipline. In our last

calls, we mentioned that out of the 150-odd ANDAs we have, which we have yet to launch, only
60 qualified for our price discipline in terms of margins, gross margins, and EBITDA. So, you
are right that our average revenue per product is about $4 million, but there are many products where our average revenues exceed $10 million. So, out of the Rs. 60 million, it will take care
of growth, it will ensure that our gross margins don't drop, and it will also ensure that there is an

EBITDA flow through because cross margin is equal to EBITDA after a certain point in time,
except for distribution costs. We don't intend to sell anything which does not meet the current
gross margin criteria. So, I hope that addresses your question.
Abdulkader Puranwala : And s ir, just one more on Stelis deal with Syngene, so the gross value of this deal is close to Rs. 702 crores , and the debt retirement we ar e talking about is roughly Rs. 400-Rs. 440 crores , so
where are we using the balance amount from this deal ?
Arun Kumar : Yes, certain CAPEX, creditors, and others will also be settled as part of this transaction and
approximately Rs. 550 crores will go into Stelis; as you probably know that there is a debt
reduction of close to about Rs. 400 crores, but there is also Rs. 150 crores that we reserve for our OpEx losses because we will be EBITDA positive only from H2.
Moderator : Thank you. We wi ll take the next question from the line of Rohit Mundra , an Individual Investor.
Please go ahead.
Rohit Mundra : Just following on your initial lines that you will be maintaining the guidance , so you had guided
for an EBITDA of Rs. 700 to Rs. 750 crores for FY 24, and if you were able to achieve that, it
would imply a run rate of 180 to 200 odd crores over the next two quarters, so are we confident
of achieving this same number over the next three quarters and what would be the drivers?
Arun Kumar : When I opened this statement, I did say that being the type of portfolio that we have historically
for more than a decade, H2 is a typ ical 60% of our revenues and gross margins and EBITDA
and 40% is for H1 because we have got a lot of seasonal products and we are very dependent on
the flu season for several of our upsides in H2, a nd historically we have a much higher H2. So,
if you look at that, we are already at around; if you look at the 45- 55% split, then we are banned
on target in Q1 regarding our EBITDA.
Moderator : Thank you. We will take the next question from the line of Sarvesh Gupta from M aximal Capital.
Please go ahead.
Sarvesh Gupta : Congratulations on our steady set of numbers. So, the first question is on this proposed deal , so
if I understand correctly, Stri des holds around 30 odd percent in Stelis right now; now,

in case
some of the promoter businesses are merged into Stelis, that will mean further dilution of Strides'
shareholding in Stelis, s o how do we intend to increase the shareholding of Strides into Stelis,
so that it becomes a majority shareholder as per the slide?
Arun Kumar : I also mentioned that Strides would wend its CDMO business into the Stelis infrastructure subject to, of course, shareholder approvals, and that will result in Strides having a lot more equity. As I said, the scheme, the valuation reports, and the fairness opinion will be available
between 10 and 12 weeks from now, and the scheme details will be available then. It is a little
too early for me to discuss specifics.

Sarvesh Gupta : So, this $50-$60 million of S trides CDM O busine ss will also be down -streamed into Stelis . Is
that the right understanding?
Arun Kumar : Yes.
Sarvesh Gupta : And secondly, o n the debt reduction piece, so this Rs. 740 crores , so I understand Rs. 550 crore
which you explained, but how much of that is going under transaction cost and capi tal gains of
this Rs. 740 odd crores?
Arun Kumar : Capital gains are very marginal, and the transaction costs are also very marginal.
Sarvesh Gupta : So, this between 740 crores and 550 crore , which is 190 odd crores ?
Arun Kumar : 702 crore is the deal value
Sarvesh Gupta : This Rs. 150 crore be tween 700 and 550 is going where?
Arun Kumar : It goes to creditors . Some CAPEX creditors are outstanding and go to the loss funding of S telis.
Stelis continues to lose money for this first half, and it will be cash positive from the next half
of the financial year.
Sarvesh Gupta : And just to clarify on the CDMO plan, so overall , the plan is that at Stelis level, we want to
increase the revenues to $400 million by FY27 ; it should carry 28% to 30% EBITDA and
incremental CAPEX is $30 million from here, is that?
Arun Kumar : Correct.
Moderator : Thank you. We will take the next que stion from the line of Omkar, an Individual Investor. Please

go ahead.
Omkar : Congratulations for good operating margin number in this quarter. So, last time , I got a very less time to ask my question , so please allow me to ask 2 -3 questions properly this time. I remember your sentence in last conference call , stating Strides' focus will be on improvement in gross margin and operating profit margin, these both the things are in line with expectation and operating profit margin is improving. That is a great thing, but Strides was planning for US revenue around $65 to $70 million and again in this commentary , just now you said we have got a good Y-o-Y growth, but Q-o-Q US revenue gone down by 10%, any reason for it because we were planning $65 to $70 million revenue last year also ?
Arun Kumar : No, we have never guided that we will be doing $65 to $70 million, so you are not paying attention to my commentary to say that historically Strides has significant sales in the US in H2. It is because we have many seasonal products linked to the flu season in the US. We have several products that meet that criteria. So, we have grown significantly Y -o-Y and are on the right

trajectory to get to $240 -$250 million in revenue this year. I guided that our US revenue had approximately $20 million last year of a specific contract that came as part of the end of the transaction, which is no longer there. So, the actual growth is going from 200 to 240 to 250. So, there is significant growth in the US core business be cause when we acquired the facility in New York, we had a one -off contract that lasted for about 24 months, which is no longer there, but it is in a minimal value. So, our core business has grown and has grown well. So, we have yet to tell you or anybody t hat we will do 70 million this quarter. We have increased

Y -o-Y and Q -o-
Q significantly because Q3 and Q4 were big quarters in the US because of the flu season; naturally, Q1 is good. Historically, this is the story for Strides for the last ten years. So, this is a phenomenon that has been around for a while. Omkar : So, you mean to say base is from 200 million, we will plan for 240 to 250 million this financial year?
Arun Kumar : Correct.
Omkar : And my second question regarding other regulated market revenue , which came from 40 million to 48 million in last quarter 4, thanks to Australi an business in Q4, but again this quarter UK revenue back to 35 million, which is a little bit lesser as compared to our exit run rate of 40 million , so any specific reason other regulated market went down again from 48 to 35 million?
Arun Kumar : So, again , when we announced our Q4 results, we indicated a reorganization of how we will report. E arlier , our South African business was part of our other regulated market. Our South African business is now part of our emerging and gross markets. So, we have reported the reclassification of all the businesses in our Q4 results ; if you don't have access to it, it is there on our website, but more than happy to send it to you.
Moderator : Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Vishal Bohra from Emkay Ventures. Please go ahead.
Vishal Bohra : Congratulations to the management for a very good performance. S ir, first, ju st want to understand, it is more philosophical , Strides had done very well with the injectables portfolio, the Agila portfolio that was built earlier and sold off, I think more than 10 years back, then we were building this business under steady signs and we were looking to merge that earlier also , just want to understand now with the promoters finally deciding to consolidate these businesses under Stelis and taking a controlling stake through S trides , how do we look at say from a 3 to 5 year perspective, philosophically the promoters intention now to build this business again into a much bigger e ntity because historically Strides has been more about building niches and then moving and moving out, so in this round, how do you intend t o build the business ?
Arun Kumar : Yes, Vishal, I think the environment keeps changing, right. I don't think this is the time for us to build business to sell. This is the time for us to b uild business to consolidate which is what we are doing. Secondly, if you recall from 2017, when I stepped out from active operations, we invested in high CAPEX , long gestation businesses and typically it takes 3 to 4 years for these

kind of complex busine sses to make profits . It would ha ve been extremely dilutive for St rides and its shareholders for us to build a business when we were already struggling through COVID and reset to carry forward the business, b ut now that the circumstances make us commit to Strides for long term, it i s logical for us to consolidate our interest , so that we take away all th ese challenges around businesses that potentially would compete with Strides because now that if Stelis was a pure play biologics company, this was not requ ired, but now that we are now converting it into multispecialty CDMO, then obviously there are conflicts which we are trying to avoid and we would like to avoid and we have been very focused on governance from the beginning. T hat is why we are taking great pains to appoint global advisors at great cost to ensure that everything is quite sure in terms of process. So, the reason wh y you a re bringing a business now is it is accretive, it should be a creative to Strides . The incremental EBITDA and the margin should be accretive. It will discover significant value for Strides' shareholders in some parts of its business that is currently sitting in

a products company and not getting valued correctly. So,
I think all of this value unlock will benefit all stakeholde rs and remember that we have been a minority shareholder for Strides for many years , for many decades and it is in our interest to protect all shareholder interests. So, we just want to do everything proper, taking a little more time than we hope for , but when you see the fairness opinion and stuff like that and the names that we have used , I a m sure you will be convinced that this is in the best interest of all stakeholders.

Vishal Bohra : And sir, if you can describe a bit more about the businesses that are being considered, what kind of contracts , you mentioned a bit about the capabilities, but the contract ?

Arun Kumar : At this time, like I said, I started out in my opening that the reason why we decided to go public is that we have an in -principal approval of a board, and we are obliged to go public. I can't get into the granularity of the sum of parts of the business. All I can tell you that this will be a powerhouse C DMO with very highly differentiated and please bear with us , it is just 8 to 12 weeks away before you can get access to a lot more information and how we come about the sum of parts.

Vishal Bohra : Noted, but given that you a re guiding this business to be say $400 million plus business another 3 years in the FY 27 onwards, given that is very similar to the scale at which site itself is operating today since 3 years ' time, this business would be a meaningful component of the overall business and from an attractiveness to potential investors perspective, possibly e ven more attractive than the generic formulations business , so any thoughts around this in the context of the overall scheme of things, Strides or is it too early to comment?

Arun Kumar : It is very early to comment, and I would strongly request you, Vishal to bear with us for 12 weeks. You will get a lot more granularity when we have information which is where third party organizations are currently conducting and then we can address more specifics around this.

Vishal Bohra : If I may just one last hiking question, this write -off on ranitidine , I think taken this quarter as well, it has been some time since we?

Arun Kumar : The tail end of our litigation cost for the class -action suits and all those things. So, it is more or less done with , only related to litigation.

Moderator : Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you.

Arun Kumar : Thank you. Thank you all for attending t oday's call a nd if you have any questions, please feel free to contact Abhishek o r one of us in our Investor Relations group and we will be more than happy to address them. Thank you all .

Moderator : Thank you very much, s ir. On behalf of Strides Pharma Science Limi ted, that concludes this conference. We thank you for joining us and you may now disconnect your line s. Thank you.

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Call: Oct 2023

October 03, 2023
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Investor C all transcript

With reference to the above subject, please find enclosed herewith transcript of the Investor Call held on September 25, 2023.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor- annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515

Encl: a/a

"Strides Pharma Science Limited
Investor Conference Call"
September 25, 2023

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– EXECUTIVE DIRECTOR - FINANCE & GROUP CFO

3. MR. NEERAJ SHARMA
– CHIEF EXECUTIVE OFFICER ,
DESIGNATE – STERISCIENCE , ONESOURCE

INVESTOR RELATIONS: MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day and welcome to Strides Pharma Science Limited Investor Conference Call. As a reminder, all participant lines will be in the listen-only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please si gnal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Abhishek. Thank you and over to you sir.
Abhishek: A very good evening and thank you for joining us today for Stride's Investor Call. Today we have with us Arun, Founder, Executive Chairperson and Managing Director, Badree, Executive Director of Finance and Group CFO and Neeraj Sharma, CEO Designate for OneSource. Please note that today's discussion may be forward looki ng in nature. After the en d of this call, in case you have any further questions, please feel free to reach out to the Investor Relations Team. I now hand over the call to Arun to make the opening comments.
Arun Kumar: Thank you Abhishek and thank you friends for joining in this late in the day. I appreciate your time. It has been a busy several weeks. In the la st Earnings Call, we did announce that we will come back to investors with the design for our CDMO division which we have today. We have a detailed presentation that is available, but I will also use this opportun ity to introduce Neeraj, who then will give more details about himself, wh o's joining this call today. Neeraj has been at Steriscience and Injectable CDMO Division, and he is the CEO Designate for this new company. So it will be important for you to hear his pers pectives and also ask him questions that you may have.
Before I start, before I do that, quickly what we have done today is we believe a significant unlock of value, value for Strides shareholders. We have of course reset Strides since our April 22 clarion call that we get back the company to shape, which we have done. I'm delighted in the last quarter to have announced significant improvements across the board in terms of reporting our highest EBITDA, meeting our debt reduct ion target, our gross margins reaching our historical peak. And there were some parts of our business which had niggles, which needed to sort to get sorted, which we have.
There are a few more things that we are working on. But I'm also now more confident to reaffirm our guidance that we provided for the company as a whole in terms of its EBITDA outlook between INR700 crores and INR750 crores. And also now more than enough confident to confirm our debt reduction. We'll track to a guidance of under 3 in FY24. We actually mentioned exit run rate FY24, but now we are more and more confident it will be on absolute FY24.
The core business will grow significantly. What we have done, and we'll discuss that in more detail, is that we have moved all our technologies and our high-end CDMO businesses under the new platform, OneSource. This includes a soft gelatin business, which is currently embedded in Strides, and it gets the valuation of a generic company. We are amongst the top seven or eight Rx only soft gelatin players worldwide, with almost every single product approved and having dominant positions, and that's a very significant B2B part of our business.

And ever since we announced our intentions to be at CDMO, we have started onboarding several customers in our business, which we would not under normal circumstances. And I'm delighted that the fairness opinions and th e valuations track the value of that business at around 17 times, which is a 60% to 70% premium to where we currently trade. So I'm also delighted that we are positioning ourselves truly as India's first speciality pharma CD

MO.
This covers biologics, drug device combinations . We are one of the few players in this space. We'll talk a little more about it when we come to specifics. But also complex injectables are erstwhile B2B business of Agila is now part of this CDMO part of the business. And we believe that this will result in not only unlocking value but will create the kind of attention and focus the two businesses would need to live its own lives. I'm also pleased to say that Stelis has been reset post several mishaps at Stelis.
The last 12 months has been historic in terms of how we've brought the company back to shape including on post our FDA approval we now have 15 unique customers in our biologics business. In the last five months, we have contracted more master services agreements than we did in four years. And we have now started commercial sales from that site, including two FDA inspections, which makes us one of the few pure play biologics companies that fully integrated with fill/finish and biologics drug substance and microbial, plus added to now with our injectables business and our oral technologies and soft chips.
It's very important and pertinen t to note that we are not in API CDMO or CMO activities, neither are we in plain oral dosage forms, because we believe that is not the, that is not what we want to focus on. We believe the high capex long gestation story has played out well for Strides Group in the past and having completed a large phase of that journey, we only believe that it will magnify further as we build out OneSource. So OneSource, so eventually we also announced that we signed up a binding term sheet to sell our third plant to Syngene for 705 crores, which

is what we invested in that plant.
We have subsequently converted that transaction into a business transfer agreement. I'm in the last phase of completing our CPs and as both companies have announced, we believe that in Q3 we will complete the transaction. This will corres pondingly, this will lead in an immediate debt reduction at Stelis from a peak of 1,400 to what it is now at around 900 crores and will come down to about 350 crores as net debt. Correspondingly, Stride's guarantees, which at the peak had been 1,100 crores, for which most of our i nvestors and shareholders were supportive, and recently approved us issuing fresh guarantees.
Nonetheless, I'm also pleased to say those corresponding guarantees will fall off, leaving those guarantees to be under 350 crores and further reducing by the time the NCLT process is completed. Considering that this transaction has got significant related party matters. It was pertinent for us to be above cautious, so the whole transaction was supervised and managed by an independent group of directors. We work with marquee names. We had Transaction Square as an advisor to this program. Although regulations require us only to have one valuation, we had valuation reports from both PWC and Grant Thornton.

Additionally, we did financial and tax VDD and valuation exercises from PWC and our legal partners and this was DSK Legal
Moderator: Ladies and gentlemen, please stay connected. Line for the management, drop. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, you may go ahead.
Arun Kumar: Sorry, I didn't know that we lost you, but I was basically saying that we've used marquee names to ensure that everything was done about kosher and the fairness opinion was issued by Jeffries and the valuation reports by Grant Thornton and PwC, although it was only mandatory for us to bring in one valuation.
Transaction Square was our Advisor and DSK Legal was our Legal Advisors and completed the legal DD for the comp anies. All this results in a very significant outcome for Strides shareholders.
And considering that it is very important that we get the best out

comes for Strides shareholders,
it's important that we take a litt le, a few minutes to understand th at better. One is that we have unlocked close to about 200 and, sorry, we have unlocked close to about 2,400 crores of equity value in soft gelatin, 100% of that staying with the, with Strides shareholders. When it comes to Steriscience, the trading multiples are approximately 15% discount, discounted to peers. And in the case of Stelis, based on the NPV model of our contracts in hand, we have announced that we now have close to about USD600 million of sales contracts in Stelis starting from 26 to 32.
And we only see that book increasing. So, based on a DCF methodology and different weightages both valuers and the fairness opinion makers have we have secured a fairly reasonable valuation for Stelis too, although the company is just about in its break-even phase.
Strides shareholders will get 44% of the ec onomics of OneSource. This translates to approximately an implied value of INR364 per share of Strides and I'm sure if you adjust for the Stelis multiples because it's just a breakeven comp any, but the fact that we have invested over USD200 million in capabilities there.
These you will see that the incoming EBITDAs adju sted for Stelis is over 30%. Historically, our soft gelatin business delivers this kind of ma rgins. Historically, our injectables business has always delivered margins of these levels when we used to own and operate Agila.
So, we're delighted that we are creating a business adjusted for Stelis is already in the 30% of EBITDA with significant free cash generation. What it also does is that we bring debt to a very reasonable level in both our companies about USD35 million or INR300 crores of debt gets pushed on from Strides to OneS ource reducing the debt to EBITDA and Strides to about 2.5 times and with free cash generation we expect that will accelerate even further going down rather going forward in the next one year.
We are in Strides also guided as we would take away INR500 crores of revenues from Strides and about INR150 crores of EBITDA. We have taken the liberty of guiding long range, saying that our FY25 numbers will not be lower than what we do today, which effectively means INR4,000 crores of sales and not less than INR700 crores to INR750 crores of EBITDA.

I can err on the side of caution, I mean on the side of optimism on revenues, but not on the margins. So, with that, I think that we have solved for the challenges the group faced, which as you would recall went through difficulties for the first time in its history, but we all remember the blemishes, and we are delighted that we are now coming out stronger from this very difficult situation that we went through the last two years, especially during COVID.

Promoters have invested close to about a INR1,000 crores between sorry about INR850 crores between Stelis and the other companies that comes into this program and consequently the shareholding of the promoters move up from 30% to 39% which reflects the value of the capital that we have invested.

We also have a very strong professional management as you know that post-Agila and our non-compete. We have most of our senior leadership back at the group and we're delighted to have all of them running the new sh ift and I'm sure that the new company will deliver significant value for our stakeholders. We expect this process in terms of an NCLT to be completed in approximately 12 months to 15 months given the nature of such transactions.

And we hope that the net result of this will be an outstanding outcome for all our shareholders, both in the parent and the new core that is created out of this. This also brings to conclusion my own commitment to my significant stakeholders that not only will the family come back to run the business, but we'll stay invested, but also th erefore it

was very critical that we align our interests in the group.

Now, I must also be honest in saying that not all of our businesses have started to be aligned in the group, because if we do that, it will be very dilutive to Strides shareholders. But over time, as valuations increase for both these companies, we will always consider subject to shareholder approvals and being reasonable to combine all our interests under one factor.

But at this time, we don't have any competing bu sinesses with these two the platforms that we have created and I'm happy we have reached here at this stage in a relatively quick time. And I will now -- we have a very detailed debt which includes shareholding pattern, the contours of each of the businesses, what we are doing, and I can also tell you that we have a very strong H2 across the company, including this platform.

So, we're very confident of meeting both our guidance of the platform EBITDA and also the products company, which is Strides Pharma. Most importantly, I can also assure you that both the injectables business and the soft gelatin book is quite full for the next year. So, we don't have to scramble for any new busin ess to meet our guidance of USD180 to USD200 million.

The reason why the range is 180 to 200 is more to do with Stelis because it depends upon how quickly our partners get approvals, but we exp ect Stelis to add USD5 to USD6 million of EBITDA in FY25. But we've also guided in this doc ument that we see this business doubling in three to four years, and that's mainly because of our leadership position in drug device combinations.

We have now about 14 customers in our GLP-1 programs and I'm also pleased to let you know that for many of the first to file in the U.S a nd various other markets, we are there preferred or

sometimes sole supplier. So, we're excited to partner with our global partners. We have now added top 10 big pharma in our group as customers, and I'm excited to be extremely confident about where the CDMO will not only be differentiated, but a very different quality of business.

The biologics works on a significantly higher gr oss margin and EBITDA as is the case globally.

What this also does for the benefit of our investors is that there are only two unique companies in the world which offers -- of course they are much bigger and do a lot more than us, but the only two unique companies that offer soft gelatin capsules, biologics, injectables and drug device combinations are Thermo Fisher and which is erstwhile Patheon part of Thermo Fisher, and also Catalent

Of course, Catalent has its own challenges as all of us know, but I'm just giving these two names as comparison as you will not have a pure comparison in the Indian ecosystem for CDMOs. I know this has been a slightly longish opening statement and I'm sure you guys are getting used to it. Let me now hand over the line to Neeraj for him to make his introduction and after that we'll open the house for questions. My colleague Badree who is our Group CFO and I'm here and along with Neeraj will addres s your queries. We are hoping that this meet will mainly address questions related to the deal that we have announced. We appreciate that. Thank you, Neeraj.

Neeraj Sharma: Thank you Arun. Hi, thank you everyone for listening in. So, it's a real privilege for me to introduce myself and OneSource which is as Arun mentioned going to be India's first specialty pharma CDMO. So, a little bit a bout myself, I've spent 28 year s building and ru nning businesses globally across multiple geographies. I started wi th India, then moved to Southeast Asia, Latin America, and now in Europe, where I'm based for the last 17 years.

In fact, the businesses which I have led have not only been across new regions and geographies, but also across all stages of evolution. Starting up or scaling them up, turning around,

and even post-merger integrations. So, that's with all this, I have, I can say, a complete 360 degree view of the pharma value chain.
Having spent large part of my 28 years with Ranbaxy and then with Sun, I joined Steriscience as its CEO about two and a half years back. As Ar un mentioned to build ou r specialty injectables business. In fact, with a very strong legacy of Agila, it's very formidable experience, expertise in Strides injectables and most of the same ex ceptional team which built Agila. We have been building Steriscience as Agila 2.0 and building it at a breakneck speed as you would expect from a company run by the group.
This is a little bit about myself and now about OneSource. So, I personally have been always very keen to run a technology-led CDMO. And I strongly believe that pharma outsourcing to a specialized company like ours will continue its growth trajectory well into the next decade. In fact, that's why I'm hugely excited to lead In dia's first specialty pharma CDMO. OneSource will have as its growth engine two of the fastest growing trailblazers, as Arun already mentioned those.

One is biologicals and the second as GLP-1, which as you may know already, that the new medical therapy for diabetes and weight loss and so on and so on, as new things keep coming up with GLPs, where Stelis already has a significant presence and we are set to emerge as a very dominant CDMO.
Add to these the complex inject ables and the high-tech soft gels, I think will make us our complete offering immensely attractive to both our current as well as new customers. I would just like to talk now a little bit about the comp any in some detail. Arun has mentioned many of these points, but I will just give you a summary.
So, while the venture is new, its three indivi dual parts, as you know, are already successfully operating and we are set to deliver about anywhere between 140 million to 150 million of revenue in the current year FY24. And Arun also mentioned that thanks to some of the recently signed contracts which we have, including actual customer forecasts and a very strong, large funnel we see this business growing anywhere between 20% to 25% year-on-year over the next many years.
We have a significant number of customers already in place for our GLPs with almost 350 million forecast of sales coming from them just for their first three years. And very strong margins, especially in these complex drug device combinations, as well as the synergies coming from the merger of the three individual busi nesses, will drive our EBITDA from current about 25% to up to 35% in the next two years to three years.
And obviously that we've got all our sites FDA approved, which will continue to open many more doors for us in the largest outsourcing market in the world which is the U.S. So, when it comes to our capacity, as you see, not only do we have currently some of the industry leading capacities in many areas, but as you all know that we also have an unparalleled record of expanding capacities as and when these are needed.
So, just to close, that with our prone capability and large and dedicated team, OneSource is all set to be a specialty CDMO force to reckon with in this industry. Thank you very much. Over to Arun.
Arun Kumar: Thanks. Thanks Neeraj. Neerav, we are good to open for questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abdul Qa dir from ICICI Securities. Please go ahead.
Abdul Qadir: Yes. So, hi. So, thank you for this opportunity. So, my first question is in terms of when you talk about the different line of businesses with the combined entity now, could you help us understand, what would be the contribution from a top line perspective of all the three business units and between biologics and the chemical chemistry an

d what would be the revenue contribution going up in the next three, four years?
Arun Kumar: So we are not giving a long-term guidance. We have given an FY ‘24 guidance, which is there.
The pro forma numbers are there in our deck, which is $145 million with 25% EBITDA. And we have guided that in FY ‘25, this will grow to approximately $200 million with 30% EBITDA.

Abdul Qadir: All right, okay. And my second question is, if I look at the current revenues that is FY ‘23 revenues of the soft gelatins an d Sterisciences, so that ranges is almost at between $30 million to $40 million each. So this we expect that to go up to $60 mi llion- $65 million annually in the next year. So just wanted to understand, if this would be a result of some inter-segment revenues, what Strides have been sourcing from the new one source entity now or this would be a normal course of business, which is coming from some quality customers?

Arun Kumar: No, so just to make corrections to your understanding. The $65 million and $60 million that you're referring to are actually this financial year, right, and we are tracking to achieve those numbers without a problem, okay. So we are guiding you and we're tracking those numbers without a problem. Now, these businesses in the soft-gelatins business of $65 million, currently in FY ‘24, will sit within the Strides numbers because the NCLT process will only be done in FY ‘25 and the effective date is 1, April 2024.

So there will be no change or no transfer of re venues from Strides into this until the company is formed. We are, the growth for us is coming from new customers that we have added, including we just received a product approval which is like any CDMO, goes to one of the largest generic companies in the USA, which we announced on Friday, which is also a typical CDMO model.

So new growth will come from those kind of programs that we have.

Abdul Qadir: Sure. Thank you. And sir, what is possible to share in the...

Arun Kumar: Abdul, if you don't mind, come back on the queue. There are too many questions.

Abdul Qadir: All right. Sure. Thank you.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking the question, Arun, and congratulations to the team for this transaction. Arun, on the GLP-1 contracts that you've referred, referenced to a few times in the conversations, can you give us a little more color on by when do these businesses start, and are they all generic businesses, we're talking about?

Arun Kumar: Yes, obviously we are, currently all the GLPs are under Patents, and they go off patents from 24, with critical patents getting off on the main drugs in 26 and, from 26 to 32, and then the newer ones up to 37. But as a CDMO, we work on all the three products based on what our partners think are the opportunities for them to litigate, to fight patent s, to win settlements.

So we currently are working with on all the three GLPs. So the combined GLP business, if I'm not mistaken now, is still little over $25 billio n, $30 billion range and growing rapidly. But we do all the three GLPs because all of them are drug-device combinations. And we are very strong in drug-device combinations because we have got very solid investments in devices and we are a leading drug-device player globally, if I may.

Nitin Agarwal: And secondly, on the biologics business, obviously there's business starting out, you've talked about the contract that you've signed up, but if you take a slightly more three, four, five year

view of the business qualitatively, how do you see this business evolving, and what strengths do we carry in this business?

Arun Kumar: Typically, from a, moving from an MSA to a CSA, which is a Commercial Sales Agreement, the process

can be as low as two years to as high as 10 years. So you need an array of businesses, customers, and programs that ensures that we have a very solid order book. In our case, we just got FDA approval now for the plant, and most of the products are still under patent.

So the capacity utilization moves up significan tly only once we get these products commercial, which starts from ‘25 to some extent on some of the products like the Liraglutide, whereas the Semaglutide, the Wegovy and Ozempic, the patents in different countries have got a range, a big range. But the fact of the matter is that, there are not many players doing that. But we also, if you recall, announced in our last transaction that we have signed our largest biologics drug substance deal in the last quarter.

So we continuously add contracts, but when the opex leverage flows through only when the CSAs, the Commercial Sales Agreements, reach a high level of maturity, which will happen in the next two to three years. That is why, we have guided in this document today that we have no challenges in seeing this busine ss doubling from the $200 million that we will do in FY ’25, when that scheme is completed in less than three to four years and all of that will come from or a lot of it will come from the growth on the biologics division and that's why we also upped our EBITDA to 35% at that time because the opex leverage is significantly higher in the biologics business.

Nitin Agarwal: Thank you. I will come back later.

Moderator: Thank you. Next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening, sir. Just a few clarifications. So the valuation for soft gel as well as the Steriscience is around 17x FY ‘24 EBITDA. Is that the right number, sir?

Arun Kumar: Yes, you're right.

Sarvesh Gupta: Okay. And in case of Steriscience, it's not a clean merger and we see that 99% is getting demerged. So any reason, why we did not pursue a complete merger?

Arun Kumar: Well, from what I know, it's a clean 100% demerger, merger into the scheme. I do not know what you're referring to, but I can check and come back to you.

Sarvesh Gupta: Okay. And sir, is there any shareholding of strides in Steriscience as of now?
Arun Kumar: You go to the slides that we have presented. It says that, it's already shows the cap tables.
Sarvesh Gupta: Okay. And finally, on the guarantees, which Strides has given to Stelis. So would we in a sense that once these two companies are separate listed companies, there would not be any guarantee from Strides towards Stelis?

Arun Kumar: Well, that's the assumption. We obviously have to, all of this is subject to shareholders and lenders consent. But that's the assumption and that's the right thing to do too. I'm confident that we'll get that.
Sarvesh Gupta: Understood, sir. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Naitik Mohata from Sequent Investments, please go ahead.
Naitik Mohata: Sir, just one question from my end. So there's a bit of confusion. I would like some clarification. What is the valuation of Steriscience that we are assuming for the entire scheme?
Arun Kumar: Sorry, what is the confusion?
Naitik Mohata: So my question is, what is the valuation that we have assumed for the merger of Steriscience?
Arun Kumar: If you go to the valuation synopsis, all the valuat ions of all the companie s are mentioned in slide nine. I'm sorry, the slide is not numbered. If you go to the valuations synopsis, you will see that the valuation is INR2,195 crores.
Naitik Mohata: Okay, sir. Thank you.
Moderator: Thank you. Next question is from the line of [Avid Mundhra], individual investor. Please go ahead.
Avid Mundhra: Thank you for the opportunity, sir. In one of the slides, you have mentioned our aim to grow the OneSource business to

almost $180 million- $200 million by FY '25 with a 30% margin. So would we be requiring any capex investments to achieve the same?
Arun Kumar: No.
Avid Mundhra: Okay. And my second question was relating to the working capital. So what would be the working capital requirement for the OneSource entity, given the CDMO business is a quite working capital intensive business?
Arun Kumar: Well, the CDMO business is, you're right, it's both capital intensive, bu t it is not so much working capital intensive. So we expect the total debt to EBITDA to be around 2.25x in FY '25. Half of it will be working capital, an d half of it will be term debt.
Avid Mundhra: Okay. All right. Thanks.
Moderator: Thank you. Next follow-up question is from th e line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Thanks. Just following on the previous question ask you, at what stage or do you envisage any large capital infusion requi red in the -- for the OneSource busi ness for the growth plan that we envisaged?

Arun Kumar: So Nitin, the business, as you would see from the numbers that are already delivered and carved out and adjusted for Stelis, has got a very significant ability to generate free cash. And in the CDMO business, at least in our model, a lot of the capex, especially in biologics, is partnered.
The partner pays for most of it. So unless we are going to expand significant capacities, which we have to, especially in our drug device capabilit ies, we currently have only about 40 million devices that we can make, we probably need to double that or even more. But we don't need to do that now.
We will do this closer to FY '27 and we think the business will generate enough free cash to do that on its own. But it will not require equity infusion into the company unless we are making very significant plans. But as we see it now, we don't see any need for any new capital in the near term, not significant capital. There will be INR200 crores, INR300 crores of capital even in its first phase of growth, when we think we will be able to double our revenues from $200m to $400m.
Nitin Agarwal: And secondly, when we talk, ta king this number of this to tal $400 million number for the OneSource business, obviously, the three main contributors, as you highlighted, would be the GLP-1 contract, the soft gelatin, as well as the injectable business. But what about, how do you see, what growth part do you see for the plain biologics business? You talk about the drug substance contract that you've signed up, but…
Management: The drug substance, on the drugs, on the substance, drug substance, but both in mammalian and

microbial, especially mammalian, we just commis sioned our facilities about three months ago, the 4,000 litres capacity. And we have the ability to go to 8,000 litres in the same plant, and for which we already have equipment. So this is a business, which is very nascent for us, so we would see a lot of the ramp up on the biologics to be closer to two years to three years away. But the key to be successful CDMO is to sign new contracts, either new biologics, a new NNB or a Biosim. And that is what we are doing, and we have a nice funnel of customers who are keenly looking at us, especially now that we are FDA approved on our drug product. It has been quite easy to attract more customers, so the number of RFPs that we have issued have been quite significant in the la st several months.

Management: And grow in different markets.

Nitin Agarwal: And last one, with this restructuring now, which is done in OneSource, how do you visualize the Stride business, ex of soft gelatins and ex of OneSource? What quality of your three to five year period?

Arun Kumar: Well, Nitin, you've been following us for 10 years, 15 years. We don't do two to three of view. We had to do this in OneSour ce simply to give because it

's a completely new company and we wanted our investors to know the value of that business that we're creating. The, for now for FY ‘25, we are saying that the INR500 crores revenue and INR150 crores EBITDA that we lose to OneSource in Strides will be 100% recoup.

And there could be even growth from there. Beyond that, we should be able to get back to our historical growth, within which is typically now more focused on bottom line growth as you can

see from our numbers and a gross margin expansion. Not so much focused on top line growth, maybe 12% to 15% CAGR, but EBITDA CAGR like I said in the last earnings call will be significantly greater than that.

Nitin Agarwal: Thank you. Thanks, Arun. Best of luck.

Moderator: Thank you. Next question is from the line of Chetan from Pragya Equities. Please go ahead.

Chetan: Yes. I just wanted one clarification. In presentation, at one slide you wrote that Strides shareholders to participate in value discovery by holding 44% in OneSource. And another slide, it shows that the shareholding post-demerger will be 61%. So I'm a little bit confused.

Arun Kumar: Yes, that is because that 61% is the total public shareholding that includes all the shareholders of Strides because there are other shareholde rs in the other two companies right Chetan?

Moderator: Thank you. Next question is from Rahul Mangla, an Individual Investor. Please go ahead.

Rahul Mangla: Actually, I want to ask a question. There is a current debt of around INR3,000 crores. How is the company going to plan to reduce this debt?

Arun Kumar: So firstly, the announcements we made today solves for the debt to EBITDA ratio, because you'll also appreciate that the combined EBITDA of the two companies are now INR1,200 crores, close to that. So the debt to EBITDA is a very comfortable situation to operate a company of this size and scale.

We started off 18 months ago at five to six times run rate and now we are in a very comfortable situation. There's enough free cash generation for logical debt reduction, but debt is not something we are, we don't think there's an overhang of debt or something that we can't handle.

We mentioned that in Strides, our working capital cycle times are long, given that our business in the U.S. has a long working capital cycle time. That is reducing significantly. And for the first time last quarter, we generated free cash. We expect that to be a phenomenon during the year.

And I think in two to three years you'll see us, if not free cash on the main company, relatively very marginal debt.

Rahul Mangla: And thank you. And like, is there any plan for company like for bringing like the stock buyback program is in? Like other companies are going through that?

Arun Kumar: No, we don't.

Moderator: Thank you. Ladies and gentlemen we'll take the last question from the line of Rahul Bohra from InCred Capital please go ahead.

Praful: Yes hi, Arun, Praful here. Arun, can you just take us to the pipeline in each of your segments and the current portfolio so, you know, in the soft gel, injectables and the biology?

Arun Kumar: Yes, sure. So, let's start with the biologics, because we've done a lot of conversation around that. We don't have, in biologics, it's 100% CMO/CDMO. We do the D part of our biologics business

is more to do with work to help our partners to improve their yields or cell lines and stuff like that. We don't do much of the D, because in the biologics we anchor customers who have already done a lot of work and then we are their CMC partner mainly, because that's how the industry works.

In the soft gelatin business, we have a very strong – I mean, we have, I would guess, Praful you know us for some time, eight out of 10 approved products globally we already have. The other two may not be material, but now being a CDMO they become material because our expanse is now the world and not what we would look at in narrow eyes of what Strides would want in territories and markets it operates.

We have a very strong pipeline. Our approval for Icosapent is a good example. That was the only large soft gela tin product that was not in our pipeline, not in our approved list. We do have some very nice products. We are now expanding into the controlled substances and oncology space in New York facility, because we have the ability to make those products. There are a few soft gelatin which requires containment which we don't do in India.

So that expansion will happen in the next close to about a year from now. But R&D for that is already happening. So I think by end of FY ‘25, every single product that is approved would be in our pipeline in terms of partners or products.

Steriscience is a legacy business. We have a very strong pipeline of approved products. We have about 14 ANDAs approved, and we are adding more and more products into that portfolio. We expect that business to grow. We are full up on capacities for this year and next year. So this module will also allow us to expand capacities at Stelis because it's an FDA approved site and we already have space to add another line.

Once we add another line, that will help double the Steriscience business in the next three to four years. This is a business we know very well and it has always been a B2B business, a kind of a CDMO revenue share profit modelling. We were pioneers in that model. So, we're just getting back to what we did ear lier, better with less number of products, but more smarter products in the marketplace.

Praful: So, in this clarification, Arun, the current business we do in Strides, is it B2C business or B2B business?

Arun Kumar: It's a combination, but more than half of it is B2B.

Praful: So once it gets shifted to the OneSource entity, I mean, where the structure is mostly for the CDMO and the B2B kind of a business, so does it change anything for us or would it continue the way it is?

Arun Kumar: No, so Strides will continue to, Strides will be a partner for some, for those products that it markets, but even those products, Praful we don't have exclusivity. If you look at IMS, on many of the soft gelatins, you will se e market share 60% to 70% on our own IP with two or three players, and that's a standard practice that we've been doing for long. So we have much more

market share than what you see in the IMS, simply because of this model that we've been adopting for soft gels for a long period of time.

And we've just expanding capacities from 800 million to 2.2 billion units and that will be commercial as early as end of this year. And I can also tell you that a large part of that expanded capacity is now being consumed by the Rx, OTC space, which we never used to operate earlier.

Moderator: Thank you very much. And now I'll hand the conference over to the management for closing comments.

Arun Kumar: Thank you. Thank you all. Really appreciate your time today. And as always, if you have questions, please reach out to our Investor Relations team or to Abhishek or any one of us. We'd be more than happy to chat with you guys. Thank you all and have a good evening.

Moderator: Thank you very much. On behalf of Stride Pharma Science Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Call: Nov 2023

November 3, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to un- audited Financial Results for the quarter and half year ended September 30, 2023.
Ref: Earning Call held on Monday, October 30, 2023.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on Monday, October 30, 2023.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html

Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science Limited
Q2 FY24 Earnings Conference Call"

October 30, 2023

M
ANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– EXECUTIVE DIRECTOR - FINANCE & GROUP CFO

INVESTOR RELATIONS : MR. ABHISHEK SINGHAL

Strides Pharma Science Limited
October 30, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Strides Pharma Science Limited Q2 FY24 earnings conference call.
As a reminder, all participants ' lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch-tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Abhishek. Over to you, sir.
Abhishek Singhal: A very good afternoon and thank you for joining us today for Strides ' earnings call for the second quarter ended financial year 2024. Today we have with us Arun – Founder, Executive Chairperson, and Managing Director and Badree – Executive Director of Finance and Group CFO to share the highlights of the business and financials for the quarter. I hope you have gone through our results release and the quarter ly investor presentation which have been uploaded on our website as well as the Stock Exchange website. The transcript for this call will be available in a week 's time on the company 's website.
Please note that today 's discussion may be forward looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Arun to make his opening comments.
Arun Kumar: Good afternoon and good evening to everybody joining in. Really appreciate your time today. I know it 's a busy earnings sequence. So, we appreciate your time today. We have reported a very strong quarter. It 's our sixth consecutive quarter of absolute EBITDA growth and also an all - time high in terms of revenues. Just to avoid some confusion that could have occurred with our SEBI reporting. I would like to mention that the Rs. 269 million shown as the other income is an in come earned on IPs which are in our normal course of business. And it is not a one -off income. As the company moves more and more to B2B, a part of its business model is to license products to partners and also would get upfront payments for licensing incomes but also for use of IP. I just wanted that to be clarified so that there is no confusion on the numbers. Having said that, it's a milestone in terms of revenues for the company to have crossed Rs. 1,000 crores. All businesses have done well. There has been no business that has underperformed. We provided unusually guidance as we were busy resetting the company since the last 6 odd quarters, and I am pleased to confirm that all our outlooks are on track to stay with revenue growth at 15% on continuing business. This has already been 16%. Historically H2 was significantly stronger half of the year, and we are therefore confident of even beat the revenue growth. The exit run rate of the company in this quarter on constant currency is approximately $500 million of run rate and I think that 's a decent base for those of you who follow us and write about us to consider as a more reset pace after course correction. We are also pleased to guide our EBITDA now to the

higher end of the range. This is based on our strong order book in H2. Several product approvals that we received recently including a critical product as well as generic Vascepa which would be launched in this quarter, thereby giving us confidence that we will be closer to the higher end of the range.
We are also pleased to see a significant improvement in our net debt to EBITDA ratios. We started the year in FY22 with the reset close to 8x. We ended FY23 at 5.3x. H1, this has now improved to about 3.3x. And with the continuing free cash generation, we are very confident of meeting our

net debt to EBITDA target of under 3 in FY24 as we had committed. Our network optimization program has been completed. As many of you know and as we had guided earlier, we mothballed our Singapore unit since the last 2 years considering that we have now had a manufacturing facility in New York. Singapore, therefore, became unviable for us to operate because it was mainly meant for the VA business and the government procurement programs which qualifies produced in Singapore. Considering moving all our critical products to the Chestnut Ridge facility in the US, this facility had become redundant. So, this was sold although we incurred a one -time loss. This improves our EBITDA and EPS flow -through by almost about Rs. 60 crores a year considering that a significant part of the depreciation line item included lease rents which was part of our Singapore asset that we acquired. This will improve both EBITDA and below EBITDA line items. All of these proceeds will be used to reduce de bt further with our net debt reduction of Rs. 62 crores. This is in spite of the fact that we continue to invest for our CAPEX for our ongoing CAPEX needs in India but also in the US, but also the fact that we grew the business by 16%, our focus on free cash generation, reduction in our cash-to -cash cycle times which has been reduced by 30 working days approximately from FY22 to now to just under 125- 126 days. And we will further work through those days as our business quality improves.
The business moving more and more to B2B will mean that our licensing incomes will continue

to grow. So also there will be a reduction in our cash -to-cash cycles resulting in further improvements in our debt book. Specifically, if I take regions, the US, we guided in the last call of revenue guidance of $240 million to $250 million considering H2 is a significant part of our US business with our cold & flu and acute therapies. And with some important product approvals like the o nes I mentioned in my opening statement, we are now very confident of achieving the higher end of our guidance of $250 million. With the completion and closure of the warning letters issued to Pondicherry which was closed last quarter, we are now expecting new product approvals, and a continuing work on getting products that we acquired through the end of portfolio, that continues to be brought to India to be more competitive, and to have more robust manufacturing processes around them. Approvals around them also continue to grow.

The stellar performance from our other regulated markets was mainly driven by a continued growth of business in Australia, the Nordic regions, and a significant uptick in our business in continental Europe, consequent to a complete shift to B2B in these markets. We continue to add new partners. We continue to get several products approved, several products filed, and we

believe our front -end operations in the UK and the Nordics added by our strong partnership model in the rest of Europe will help us drive this momentum; and our strategy obviously is to have the other regulated market mirroring the US market so that we de-risk the higher dependency on the US business.

We feeded the growth markets, as we call them. As you will see that the growth markets have started to show results. We are continuing to develop these products with these markets with increased focus on new geographies and new portfolios. We believe in the next 2 to 3 years, the growth market and the access market will b ecome as important as a market as the rest of the world via the regulated markets.

Overall, it has been a pleasing result for the quarter. A lot of the work that we had invested in the last 8 odd quarters is now playing through. We are very pleased with our operating leverage, free cash generation, gross margin improvement which at close to 60% is almost industry h

igh considering that we do not have a domestic business.

And again, the one -offs in Strides with all the work that we are done with network optim ization is complete. A loss picked up from our JV as we guided in Stelis from our associate company, Stelis from H2 will be very negligible. The business in H2 will be EBITDA positive. We continue to add significant new contracts in our CDMO business in OneSource and we expect to close to Syngene transaction as guided in this quarter. Consequently, our targeted debt reduction of about 700 crores between the two companies will fall in place but will also release a significant amount of corporate guarantees of Strides. So, in all, we are very close to achieving everything that we committed to would be our focus and I think we got the company back to a stage of continued growth. You would see significant upsides in terms of new product launches. We have some several nice products coming our way in the next couple of quarters, and we will keep you posted as soon as we get those approvals and give you continued information on market share.

We continue to see important price stabilization for our portfolio. There a re cases where we have price pressures on 1 or 2 products. We apply a very disciplined approach to product market share and that ’s not on price leadership, but because of our large portfolio of products, we can afford the luxury of letting go of the pipeline of products that don’ t meet our margin criteria. Having said that, we have enough ammunition with products approved or under process of site changes from Chestnut Ridge to India for us to be more competitive.

Overall, a good result and we will continue to grow from here. Our focus obviously now is the conversion from EBITDA to free cash and to ensure that the PAT percentages increase, considering the one -offs are all sorted or solved for.

That’s the general overview of the quarter. We are excited about t he prospects for the second half, and we continue to be very excited about OneSource that we announced recently. And we

believe that there will be significant value accretion for all our stakeholders in the coming days.

Thank you for your patience, and both Badree and I are very happy to take any questions that you may all have.

Moderator: We will now begin the question & answer session. Ladies a nd gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Rohit Mundra, an investor. Please go ahead.

Rohit Mundra: My first question is on US business. We have sustainably achieved 60 million quarte rly run rates now for our US business and I think we are very much on track for our FY24 guidance. What will drive the next level of growth

and how should we look at this base of 240 million growth
over the next couple of years?
Arun Kumar: We have mention ed that to maintain the kind of margins that we are focused on in the US market,
we would speak out closer to $400 odd million. That 's our first milestone. We have all the
products approved to get there. We believe that this can happen in the next 2 odd ye ars, as we
slowly build up this business with the kind of margin profile that we are currently operating at.
Rohit Mundra: And secondly, could you provide your view around the current competitive scenario in the US market and something around the price ero sion that we have faced during the quarter?
Arun Kumar: I think that there is generally a more disciplined approach in terms of pricing both with the
buying universe and the selling universe. That doesn't mean that there aren 't one -off irrational
pricing that we see. So, it 's a lot better than what it used to be, but it's not vanished from the
marketplace. Although the product shortages are increasing, rational pricing still continues.
Considering that we have a very niche portfolio

with over 30 products of ours in 1 or 2 in terms
of market share for many years, we have been able to maintain these market shares. I am not saying that we are not immune to price pressures, but it is relatively small for our type of business.
Moderator: The next question is from the line of Aman Vij from Astute Investment Management. Please go
ahead.
Aman Vij: My first set of questions is on our GLP -1 portfolio. Sir, in the last call, you mentioned that we
had made some solid investments in devices and are a leading drug device player globally. I would like you to elaborate more on this part. Are we saying that we have started manufacturing
these self -injection drug delivery systems also, which is r equired for GLP -1?
Arun Kumar: The GLP -1 is part of Stelis which is an associate company of Strides. We currently have about
15 customers and we partner with several companies worldwide and we have filed all the weight loss and diabetic drugs which are in drug device formats and a lot of other programs too. So, to

answer your question, we are in a very strong position. But the patterns for this start going off
partially in FY25 and the main patterns get off only in 2030. So, commercial supplies will not
start quickly. But having said that, we do get a lot of R&D income and we do hold a very large
order book for our contract manufacturing opportunities led by GLP in OneSource which in a
company that we just announced is a carve-out in the last quarter.
Aman V ij: The clarification was left on the comment of leading drug device manufacturer globally. You
are saying we have started manufacturing the devices – the drug delivery system self injections
– in the subsidiary, OneSource?
Arun Kumar: Yes, what I am saying is that we have already started manufacturing products for several customers who have made their filings with the regulators, and once their products get approved
and when the pattern regime opens up, we would start commercial production. At this time, t heir
development and filing batches that we have done for companies.
Aman Vij: And you mentioned there are like 14- 15 customers. And in the last call, I think it was also
mentioned that they have given some kind of rough visibility of around $300 million number in the next 2-3 years. So, according to your estimate, these 14-15 customers will have what kind of market share combined? Can we as CDMO partner for them , can this be like 10 -20-30% market
share opportunity for us?
Arun Kumar: We can 't predict market share on behalf of our customers. A model of the CDMO is to do
services, and if a customer wants capacities, either they reserve those capacities on a takeaway basis or a contract. And based on certain sensitivities that we do on these forecasts, we beli eve
that our peak revenues will get to about $300 odd million in the GLP programs, but that is dependent on our partners getting approvals but also when we can actually start selling given
the pattern regime in various countries. So, I can 't give you more specifics beyond that.
Aman Vij: And you said initial sales will happen some part in FY25. My understanding is I think this is you
are mentioning for liraglutide. So, liraglutide sales FY25 and FY26, can it be like $50 million kind of sales, or it will als o take time to come in?
Arun Kumar: Sales will commence, but I 'm not willing to put a dollar number.
Aman Vij: Just one final clarification on this part. We used to have a tie -up with international player Owen
Mumford for the drug delivery devices. Given now we have it in our own subsidiary, that tie -up
is no more valid, or we will do both the things? We will have tie -up with the international
platform companies as well as we will do….?
Arun Kumar: Owen Mumford is not a platform company; it 's a device manufacturer. We have several device
manufacturer partnerships. They mak

e the device, and we make the drug device, s o we put the
drug in the device.

Moderator: We have the next question from the line of Shantanu Maheshwari, an investor. Please go ahead.
Shantanu Maheshwari: My question is regarding the other regulated markets ' performance which has been quite strong. And we had mentioned in our other regulated markets slides in the investor presentation that we have a strong funnel for the European B2B partnerships under the SynergICE to drive growth. Can you please put a little bit of light on this?
Arun Kumar: SynergIC E is the name of our B2B platform. It 's a platform that sells capabilities for both OneSource and for Strides under one platform so that we offer multiple services to a customer, and SynergICE is only a logo of the B2B arm of Strides. And we partner with m ajor companies in Europe and out -license our products and that is how we get licensing income, profit shares, and all of that. And SynergICE is the logo that we use for the customers to differentiate our B2B business from our B2C business.
Moderator: We have the next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Arun, alluding back to your remark, just to reconfirm that you said the US business sales for us can be $400 million in the next couple of years?
Arun Kum ar: I am saying that if we want to do a calibrated disciplined approach for the US business, in spite of us having so much of approved pipeline, we will believe that $400 million is the right size for us to keep the margin profile that we currently achieve in the US, and also to have a backup when we are challenged on certain products.
Nitin Agarwal: But by when do you see getting to the $400 million marker, sir?
Arun Kumar: I would assume not later than 2 financial years from now.
Nitin Agarwal: Secondly, in terms of your mentioning about some meaningful launches being there in the second half of the year, is there a number which you have in mind and these launches are what we are talking about meaning launches are more than $20 million products?
Arun Kumar : Yes, Nitin, we have moved up the ante in terms of our average product range being $4 million to $5 million to now products delivering more than $10 million to $12 million. You will appreciate that Icosapent should be about $20 million product by default of the size of the market opportunity. And there are certain other products that will come our way very soon. So, yes, we should have 3- 4 products which are $20 million and above by the end of the year, I mean exit run rates.
Nitin Agarwal: Is it f air to assume that bulk of the revenue realization from this product should be visible next year depending on what time of the year in the second half it will hit the market?
Arun Kumar: Yes.

Nitin Agarwal: Secondly, on the operating leverage which is inhe rent in the business, with the scale up that we are talking about in the business, again, is it fair to assume that we have been really consistent with our overheads position now over the last 2- 3 quarters? Does this $200 million sort of annualized run rat e for overheads sustain? And then whatever incremental gross profits you make sort of flows to the EBITDA and PAT?
Arun Kumar: Yes, you are right. We don 't believe our OPEX levels are going to increase greater than $200 million for several years. And that is because of our very keen focus on costs and also a lot of things that we do in terms of optimization, OPEX leverage, and OEE improvements in our plants. Having said that, the only variable would be the freight and associated warehousing costs for increa sed revenues, but for that, the flow -through from gross margin to EBITDA could be strong. And we believe that will be the singular pointer towards improv

ed EBITDA margins.
Nitin Agarwal: And if I just take that forward, what does it really imply for your E BITDA targets for this business, the ex of the gelatin business that you will dispose of rather divesting to OneSource? If you look at Strides as a business, over the next 2- 3 years, where can net debt to EBITDA levels be for this business?
Arun Kumar: You are talking about net debt to EBITDA levels?
Nitin Agarwal: Yes, net debt to EBITDA levels.
Arun Kumar: We firmly stand by our guidance that in spite of about 150 crores of EBITDA moving to OneSource, we will still achieve our current EBITDA. So, effectiv ely, we are telling you that like to like, our EBITDA will be closer to 950 crores in the next year. So, in spite of 150 crores of that moving away, we would still achieve our current EBITDA and revenues. There will be no drop in revenues and EBITDA. And we believe that in the next 2 years, our debt to EBITDA therefore will be much below 2 given the strong performance that we are now achieving through our reset.
Nitin Agarwal: And the last one; when you look through again in the next 2- 3 years, given the way you are thinking about the business, do you see opportunities or avenues for meaningful inorganic growth using the cash flow that will come through or how do you envisage the business growth

over this period of time?
Arun Kumar: Not in the case of Stride s. I think the cheaper assets are in markets that we probably don 't want to expand beyond the size, which is mainly the US. All other markets are not necessarily cheap. We are breathing a lot easier now considering where we started the reset. And I think we need another 2- 3 quarters of consolidation and reduction of debt which is what we are focusing on. The debt is not an overhang, it 's working capital debt. And with $35 million moving away to OneSo urce, it actually becomes even better for Strides to operate. But I think for the next 2 to 3 quarters, our focus would be to improve our C2C which like I said in my opening, started off as

150 odd days is now 127. Our target is to bring that down by another 15 days so that we don't have to worry about incremental working capital in spite of 15% to 16% top line growth. That 's our focus. I think maybe you should ask this question to us after about 3 to 4 quarters.
Moderator: The next question is from the lin e of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Just for clarification on that US business; currently, we are trending around 16% odd annual growth, and while you are saying that we can reach maybe $400 million in a couple of years . That would mean around 30% CAGR. So, are we talking about doubling the growth in the US in the coming 2 financial years?
Arun Kumar: Basically what I said is that if you look at our exit run rate for us to be at 250, the exit run rate will be close to ab out $270 million to $280 million. So, if we do an absolute number of 240, the exit run rate is about 270 to 280. You calculate from there on. And it is not a 30% CAGR. Obviously, the US growth is going to be stronger because I was explaining to Nitin, most of our new products are in the $15 million to $20 million range compared to our historical $5 million to $7 million. That is the reason why we are reducing the time while the growth on the other markets will be slower but a lot steadier .
Sarvesh Gupta: Given the strong traction that we have now found in the other regulated markets, would you like to call out some sort of a guidance in terms of growth or where we want to be in a couple of years?
Arun Kumar: It's too early to call out for guidance , Sarvesh. Our idea is to grow the other regulated market as a mirrored market to the US. If our product design strategy plateaus at $400 million in the US, we would like the other regulated market to mirror that size. So, it will take

us a lot more than 2 years to get there considering that currently our exit run rate is likely to be about $200 million, which is almost 50% growth in the last 2 years. So, we think that there 's a lot of momentum coming there. And then as you can see, we are also building the growth markets. So, we have 3 layers. And we will probably plateau the growth for the US, not because the opportunity is not there, but because we may not want to grow that business beyond that because it may kind of impair the pristineness of our margin focus for that market. That 's more it. The idea is to build other regulated markets to mirror the US market. But that 's not going to happen in 2 years. It 's going to take probably 4 or 4.5 years. But that 's the idea; can we create 2 or 3 mirrored markets in terms of revenue and margin profile.
Sarvesh Gupta: And finally on the exceptional items. This facility that we have sold, it looks like we have only realized maybe 50% or lower of the book value of that asset. Any particular reason why we had to incur such sort of a sharp drawdown on the stated book value?
Arun Kumar: One is that obviously we had mothballed this facility now for a good 2 years ever since we bought Chestnut Ridge and post -COVID Singapore for generics just became very unviable. So,

we had a choice to continue to mothball or just move on because like I said our focus now is the EBITDA to cash credit to EPS conversion. And while we took a one -off hit, this delivers close to 70 crores of margin improvements from EBITDA to PAT and that made better sense to us and also from a ROCE standpoint. So, we have completed everything that we needed to do to build the company for the next 3 to 4 years. And we didn't want to have any overhang or any extraordinary exceptional coming forward in the S trides system which will not be there. I can confirm that. So, it 's just to move on which didn't probably add to the strategy going forward.
Sarvesh Gupta: And this 15 crore one-off cost increase in the other OPEX, what was that, sir, in the personal cost?
Arun Kumar: We had a policy earlier where a lot of our colleagues in Strides were on variable pay. As part of our banding exercise and other programs that we did, we realized that only about 70 or 80 people make significant direct impact to the P&L and everybody else are subject matter experts or very important associates of the company. So, rather than making variable pay a function of uncertainty for employees, especially when we are coming back from a difficult chapter, we decided to cut off the variabl e

pay for several of these employees but added it back to their CTCs.
That is why we took a one -off. But we are now provisioning that on a quarterly basis. So, you will not see this regularly. And the new base of 185 crores is now a personal cost which will be more or less steady state going forward except for standard increases on an annual basis.
Moderator: The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Sir, if you can talk about where do we see our CDMO business in the next 2 years?
Arun Kumar: The CDMO business, once OneSource is up and running, we had put up a detailed presentation. We said that the business will be about $160 odd million at the launch year which is next year after t he NCLT process is complete, and we expect the business to hit $400 million in FY27.
Aman Vij: Sir, I was talking about one of the products which we had launched a few months back.
Arun Kumar: I guess, Aman, you can ask me this several times. I am obliged not to give you any of that information. We work with partners. We have committed to confidentiality. So, I can't give you the kind of granularity you are seeking in our CDMO business.
Aman Vij: No, my question is not on that side, sir. My question was on the oth

er product basically which is Teriparatide. We had launched this product in the Europe market, and I believe a US opportunity is also coming in. Are we planning to launch the same?
Arun Kumar: We have planned for the European and other markets. We are not selling this product in the US.

Aman Vij: We don 't even plan to enter US for this product?
Arun Kumar: No.
Moderator: That was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Arun Kumar: Thank you all for joining us today and thank you for your support in all these quarters. And if you have any questions, please do not hesitate to call us or Abhishek or write to us; we would be very happy to address them. Thank you all. Have a good evening.
Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.
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Call: Feb 2024

February 5, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to un- audited Financial Results for the quarter and nine months ended December 31 , 2023.
Ref: Earning Call held on January 30, 2024 pertaining to un- audited Financial Results for the quarter and nine months ended December 31, 2023.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on January 30, 2024.
The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science Limited

Q3 FY'24 Earnings Conference Call "
January 30, 202 4

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– EXECUTIVE DIRECTOR - FINANCE & GROUP CFO

INVESTOR RELATIONS : MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call of Strides Pharma Science Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Si nghal : Thank you. A very good afternoon and thank you for joining us today for Strides earnings call for the third quarter ended financial year 2024. Today, we have with us Arun, Founder and Executive Chairperson and Managing Director , Badree, Executive Di rector Finance and Group CFO, to share the highlights of the business and financials for the quarter. I hope you have gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as the stock exc hange website.

The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out with the Investor Relations team.

I now hand over the call to Arun to make his opening comments.

Arun Kumar : Thanks, Abhishek. Good evening, everybody. Appreciate your time today. Very delighted to announce a very strong Q3 continuing with our guidance, beating our outlook with regards to revenue growth. They're upping our EBITDA well on track, meeting our U.S. guideline of the higher end of the $250 million run rate, three consecutive quarters of gross margins closer to 60%.

Very significant improvements in free cash generation, debt reduction, completion of our network optimization. So overall, a great quarter for the company. And what I would now strongly believe is a stabilizing period of our growth and then growing from here on.

All of our businesses have done well. We do have a lumpy access market business, which is a small subset of our emerging market, but outside of that, the business has done -- all our businesse s have done extremely well.

Quickly, considering the individual regional businesses, we can just discuss a little bit about

that. Historically, we do have a very strong portfolio of cold and flu products. Although we do not have a heavy flu season in the U .S., our $67 million, it has got tailwinds of stockpiling by wholesalers in this space. But more importantly, a bulk of the revenue growth has also come from our recent launches of Icosapent through our partner, Amneal.

We also had two significant approvals during this quarter, including Suprep. We expect Suprep to be in the market in the next couple of weeks. And Icosapent is already in the market. We

continue to maintain sustainable profitable growth, 34%, 34 products of our 65 commer cialized products out of our 280- odd ANDAs filed and approved and filed, now rank amongst the top 3 in terms of market share.

This constitutes 75% of our total U.S. revenues, mainly supported by great customer efficacy, best-in-class service levels that we have now been accorded. And amongst the Indian companies to record amongst the fastest growth amongst the top 10 companies operating in the U.S. market.

So overall, the last 2 quarters have been very good for Strides, and this got us being more focused on the absolute EBITDA growth, which is what we said we will over revenues.

Having said that, revenue growth for the first 9 months has exceeded our outlook of 15%. We now have grown by 17%, so that's keeping all the outlook parameters, guidance pa rameters intact.

Pleasingly, debt -to-EBITDA now annualized quarterly is now 2.8x from 5.7 odd in FY'22. That's been a massive shift. And year -to-date, it's still under 3, so we have got ahead of our guidance in terms of debt reduction. We continue to see free cash generation. We funded all our capex growth and our incremental revenue growth of 17% without increasing our debt profile, clearly focusing on the quality of our business and our operating leverage and the total working capital employed.

As we exit Q3, we now are at a historical 13.5% ROCE. And we look -- as we move forward, we now, we believe that this will steadily increase in the next quarters. Our asset turn is amongst the best -in-class. We now turn our assets around 7 x to 8x, and we'll continue to focus on sustainable growth in the regulated markets.

We do have the luxury, like I mentioned in all my calls, of letting go of products when challenged for price because we have a long tail of approved products that are being ready for launch every quarter. So we constantly are very focused to keep our market share, but in a profitable manner in the U.S.

The other regulated market a bit flat from Q-on -Q has grown 21% year -on-year. All markets in this region have operated well and we continue to drive businesses. We have won several new approvals in Europe and very critical licensing deals have now been secured, and we will see those flowthroughs in FY'25 and our investments in the other regulated markets is playing out well.

Product portfolio expansion, network optimization, continued momentum of filings will be the
key focus for improved market share in the other regulated markets. We have recently won
several new businesses in our South African operation from a long-term tender business, so that will a lso add to some important upticks in value and business.
Our growth markets are very small in terms of sites but has grown by a whopping 71% to $19
million in spite of the fact that the access market business has been lumpy. The access market business is n ot necessarily our primary focus as we build proprietary IP -owned businesses in
the U.S. and other regulated markets.

Overall, we already spoke about debt, very strong performance on the balance sheet and we've
had a last loss pickup from Stelis. And this is nothing to do with Sputnik. We have already
written off all the inventories related to Sput

nik in Stelis. Having said that, we had several
consumables that can be used for many years in our other plants . But we have provided for
them such that we operate once they are listed as OneSource of pure-play CDMO.
We have provided for all those inventories and there are no more onetime pickups of Stelis going forward. Q4, as you can see, Stelis has grown its business significantly. Last year, we
had revenues of only INR 5 crores to now INR60 crores and we would have even a stronger
quarter in Q4. We have guided that in H2 , we will be EBITDA positive. We will be EBITDA
positive in spite of a marginal negative reporting of EBITDA in this quarter.
We had -- we completed the Syngene transaction. Although we announced the deal at INR 700
crores, we -- both Syngene and Stelis agreed that we retain 20,000 liters of equipment for us
build out in our Unit 2, which is already FDA approved, considering that we are now full up on our biologics capacity.
We have had great success in the last 9 months in Stelis. We have now added more customers
on a regular basis. We have 16 unique customers. We have secured master services agreements
for $56 million in the first 9 months, w hich is significantly greater than all the contracts we
have signed in our 4 years of CDM O operation. And we have now -- our partners now
received approved status or close to receiving approvals for the first GMP, and we have
already received our first commercial order for a significant value in FY'25. And we are now
more and more confident to guide that the business in Stelis will be PAT -positive from next
year.
We have also reduced our corporate guarantees issued by Strides by almost INR 600 crores and
debt -- including new debt that is just being in the process of being secured, will mean that the
net debt will come down quite significantly to about INR 450 crores, including DSRA deposits
that we have. As regards to scheme for OneSource, we are in the process of addressing queries
from the exchanges.
We expect to hear more from them in the next couple of weeks. And we are confident that we'll still be in a position to file our NCLT applications for the demerger and listing -- merger,
demerger listing in this quarter. We have received all the significant NOCs from lenders,
which has now been secured, and we look positively forward to a great outcome from OneSource.
That's a fairly longish introduction, and I'm very happy to take questions. And as always, if there are listeners who would want to ask these questions later, please do not hesitate to
contact us separately. Thank you.
Moderator: Thank you. And t he first question is from the line of from Akash from Motilal Oswal Financial
Services Limited. Pleased go ahead.
Akash: Congratulations on the good set of numbers. I have a couple of questions. My first question is
the commercial service agreement for GLP1 product with one customer is for which market?

Arun Kumar: It is for regulated markets.
Akash: Okay. And the second question is on Icosapent approval. There are almost 7 to 8 players now.
How do you think the business potential is for Strides? And also could you share the API
source for the product?
Arun Kumar: Well, we don't share API source, but we do not have a constraining situation with API, which
is why many of the existing players do not have a significant market share. So I can only tell you that. We expect our market share to be a leading market share like in all software and
capsules that we have.
Akash: Okay. And my next question is like what kind of price erosion is witnessed in the base
portfolio in U.S.?
Arun Kumar: Negligible or hardly anything, as I mentioned in my opening statement.
Akash: Okay. And could you -- Just could you tell the reason for lower depreciation, which is down

Q-o-Q and Y -o-Y basis?
Arun Kumar: So we announced the Singapore d

ivestment in the last quarter. And we also mentioned that this divestment has got significant line items below EBITDA because it had lease rentals. And since that was sold and completed, the depreciation and the line items attached to those dataset
is now completely gone and so the new level of depreciation.
Akash: Okay. And my last question is, how much is the scope for further improvement in gross margins from current level of 59%?
Arun Kumar: Well, I think at 59%, 60%, we already are amongst best -in-class. Maintaining this would be more challenging than growing it. So I think in your modelling , you should consider that 60% as a gross margin for our model.
Moderator: Thank you. T he next question is from the line of Shantanu Maheshwari, an individual investor. Please go ahead.
Shantanu Maheshwari : So my question is regarding the U.S. business. So we have seen a decent ramp -up in the U.S. business over the last few quarters. What is the global situation …
Arun Kumar: Sorry, Shantanu, you're breaking. So you may want to check your -- from your end.
Abhishek Singhal : Can we take the next question, please?
Moderator: Yes, sir. T he next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Congratulations on a decent set of numbers. Sir, first question is on the corporate guarantee, so we can see in the annexure that the corporate guarantees provided by Stelis stood at around INR500 crores. So I'm assuming that this is after the reduction of INR600 crores achieved on sale of the facility. So it was INR 1,100 crores going down to INR 500 crores.

Now there are two questions related to it. First of all, now, again, there is a proposal to increase the corporate guarantees by INR 350 crores. This is despite the fundraising at the Stelis level. So if you can throw some more light that why are we again going back on increasing the corporat e guarantees? And secondly, why are these corporate guarantees much in excess to the gross loan, which Stelis has got at its balance sheet level?
Arun Kumar: Two questions. So corporate guarantees are a function of total loans outstanding, and we are in the process of getting our banks to reduce it to the level of outstanding, so the gross to net gap is almost about INR 250-odd crores.
The second point is that we have not raised -- we have the ability to raise up to $100 million in OneSource relisting. At th is time, what we have now taken a new facility is only a bridge to the listing. And the corporate guarantees of Strides will completely go off the balance sheet in the next 12 months.
Sarvesh Gupta: Okay. So this is just a temporary facility and, according to you, once this demerger takes place then all the corporate guarantees -- or basically, every liability that Strides has towards Stelis will vanish?
Arun Kumar: Don't forget that the Strides shareholders are the biggest beneficiaries of OneSource. And obviously, all of this is one of the other reasons why it is the beneficiary, for which -- for having supported and sustained the company. But once it's listed all of these guarantees will go off the book.
Sarvesh Gupta: So sir, as part of this demerger, lenders are okay with such an arrangement wherein Strides will no longer have any corporate guarantees towards Stelis?
Arun Kumar: Because there will also be that much less loans in OneSource, right, the new company.
Sarve sh Gupta: Understood. Understood. And secondly, you mentioned about the one -offs, which we have taken pursuant to that injectable business in Stelis. So now we have arrived at a INR 7 crores EBITDA loss as per the presentation. So what was the write -off tha t we have taken? And what would the EBITDA be ex of this write -off at Stelis level for this quarter?
Arun Kumar: The write -offs are all discontinued business write -offs and has got

nothing to do with the EBITDA. It is below the EBITDA line item.
Moderator: Thank you. The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.
Aditya Sen: Sir, one of our main growth factors for the coming 2, 3 years will be the product launches. This is what we understand as per our research and we have guided -- we have been guiding that we'll launch 15 products roughly per year. So we just want more light on this subject. Like how certain are we off this 15 product addition per year? And roughly how much revenue addition do we expect per year in the coming 2 years?

Arun Kumar: Yes, so we don't have specifics, Aditya. We have close to about 150 approved ANDAs that are

in the process of doing significant rework for it to be cost leaders or quality to ensure that the
quality is the right quality because many of these ANDAs are old and they've been acquired
from our end of transaction.
So we are very confident of launching. These products are already approved, so we are not
dependent on any AND A approvals to launch 15-odd products per year. So there's no l ack of
confidence on that. But the timing of these launches is a function of the right market opportunity and the pricing that we get. And until we do that, we are a very patient player in
the market, and that is how we have been disciplined to deliver the kind of gross margins that
we have in the last 3 quarters consistently.
So to your point, we have the approved products. We have high on confidence to launch 15-odd products. Should we launch 15, should we launch 10, that's a function of the market, but to ensure that we have guided the market that we aspire to be a $400 million company in the
U.S., we currently have a run rate of around $280- odd million, $260- odd million, $270-odd
million. And we are very confident get to $400 million, we have all the tools in hand, but we
are timing it and calibrating it to ensure that our margin profile does not change.
Aditya Sen: All right. All right. And also, we previously guided that we will be doing some sort of cost optimization to boost our EBITDA to approximately 21%, 22% range. So are we on track on
this?
Arun Kumar: Yes. If you look at our press release, you will notice that our costs have not changed in the last many quarters, very focused on cost control. There is more to go and we believe that getting to
a 21% EBITDA is realistic, and that's what we are focused on.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go
ahead.
Nitin Agarwal : Arun, on the U.S. sales for this quarter, you've talked about Icosapent being launched in the
quarter, so has the full impact or the peak impact of that visible in the quarter or there is more to come for the launch?
Arun Kumar: No. So basically, Nitin, as we announced, this is in partnership with Amneal. So our profit
share part of it will flow through in the coming quarters. So what you see in the revenue uplift
is basically transfer pricing. So there's more to come to...
Nitin Agarwal : And likewise, Suprep, you said, it's going to be more like a Q1, Q4 launch, so the full impact
of these 2 launches should be visible more like in Q4 and Q1.
Arun Kumar: Q1 of next year, we'll have full launch. This will be just a few weeks in this year -- sorry in
Q4, it wi ll be a few weeks. You'll have a full impact in Q1.
Nitin Agarwal : For both the launches?

Arun Kumar: Yes. I think to a very large extent Ico, you will see it fully in Q4, but we're not sure about our
profit share coming through in Q4 because typically, this takes -- there's a lag of 4 to 5 months
of the profit shares come through.
Nitin Agarwal : And secondly, in terms of when you look through the next year and the 10 to 15 launches you've talked a

bout, and when you sort of look at these 2 launch approvals, which have come
through like Suprep and Icosapent, do you have in your portfolio in your assessment similar sort of opportunities, which are there for future approvals in the coming quarters?
Arun Kumar: We spoke about this last, so just to reiterate that we do have -- we are up the needle in terms of
our product size per molecule in the marketplace. So effectively, we've started investing in products, which now average $15 million to $20 million. So Ico, Suprep are products that meet
that criteria. There are a few more coming our way.
There are from the end of portfolio that would reach that milestone, get the work that we're
doing with the FDA to be cost competitive or source changing and revalidating the product under newer processes and technologies tha t are currently required to meet the compliance
standards of the regulator.
So yes, I think that the era of $4 million to $5 million for product is now behind us because that also complicates our manufacturing and supply chain process with so many changeov ers
and SKUs. So yes, so we are now invested in that $15 million to $20 million ideas and we seem to have a fairly reasonable success rate of selecting and getting products approved fairly
quickly in that bucket.
Nitin Agarwal : And secondly, on the other r egulated markets, you talked about a lot of things starting to flow
through in FY '25. So FY '25 growth, particularly, why do you see a meaningful delta over what
you've done in the last couple of years in this business?
Arun Kumar: From H2, yes. We've just secured some major product approvals through the DCP process.
They are going through the national filing. These have been licensed out to some of the largest
players in the market for Pan -European launches.
So the DCP process has been already approved, so product approval is behind us, but the
national process takes upwards of 3 to 4 months and these very large companies take -- so H2
FY'25, you can see a meaningful bump up on our numbers from the other regulatory markets.

Nitin Agarwal : And it's going to be the last one. On the biologic CDMO component of the business, which is there in Stelis, can you help us understand in terms of how do you see that piece really playing out over the next 3, 4, 5 years?
Arun Kumar: We have guided again firmly that in the next 4 to 5 years, look at Stelis part of the business to be a $400 million CDMO business and we expect the EBITDA to be in the 50% range.
Nitin Agarwal : And in that, if you can take it further, the biologic CDMO is going to be one segment of that. I mean, that is right now probably the smallest portion in the OneSource business as it is

envisaged. I mean, how do you -- what kind of trajectory do you see for that business -- that segment rather?
Arun Kumar: A lot of the growth is coming from biologics in the $400 million.
Moderator: Thank you. The next question is from the line of V.P. Rajesh from Banyan Capital. Please go ahead.
V.P. Rajesh: My first question was regarding the outlook for the rest of the world business -- or excuse me, rest of the regulated market business. The way you have given guidance for the U.S. side, do you plan to share that now or in a couple of quarters down the road?
Arun Kumar: A couple of quarters down the road.
V.P. Rajesh: Okay. And on this quarterly revenue that you have posted, how much of the business is going to go away to OneSource?
Arun Kumar: Of the total revenue, so we guide -- when we announced OneSource, we did say that we would still, in spite of the business going close to about INR 150 cror es of EBITDA going -- moving away, we would still do INR 750 crores next year.
V.P. Rajesh: Right. I was just asking about this quarter, so we have done INR 1,000 crores -- INR1,100-or - so crores or revenue, how much of that is goi

ng to go away?
Arun Kumar: Yes, we are trending quite equally per quarter, so you should assume it's INR 150 crores, INR160 crores divided by 4.
V.P. Rajesh: Understood. Okay. And then lastly, on the timeline , from today, how many months before OneSource gets listed in your estimation?
Arun Kumar: I think outer limit would be 12 months from now. We obviously are -- the results are subject to the exchanges giving us their approvals. And from there on, it could be 6 to 9 months and then the listing process.
Moderator: Thank you . The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.
Tushar Bohra: Congratulations to the management for a good set of numbers. A quick clarification in the response to a previous participant, did we mention OneSource has $400 million revenue, which is guided earlier, but 50% EBITDA margin?
Arun Kumar: So the question that Nitin was asking me what is the OneSource business, which is -- which we said we have already guided $400 million. The biologics part of the business is where the growth engine is a 50% margin business. The rest of the business is a 30% business. The bulk of the growth comes from biologics, so when we list -- when you -- when we carved out OneSource, we did mention that FY '25 revenues will be about $180 m illion with about $65 million of EBITDA.

We are now in a strong position to reconfirm those numbers. We also guided in that document that 4 years from there on, we should be a $400 million business with that bias to increased EBITDA. The EBITDA bias comes from the fact that the Biologics division delivers EBITDA of close to 50%.
Tushar Bohra: And this -- we would have some contractual visibility as well, right, because we already have some contracts in place for the next 2, 3 years, right? So it's fair to a ssume that there's a proper contraction basis for some of this outlook bullishness for us?
Arun Kumar: For the CDMO business works, you can't -- we are not -- we are a concentrated customer base. We have 16 customers with very large accounts and we have fair visibility of forecast, and we do a sensitivity on that forecast and yet we come up with those kind of numbers.
Tushar Bohra: Got it, sir. And regarding the U.S. business, I think in the second quarter call, we had sort of guided that the journey from $250 million to $400 million would be fairly evenly split in something like $320 million, $330 million or rather $320 million next year. We're good for that, right? We continue to maintain that outlook or will it be a stronger growth next year and then more gradual one the year thereafter?
Arun Kumar: No. We -- if it strong -- if it's quicker than the quality of the business is back, so you're right.

It's more graduated and calibrated in that basis.
Tushar Bohra: Got it, sir. But the incremental delta coming from U.S., but our gross margin guidance remains at around 60%. So is it fair to assume that we have been conservative here? Or do we see a pressure on some of the base business, which last few quarters has not been the case with us? Or is it any of the o ther markets where we are being more conservative on the margin side?
Arun Kumar: So we are consciously moving some of our products B2B in the U.S., which we never used to do. And that is why -- but the related SG&A costs are much lower because it gives us an improved working capital cycle time, which is our focus, improved free cash generation. So gross margin is not necessarily an indicator of EBITDA, of what an EBITDA could be. So the reason why we say that we do not wish to increase our guidance on 59.3%, the flow -through from 63% to -- does not make it 18% to 21%. 59% can also be 21% just with opex leverage.
Moderator: Thank you. The next question is from the line of Omkar, an individual investor. Please go ahead.
Omkar : Sir, congratula

tion to you and entire Strides team for great set of numbers in terms of gross margin as well as operating profit margin. I'm having two questions, sir. As more products will get launched every quarter in U.S., can we say now our quarterly run rate will be around $70 million per quarter? And when can we expect growth in ORM, other regulated market, I mean to say, as we are doing consistently $40 million revenue per quarter in ORM market?
Arun Kumar: Thank you for your commentary on our performance, but I would not judge numbers. We have given a general guidance that we will do $250 million this year. We are well on track. We have alluded to the fact that $310 million to $320 million is possible. Next year, we will do that. So that could be more than $70 million, it could be more than $80 million. And in the other

regulated markets, we have just mentioned to Nitin's question earlier that H2 will be much stronger than H1 and that will also ensure that the business grows beyond the $40 million per quarter run rate.
Omkar : Sir, as far as ORM is concerned, when the other regulated markets start performing because as we are doing consistently that $40 million revenue per quarter, so when can we see the momentum in other regulated market also?
Arun Kumar: But on a year -on-year basis, it has grown 21%, right? So it is not consistently $40 million. It's actually grown by 21%, so that's a...
Omkar : Sorry to interrupt, but I track Strides' performance every quarter properly. So I know your average revenue in oth er regulated market is always $36 million to $40 million. Y -o-Y, you have gone up, but I know all the quarterly figures how Strides is performing and they're doing a very good job. But just asking for ORM. For U.S. Strides team is doing excellent, but just wanted to confirm for the ORM also because as of now, we are still at that $36 million to $40 million revenue per quarter.
Arun Kumar: Yes, so Omkar, it's going to be like that for another 2, 3 quarters because there is a process called registration and n ational registrations. We have secured a lot of great product approvals in the last 1 month, but the process of national approvals will take another 3 to 4 months. So in H2 of next year, you will see significant improvement in our numbers. Until then, if w e can do $40 million per quarter, we think that's been a great job with the other regulated markets, given that we started investing in this market recently.
Moderator: Thank you. The last question is from the line of Aditya Sen from Robo Capital . Please go ahead.
Aditya Sen: On the debt part, sir, I guess I missed it. Probably, we have a target to reduce debt by INR 750 crores by FY'25. Am I getting that right?
Arun Kumar: No. Where do you get that from?
Aditya Sen: I'm not sure, probably older PPTs or something. So where are we? What is the target? How are we placed on this?
Arun Kumar: So we already have met our target. We are not going to guide on that anymore. We are under 3 this peak and quarter ahead of it, and we are in a very comfortable position with debt. And our focus is on the balance sheet. And consequently, debt reduction is a natural extension of our operating leverage. We do not have any inorganic strategies or major c apex that we can't fund ourselves. So consequently, all our free cash ge neration is going to debt reduction. We don't have a specific number, but it's normal in our business that if you generate a INR 750 crores gross margin, you generate free cash of close to INR 450 crores to INR 500 crores.

So after c apex , it's quite feasible for us to reduce debt by INR 300 crores, INR400 crores every

year, like we did this year -- like we will do this year, like we did last year. And we'll continue to do that in the following years.
Moderator:

Thank you. As that was the last question, I would now like to hand the conference over to management for closing comments.
Arun Kumar: Thank you. We appreciate arranging this conference and to our friends and investors, thank you for listening in. And like I said, if you have any questions, please feel free to write to us or to contact Abhishek. Thank you, have a great day.
Moderator: Thank you. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
*****

Call: May 2024

May 2 7, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to audited Financial Results for the quarter
and year ended March 31, 2024.
Ref: Earning Call held on May 22, 2024 pertaining to audited Financial Results for the quarter and year ended March 31, 2024.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held
on May 22, 2024.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science L imited
Q4 FY'2 4 Earnings Conference Call "
May 22, 2024

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER , EXECUTIVE CHAIRPERSON &
MANAGING DIRECTOR

2. MR. BADREE KOMANDUR
– MANAGING DIRECTOR DESIGNATE

INVESTOR RELATIONS CONSULTANT : MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q4 FY '24
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Abhishek. Thank you, and over to you, Abhishek.

Abhishek: Thanks. A very good afternoon and thank you for joining us today for Strides earnings call for the fourth quarter and full year ended financial year 2024. Today, we have with us Arun, Founder, Executive Chair person; and Badree, Managing Director Designate to share the highlights of the business and financials for the quarter. I hope you've gone through our results release and the quarterly investor presentation, which have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed into the risk pertaining to our business. After th e end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Arun to make his opening comments.

Arun Kumar: Thank you, Abhishek, and good afternoon, good evening to everybody joining us today for our earnings call. It's an honour to talk to all of you, especially on completion of what FY '24 has been, an exceptional year for Strides. We came back strongly from a difficult FY '22, announced publicly a reset strategy. An d I'm very delighted to announce today that not only have we completed all what we aimed to achieve in our reset, we have done most of those much ahead of time, and we are now very delighted the way we are now positioned for future growth.

It's been a pleasure leading this company. We have made some announcements today, which we will talk briefly. I continue to be the Executive Chairman of the company, and I will be on all the calls going forward. But having said that, we are building the future Strides for the next decade. And I'm delighted to have with me today, Badree, who's been a long-standing CFO and Executive Director, as our MD designate, and our colleagues in the room who could address some of the questions.

Overall, it's not often that the company gave guidance or an outlook with it because we were operating under difficult circumstances. And we continue to do that for the next year because we have OneSource announced. So, it was important that we guide inves tors of where the business is going.

So, if you look at the FY '24 performance, this has been our highest -- this has been our best year, both for revenues and absolute EBITDA. So also, the best quarter. We have been very, very focused on optimization of our business on cost containment, opex leverage and also growth.

It's been a very pleasant outcome. Like I said, we have achieved all our outlook, including debt, far ahead of our scheduled 3x debt -to-EBITDA ratio , bolstered by the high end range of the EBITDA that we achieved. And of course, we have also completed our network optimization across the company. We now believe the reset and the cost -effective strategies have been complete.

Growth investments started a few quarters ago. And you will see a ver y different Strides with product profiles and approvals in the next year or so. We are obviously delighted with a very critical approval this morning that we received for the US , Sucralfate. We're also happy that it just adds to our basket of ov

er 35 products that we are almost the sole Indian player.

This strategy has played out for us for many years, but we have now recently started adding products of larger value and size. We're delighted that our market share is S uprep . We have been a very quick -to-market player in that product, which is very contrary to our strategy of launching products at a very appropriate time when we get the right price, and we are sure of the right market share. That strategy will continue.

And I will now briefly take all of you through some of the highlights. Revenues were sha de under $500 million. The all markets grew. Our key focus market -- our new growth markets have grown exceptionally well. Most of you know that we have a small business in the institutional segment. That business has impacted in the last financial year by low allocation of tenders. This resulted in kind of new take performance in FY '24, but I'm now pleased to announce that we see a significantly higher allocation on this program for the next two years and you'll see more upticks in this part of the business in the second half.

Importantly, we have secured very significant product approvals. So I am guiding the investors and analysts and individuals who follow us to note that FY '25 will have -- will con tinue to be an important year, but significant growth will come only in H2 because a lot of new product approvals and launches are expected only in that period.

What is also important for us in the last 2 years was consistency. And unlike our first avatar we have consistent quarters of revenues. Gross margin was very, very consistent in a tight space between 59% and 60%. This is almost a 12% uptick from where we started. EBITDA margins, nicely moving up from 16% to 19.3 %. We would like to get to our historical 21% EBITDA in the next year or so, and there's some more work that is happening that will ensure that we get there.
And adjusted PAT has been increasing steadily, and we have a adjusted PAT of around INR200 crores for former business, and that is something we can discuss later. But Stelis reported its first-ever quarter where it had a breakeven , as we guided. We expect Stelis to be profitable division in this financial year with all the business that we've won, and we continue to win in that space. I'll come to that in more details.
But quick highlight events, the US market. We guided for $250 million at the higher end of the outlook. We are very delighted to be ba ng on target. We had a very weak flu season. Most of you know that our Q3 and Q4 are very significant quarterly markets because of flu products, but

it was a very poor ye ar for flu for us. But we were fortunate to have Generic Suprep launched during this period. And we are now in pole position with market share on this product, the contracts that we won. So we're very happy that some of that negativity on the negative offs ets on flu products were made up by new product launches. Although, we have a lot of products approved. Our calibrated approach to pricing, market share right time to launch is what we 'll continue. And we have guided that we'll get to a $400 million size in the next 2 to 3 years. We believe the US market will continue to be an important part of our business strategy. But with this disciplined approach, which is very differentiated with both products and go- to-market. I'm also pleased to let you know that we are now considered amongst the more compelling generic providers for reliability and we have a service level of 99%, which is considered to be gold standards in the industry. So our focus has been on customer advocacy, right pricing, right availability of product. We have the lowest failure to supply. Now this is now sub-$200,000 for a $250 million business, which is the lowest in the industry. And we're very delighted with all the enablers

that I've got about driving the US business. We'll continue with this focus.
But let me also announce here that we have started investing very heavily on newer technologies and portfolio beyond the $400 million generic mark as we focus on more complex generics. We just announced a partnership for nasal sprays in controlled substances. We will have our first filing in this financial year and the first 505(b)(2) will probably be filed somewhere middle of next financial year. And there will be several more activities in building a portfolio both in -licensing and partnering and also developing in -house capabilities . So we are -- I mean, earlier, we did mention that we have 60 products that meet our criteria of margins. We continue to stay invested with that theory, b ut we take more time to launch those products and just to be sure that our disciplined approach is not compromised. W e also see a lot of stability in the U S. market. So I think the timing is also fine.
As far as the other regulated markets we hav e had three consi stent, although the market grew by 19%, almost 20%. We had three consistent quarters of 40 million. To most of you who follow us we build consistency before we focus on levering that. You will see similar numbers for the first one or two quarters in FY '25, but then you will see significant growth in the second half in the other reg markets as we have got to be partnered our products. But as you know in Europe and other markets it takes time when new partner products for a partner to launch products.
Typically, our partners ar e global or national champions a nd therefore they take a little more time than normal if we were going to market.
Our access market, I mentioned that in my brief summary, but our growth markets are growing very nicely. It's grown almost by about 25%. And of course, on a low base and that will continue to deliver very strong growth in the coming years.
We committed to debt to E BITDA under three. Pleased to announce that we are now 2.7 2x of the outlook. The schemes with OneSource enab les us to push down debt of INR 300 crores into OneSource and we had a very significa nt free cash flow of almost INR 700 crores that means almost 95% of our EBITDA -to-cash conversion ratio. We now have one of the industry-leading cash-to-cash cycle times and we'll continue focusing on these elements as we improve our free cash generation. We target to reduce our debt by an additional INR500 crores after spending

almost INR200 crores in c apex this year. We do not intend to achieve any of this with new

borrowings. Consequently, we are now guiding FY '25 for debt to EBITDA under 2 x.
Pleasing, of course , is the ratio, so our key balance sheet ratios. Our RO CE especially has grown. Our exit run rate at 15% is pleasing. We have very ambitious targets around that. We have a gross block to asset turnover of almost 5x that again many of you will appreciate its industr y leading . We'll continue to sweat our assets by smart product selection, technology improvement s and automation that is our opex cost.
So before I conclude on Strides and open the house for questions, a quick note OneSource. We have now received the name OneSource as official , Stelis is now called OneSource. OneSource, on completion, offers NCLT process will be India's first platform CDM O. We have 40 unique logos day one . We have 17 GLP partners including several first -to-file and sole exclusive players who are our partners. We believe that we are in a very strong position with our capabilities in drug product devices.
Our erstwhile injectables business in CDMO business and the soft gelatine business the incoming two businesses into OneSource and met a 100% of its EBITDA of FY '24. FY '25 wi ll be similar with very marginal growth, and that is because we expect more product approvals in both

these divisions only towards the last quarter of FY '25.
We are pleased to confirm advise that we have now received as of late last night, all our approvals including that from the SEBI, for the scheme to now go on to the NCLT and we will now commence our NCLT filing in the next couple of weeks and we will keep all of you updated on progress.
Before I hand over the – I mean take questions we have made some changes. We have two very significant Directors who have played very important roles in our company, Mr. Bharat Shah and Mr. Sridhar both Independent Directors retiring. Consequently, we are very delighted to announce today the appointment of Subir Chakraborty onto our Board. Subir for those of you who may know him was very recently, the CEO of Exide and has played a very significant role in creating significant value there with strong operational experience prior to his CEO role. We are all excited to have Subir onboard and benefit from his experience.
We will also add Aditya Kumar on to the Board. Aditya , for full disclosure , is my son. He's been in the company for the last 10 years and he will join us as an Executive Director. Both are obviously subject to shareholder approvals. Consequent ly, and like I mentioned while I continue to be the Executive Chairman and will continue to play a significant role in setting the next level of Strides.
I already announced my pleasure of having Badree as my colleague and Managing Director and CEO of the company.
I'm also very pleased to announce that Vikesh , who started his career at Stri des grew up the ranks with his brilliance and execution capabilities , to be our new group CFO and I'm sure that this new changes and additions not only we add strength to what we have done in the last 2 years, but we are building the future for Strides.

My apologies for a slightly longish introduction but given that we are a little bit exuber ant with what we have done please pardon our indulgence.
I did talk about the FY '25 outlook, but for completeness , we expect to grow 12% to 15%. Bulk of the growth w ill come in H2. We expect EBITDA margins to be about INR950 crores to INR1,000 crores. I did mention that we expect the soft gelatine business to be soft in terms of EBITDA. And that is because we had two very big approvals in FY '24 mainly Icos apent and Cyclosporine where we are taking significant market share and new product approvals are already expected in FY '26, b ut we still will do a small growth over the USD2 0 million EBITDA that we achieved.
Consequently, the retained business will deliver a pproximately INR750 crores to INR800 crores of EBITDA and we have that run rate already now. So we should be comfortab le in growing that from the INR 800 crores exit run rate to about INR950 crores to INR1,000 crores.
We expect free cash to continue to be a focus of the company and we would end the year with a net debt of under 2 and at which time we think that we would be in a very, very strong position to be debt-free in 3 years to 4 years from thereon.
We are guiding the U S business to be approximately in the range of $285 million to $ 300 million. It's a tight range, but we are confident with approvals like Suprep and Icosapent and Sucralfate today. These would still allow us to give away market share and we are challenged and yet grow the business without compromising the margin. So th ank you all and happy to take questions.
Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Vishal from Systematix. Please go ahead.
Vishal: Thanks for the opportunity. With respect to the US, c an you share some colou r on how Suprep is doing for you in terms of market share? And have you scaled up to the full potential, or is there further ramp -up possible here ?

Arun Kumar: So typically, Visha

l in produc ts like Suprep where there are three, four players, we are very
happy at the 25% to 30% market share. And I can tell you, as we speak, that we are at that spot already.
Vishal: Okay. So we should not see further ramp -up from Suprep going forward? You need new
approvals to ramp up from here?
Arun Ku mar: We don't need new approval for Suprep, but we typically -- when it's a three, four market player,
we typically are satisfied with the 25% to 30% market share that's the philosophy.
Vishal: And second on OneSource , we talked about a GLP -1 that is going to supply to customers. Is that
GLP -1 already commercialized? Or it 's in clinical stages that you will be supplying?
Arun Kumar: One of the GLPs, one of our partners have gone through – is expecting approvals, and we expect
our first commercial supplies of GLP to commence in this financial year.

Moderator: Thank you. Next question comes from the line of Aman Vij from Astute Investment
Management . Please go ahead.
Aman Vij: Good afternoon. Continuing this OneSource – question on OneSource. So this CSA, we have
gotten for GLP -1, it's for Liraglutide, if my understanding is correct. And this -- if you can
correct me on that if I'm wrong. And this is expected to come in H2 or in H1?
Arun Kumar: H2 the product is correct.
Aman Vij: Okay. So we have like 15, 16 different projects. And out of this, only one CSA you are expecting
in FY '25, not more than one? Or just --
Arun Kumar: Our work on GLPs are on Wegovy and Ozempic.
Aman Vij: Yes, yes. But I believe we have six in --
Arun Kumar: Yes, and they are all patented t ill '26.
Aman Vij: Yes, sir I believe we have six in -- right? Only one of our customers are commercializing this
year, rest maybe in FY '26.
Arun Kumar: I do not know where you get this information. We do not give how many customers for each
programs in any of our conversations.
Aman Vij: Sure, sir. You have shared all this information in one of your PPTs, so just wanted to clarify on
that part. Anyway, on --
Arun Kumar: We have one customer who's expected approv al. We may get every other customer's approval s
too, but one customer has already started work on the commercialization of --.
Moderator: Thank you. Next question comes from the line of Nitin Agarwal from DAM Capital. Please go
ahead.
Nitin Agarwal: Hi thanks for taking my question. And Congratulations on a very strong finish to the year. Two
questions. One is on the US business. The point that you mentioned about -- so our intent grow
the business beyond $400 million in terms of some of the newer activities that you're trying to
get in. How are you -- how should we think about our US business evolution, it gets to $400
million the next three years? And then how do we see it going from thereon?
Arun Kumar: Thanks, Nitin. So what we're saying is that the current strategy of niche limited competition kind of limits our
growth to $400 million. That's our aspirational growth. We are now very confident
we can achieve that. Maybe we can add a few tens of millions of dollars additionally, but it's not
something that can double from $400 million. For us to continue to benefit from the US market
opportunity, we have to be differentiated with either a platform technology or leveraging our US
manufacturing activities . Which has got very specific capabilities around control substances,
laser space, very complex device, liquids manufacturing, which can only be made in the US.
And that requires capabilities, which are currently beyond what we have in India. And that is what we are currently investing
globally with partners and sometimes we do it ourselves, both

here in India and more US eventually. And that set of products are typically in the $40 million
to $50 million opportunity ran

ge.
So from the evolution standpoint, you'll notice that our original strategy in the US was when we
had a $3 million to $4 million product average. The last few approvals have taken that ticket up
to an average of $20 million. And now we are building portfolios in the $40 million to $60
million range. So, it's been a kind of -- it's not tactical, but a more stated strategy th at is just
playing out, and it takes it us time payout.
Nitin Agarwal: And secondly, on the other end markets, we've been actually very positive on this space. Is there

any -- are there any particular reasons why the traction has not been as much as you pr obably expected at the start of the year?
Arun Kumar: No, it's still grown at 20%, but it's important to note that our O ther Regulated Market s is almost B2B, right? So when we play with -- when we license our products to global players, and it takes time f or them to launch the product because they typically launch 15 to 20 countries at the same time. And therefore, the launch period is much longer. And that's about it. Like I said, in H2, you will see these numbers changing quite significantly upwards.
Nitin Agarwal: Okay. And lastly, on OneSource, the drug device play out -- I mean, will begin to play out that part of the business Liraglutide starting off and then Semglutide as and when patent will expire. The other pieces of the business, especially around biologics CDMO, I mean, how should we think about that piece and how that will evolve in terms of scale and size as we go through?
Arun Kumar: So, we are winning. So as you know, our drug substanc e capability is really established about six months ago. I'm now actually pleased to report that we have won our first major NCE contract there. And we keep winning business. So we are adding new customers every month across the platforms. Of course, every body is excited about the GLPs, but our focus on non-GLP is as intense as it should be for a CDMO. So we are winning a lot of business in non-GLP programs, too. Overall, we have guided $400 million of revenues , three years from the time of listing of OneSo urce if I'm not mistaken in the last updates. We are very much on track to get there, both the GLP and non-GLP programs.
Nitin Agarwal: Thank you, sir.
Arun Kumar: Thank you, Nitin.
Moderator: Thank you. Next question comes from the line of Praful Bohra from InCred Capital. Please go ahead.
Praful Bohra: Yes. Hi team. Congratulations. Just two questions on the US business. So first, the guidance of $285 million to $300 million, which is around 15% - 20% growth. So here, what kind of price erosion are you building?
Arun Kumar: Well, the US business is not a function of price erosion for us is that when we are challenged heavily, we exit the product. So we just get off a product. And if you look at IMS, you'll see us not in products that we were there last year if we are being challenged on pricing. So we don't

have -- so because we have the luxury, Praful, of several ANDAs is that it's -- at the cusp of being launched. We have a very differentiated way of modelling our US business. And I have been consis tently telling for four years that we do not have a price erosion. For this reason, not because we are not challenged, but when we are challenged, we let go. I mean rational challenge, we keep. Irrational challenge, we let go.
Praful Bohra: Sure. And secon dly, on the endo portfolio, what proportion of the pending ANDAs are still viable to be launch ed? And would any of the ANDAs be significant from our perspective?
Arun Kumar: Yes, of course. Our number 1 selling product now is an endo product . I mean, endo portfolio product. So we probably have one more product that we will launch this year from the endo portfolio, which will have an exit run rate almost similar to our number 1 product. We now -

-
the endo P&L itself is a profitable P&L after two difficult ye ars and a significantly profitable P&L on a standalone basis.
We have a lot of products. I would say 10 to 15 product s at least on the endo portfolio that will meet our criteria. But these products in the U.S., we are constrained by the speed in which we can launch these products because we only have the capacity to launch three or four new products a year. And we then pick and choose which a re the best ones in our lot. But like I said, our number 1 product in the U.S. now is an endo product.
Moderator: Next question comes from the line of Aditya Sen from RoboCapital. Please go ahead.
Aditya Sen: So we have guided about 12% to 15% growth this year. So that is in preview of all the product launches that we are planning, right?
Arun Kumar: Yes.
Aditya Sen: So this will -- the guidance will be same for FY'26 and '27, if I'm not wrong?
Arun Kumar: Why would that be the same ?
Aditya Sen: Becaus e we have around 60 product launches scheduled for the next two, three years, so we...
Arun Kumar: Aditya, o ur product is not equal to revenues, right? A product can be $4 million , a product can be $20 million. So that's not a good benchmark for you to do our model. We have guided $400 million over the next three to four years. We are growing at 15%. If you continue doing that, we'll do that in three years, right? The math is very simple.
Aditya Sen: All right. Thank you for correcting me rather. And also in OneSource, can you please mention how are we planning to achieve such targets? Will it be again product -driven or do we have other strategies there?

Arun Kumar: So we already have contracts signed, right? So we only need our partners to get appr ovals.
Moderator: Next question comes from the line of Rupesh Tatiya from Intelsense Capital . Please go ahead.
Rupesh Tatiya : My first question is, can you please tell me what is the capacity for GLP -1 across OneSource...

Arun Kumar: Rupesh, c an you just s peak up or you on a speaker phone or something? We can't hear you well.
Rupesh Tatiya: Okay. Sir, my first question is what is our capacity for GLP -1 across OneSource network, manual injectors, auto injectors , I mean if you can give some color on that ?
Arun Kumar: Our drug device combinations are about 40 million unit capacity and we will complete an expansion in FY'26 to take it to 200 million units.
Rupesh Tatiya: And this 40 million, what kind of gross block it is? And what kind of revenue we can…?
Arun Kumar: We can't get into those details. You can send us a note these are two granular details to give on an investor call. And we can then respond to you specifically.
Rupesh Tatiya: Okay. And then I also wanted some color technically to that, how does the billing work in this GLP because we are going to create a final drug device but the drug comes from our sponsor and the device will come from somebody else. So how does the billing w orks in this?
Arun Kumar: Our revenue of CDMO is 100%, everything else is pass through. Our partner pays for everything. We only -- when we say our revenue could be $300 million or $200 million in the biologics division, not in the soft gel and injectables division, t hen if we do $100 million in biologics , $100 million is our gross margin .
Moderator: The next question comes from the line of Sandeep Dixit from ■rjav Partners . Please go ahead.
Sandeep Dixit: Just wanted a clarification. In your opening commen ts, one of your sentences after you mentioned the guidance of EBITDA of INR 950 crores to INR1,000 crores . Can you give any guidance for the standalone entity or rather the retained business in Strides?
Arun Kumar: 750 to 800.
Sandeep Dixit: In which the numbers are not adding and that's the reason I asked. You have said $60 million and the guidance on On

eSource ...
Arun Kumar: You are not reading our deck properly, Sandeep. The $60 million has got three divisions. What is going from Strides is $20 million. That's all. Everything else is coming from other parts which are getting merged.
Sandeep Dixit: Right. Perfect.
Arun Kumar: On the 950 to 1,000, you have to only minus $20 million.
Moderator: Next question comes from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Arun, just clarifying, you mentioned the increased capacity for the drug -device combination to be 100 million or 200 million?
Arun Kumar: 200 million.
Nitin Agarwal: Almost 5x?

Arun Kumar: Yes, we were taking off 100 million , Nitin, when we spoke 3 quarters, but we currently with the contracts that we have signed up and looking at the success of some of our partners in the ir litigation and poll position status, we are obliged to double our capacity to 200 million. So yes, we're going 5x. And we'd rather do it at one go because equipment cost is not the most -- is the most expensive part, but the lead time for equipment are too long in this.
Nitin Agarwal: And where does it place you in terms of rather with this capacity in the various drug device CDMO players?
Arun Kumar: We do not have specifics of our competitive landscape, but I would assume top 5.
Nitin Agarwal: Okay. And secondly, on our Strides busine ss, we 've done a pretty decent job on controlling our overhead costs, optimizing our cost structure, the whole last several quarters. I mean, do you still see opportunities for optimizing the costs further from here on, leading to further expansion of marg ins over the next 2, 3 years?
Arun Kumar: Like I said, Nitin, we probably have about 200 to 250 basis points of margin expansion through cost improvements and completion of network optimization. And that is why we said our dream goal is to get to our 21.5% peak EBITDA percentage-wise . And we think we can do that in the next 12 to 16 to 18 months.
Nitin Agarwal: Okay. And with the strategy that you're following in the business, what is your assessment ex of the soft gelatine business what sort of a peak prof itability in this business can really get to?
Arun Kumar: So I think minus OneSource also, we can comfortably grow at that 15% CAGR and our target then should be to get to 21% EBITDA and be debt free. This is our goal in the next three years.

Moderator: Next question comes from the line of Rohit M, an individual investor. Please go ahead.
Rohit M: First question is on the other regulated business …
Arun Kumar: Sorry, can you repeat?
Rohit M: Yes. So first question is on other regulated business. We had a s trong year for the other regulated at 20% Y-o-Y growth. Could you highlight which were the key markets that contributed to the strong growth? And are we confident of maintain ing this growth momentum going forward in the next year ?
Arun Kumar: Mainly German y and Australia and the Nordic regions.
Rohit M: And any guidance for the next year ?
Arun Kumar: We can't give a percentage guidance, but we said that the company overall grows 12% to 15%. ORM will continue to be a big part of that growth. But more growth you will see in H2 rather than H1.
Rohit M: Now second question is on the gross margins, which have 60.7% in the Q4. Can you sustain this 60% plus gross lines going forward? And how are you looking at that?

Arun Kumar: Yes, plus minus 2% it is doable. So we have done that for 4 quarters or more. So we can -- we are now in that zone. We shouldn't have a problem.
Moderator: Thank you. Next question comes from the line of Ja gdish Sharma an individual investor. Please go ahead.
Jagdish Sharma: Congratula tions for FY '24. My question is on U .S. business. What sort of investments wou

ld
we need incrementally to take our U .S. business to 400 million in the next two to three years?
Arun Kumar: Nothing. We have all the products already approved. We have 265 plus ANDAs of which we have commercialized only 65. So we have plenty of approved ANDAs. Our R&D for the 400 million run rate is almost done. We don't spend any money on that part of the business. We put more money on the 400 beyond story.
Moderator: Thank you. Next question comes from the line of Rahul Bharadwaj an individual investor. Please go ahead.
Rahul Bharadwaj: Hi , thanks for the opportunity and congratulations on the good set of numbers.
Arun Kumar: Rahul, can you speak up?
Rahul Bharadwaj: Yes, sure. Could you share a bit more guidance on possible de -merger situations for O neSource and the vision that we have over the next couple of years for this particular division and how we aspire to grow in the CDM O division?
Arun Kumar: You need to repeat y our question on one s ource. You are fading while you speak .
Rahul Bharadwaj: Yes. Any details that you can share in timeline for the demerger and how we plan to grow in the CDMO division over the next couple of years?
Arun Kumar: So we got last night, the demerger approvals from SEBI, which was the last step , prior to the court process of the demerger, which is called the NCLT process. We expect to file in court , the necessary documentation this quarter. Typically, it can take anywhere from 3 to 4 quarters for the court process to get completed and about 60 days for the stock exchanges to list the stock. But because that's the last and most important step was the stock exchange approvals and SEBI approvals, which came in last night.
Moderator: Thank you. Next question comes from the line of Vibha Ravi with Citeline. Please go ahead.
Vibha Ravi: Could you tell me if OneSource can be expected to benefit in any way from the shift away from certain Chinese companies like Wuxi? I know it's still time for the Biosecure Act to come through. But is there any planning on that front? And can OneSource be expected to benefit?
Arun Kumar: So clearly, the Biosecurity Act has been diluted quite significantly and there is a 7 to 8 year window for com panies dependent on China to find solutions or alternative solutions. But we are seeing significant amount of new RFPs for biologics. And I think the China Plus One on the biologics is playing through.

We haven't seen so many RFPs in the last 1 year that we have seen in the last 2 quarters. So we believe that there is some momentum around this Biosecurity Act and at least new programs coming to India or in other nation as first choice. To answer your question, plain and simple . Yes, we are seeing that. We are seeing it benefiting Strides or OneSource.
Vibha Ravi: Okay. And one more bit broad-based question. So is the Middle East crisis expected to begin impacting input costs and for logistics any time soon or it's like further out?
Arun Kumar: So, not on su pply chain of materials because earlier it was more to do with geopolitical and

COVID and other issues. The Red Sea crisis is now, I would like to say behind. The shipping premiums have dropped quite dramatically. But yes , this is the nature of the beast . So we have to be vigilant. For now, it's business as usual .

Vibha Ravi: Okay. And can I just get in one more question?

Arun Kumar: Please.

Vibha Ravi: Could you talk a little bit about how the alliance with O rbicular for nasal sprays is progressing?

Arun Kumar: Progressing very well. It's one of our more important partnerships. I did mention that we will have a first filing this year. We expect to complete the entire platform program during the course of the next 12 months and we should expect approvals thereafter. We have significant interest on these exclusive control substance programs and in part

nership with Orbicular, we are finding the right go -to-market strategy. Yes , but we are very excited with our partnership with Orbicular,
we consider them to be best in class and we're delighted to be partnered.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Arun Kumar: Thank you all really appreciate your time and thank you for your patience as we rebuild strides. I appreciate your time and feel free to write to us if you have any questions. Thank you and good evening.

Moderator: Thank you. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Aug 2024

August 5, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to U n-Audited Financial Results for the quarter ended June 30, 2024.
Ref: Earning Call held on July 29, 2024 pertaining to U n-Audited Financial Results for the quarter ended June 30, 2024.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on July 29, 2024.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

“Strides Pharma Science Limited
Q1 FY '25 Earnings Conference Call ”
July 29, 2024

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER & EXECUTIVE CHAIRPERSON

2. MR. BADREE KOMANDUR
– MANAGING DIRECTOR & GROUP CEO

3. MR. VIKESH KUMAR
– GROUP CFO

INVESTOR RELATIONS CONSULTANT : MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q1 FY '25 Earnings Conference Call. As a reminder, all the participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.
Abhishek Singhal Very good afternoon, and thank you for joining us today for Strides Earnings Call for the first quarter ended financial year 2025.

Today, we have with us Arun, Founder and Executive Chairman; Badree, Managing Director and Group CFO, Vikesh Kumar to share the highlights of the business and financials for the quarter. I hope you have gone through our results release and the quarterly investor presentation that have been uploaded on our website as well as stock exchange website.

The transcript for th is call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relations to the risk pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Arun to make his opening comments.

Arun Kumar: Thank you, Abhishek, and good afternoon, everybody. Thank you for joining our earnings call of our Q1 FY '25 results. Before I start, I would thank you for your support over these many quarters while we were resetting the business, and I'm delighted that the company has supported very strong performance across businesses. My colleagues, Badree and Vi kesh will have in their opening statements, more granularity and commentary around these businesses. And I'm sure that you will be happy to hear that we've done a lot of work where opex leverage has been our primary focus, and you will now see the company focusing on growth. And, consequently we strongly believe as we said that we announced in FY '23 is behind us ; with a much stronger balance sheet generating significant amounts of free cash and progressively reducing our debt as guided. We are also pleased to report today a reaffirmation of our outlook. We have exceeded on each line item, our outlook guidance. Consequently, we are now especially with our U.S. operations, very pleased with the performance.

Many of you will relate to Strides U.S. story to be seasonal. We have worked very hard to change that by changing our mix between acute and chronic. And our Q1 FY '25 in the U.S. has seen a very significant quarter and a historical quarter for us. Before I let my colleagues dwell more deeply, I want to tak e this opportunity to thank 2 of our retiring Directors , Sridhar and Bharat who have completed 10 years of service on our Board. The y have been phenomenal mentors for us and have played very significant roles, especially in our course correction plans in the last 2 to 3 years.

I also take the opportunity for the shareholders to have overwhelmingly voted for our new 2 Independent Directors , both eminent personalities and we're pleased to have Am eet and Subi r. Ameet, we introduced on the call last. Su bir until now was CEO of Exide and we are delighted with this large operational experience to be on our Board, and we are sure we'll benefit from the guidance and the deep insights these 2 gentleman bring to the Strides world.

I'm also pleased that well thought of succession plan has been voted for again, overwhelmingly, and I'm very happy that my colleague for several years, almost 15 years, Badree who has p

layed multiple roles in the company takes over the CEO of the company while I continue my executive role as Chairman. And I'm also pleased to welcome Aditya as an Executive Director of the Board, but most importantly, we also very pleased that our homegrown talent, Vikesh, who joined us in our finance department straight from college is now our CFO, and I'm delighted to welcome this new team and new leadership positions that has been with us for many, many years. So I'm glad that there is a seam less succession planning in play, and I look forward to working closely with all of them to continuously deliver even more strong results in the coming years.

It's taken us 7 years to rebound to the magic 4 -digit number on our stock price. So we thank you again for your patience as we work very hard to connecting the dots in the company and getting the house in order. I think we have resolved for almost all issues. Our network optimization is more or less complete. We still have some small tweaks to be done, which we will over the course of the next many quarters, but at 61% gross margin, which you will now appreciate. We now have industry-leading gross margin numbers in spite of not having a domestic business.

So our product selection, our product portfolio, scarcity nature of our portfolio is playing through and I'm sure that we will even do better as time goes. Our recent product selections, launches and a new terminology beyond generics in the U.S. is predominantly to now start guiding investors and our stakeholders on what we are building, to build a U.S. business beyond the generic. You will all recall that we believe that anything over $400 million to $500 million in the U.S. although we have a very large portfolio of approved products, it's counter productive to our strategy of pricing and discipline given the high cost in maintaining an operation that's focused in the U.S.

Having said that, we still believe in the market strongly, and we have started investing heavily in new domains, especially leveraging our control substance capabilities in the U.S. and now have developed a nice portfolio of chronic drugs. And while we still have a significantly hig h H2 as we guided in our last call, we are trying to get our linearity in the quarters, and that would be our primary focus. Small that tweaks will lead to big wins. And I'm sure that we will not only meet our guidance, but we'll also build the foundation for very successful and strong future growth. And with that, let me have the pleasure of requesting Badree for his opening statements. And then Vikesh, our CFO, will add his commentary. Apologies for the longish opening statements today, and then we'll go straight to Q&A. Thank you.

Badree Komandur: Good morning, good afternoon, and good evening to all the people who are participating in this call, and it gives me immense pleasure to announce the Q1 results as the CEO for the first time. And it's a great honour to lead Strides, I have been in Strides for the last 15 years and the last 2, 3 years have been the most exciting in my life in terms of, I led many functions and one of the best things that happened to me was that I was able to handle the people's side of the business, which helped me to understand the business much more as well as also bring capabilities in the company. And good part is that we are able to make Strides a very metrics -driven organization. Every function as a metric and every business as a metric, that's going to be the governance in the future for us, and that is reflecting in the results.

So coming to the quarter 1 results, I just want to cover some few points. And before that, I just want to thank all the shareholders and Arun specifically for guiding me all through the last 15 years, plus the Strides Board who has been the guiding light for me for the last many years in this rol

e.

And as we said, the profitability, efficiency and growth has been the focus for the company for many years. And we are very happy to say that profitability and efficiency has grown much faster than the revenue. That's a very good sign of a healthy company. And coming to the specifics in terms of the business, I want to cover each and every business in terms of the performance for Q1.

The first one is the U.S. market. The U.S. market, we have recorded a $70 million, first time ever in the first quarter. The second one is in terms of the first quarter where we had the full quarter of g Suprep sales, and we a lso launched the first significant dormant product acquired into portfolio. And we also doubled the size of the average price value of the new products launched in the last many years is what we have seen. And that's a perspective we have at this point of time as we transition from acute to chronic portfolio. And U.S. business looks strong, and we are on track to get to that $285 million to $ 300 million, which we have guided. And the growth is also quite good in terms of 24.5% year -on-year.

So coming to the Other Regulated Markets. This has also grown for the first time from $35 million to $41 million and there is a 17.8% healthy growth. And we have got a strong customer advocacy as well as a dependable supply, which enabled us to increase our customer base and the fungibility of the portfolio is playing through.

And as far as the G rowth Markets and A ccess Markets are concerned, the G rowth Markets have recorded a significant growth, almost about 40-plus percent year -on-year. And we believe that Growth Markets will be lumpy as the business stabilizes in the next 2 years. And the A ccess Market is as you are all aware, that it depends on various external factors, but overall, it is intact.

So with this, the main principles on which the entire company will be covered in terms of the profitability, efficiency and growth. What we want to do is in terms of sustainability and consistency, we want to focus on execution at this point of time and we believe that we have got enough engines in place. We've got management team in place. And we believe that we can do quite well this year, and we are happy with the outlook what we have given, and we are reaso nably confident at this point of time to meet all the targets .

With this, I will leave it to Vikesh and welcome him first time as Group CFO to address you all and over to you Vikesh.

Vikesh Kumar: Thank you, Badree. A very good morning, good afternoon and good evening to all of you. I personally feel very privileged to have begun my career at Stride , and after a remarkable journey, I'm honoured to address all of you as the CFO of the esteemed company. I want to use this opportunity to express my utmost gratitude to both Arun and Badree for their constant support and guidance in my 15 years at Strides. Badree has been our longstanding CFO, personally for me, has been an exceptional mentor and guide. His mentorship has been the cornerstone of my success, and I'm thrilled to see him take on the role of CEO. I wish him all the very best in his role, and I hope to follow his footsteps and continuous legacy as I take at his role as a CFO.

I want to also thank all our shareholders for the phenomenal support and continued trust that you have had on Strides , especially as we navigated through turbulent post -COVID years. I also want to take the opportunity to thank all my colleagues at Strides for enabling us with a fantastic start to this journey of ours with a strong show in our Q1 performance.

Today, I want to focus on the profitability and efficiency metrics of our Q1 results. We reported an EBITDA of INR 217 crores, hitting the 20% EBITDA mark after almost 12 quarters. Our focus on operating leverage is clearly visible in the P&L. It has translated

to a 2.8x growth in
our adjusted PAT which came in at INR 83.9 crores, and our reported PAT of INR 68.3 crores reflects our best ever quarterly PAT performance, with a reported EPS of INR 7.6 per share. This has been enabled as Stelis reported a second consecutive quarter of positive operating profit and consequently, you can se e the gap between adjusted PAT and reported PAT significantly reduced.
Moving on to the efficiency metrics. Our cash-to -cash cycle remains steady at 129 days. This has significantly improved over the last year. In Q1 specifically, we've had an increase in both our receivables and inventory, both for the product launches we had in Q1 and for our expected growth in H2. And despite that, we've been able to generate cash flow from operations for the quarter, which came in at INR155 crores, and it helped us to reduce our debt by INR 36.7 crores.
We invested INR 51.5 crores in growth capex , and this was completely from the cash that we generated during the quarter.
With the operating cash generation, we have also reduced the net debt to less than INR 2,000 crores, so at INR1,998 crores with a N et Debt-to-EBITDA ratio of 2.3x. And with the growth that we expect, we expect to be on track to meet our outlook of less than 2 x by the end of this year.
Our rigor on operational excellence is visible in a consistent improvement of our ROCE. ROCE has improved to 16.3% in Q1 compared to 12.8% where we ended in FY'24. I'm also happy to
report that our credit rating outlook also improved from A - negative to A Stable.
For comprehensiveness, I will also cover specific cost items. Our expenses for the quarter have been high. We saw freight rate escalations, and we also incurred airfreight for our product launches and administered pay hikes for FY '25. We expect our operating cost to revenue ratio

to improve in tandem with a growth in H2. Our net interest costs are steady at INR 67.7 crores and we expect this will also improve in H2 with both growth and debt reduction playing out.
Our effective tax rate is at 17.4%. It is in line with our estimates, and we expect to be in the range of 17% to 20% for FY '25. We continue to remain focused on delivering on our metrics of profitability, efficiency and growth to achieve our outlook for the year and drive sustained value for all our shareholders.
Thank you for all your support, and we are happy to take any questions that you may have.
Arun Kumar: So just one other point before we take questions, please. On OneSource, we just wanted to give an update. T he matter on OneSource has been admitted by the NCLT court. We expect to have a credit meeting call out very soon, and we are on track to hope to have a positive outcome within this financial year. We also had a very strong outlook on OneSource, especially our Biologics Division has been winning several new contracts and CDMO injectables and platforms soft gelatin business are all on track. And we have guided for a $60- odd-million of EBITDA
with an excess run rate of almost $20 million per quarter for this financial year. So that's going on track too, and I just thought I will give a quick update before we take questions.
Abhishek Singhal It would be g ood to take the Q&A, please.
Moderator: Thank you very much. The first question is from the line of Aman Vij from Astute Investment Management. Please go ahead sir.
Aman Vij: Sir, just a request before I begin with my question. So since our company has lot of different divisions and we don't do an Analyst Meet kind of thing and con call is the only way to ask the
questions. So I hope we get to ask enough questions because last 2, 3 calls, what has been happening is the call is getting ended in 45 minutes a lthough a lot of people have been trying to ask more questions. So just a request for the whole management team, if you can give enough time f

or the analysts who ask the questions.
Arun Kumar: We are actually very delighted you are first on queue. So we've got your message to. So we'll work on that.
Aman Vij: Sure, sir. So first question is on the OneSource only. So what was the run rate for Q1 in terms of top line and EBITDA?
Arun Kumar: We don't give specifics. We have given you a guidance, and we are saying we are on track.
Aman Vij: Okay. So Q1 numbers, you won't be able to disclose for OneSource?
Arun Kumar: There is no OneSource form ed, right? It is a legal process that's ongoing. And we have guided that we will meet our outlook numbers.
Aman Vij: Sorry, you also mentioned the exit run rate for this business will be $20 million of our EBITDA. Is my hearing correct?

Arun Kumar: Yes. FY '25.

Aman Vij: Sure, sir. Continuing on OneSource, so we had signed around $70 million of MSA and then CSA is a much bigger number. And given one of the product is getting commercialized in this year. So out of this MSA, how much can we execute this year? Is it like 50% or is it like 30%? And similarly, for MSA, if you can't give the exact numbers, but what kind of range should we assume for the first commercial CSA that is going to happen this year?
Arun Kumar: So we can't, but I can give you an indication that Stelis which delivered about $20 million of revenues last year and was still loss -making, will end up closer to $50 million and we'll have an EBITDA of almost 35%.
Aman Vij: That is very helpful. Next comment on our Biosimilars, the teriparatide business. So I believe we had a strong lead in terms of the product, but for some or the other reasons, our partners haven't launched the product. And I believe this will happen in this year. So any reason which you can give what is the reason of the delay of launching this product as well as when can we expect...
Arun Kumar: I got your question, but we didn't have a strong lead and I don't know where you got that data from. We are very late with this product. We have at least 5th or 6th generic. And it's typical that the new launch of BioSim , the time from approval to launch because, especially when you have a partner takes a good 6 to 8 months , because it requires label changes, filings, brand names in our branded products. So it does take time. And we were not first wave approved for the European markets.
Aman Vij: So do we expect the launch in, say, first half or the second half this year?
Arun Kumar: Second half.
Aman Vij: Second. Okay. On the capital business -- sorry, go ahead.
Arun Kumar: Can you please join the queue.
Moderator: The next question is from the line of Viraj Shah from Motilal Oswal.
Viraj Shah : Yes. Okay. So first of all, congrats on good set of numbers. My first question is on the U.S. generics market. So you -- in fourth quarter, you had a run rate of $70 million, and you have targeted $280 million to $300 million for the year. Basis new launches and market share gains, would it not be possible to achieve more business in U.S. generics during the year? Or is it the final target in this line?
Arun Kumar: It should shift for the range that we have guided. That allows -- like we said earlier and keep consistently saying, to have a calibrated and disciplined launch means that when we get challenged for pricing, we are happy to let that and then still grow the business, the margins that we are focused on.
Viraj Shah : Okay. Fine. My second question is based on source change and cost leadership. So how many products would be relaunched in FY '25?
Arun Kumar: We think we'll have another 4, 5 products to be launched during the year.

Viraj Shah : Okay. Okay. Got it. Perfect. And if possible to share the market size of products in 505(b)(2) nasal spray and control substance which would be filed

in 1Q FY '26?
Arun Kumar: The 505(b)(2) discovers the new market opportunity, right? So we are not competi ng -- we're creating a new opportunity. So time will tell how that plays out. The nasal spray opportunity is about it's about $600 million to $700 million in terms of the market opportunity.
Viraj Shah : Okay, sir. And if any scope to share the business from global funds for FY '24 and now in FY '25?
Arun Kumar: See our A ccess Market is predominantly global fund. We did about $25 million in FY '24. We have been advised that our allocation is about 30% more than last year. We expect this business to be about $32 million, $33 million. But like I said, this is not necessarily a business that, I mean, we service it, we service it well, but it's not something that is a primary focus as we've been consistently saying.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Congratulations to the Strides team for the remarkable turnaround in the business. Arun, I had a question on the OneSource slide. We mentioned in a couple of places around the PTH DDC product. Can you just give us a little more colour on what is the opportunity here that we're talking about?
Arun Kumar: Nitin, thank you, first of all, for your good words. But the -- and to add to your question on the DDC product, this is PTH, which we had European approval ea rlier, we now have the U.K. approval. So it's just being a different regulatory agency , just an update.
Nitin Agarwal: Okay. And so this is the same product that you put up DDC product in a DDC section as well as in a Steriscience section. Is it the same product that you're talking about?

Arun Kumar: We had -- I mean, we had one product of our own. And then when we pivoted to a pure -play
CDMO, we are just giving an update of that one product. It is now being licensed to about 30-
odd customers worldwide. And the U.K. MHRA approval was the last pending approval. And
now that has arrived and that's that also addresses one of the previous questions on launch delays that typically partners with launch products in our markets around the same time. So it is just an
update that it's now more closer to launch than ever.
Nitin Agarwal: And secondly, the RFPs that you mentioned, the uptick in RFP that you mentioned for the Stelis business. Can you qualitatively give us some idea of the change of the scale -- is there a change
in scale and scope of the kind of RFPs you're participating in now?
Arun Kumar: Yes, significantly bigger size, big pharma. And also -- I think it's also to do with the trends
around the Biosecurity Act, but we are not so sure if we -- I'm sure that we are really one of the
many options partners look at when they do the China Plus One strategy, especially after the
Biosecurity Act is in the public domain. Yes, so it has been an unusual phase of RFP issues.

Nitin Agarwal: And lastly, on the other Reg market business, the business traction -- I mean, is it as per what
you sort of expected or there is -- how do you see this big pie ce really playing out as we go
forward now?
Arun Kumar: Nitin, even if you follow what we told all of you in the end of the year call was that Europe will
-- the products have been approved, they're partnered, but they will be launched only in H2. So
its just a function of time because Europe for us is predominantly a partnered market.
Moderator: The next question is from the line of Vishal Manchanda from Systematix Shares.
Vishal Manchanda: In the U.S., can you share some colour on the concentration, the contribution of, say, the top 5
products to the total revenues?
Arun Kumar: So we have about -- we have mentioned that 35 products constitute almost $250 million of
business. So it's a fairly linear situation. Nonetheless, the recent launches have quite significant higher dollar numbers, upwar

ds of $10 million, not in all products, but most of them. So yes, so I don't think we have a concentration risk as part of our overall strategy of contribution.
Vishal Manchanda: So would there be kind of products wherein you are the sole player, any products where you are the sole player in the U.S. or maybe 1 of the 2 players in a product category?
Arun Kumar: 35 products we are actually number one or number two .
Vishal Manchanda: Okay. Got it. And just one more. Any c omments on price erosion in the U.S.? Has that amplified
in the recent month?
Arun Kumar: We've been telling your that with the luxury of over 250 ANDAs, we have launched only 67. The logic vein is that we will only launch a product if it meets our price tag. So I'm not saying
that price pressures are not there, it's very product specific. But that the rational exuberance of
the buying community to push suppliers down resulting in big shortages is a thing of the past. I
think they are working more as partners. We have a phenomenal track record for service and an almost 0 failure to supply situation in the U.S. And all of that comes with the price. And I think
the buyer in U.S. is appreciating that better and understanding the circumstances in which the industry operates. You can't be selling an expensive drug which requires so much complex
manufacturing at the price less than a gummy. If I may say, there is a little bit of more sensible
thinking, and things are playing to the to a reasonable situation. I'm not suggesting price erosion
is not there, but when we get challenged, we do not hesitate to get off the product because we have a nice pipeline of products that continuously get relaunched, and our focus is obviously
gross margin and the guidance that we'v e given this week.
Vishal Manchanda: And sir, we have any capacities to kind of execute our growth guidance like...
Arun Kumar: As I said earlier in my opening statement, we still have to tweak our network optimization plans,
especially with a lot of the p roducts now being manufactured in the U.S. for the U.S., it just
gives us some significantly different opportunities and channel sales opportunities in the U.S.
We still have some capacities that needs utilization, which we hope -- so we don't think other
than automation and compliance capex , we will not require any new capex .

Moderator: The next question is from the line of Yash Dedhia from Maximal Capital.
Yash Dedhia: Most questions have been answered. Just one thing on the ORM. So in the U.S., we have guided
for like 50% growth in the next 3 years, given that the ORMs we have not yet penetrated so well.
So what kind of ambitions do we have in the medium term for us to reach? So that is number one. And secondly, on the working capital, I think now w e are probably at the lower end at 4
months. So do we expect any further improvements because of optimization in the working capital? Or do we expect this 4 months odd working capital to continue in the future as well?
Arun Kumar: Well, I'll take that thun der away from Vikesh to answer the working capital question. I think at

the current number of days that we operate; we are already amongst best -in-class. We probably
have a few more days to squeeze. We are actually building out for a stronger H2 which is t ypical
that we are invested for H2 now. We see very little opportunity to do better there.
With regards to ORM, we have guided not as firmly as we have for the U.S. market because it's a business we just about consolidated since the last 3 years. And I know your statement comes
from fact of the last 4 quarters, including this has been fairly steady state. But if you look at the
reset that we have done in the last 3 years, we keep our revenue target at a certain level. But our margin expansions are happening as we would have shared from as low as 5% to 20% in the last
12 qu

arters. And then we invest heavily on growth. So there will be a step change in the ORM
business in H2 and then it will again go to a 2, 3 year stable process. We did guide once that we
want the ORM business to be mirror of the U.S. market at 400 million. But we are at least about
4 to 5 years away.
Yash Dedhia: Yes. So -- but we do expect the working capital to be maintained at least at these levels?
Arun Kumar: They don't go up from here.
Moderator: The next question is from the line of Sanjay Kumar from i Thought PMS.
Sanjay Kumar: First question on drug substances. We have announced that we won one of the top 3 global annual health company for novel biologics. If you could share the market size of this mo lecule
or the per -year supply for this particular drug?
Arun Kumar: It's novel. So the markets will discover it once it's approved.
Sanjay Kumar: Sorry?
Arun Kumar: I said it's novel. So markets will discover once it's approved.
Sanja y Kumar: Okay, okay. And in the previous presentations, we had also mentioned that we are working on
close to saying 2 other drug substance molecules. Are these innovative molecules as well? Or are these biosimilars?
Arun Kumar: You're getting something wr ong, 200 what?
Sanjay Kumar: Two other drugs DS molecules in pipeline?

Arun Kumar: Yes, of course, it takes time to convert. But yes, we are...
Sanjay Kumar: Innovator molecules or biosimilars?
Arun Kumar: It could be a mix of both.
Sanjay Kumar: Okay. Okay. And second, on our fill -finish capacity, we had indicated that we'll be taking it to
200 million devices. What kind of capex will be needed? And what's the timeline for this, sir?
Arun Kumar: Around $50 million, and it will take us about 3 year s.
Sanjay Kumar: Okay. And at 200 million, what would be our capacity market share globally?
Arun Kumar: Well, the market is growing extremely rapid, and I can't guess on what percentage that will be.
It will be important but not in any kind of top 10 lead ership considering there is very significant
-- we make very significant numbers. But yes, from an India perspective or an Asia perspective,
I would like us to believe that we would be the number one .
Sanjay Kumar: Okay. And final question. Is it a reasonable assumption -- let's say, can we make $1 per fill -
finish for something like semaglutide?
Arun Kumar: We are not getting into specific, Sanjay. You won't get a specific answer from this company
ever. That's the policy. You can ask anything that will give you a guidance, we'll give you. But
we don't discuss products, we don't talk numbers. We are a CDMO. We respect our partner
engagements. And you'll have to infer all of that through your own research and not getting into
specifics with us.
Moderator: Next question is from the line of Anand Shenoy from EAS Capital.
Anand Shenoy : Sir, on the first one, the soft gel business, we are significantly expanding the capacity. So in terms of visibility, can you talk about like what visibility we have in terms of filling of this
capacity and when do we expect that we'll repeat in this month?
Arun Kumar: So Anand, if you are speaking very fast, and I'm assuming a question is related to soft gels?
Anand Shenoy : Right. So we have expanded the capacity. Is the expansion complete first of all?
Arun Kumar: Yes, it is.
Anand Shenoy : Okay. And when can we like expect that we'll reach the peak in this one, peak revenue?
Arun Kumar: What do you mean by the peak revenue?
Anand Shenoy : I mean, see, we have expanded from 1 billion to 2.4 billion units . So my assumption is that we
are almost hitting 1 billion units . So when can we -- like how many years will it take based on
the visibility we have?
Arun Kumar: Well, the expanded capacity is fully sold out.

Anand Shenoy

: Fully sold. Okay. And from H2 of this year, we will be fully utilizing that?
Arun Kumar: Not fully. We'll start utilizing.
Anand Shenoy : Okay. Cool. And on the drug- device combination...
Arun Kumar: Please come back to the queue and just give a chance to the others to ask questions.
Moderator: The next question is from the line of Omkar Jahagirdar who's an individual investor.
Omkar Jahagirdar: And heartiest congratulations to you, Badree, sir, and Strides team for outstanding quarter one numbers. Gross margin has delivered about 61%. Operating profit margin was 20%. And importantly, U.S. revenue has recorded the highest ever revenue of $70 million in the history of Strides Pharma.
So in my opinion, new era Strides Pharma has just started. Even I have requested Badree, sir, 9 months back to do some changes in the presentation where we can see all your quarterly result properly. And I can see all the changes in last quarter 4 as well as quarter 1 resu lts on the BSE site. All 5 quarters U.S. had ORM revenues reflecting which helps to compare the results properly. And congratulation to Badree, sir, for becoming MD CEO of Strides Pharma.
Welcome and all the best to Vikesh Sir in new role as the CFO of Strides Pharma. And I'm confident Strides will deliver $290 million to $300 million revenue in this financial year.
So 2 questions I'm asking you. One is, as far as promoter pledge is concerned, it is at 65%. When it will go down substantially? And second question, can we expect ORM revenue of $48 million to $50 million in second half of this financial year? Current exit run rate of ORM market is around $40 million, $42 million.
Arun Kumar: The first question on the pledges, we were obviously very focused on the operations of the company. The pledges are directly linked to the investments that we had to make at Stelis. No w that we are very close to an NCLT process and listing, we believe that our pledge positions will come down quite significantly. I hope we can have a much more pleasant conversation, positive conversation for want of a better word around that in the next earnings call. So you would see very positive movements around that. We -- the family is working very closely now that we've got all the businesses operating well to stay focused on solving for that issue. On a question that on ORM, will it come to market to get exit run rate, I'm going to request Badree to address it.
And also thank you for all your good wishes to the team.
Badree Komandur: Thank you, Omkar. And from ORM perspective, we just said that the products have been approved and it's partnered, and we'll have a better H2 going forward. And it should start reflecting in the numbers from H2 and you will see the results by the end of FY '25.
Moderator: The next question is from the line of Yachna Bhatia who is an individual investor.
Yachna Bhatia: My first question is on GLP -1 drugs. You mentioned that we're spending capacity from 4 0 million units to 200 million units. I just wanted to fir st understand on the existing capacity itself, what is the kind of peak revenues and margins that is possible from this facility at full utilization?

Arun Kumar: We are not talking about the unit has got several other sterile suites outside of the cartridge facility. If you look at our first OneSource introduction to the market, we've guided that revenues will more than double to about $400 million in the next 4 to 5 years. And we are sticking to that guidance. So the group facilities amongst almost 4 or 5 of the units that operate under that OneSource will deliver those kind of numbers.
Yachna Bhatia: Yes. But that was like across all the businesses of OneSource?
Arun Kumar: Another investor question. We can't give a specific line revenue, obviously.
Yachna Bhatia: Sure. Okay. Actually, I had a similar question on the capsule busi

ness as well. If you could give a colour on, again, the capacity, sorry, you're saying you cannot mention that as well?
Arun Kumar: No, I can't. Too specific questions.
Moderator: Ladies and gentlemen, due to time constraint that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.
Arun Kumar: Thank you. Thank you, everybody, for being on the call today and appreciate your questions.
And as always, please reach out to Abhishek, the investor group or any one of us if you need more questions answered. Thank you, and have a great day.
Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: Aug 2024

August 5, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to U n-Audited Financial Results for the quarter ended June 30, 2024.
Ref: Earning Call held on July 29, 2024 pertaining to U n-Audited Financial Results for the quarter ended June 30, 2024.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on July 29, 2024.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science Limited
Q1 FY '25 Earnings Conference Call "
July 29, 2024

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER & EXECUTIVE CHAIRPERSON

2. MR. BADREE KOMANDUR
– MANAGING DIRECTOR & GROUP CEO

3. MR. VIKESH KUMAR
– GROUP CFO

INVESTOR RELATIONS CONSULTANT : MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q1 FY '25 Earnings Conference Call. As a reminder, all the participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.
Abhishek Singhal Very good afternoon, and thank you for joining us today for Strides Earnings Call for the first quarter ended financial year 2025.

Today, we have with us Arun, Founder and Executive Chairman; Badree, Managing Director and Group CFO, Vikesh Kumar to share the highlights of the business and financials for the quarter. I hope you have gone through our results release and the quarterly investor presentation that have been uploaded on our website as well as stock exchange website.
The transcript for th is call will be available in a week's time on the company's website. Please note that today's discussion may be forward-looking in nature and must be viewed in relations to the risk pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Arun to make his opening comments.
Arun Kumar: Thank you, Abhishek, and good afternoon, everybody. Thank you for joining our earnings call of our Q1 FY '25 results. Before I start, I would thank you for your support over these many quarters while we were resetting the business, and I'm delighted that the company has supported very strong performance across businesses. My colleagues, Badree and Vi kesh will have in their opening statements, more granularity and commentary around these businesses. And I'm sure that you will be happy to hear that we've done a lot of work where opex leverage has been our primary focus, and you will now see the company focusing on growth. And, consequently we strongly believe as we said that we announced in FY '23 is behind us ; with a much stronger balance sheet generating significant amounts of free cash and progressively reducing our debt as guided. We are also pleased to report today a reaffirmation of our outlook. We have exceeded on each line item, our outlook guidance. Consequently, we are now especially with our U.S. operations, very pleased with the performance.
Many of you will relate to Strides U.S. story to be seasonal. We have worked very hard to change that by changing our mix between acute and chronic. And our Q1 FY '25 in the U.S. has seen a very significant quarter and a historical quarter for us. Before I let my colleagues dwell more deeply, I want to tak e this opportunity to thank 2 of our retiring Directors , Sridhar and Bharat who have completed 10 years of service on our Board. The y have been phenomenal mentors for us and have played very significant roles, especially in our course correction plans in the last 2 to 3 years.

I also take the opportunity for the shareholders to have overwhelmingly voted for our new 2 Independent Directors , both eminent personalities and we're pleased to have Am eet and Subi r. Ameet, we introduced on the call last. Su bir until now was CEO of Exide and we are delighted with this large operational experience to be on our Board, and we are sure we'll benefit from the guidance and the deep insights these 2 gentleman bring to the Strides world.
I'm also pleased that well thought of succession plan has been voted for again, overwhelmingly, and I'm very happy that my colleague for several years, almost 15 years, Badree who has p

layed
multiple roles in the company takes over the CEO of the company while I continue my executive role as Chairman. And I'm also pleased to welcome Aditya as an Executive Director of the Board, but most importantly, we also very pleased that our homegrown talent, Vikesh, who joined us in our finance department straight from college is now our CFO, and I'm delighted to welcome this new team and new leadership positions that has been with us for many, many years. So I'm glad that there is a seam less succession planning in play, and I look forward to working closely with all of them to continuously deliver even more strong results in the coming years.
It's taken us 7 years to rebound to the magic 4 -digit number on our stock price. So we thank you again for your patience as we work very hard to connecting the dots in the company and getting the house in order. I think we have resolved for almost all issues. Our network optimization is more or less complete. We still have some small tweaks to be done, which we will over the course of the next many quarters, but at 61% gross margin, which you will now appreciate. We now have industry-leading gross margin numbers in spite of not having a domestic business.
So our product selection, our product portfolio, scarcity nature of our portfolio is playing through and I'm sure that we will even do better as time goes. Our recent product selections, launches and a new terminology beyond generics in the U.S. is predominantly to now start guiding investors and our stakeholders on what we are building, to build a U.S. business beyond the generic. You will all recall that we believe that anything over $400 million to $500 million in the U.S. although we have a very large portfolio of approved products, it's counter productive to our strategy of pricing and discipline given the high cost in maintaining an operation that's focused in the U.S.
Having said that, we still believe in the market strongly, and we have started investing heavily in new domains, especially leveraging our control substance capabilities in the U.S. and now have developed a nice portfolio of chronic drugs. And while we still have a significantly hig h H2 as we guided in our last call, we are trying to get our linearity in the quarters, and that would be our primary focus.
Small that tweaks will lead to big wins. And I'm sure that we will not only meet our guidance,

but we'll also build the foundation for very successful and strong future growth. And with that, let me have the pleasure of requesting Badree for his opening statements. And then Vikesh, our CFO, will add his commentary. Apologies for the longish opening statements today, and then we'll go straight to Q&A. Thank you.

Badree Komandur: Good morning, good afternoon, and good evening to all the people who are participating in this call, and it gives me immense pleasure to announce the Q1 results as the CEO for the first time. And it's a great honour to lead Strides, I have been in Strides for the last 15 years and the last 2, 3 years have been the most exciting in my life in terms of, I led many functions and one of the best things that happened to me was that I was able to handle the people's side of the business, which helped me to understand the business much more as well as also bring capabilities in the company. And good part is that we are able to make Strides a very metrics -driven organization. Every function as a metric and every business as a metric, that's going to be the governance in the future for us, and that is reflecting in the results.

So coming to the quarter 1 results, I just want to cover some few points. And before that, I just want to thank all the shareholders and Arun specifically for guiding me all through the last 15 years, plus the Strides Board who has been the guiding light for me for the last many years in this rol

e.

And as we said, the profitability, efficiency and growth has been the focus for the company for many years. And we are very happy to say that profitability and efficiency has grown much faster than the revenue. That's a very good sign of a healthy company. And coming to the specifics in terms of the business, I want to cover each and every business in terms of the performance for Q1.

The first one is the U.S. market. The U.S. market, we have recorded a $70 million, first time ever in the first quarter. The second one is in terms of the first quarter where we had the full quarter of g Suprep sales, and we a lso launched the first significant dormant product acquired into portfolio. And we also doubled the size of the average price value of the new products launched in the last many years is what we have seen. And that's a perspective we have at this point of time as we transition from acute to chronic portfolio. And U.S. business looks strong, and we are on track to get to that $285 million to $ 300 million, which we have guided. And the growth is also quite good in terms of 24.5% year -on-year.

So coming to the Other Regulated Markets. This has also grown for the first time from $35 million to $41 million and there is a 17.8% healthy growth. And we have got a strong customer advocacy as well as a dependable supply, which enabled us to increase our customer base and the fungibility of the portfolio is playing through.

And as far as the G rowth Markets and A ccess Markets are concerned, the G rowth Markets have recorded a significant growth, almost about 40-plus percent year -on-year. And we believe that Growth Markets will be lumpy as the business stabilizes in the next 2 years. And the A ccess Market is as you are all aware, that it depends on various external factors, but overall, it is intact.

So with this, the main principles on which the entire company will be covered in terms of the profitability, efficiency and growth. What we want to do is in terms of sustainability and consistency, we want to focus on execution at this point of time and we believe that we have got enough engines in place. We've got management team in place. And we believe that we can do quite well this year, and we are happy with the outlook what we have given, and we are reaso nably confident at this point of time to meet all the targets .

With this, I will leave it to Vikesh and welcome him first time as Group CFO to address you all and over to you Vikesh.

Vikesh Kumar: Thank you, Badree. A very good morning, good afternoon and good evening to all of you. I personally feel very privileged to have begun my career at Stride , and after a remarkable journey, I'm honoured to address all of you as the CFO of the esteemed company. I want to use this opportunity to express my utmost gratitude to both Arun and Badree for their constant support and guidance in my 15 years at Strides. Badree has been our longstanding CFO, personally for me, has been an exceptional mentor and guide. His mentorship has been the cornerstone of my success, and I'm thrilled to see him take on the role of CEO. I wish him all the very best in his role, and I hope to follow his footsteps and continuous legacy as I take at his role as a CFO.

I want to also thank all our shareholders for the phenomenal support and continued trust that you have had on Strides , especially as we navigated through turbulent post -COVID years. I also want to take the opportunity to thank all my colleagues at Strides for enabling us with a fantastic start to this journey of ours with a strong show in our Q1 performance.

Today, I want to focus on the profitability and efficiency metrics of our Q1 results. We reported an EBITDA of INR 217 crores, hitting the 20% EBITDA mark after almost 12 quarters. Our focus on operating leverage is clearly visible in the P&L. It has translated

to a 2.8x growth in
our adjusted PAT which came in at INR 83.9 crores, and our reported PAT of INR 68.3 crores reflects our best ever quarterly PAT performance, with a reported EPS of INR 7.6 per share. This has been enabled as Stelis reported a second consecutive quarter of positive operating profit and consequently, you can se e the gap between adjusted PAT and reported PAT significantly reduced.

Moving on to the efficiency metrics. Our cash-to -cash cycle remains steady at 129 days. This has significantly improved over the last year. In Q1 specifically, we've had an increase in both our receivables and inventory, both for the product launches we had in Q1 and for our expected growth in H2. And despite that, we've been able to generate cash flow from operations for the quarter, which came in at INR155 crores, and it helped us to reduce our debt by INR 36.7 crores.

We invested INR 51.5 crores in growth capex , and this was completely from the cash that we generated during the quarter.

With the operating cash generation, we have also reduced the net debt to less than INR 2,000 crores, so at INR1,998 crores with a N et Debt-to-EBITDA ratio of 2.3x. And with the growth that we expect, we expect to be on track to meet our outlook of less than 2 x by the end of this year.

Our rigor on operational excellence is visible in a consistent improvement of our ROCE. ROCE has improved to 16.3% in Q1 compared to 12.8% where we ended in FY'24. I'm also happy to
report that our credit rating outlook also improved from A - negative to A Stable.

For comprehensiveness, I will also cover specific cost items. Our expenses for the quarter have been high. We saw freight rate escalations, and we also incurred airfreight for our product launches and administered pay hikes for FY '25. We expect our operating cost to revenue ratio

to improve in tandem with a growth in H2. Our net interest costs are steady at INR 67.7 crores and we expect this will also improve in H2 with both growth and debt reduction playing out.

Our effective tax rate is at 17.4%. It is in line with our estimates, and we expect to be in the range of 17% to 20% for FY '25. We continue to remain focused on delivering on our metrics of profitability, efficiency and growth to achieve our outlook for the year and drive sustained value for all our shareholders.

Thank you for all your support, and we are happy to take any questions that you may have.

Arun Kumar: So just one other point before we take questions, please. On OneSource, we just wanted to give an update. T he matter on OneSource has been admitted by the NCLT court. We expect to have a credit meeting call out very soon, and we are on track to hope to have a positive outcome within this financial year. We also had a very strong outlook on OneSource, especially our Biologics Division has been winning several new contracts and CDMO injectables and platforms soft gelatin business are all on track. And we have guided for a $60- odd-million of EBITDA
with an excess run rate of almost $20 million per quarter for this financial year. So that's going on track too, and I just thought I will give a quick update before we take questions.

Abhishek Singhal It would be g ood to take the Q&A, please.

Moderator: Thank you very much. The first question is from the line of Aman Vij from Astute Investment Management. Please go ahead sir.

Aman Vij: Sir, just a request before I begin with my question. So since our company has lot of different divisions and we don't do an Analyst Meet kind of thing and con call is the only way to ask the
questions. So I hope we get to ask enough questions because last 2, 3 calls, what has been happening is the call is getting ended in 45 minutes a lthough a lot of people have been trying to ask more questions. So just a request for the whole management team, if you can give enough time f

or the analysts who ask the questions.

Arun Kumar: We are actually very delighted you are first on queue. So we've got your message to. So we'll work on that.

Aman Vij: Sure, sir. So first question is on the OneSource only. So what was the run rate for Q1 in terms of top line and EBITDA?

Arun Kumar: We don't give specifics. We have given you a guidance, and we are saying we are on track.

Aman Vij: Okay. So Q1 numbers, you won't be able to disclose for OneSource?

Arun Kumar: There is no OneSource form ed, right? It is a legal process that's ongoing. And we have guided that we will meet our outlook numbers.

Aman Vij: Sorry, you also mentioned the exit run rate for this business will be $20 million of our EBITDA. Is my hearing correct?

Arun Kumar: Yes. FY '25.

Aman Vij: Sure, sir. Continuing on OneSource, so we had signed around $70 million of MSA and then CSA is a much bigger number. And given one of the product is getting commercialized in this year. So out of this MSA, how much can we execute this year? Is it like 50% or is it like 30%? And similarly, for MSA, if you can't give the exact numbers, but what kind of range should we assume for the first commercial CSA that is going to happen this year?
Arun Kumar: So we can't, but I can give you an indication that Stelis which delivered about $20 million of revenues last year and was still loss -making, will end up closer to $50 million and we'll have an EBITDA of almost 35%.
Aman Vij: That is very helpful. Next comment on our Biosimilars, the teriparatide business. So I believe we had a strong lead in terms of the product, but for some or the other reasons, our partners haven't launched the product. And I believe this will happen in this year. So any reason which you can give what is the reason of the delay of launching this product as well as when can we expect...
Arun Kumar: I got your question, but we didn't have a strong lead and I don't know where you got that data from. We are very late with this product. We have at least 5th or 6th generic. And it's typical that the new launch of BioSim , the time from approval to launch because, especially when you have a partner takes a good 6 to 8 months , because it requires label changes, filings, brand names in our branded products. So it does take time. And we were not first wave approved for the European markets.
Aman Vij: So do we expect the launch in, say, first half or the second half this year?
Arun Kumar: Second half.
Aman Vij: Second. Okay. On the capital business -- sorry, go ahead.
Arun Kumar: Can you please join the queue.
Moderator: The next question is from the line of Viraj Shah from Motilal Oswal.
Viraj Shah : Yes. Okay. So first of all, congrats on good set of numbers. My first question is on the U.S. generics market. So you -- in fourth quarter, you had a run rate of $70 million, and you have targeted $280 million to $300 million for the year. Basis new launches and market share gains, would it not be possible to achieve more business in U.S. generics during the year? Or is it the final target in this line?
Arun Kumar: It should shift for the range that we have guided. That allows -- like we said earlier and keep consistently saying, to have a calibrated and disciplined launch means that when we get challenged for pricing, we are happy to let that and then still grow the business, the margins that we are focused on.
Viraj Shah : Okay. Fine. My second question is based on source change and cost leadership. So how many products would be relaunched in FY '25?
Arun Kumar: We think we'll have another 4, 5 products to be launched during the year.

Viraj Shah : Okay. Okay. Got it. Perfect. And if possible to share the market size of products in 505(b)(2) nasal spray and control substance which would be filed

in 1Q FY '26?
Arun Kumar: The 505(b)(2) discovers the new market opportunity, right? So we are not competi ng -- we're creating a new opportunity. So time will tell how that plays out. The nasal spray opportunity is about it's about $600 million to $700 million in terms of the market opportunity.
Viraj Shah : Okay, sir. And if any scope to share the business from global funds for FY '24 and now in FY '25?
Arun Kumar: See our A ccess Market is predominantly global fund. We did about $25 million in FY '24. We have been advised that our allocation is about 30% more than last year. We expect this business to be about $32 million, $33 million. But like I said, this is not necessarily a business that, I mean, we service it, we service it well, but it's not something that is a primary focus as we've been consistently saying.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Congratulations to the Strides team for the remarkable turnaround in the business. Arun, I had a question on the OneSource slide. We mentioned in a couple of places around the PTH DDC product. Can you just give us a little more colour on what is the opportunity here that we're talking about?
Arun Kumar: Nitin, thank you, first of all, for your good words. But the -- and to add to your question on the DDC product, this is PTH, which we had European approval ea rlier, we now have the U.K. approval. So it's just being a different regulatory agency , just an update.
Nitin Agarwal: Okay. And so this is the same product that you put up DDC product in a DDC section as well as in a Steriscience section. Is it the same product that you're talking about?

Arun Kumar: We had -- I mean, we had one product of our own. And then when we pivoted to a pure -play CDMO, we are just giving an update of that one product. It is now being licensed to about 30-odd customers worldwide. And the U.K. MHRA approval was the last pending approval. And now that has arrived and that's that also addresses one of the previous questions on launch delays that typically partners with launch products in our markets around the same time. So it is just an update that it's now more closer to launch than ever.
Nitin Agarwal: And secondly, the RFPs that you mentioned, the uptick in RFP that you mentioned for the Stelis business. Can you qualitatively give us some idea of the change of the scale -- is there a change in scale and scope of the kind of RFPs you're participating in now?
Arun Kumar: Yes, significantly bigger size, big pharma. And also -- I think it's also to do with the trends around the Biosecurity Act, but we are not so sure if we -- I'm sure that we are really one of the many options partners look at when they do the China Plus One strategy, especially after the Biosecurity Act is in the public domain. Yes, so it has been an unusual phase of RFP issues.

Nitin Agarwal: And lastly, on the other Reg market business, the business traction -- I mean, is it as per what you sort of expected or there is -- how do you see this big pie ce really playing out as we go forward now?
Arun Kumar: Nitin, even if you follow what we told all of you in the end of the year call was that Europe will -- the products have been approved, they're partnered, but they will be launched only in H2. So its just a function of time because Europe for us is predominantly a partnered market.
Moderator: The next question is from the line of Vishal Manchanda from Systematix Shares.
Vishal Manchanda: In the U.S., can you share some colour on the concentration, the contribution of, say, the top 5 products to the total revenues?
Arun Kumar: So we have about -- we have mentioned that 35 products constitute almost $250 million of business. So it's a fairly linear situation. Nonetheless, the recent launches have quite significant higher dollar numbers, upwards of $10 million, not in all products, but most of them. So yes, so I don't think we have a concentration risk as part of our overall strategy of contribution.
Vishal Manchanda: So would there be kind of products wherein you are the sole player, any products where you are the sole player in the U.S. or maybe 1 of the 2 players in a product category?
Arun Kumar: 35 products we are actually number one or number two .
Vishal Manchanda: Okay. Got it. And just one more. Any c omments on price erosion in the U.S.? Has that amplified in the recent month?
Arun Kumar: We've been telling your that with the luxury of over 250 ANDAs, we have launched only 67. The logic vein is that we will only launch a product if it meets our price tag. So I'm not saying that price pressures are not there, it's very product specific. But that the rational exuberance of the buying community to push suppliers down resulting in big shortages is a thing of the past. I think they are working more as partners. We have a phenomenal track record for service and an almost 0 failure to supply situation in the U.S. And all of that comes with the price. And I think the buyer in U.S. is appreciating that better and understanding the circumstances in which the industry operates. You can't be selling an expensive drug which requires so much complex manufacturing at the price less than a gummy. If I may say, there is a little bit of more sensible thinking, and things are playing to the to a reasonable situation. I'm not suggesting price erosion is not there, but when we get challenged, we do not hesitate to get off the product because we have a nice pipeline of products that continuously get relaunched, and our focus is obviously gross margin and the guidance that we'v e given this week.
Vishal Manchanda: And sir, we have any capacities to kind of execute our growth guidance like...
Arun Kumar: As I said earlier in my opening statement, we still have to tweak our network optimization plans, especially with a lot of the p roducts now being manufactured in the U.S. for the U.S., it just gives us some significantly different opportunities and channel sales opportunities in the U.S. We still have some capacities that needs utilization, which we hope -- so we don't think other than automation and compliance capex , we will not require any new capex .

Moderator: The next question is from the line of Yash Dedhia from Maximal Capital.
Yash Dedhia: Most questions have been answered. Just one thing on the ORM. So in the U.S., we have guided for like 50% growth in the next 3 years, given that the ORMs we have not yet penetrated so well. So what kind of ambitions do we have in the medium term for us to reach? So that is number one. And secondly, on the working capital, I think now w e are probably at the lower end at 4 months. So do we expect any further improvements because of optimization in the working capital? Or do we expect this 4 months odd working capital to continue in the future as well?
Arun Kumar: Well, I'll take that thun der away from Vikesh to answer the working capital question. I think at

the current number of days that we operate; we are already amongst best -in-class. We probably have a few more days to squeeze. We are actually building out for a stronger H2 which is t ypical that we are invested for H2 now. We see very little opportunity to do better there.
With regards to ORM, we have guided not as firmly as we have for the U.S. market because it's a business we just about consolidated since the last 3 years. And I know your statement comes from fact of the last 4 quarters, including this has been fairly steady state. But if you look at the reset that we have done in the last 3 years, we keep our revenue target at a certain level. But our margin expansions are happening as we would have shared from as low as 5% to 20% in the last 12 qu

arters. And then we invest heavily on growth. So there will be a step change in the ORM business in H2 and then it will again go to a 2, 3 year stable process. We did guide once that we want the ORM business to be mirror of the U.S. market at 400 million. But we are at least about 4 to 5 years away.
Yash Dedhia: Yes. So -- but we do expect the working capital to be maintained at least at these levels?
Arun Kumar: They don't go up from here.
Moderator: The next question is from the line of Sanjay Kumar from i Thought PMS.
Sanjay Kumar: First question on drug substances. We have announced that we won one of the top 3 global annual health company for novel biologics. If you could share the market size of this mo lecule or the per -year supply for this particular drug?
Arun Kumar: It's novel. So the markets will discover it once it's approved.
Sanjay Kumar: Sorry?
Arun Kumar: I said it's novel. So markets will discover once it's approved.
Sanja y Kumar: Okay, okay. And in the previous presentations, we had also mentioned that we are working on close to saying 2 other drug substance molecules. Are these innovative molecules as well? Or are these biosimilars?
Arun Kumar: You're getting something wr ong, 200 what?
Sanjay Kumar: Two other drugs DS molecules in pipeline?

Arun Kumar: Yes, of course, it takes time to convert. But yes, we are...
Sanjay Kumar: Innovator molecules or biosimilars?
Arun Kumar: It could be a mix of both.
Sanjay Kumar: Okay. Okay. And second, on our fill -finish capacity, we had indicated that we'll be taking it to 200 million devices. What kind of capex will be needed? And what's the timeline for this, sir?
Arun Kumar: Around $50 million, and it will take us about 3 year s.
Sanjay Kumar: Okay. And at 200 million, what would be our capacity market share globally?
Arun Kumar: Well, the market is growing extremely rapid, and I can't guess on what percentage that will be. It will be important but not in any kind of top 10 lead ership considering there is very significant -- we make very significant numbers. But yes, from an India perspective or an Asia perspective, I would like us to believe that we would be the number one .
Sanjay Kumar: Okay. And final question. Is it a reasonable assumption -- let's say, can we make $1 per fill -finish for something like semaglutide?
Arun Kumar: We are not getting into specific, Sanjay. You won't get a specific answer from this company ever. That's the policy. You can ask anything that will give you a guidance, we'll give you. But we don't discuss products, we don't talk numbers. We are a CDMO. We respect our partner engagements. And you'll have to infer all of that through your own research and not getting into specifics with us.
Moderator: Next question is from the line of Anand Shenoy from EAS Capital.
Anand Shenoy : Sir, on the first one, the soft gel business, we are significantly expanding the capacity. So in terms of visibility, can you talk about like what visibility we have in terms of filling of this capacity and when do we expect that we'll repeat in this month?
Arun Kumar: So Anand, if you are speaking very fast, and I'm assuming a question is related to soft gels?
Anand Shenoy : Right. So we have expanded the capacity. Is the expansion complete first of all?
Arun Kumar: Yes, it is.
Anand Shenoy : Okay. And when can we like expect that we'll reach the peak in this one, peak revenue?
Arun Kumar: What do you mean by the peak revenue?
Anand Shenoy : I mean, see, we have expanded from 1 billion to 2.4 billion units . So my assumption is that we are almost hitting 1 billion units . So when can we -- like how many years will it take based on the visibility we have?
Arun Kumar: Well, the expanded capacity is fully sold out.

Anand Shenoy

: Fully sold. Okay. And from H2 of this year, we will be fully utilizing that?
Arun Kumar: Not fully. We'll start utilizing.
Anand Shenoy : Okay. Cool. And on the drug- device combination...
Arun Kumar: Please come back to the queue and just give a chance to the others to ask questions.
Moderator: The next question is from the line of Omkar Jahagirdar who's an individual investor.
Omkar Jahagirdar: And heartiest congratulations to you, Badree, sir, and Strides team for outstanding quarter one numbers. Gross margin has delivered about 61%. Operating profit margin was 20%. And importantly, U.S. revenue has recorded the highest ever revenue of $70 million in the history of Strides Pharma.
So in my opinion, new era Strides Pharma has just started. Even I have requested Badree, sir, 9 months back to do some changes in the presentation where we can see all your quarterly result properly. And I can see all the changes in last quarter 4 as well as quarter 1 resu lts on the BSE site. All 5 quarters U.S. had ORM revenues reflecting which helps to compare the results properly. And congratulation to Badree, sir, for becoming MD CEO of Strides Pharma.
Welcome and all the best to Vikesh Sir in new role as the CFO of Strides Pharma. And I'm confident Strides will deliver $290 million to $300 million revenue in this financial year.
So 2 questions I'm asking you. One is, as far as promoter pledge is concerned, it is at 65%. When it will go down substantially? And second question, can we expect ORM revenue of $48 million to $50 million in second half of this financial year? Current exit run rate of ORM market is around $40 million, $42 million.
Arun Kumar: The first question on the pledges, we were obviously very focused on the operations of the company. The pledges are directly linked to the investments that we had to make at Stelis. No w that we are very close to an NCLT process and listing, we believe that our pledge positions will come down quite significantly. I hope we can have a much more pleasant conversation, positive conversation for want of a better word around that in the next earnings call. So you would see very positive movements around that. We -- the family is working very closely now that we've got all the businesses operating well to stay focused on solving for that issue. On a question that on ORM, will it come to market to get exit run rate, I'm going to request Badree to address it.
And also thank you for all your good wishes to the team.
Badree Komandur: Thank you, Omkar. And from ORM perspective, we just said that the products have been approved and it's partnered, and we'll have a better H2 going forward. And it should start reflecting in the numbers from H2 and you will see the results by the end of FY '25.
Moderator: The next question is from the line of Yachna Bhatia who is an individual investor.
Yachna Bhatia: My first question is on GLP -1 drugs. You mentioned that we're spending capacity from 4 0 million units to 200 million units. I just wanted to fir st understand on the existing capacity itself, what is the kind of peak revenues and margins that is possible from this facility at full utilization?

Arun Kumar: We are not talking about the unit has got several other sterile suites outside of the cartridge facility. If you look at our first OneSource introduction to the market, we've guided that revenues will more than double to about $400 million in the next 4 to 5 years. And we are sticking to that guidance. So the group facilities amongst almost 4 or 5 of the units that operate under that OneSource will deliver those kind of numbers.
Yachna Bhatia: Yes. But that was like across all the businesses of OneSource?
Arun Kumar: Another investor question. We can't give a specific line revenue, obviously.
Yachna Bhatia: Sure. Okay. Actually, I had a similar question on the capsule busi

ness as well. If you could give a colour on, again, the capacity, sorry, you're saying you cannot mention that as well?
Arun Kumar: No, I can't. Too specific questions.
Moderator: Ladies and gentlemen, due to time constraint that was the last question for today's call. I would now like to hand the conference over to the management for closing comments.
Arun Kumar: Thank you. Thank you, everybody, for being on the call today and appreciate your questions.
And as always, please reach out to Abhishek, the investor group or any one of us if you need more questions answered. Thank you, and have a great day.
Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: Oct 2024

October 29, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to U n-Audited Financial Results for the quarter and half -year ended September 30, 2024.
Ref: Earning Call held on October 24 , 2024 pertaining to U n-Audited Financial Results for the quarter and half -year ended September 30, 2024.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on October 24, 2024.
The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science Limited
Q2 and H1 FY '25 Earnings Conference Call"
October 24, 2024

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER & EXECUTIVE CHAIRPERSON

2. MR. BADREE KOMANDUR
– MANAGING DIRECTOR & GROUP CEO

3. MR. VIKESH KUMAR
– GROUP CFO

INVESTOR RELATIONS CONSULTANT: MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you. Very good afternoon and thank you for joining us today for Strides' earnings call for the second quarter and half year ended financial year 2025. Today, we have with us Arun, Founder and Executive Chairman; Badree, Managing Director and Group CEO; and Vikesh Kumar, Group CFO, to share the highlights of the business and financials of the quarter.

I hope you've gone through our results releas e and the quarterly investor presentations that have been uploaded on our website as well as stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward-looking in nature and must viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to Investor Relations team.

I now hand over the call to Arun to make his opening comments.

Arun Kumar: Thank you, Abhishek. Good evening, everybody. Thank you for joining our call. I know today is a busy earnings day, so we appreciate your attendance to our call. It's been a good quarter again. We have reported a very strong quarterly performance. We are outbeating each quarter, which is great news, and we are delighted with our performance.

What is critical here to note is that we have moved our revenue growth quite significantly after 4 steady quarters of growth where we had top line stagnation by design, but we had significant gross margin and EBITDA growth as we were cutting out all the inefficiencies in the operation. And having settled on that, we have now activated our growth, and you will now get to see these levels of growth in the next 2 to 3 quarters. Consequently, we are now very comfortable in guiding and confirming that all of our previously guided numbers would now be achieved more trending towards the higher end of our guidance

outlook.

Overall, it's been a great quarter, like I mentioned. All our financial metrics and ratios and debt-to-EBITDA ratios have significantly improved and will continue to improve. Pleasing, of course, was our outstanding US performance. We are trending ahead of our run rate. We had $75 million of revenue this year. A lot of this growth is coming from the fact that we've been able to slowly but steadily relaunch products from the government portfolio that we acquired from Endo and taking significant market share and consequently improving revenues in the US, especially from our manufacturing operations in the US.

EBITDA at INR236 crores is again our highest ever reported EBITDA and while our reported PAT INR93 crores adjusted for the loss pickup of depreciation and interest from OneSource at INR100 crores is again our highest ever reported PAT. I think we are on a very steady footing to grow our business from here on, and we are very confident about the quality of the business and the teams that are leading this business to its stated objectives.

Quickly, taking through the numbers, you will see a tad reduction in our gross margin, which is because of the growth of our access market, which, as everybody knows, is a low gross margin number, but that's not material. Having said that, we are trending very close to the EBITDA range that we have guided.

Historically, for the last 2 decades, those of you who have been following Strides know that typical H2 is in the 55:45 ratio as in H1 being 45% and 55% being H2. That's because we continue to have a steady focus on the acute therapies, which actually have greater sales during winter in most parts of the countries that we operate.

So if we go by specifics, the EBITDA to cash conversion has been very high and my colleague, Vikesh, will speak more in detail about that. I'm breezing through the H1 numbers. Revenues are trending strongly at 17% growth. EBITDA at INR452 crores is almost 45%, 47% of our range, and we're very confident of hitting our stated objective of INR950 crores to INR1,000 crores, including OneSource, and taking off OneSource business, we are very confident of hitting the INR750 crores to INR800 crores EBITDA range. And you will see that the retained business of Strides will continue to grow from that size.

We now have one additional product where we are market leaders during the quarter in the US, and we now have -- we have increased our commercialized products to 71, two new products approved and one new product approved and three from our dormant product list that we have identified 60 products that meet our criteria, and obviously, the success of those launches are flowing through, are beyond ge nerics, beyond $400 million. So our $400 million strategy for

FY '27-'28 is reaffirmed. We are very confident we can get there with the kind of margin profile and price discipline that we are known for.
We continue to be the best performing provider of generics in the industry with almost zero failure to supply. This is the hallmark of the company, and we're building on that relationship for better pricing, better share of the wallet, which we're successfully achieving month-on-month.
On the Other Regulated Markets, to be candid, we are not extremely delighted with the growth the other regulated markets have delivered, sa ve for our strong performance in Australia and the UK. The market -- the rest of the markets have been a little tepid for us, and that is mainly in Continental Europe. We have had several products approved, but our partners are very significant, the top 5 generic players in Europe. And typically, we're signing to a partnership to actual launch. It's taking a lot longer than what we have hoped for and anticipated. So we just think that growth is there. Our partnerships are very solid. We probably will see more accelerated growth early

next year. But having said that, the other regulated markets continues to be a key focus area for us, and we probably are 3% or 4% short of our target rate -- growth

rate in the other regulated markets. Having said that, the overall guidance would be easily met with outperformance in UK, Australia and also in the US.
The new markets that we have been focusing on is growing steadily. And this is a new -- these are new markets that we have seeded and includes the African region where we have a branded strategy, the access markets and new regions of APAC and MENA. They continue to grow.
They are always lumpy because it's a subscale, suboptimal size scale now. But for the efforts and the teams that we have in place, we believe th at this will be the star -- these markets will be the star-performing markets for us in the years to come. Much better margin profile in these markets, but we are currently seeding them with investments of portfolio and foot soldiers. So obviously, you will see benefits coming through in the next several years.
And I'm going to leave matters related to debt and balance sheet to my colleagues, support of Badree and Vikesh.
I just want -- I'm sure that many of you would be interested in the updates on OneSource. So you will notice that we have updated our -- sorry. On 26th September, we updated an investor deck prior to our capital raise. We have guided -- we're now guiding for $160 million to $180 million with a 34% EBITDA margin. Please understand that this H1 from Stelis has been EBITDA positive, but it's still a PAT loss. That would change si gnificantly in Q3 and Q4 as we start commercializing our GLPs. We are now very comfortable guiding, trending more towards the higher end of our guidance. In our investor meets, we have guided for $59 million to $60 million of EBITDA with an exit quarter EBITDA of $20 million. We are very comfortable staying -- reaffirming those numbers in today's call. We are very excited about the opportunities that we have signed up in OneSource.
We continue to receive very significant RFPs and contract signing. We currently are fully sold out with our capacities. We are commercializing the liraglutide GLP starting from Q4. And we are backordered as some of our customers have forecasted significantl y lower volumes. But having said that, we're trying to do everything to debottleneck and take in as much business as we can. So we are reaffirming higher end of the guidance closer to the $59 million - $60 million guidance exit run rate of $20 million per quarter and a very strong order book where you will see growth at the annualized exit run rate of $80 million in the business.
We've had a great response for our capital raise and we've got, we're very delighted to have marquee investors on our cap table at OneSource. This has also led in releasing close to about $700 million to Strides sharehol ders, and we are grateful for your patience while we build Stelis through its difficulties. An d I think the investment -- th e $100 million investment and the soft gelatine business has resulted in a si gnificant outcome to Strides’ shareholders, and we're delighted with that.
Use of funds of this $95-odd million would be to reduce our debt, including paying bridge loans that we have taken in anticipation of this process. We expect to be net cash by '27. This assumes a capex of approximately $100 million that will be required for -- required that will be a combination of customer advances, the $50 million that we will invest and also the free cash that the business will generate once the merger is completed.

We are sitting on an extremely strong order book, and therefore, we are very comfortable to also guide the $350 million - $400 million revenues over the next 3 to 4 years. Adjusted for the

H1, we alrea

dy are running a 30%, 30-odd percent EBITDA business for the rest of the businesses. And we expect with the exit quarter run rate of $20 million to already reflect an EBITDA very close to 40%. So th e 40% is more likely our exit quarter run rate as early as this financial year.

Overall, we are superbly excited with the number of RFPs that we have been issuing, especially post the Biosecurity Act, and we have very pleasing response to our drug substance capabilities. And we are actively closing out opportunities and businesses that we are very, very confident of winning. Our win ratio now is about 40%, which is quite a good number for a new CDMO player. And that is a pleasing number for us to share with you today.

And I'm also excited by the fact that we have completed our soft gela tine capsule capacity expansion. And all of the excess -- all of this additional capacity is now sold out, and we should be shortly increasing our capacity by another 1 billion units for the next year to meet continuously increasing demand for softgels.

Overall, good product approvals in our injectables space, Health Canada approvals between the two facilities, and overall, it's been a strong comeback for the group, especially a great outcome for OneSource and what the future looks like.

On the NCLT process, we are on track. We hope to have the NC LT a positive outcome, obviously, subject to regulatory approvals and the compliances that are required for us to get an NCLT order in place. We expect news -- positive news before the end of this calendar year. And typically, the 60 days from that is when the -- is the outer limit when we expect the stock to be listed.

So yes, that's -- I'm now going to request Vikesh to speak about the financials, the ratios and our debt. And one -- just one last point on the debt. Obviously, we have a close to INR300 crores pushdown once OneSource happens. And consequently, we would be having -- we would have brought down debt in the last 3 years from a high of INR3,000 crores to INR1,500 crores just through internal operations -- I mean, operational efficiencies, which is also a testament to our teamwork here, our great focus on efficiencies and compliance.

Thank you, and over to you, Vikesh, and then we'll open the house for questions. Vikesh Kumar: Thank you, Arun. Good morning. Good afternoon, and Good Evening to all of you. I'm very pleased we are reporting another quarter of solid all-round perfo rmance. Our focus on delivering this momentum is vi sible across our metrics of profitability, efficiency and growth.

Arun covered on the EBITDA and PAT performan ce, a very strong pe rformance that we've had both quarter and this first half.

On the efficiency metrics, we have seen further improvement in our cash to cash cycle, which is now at 126 days. This has significantly helped us generate operating cash despite a very significant degrowth that we had during this quarter. On an H1 EBITDA of INR453 crores, we

have generated cash flow from operations of INR418 crores. And this has also helped continue our investment in growth capex, our capex spend of INR92 crores in H1.

With this strong operating cash generation, our debt is also reduced. Our net debt at INR1,902 crores is a reduction of INR133 crores in H1 . With this reduction, our Net Debt-to-EBITDA ratio is at 2.1x. And I'm very happy that we are tracking ahead of our net debt to EBITDA guidance of less th an two for FY '25.

Our all-round performance is also reflecting in the ROCE metric, has now improved to 17.2% from 12.8% that we ended in FY '24. Covering some of the specific cost line items, our expense for the quarter have remained steady on an increased revenue base. That has led to an improvement in our operating cost to revenue ratio. Our net interest costs for the quarter are lower at INR54 crores, and this has been aided by an interest

income on tax refunds that we have recorded during this quarter.

With the reduction in cost of debt, we also expect our cost -- interest cost to raise in H2 and going forward. Our effec tive tax rate at 17% is in line with our estimates, and we expect it to remain in this range of 17% to 20% for '25. It has been a very remarkable and comprehensive performance in the first half, and we remain focused on achieving our outlook for the rest of the year.

Thank you. I'm happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Rupe sh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Thank you for the opportunity. Congratulations on the fantas tic performance. My first question, sir, is teriparatide launch. Can give you some update on this now? Do we have all the approvals are in place? And when can we expect commercial launch of this product?

Arun Kumar: All approvals for Europe are in place, and we expect the launch to happen within this financial year.
Rupesh Tatiya: But Q3, Q4, sir?
Arun Kumar: Q4.
Rupesh Tatiya: Another question, sir, is this contract project we have won in animal health for a biologic with innovator. When can we see some commercial revenue from this project? Is it like 2 - 3 years away or it's not that far? And then do we need to do some capex for this project?
Arun Kumar: So we do not discuss specific phases in which we are with the product. We believe you're right. This is more like a 3-to5 year product commercialization, but we will have a very meaty R&D income in that time frame. We will probably need some more capex to do that, but we believe strongly that within the USD100 million range that we have indicated as capex to get to the USD400 million revenues, all of this will fit in.

Rupesh Tatiya: Okay. And then, sir, in the presentation we gave for OneSource, not this one but last one, you said you're also working on 10 non-GLP drug device combination projects. So maybe qualitatively, can you give some idea about these are biosimilars, biologics or these are some other products, some qualitative understanding of this?
Arun Kumar: It's a combination of both biologics and non-peptide drug device combinations, long-acting injections and stuff like that. I mean, please try and understand we are a CDMO. We are bound by confidentialities. Our primary responsibility is to protect our clients' IP and protect the relationships. So we can't get into specifics, but yes, it is a combination of biologics and non-biologics.
Rupesh Tatiya: And sir, these are also long-term commercialization or we can see maybe 2, 3 commercialization next year?
Arun Kumar: We have one product approved this quarter and we expect commercialization to happen in Q1.
Rupesh Tatiya: Thank you
Moderator: The next question is from the line of Naman from Nine Rivers Capital. Please go ahead.
Naman: I have two questions. First is on the gross margin side. So any one-offs during the quarter leading to the sequential decline? And what would be the steady-state gross margins we are aiming at? And second is on the last participant's follow-up. And then on the novel biologics projects, what could be the potential scale for us in the project?
Arun Kumar: So what do you mean by scale?
Naman: In terms of our revenue potential.
Arun Kumar: We will not be able to give you specifics. What is important is that we have won our first NB for a large company. And it's a full program, which is in late stage development and commercialization. Your question on gross margin, we are in that 59%, 60%, that is our target range. Like we said, we had a slightly elevated access market business and a lower European sale. That's why we had a tad 75 bps reduction this quarter. But for your modelling purposes, you should look at mo

re like 59% to 60%.
Moderator: And the next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Congratulations on a pretty solid share of numbers. Arun, on the OneSource business, I just want to quickly check on the softgel part of the business. I mean you talked about significant improvement in momentum in the business. Any particular reasons, which are driving this improvement -- I mean, this pickup in momentum?
Arun Kumar: So Nitin, we have been in soft gelatins for 20-odd years as you cover us well for so many years, but we've never offered soft gelatin as a CDMO opportunity at all. And given the disruption globally with capacities and there has been a very significant intake of capacity requests and RFPs that we are currently servicing, we have already onboarded one of the world's largest consumers of soft gelatins as ou r first customer and with commercial shipments

starting from this year. And you'll see a full blast volume increase with this 1 single customer getting to closer to 1 billion units in the next 2.5 to 3 years.
So we are building -- and as we move away from the current suppliers, it takes time because onboarding private labelers in softgels is a long-run process. But I'm delighted to say that we have secured our largest business there in a multiyear contract. And that will get to full blast volumes in about 2 years, but we are starting commercial supplies in about a few months -- few weeks rather. And it took us ever since we announced that we have become a CDMO to onboard them. So that's the time it takes to onboard a customer of that size and scale. But now that we are in the shipment phase, we're quite excited about the opportunity.
Nitin Agarwal: And secondly, on the GLP-1 business, I mean, wh at is the feedback that you're getting from

the clients in terms of their demand outlook for both Lira and the Sema in the emerging markets over the next 3, 4 years? There are concerns around the fact that there could be significant pricing erosion, which may come through in these products. I mean does it have any implications for our business for fill/finish?

Arun Kumar: So see, obviously, we have to be practical with -- currently estimating demand for GLP is hard. On Lira, we are seeing a surprisingly increased volume demand for 2 reasons. One is that the dose requirement of pens is double. So from a CDMO perspective, be agnostic if we are making semaglutide or liraglutide, right? From that perspective, it's a good uptake.

We are also saying that considering that Ozempic, Wegovy and the -- of each main GLP is a back order. We are seeing a kind of revenge pickup on volume for Lira. So I think some of our customers have forecasted volumes wrongly, and they're seeing more demand than that originally is planned. So we are seeing inte resting volumes, but we ha ve really such limited capacity at this place allotted for Lira. And we are disciplined with our approach for capacity because customers -- our customers have also started booking capacities for Sema launch at risk starting as early as August of next year. So we are balancing our capacity between these 2 acts. But yes, we are in a good place now to say th at it looks like we'll be able to sell most of our 40 million units probably 6 to 8 months ahead of schedule.

Nitin Agarwal: And again, that's probably prompted you to go for the capacity expansion from 40 to 140. And what kind of visibility do you have on probably in terms of utilization of this incremental capacity also?

Arun Kumar: Nitin, our incremental capacity is now being funded through take or pays. So everybody is throwing big volumes at us, and we're telling customers that you have to participate in the capex to have capacity result. And we are able to get that today, in today's circumstances, the GLPs we are because we have -- we are as ambiguous as you on how big

this business could be, right, how disruptive it could be positively or negatively.

So we are cautiously optimistic and we're telling partners to take equal risk, and we are today in a position to seek and receive capacity reservations and -- so the 150 million units, I think we have fairly good visibility.

Nitin Agarwal: And if you can squeeze in a last, Arun. On the co ntinuing business for St rides, how should we think about this business? Obviously, we are on track to deliver this year's number. But qualitatively, we've got the $400 million milest one for the U.S. over the next 3 years. I mean what else -- what are the other sort of broad mile stones that you sort of leave us with in terms of to visualize this business on its own over the next 2, 3 years?

Arun Pillai: I think you'll see the sedate business of Europe, the other reg markets to have, I won't say a hockey stick growth but a significantly different level of growth in the next year onwards. So we already told you that we'll be filing -- we have a nice range of controlled substance nasal sprays. We should file our first key product in March of this year. And we have 3 programs and very, very solid opportunities because the controlled substances can be produced only in the US, requires a very specific device, which we have manufacturing capabilities. So we're quite excited about that entire niche. We believe the nasal spray niche will completely replace the loss of the soft ge latin volume and EBITDA.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Sir, just a couple of questions on the GLP-1 and the non-GLP-1 opportunity under OneSource. Sir, we have talked a lot about the GLP-1 opportunity. But how should we look at the capacity at OneSource, which is not GLP focused? How is the kind of ramp-up you expect there? Where in the past, you've talked about certain biologics, and you're now talking about doing some novel biologic work as well. So any color you could provide on that front would be helpful.

Arun Kumar: Yes. So we do have -- I mean OneSource is a combination of complex and specialty injections, GLPs, but it also has lot of other parts of the business, right, like penicillin, where we are one of the largest penicillin manufacturers and other standard injectables, where we are partnered with. We see interest in all of our businesses gr owing. I think the Street is talking only about the GLPs, but we are excited about several subparts of our business, which is growing nicely. Of course, the GLPs take the limelight in terms of capital allocation capacities and the fact that we are first to file, it's now in the public domain that we and our partners have licensed the product to Viatris. And they have settled with th e innovator. We are first to file. We do have a profit share, which we split with our partner, Natco, in this. So it's all in the public domain. Obviously, there's a lot of excitement around it. But we are equally excited about the other parts of the business. You should look at us being completely full up on our approximately taking 7,000 to 8,000 liter mammalian and microbial capacity of increasing the microbial capacity to 4,000 liters to be fu lly sold out within the next 12 months. And then we have to

probably look at this conversation later. So we are adding a lot of customers, the specialty products that are already approved.
With the Chinese angle, we're already securing our first major European contract, which we should be in a position to give more granularity soon. But yes, we're winning businesses, and we will add capacities and like I told earli er colleague of yours that there would be participation of our partners in the investment program. And we are no w positioning ourselves as a global CDMO.

For pricing, we are offering it a -- the pricing has a price. We are not leading contract winning by price but by service and therefore our pricing is not necessarily low. But we -- there is kind of interest that we didn't expect earlier until the Biosecurity Act came into play or is in play, of the nature of customers and RFPs that we are currently selling in and a number of RFPs. So I think, overall, you should strongl y believe that all engines are on fire and yes this is a good space to be. And I think we are all very excited about every small bit of our business in OneSource.
Abdulkader Puranwala: Got it. Wish you all the best and I will get back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Good evening sir. Three questions. First on OneSource GLP-1. So you have talked about one commercialization in Q4 one CSA. So how many CSA do we expect in say FY '26 to get commercialized?
Arun Kumar: In the GLPs?
Aman Vij: Yes.
Arun Kumar: Between 5 and 7.
Aman Vij: 5 and 7.
Arun Kumar: Yes.
Aman Vij: And is it safe to assume given there will be the Semaglutide expiries happening for the Indian market, for non US, non Europe market, so can some of these -- these are also getting launched in next year FY '26?
Arun Kumar: It is possible. We can't be specific. Canada is the first market going off patent in January 26.
Aman Vij: Yes. Sorry, you mentioned January what, January?
Arun Kumar: January of '26 is the first the patent goes off in Canada, in March of '26 in other countries.
Aman Vij: Sure. And normally what is th e lag between say a CDMO player supplying versus the actual launch date? So if patent expiry is happening in say Jan 2026. Can we expect the 6 months before these...
Arun Kumar: Yes. We can't give you specifics because there are confidential information around this product and the pattern regime. But it always has to be much before the launch date. So it depends upon customers and their risk appetite and production at risk and their launch capabilities, but yes you can see 5 to 7 unique customers, GLPs, commercial supplies from OneSource in the next financial year.

Aman Vij: Sure, sir. That's helpful. On the softgel side sir, we have expanded the capacity a lot and we are again talking about more expansion. So can you give roughly what is the revenue we are getting from Strides itself versus what the re venue is roughly from outside customers, non-Strides for softgel?
Arun Kumar: We have guided earlier. It's about half and half and we stay with that, but there's no incremental growth coming from Strides. All new contracts ar e only with third parties.
Aman Vij: Okay. So even the incremental 1 million you're talking about and you've talked about one customer who is scaling quite fast, that is also all outside Strides?
Arun Kumar: Yes. But we also announced when we did this deal that outside of the businesses that are already contracted which Strides will only be the logistics partner. The economics stays with OneSource. We will not add any new products to avoid any related party issues going forward.
Aman Vij: Makes sense sir. My final question is given Teri launch, Lira launch and you've talked about 5 to 7 launches CSA launches in FY '26, softgel expansion, SteriScience growth, can we expect maybe like the 300 milli on kind of number for OneSource in FY '26?
Arun Kumar: No.
Aman Vij: It's lower or higher?
Arun Kumar: We have guided numbers for this year. We've given an exit run rate of growth over the exit run rate of 80 million on the EBITDA. Focus on EBITDA. This is a business that is very focused on margin expansion. We are not -- and we have given you a view that in 3 to 4 years, we'll be

$350 million to $400 million. We are on track for all that.
Aman Vij: Okay. So in spite of

all these positives five, seven projects and all these new things you think
revenue might be lower, but will cover up in say EBITDA growth and all these things?
Arun Kumar: You'll have a significantly different EBITDA profile for FY '26 if I may say?
Aman Vij: Okay sir. That helps. I will ge t back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Ritesh Oswal from NRO Invest. Please go ahead.
Ritesh Oswal: Congratulations for good numbers. On Slide 19, you mentioned about Tirzepatide. When will -- when supply will be start for Tirzepatide?
Arun Kumar: We mentioned this earlier, Q4 of this year.
Ritesh Oswal: Q4. And it's for innovator?
Arun Kumar: No, sorry, my mistake. So I got confused between PTH and Tirzepatide. What we are saying here is that we have signed our first CDMO contract to develop this drug. Product patent goes off only in 2036.

Ritesh Oswal: So supply will start after 2036?
Arun Kumar: It depends upon, again, like in semaglutide, the patent regime is different from various countries. All we are announcing is that out of the 8 GLPs, commercially, we now have 7 contracted GLPs.
Ritesh Oswal: Okay. Thank you very much.
Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: All my questions have already been answered. So just wanted to get a sense, like, I think on our investor deck, we've said revenues might grow at 12% to 15%, and you're seeing that they'll be reeled on the higher side. But we've already, I think, grown at 17%, right? So are you being more conservative or just wanted to pick your brain a bit like in terms of FY '25 and FY '26, what outlook could we assume, sir?
Arun Kumar: So the outlook is there. We said we will grow 15%. We are currently at 17%. It's a marginal increase of what we said on the higher end. Ye s. And I think sometimes it's good to see at the side of caution. Obviously, when you launch a new product, especially in the U.S., you do not anticipate the level of success you achieve.
And we can -- we have always been trending -- like, today, I already alluded that we will be trending to the higher end of all the parameters on the outlook. So that already means that we are upping our guidance towards the higher end of margin, right?
Darshil Jhaveri: Okay. Fair enough, sir. And sir, any guidance you would like to give for FY '26, sir?
Arun Kumar: Not yet.
Darshil Jhaveri: Okay. Fair enough. All the best. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Raaj from Arjav Partners. Please go ahead.
Raaj: When are we going to commercialize Ozempic?
Arun Kumar: So technically, you can commercialize Ozempic in some countries starting from January to March '26.
Raaj: Sorry, I didn't get your answer. Can you repeat it again?
Arun Kumar: I think you're on a speakerphone, and that is why you can't hear me.
Moderator: Thank you. As there are no further questions, I would now like to hand over the conference over to the management for closing comments.

Arun Kumar: Thank you all. Appreciate your time today. And as always, if you have more questions, please write to us at our investor deck or please feel free to talk to either of us -- anyone of us rather.
Thank you, and much appreciate your time today.
Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: Oct 2024

October 29, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip code: 532531
The National Stock Exchange of India Limit
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051
Scrip code: STAR
Dear Madam/ S irs,

Sub: Earnings Call transcript pertaining to U n-Audited Financial Results for the quarter and half -year ended September 30, 2024.
Ref: Earning Call held on October 24 , 2024 pertaining to U n-Audited Financial Results for the quarter and half -year ended September 30, 2024.
With reference to the above, please find enclosed herewith transcript of the E arnings Call held on October 24, 2024.
The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html
Request you to kindly take the above on record.
Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515 Encl: a/a

"Strides Pharma Science Limited
Q2 and H1 FY '25 Earnings Conference Call"
October 24, 2024

MANAGEMENT : 1. MR. ARUN KUMAR
– FOUNDER & EXECUTIVE CHAIRPERSON

2. MR. BADREE KOMANDUR
– MANAGING DIRECTOR & GROUP CEO

3. MR. VIKESH KUMAR
– GROUP CFO

INVESTOR RELATIONS CONSULTANT: MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Thank you. Very good afternoon and thank you for joining us today for Strides' earnings call for the second quarter and half year ended financial year 2025. Today, we have with us Arun, Founder and Executive Chairman; Badree, Managing Director and Group CEO; and Vikesh Kumar, Group CFO, to share the highlights of the business and financials of the quarter.

I hope you've gone through our results releas e and the quarterly investor presentations that have been uploaded on our website as well as stock exchange website. The transcript of this call will be available in a week's time on the company's website.

Please note that today's discussion will be forward-looking in nature and must viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to Investor Relations team.

I now hand over the call to Arun to make his opening comments.

Arun Kumar: Thank you, Abhishek. Good evening, everybody. Thank you for joining our call. I know today is a busy earnings day, so we appreciate your attendance to our call. It's been a good quarter again. We have reported a very strong quarterly performance. We are outbeating each quarter, which is great news, and we are delighted with our performance.

What is critical here to note is that we have moved our revenue growth quite significantly after 4 steady quarters of growth where we had top line stagnation by design, but we had significant gross margin and EBITDA growth as we were cutting out all the inefficiencies in the operation. And having settled on that, we have now activated our growth, and you will now get to see these levels of growth in the next 2 to 3 quarters. Consequently, we are now very comfortable in guiding and confirming that all of our previously guided numbers would now be achieved more trending towards the higher end of our guidance

outlook.

Overall, it's been a great quarter, like I mentioned. All our financial metrics and ratios and debt-to-EBITDA ratios have significantly improved and will continue to improve. Pleasing, of course, was our outstanding US performance. We are trending ahead of our run rate. We had $75 million of revenue this year. A lot of this growth is coming from the fact that we've been able to slowly but steadily relaunch products from the government portfolio that we acquired from Endo and taking significant market share and consequently improving revenues in the US, especially from our manufacturing operations in the US.

EBITDA at INR236 crores is again our highest ever reported EBITDA and while our reported PAT INR93 crores adjusted for the loss pickup of depreciation and interest from OneSource at INR100 crores is again our highest ever reported PAT. I think we are on a very steady footing to grow our business from here on, and we are very confident about the quality of the business and the teams that are leading this business to its stated objectives.

Quickly, taking through the numbers, you will see a tad reduction in our gross margin, which is because of the growth of our access market, which, as everybody knows, is a low gross margin number, but that's not material. Having said that, we are trending very close to the EBITDA range that we have guided.

Historically, for the last 2 decades, those of you who have been following Strides know that typical H2 is in the 55:45 ratio as in H1 being 45% and 55% being H2. That's because we continue to have a steady focus on the acute therapies, which actually have greater sales during winter in most parts of the countries that we operate.

So if we go by specifics, the EBITDA to cash conversion has been very high and my colleague, Vikesh, will speak more in detail about that. I'm breezing through the H1 numbers. Revenues are trending strongly at 17% growth. EBITDA at INR452 crores is almost 45%, 47% of our range, and we're very confident of hitting our stated objective of INR950 crores to INR1,000 crores, including OneSource, and taking off OneSource business, we are very confident of hitting the INR750 crores to INR800 crores EBITDA range. And you will see that the retained business of Strides will continue to grow from that size.

We now have one additional product where we are market leaders during the quarter in the US, and we now have -- we have increased our commercialized products to 71, two new products approved and one new product approved and three from our dormant product list that we have identified 60 products that meet our criteria, and obviously, the success of those launches are flowing through, are beyond ge nerics, beyond $400 million. So our $400 million strategy for

FY '27-'28 is reaffirmed. We are very confident we can get there with the kind of margin profile and price discipline that we are known for.
We continue to be the best performing provider of generics in the industry with almost zero failure to supply. This is the hallmark of the company, and we're building on that relationship for better pricing, better share of the wallet, which we're successfully achieving month-on-month.
On the Other Regulated Markets, to be candid, we are not extremely delighted with the growth the other regulated markets have delivered, sa ve for our strong performance in Australia and the UK. The market -- the rest of the markets have been a little tepid for us, and that is mainly in Continental Europe. We have had several products approved, but our partners are very significant, the top 5 generic players in Europe. And typically, we're signing to a partnership to actual launch. It's taking a lot longer than what we have hoped for and anticipated. So we just think that growth is there. Our partnerships are very solid. We probably will see more accelerated growth early

next year. But having said that, the other regulated markets continues to be a key focus area for us, and we probably are 3% or 4% short of our target rate -- growth

rate in the other regulated markets. Having said that, the overall guidance would be easily met with outperformance in UK, Australia and also in the US.
The new markets that we have been focusing on is growing steadily. And this is a new -- these are new markets that we have seeded and includes the African region where we have a branded strategy, the access markets and new regions of APAC and MENA. They continue to grow.
They are always lumpy because it's a subscale, suboptimal size scale now. But for the efforts and the teams that we have in place, we believe th at this will be the star -- these markets will be the star-performing markets for us in the years to come. Much better margin profile in these markets, but we are currently seeding them with investments of portfolio and foot soldiers. So obviously, you will see benefits coming through in the next several years.
And I'm going to leave matters related to debt and balance sheet to my colleagues, support of Badree and Vikesh.
I just want -- I'm sure that many of you would be interested in the updates on OneSource. So you will notice that we have updated our -- sorry. On 26th September, we updated an investor deck prior to our capital raise. We have guided -- we're now guiding for $160 million to $180 million with a 34% EBITDA margin. Please understand that this H1 from Stelis has been EBITDA positive, but it's still a PAT loss. That would change si gnificantly in Q3 and Q4 as we start commercializing our GLPs. We are now very comfortable guiding, trending more towards the higher end of our guidance. In our investor meets, we have guided for $59 million to $60 million of EBITDA with an exit quarter EBITDA of $20 million. We are very comfortable staying -- reaffirming those numbers in today's call. We are very excited about the opportunities that we have signed up in OneSource.
We continue to receive very significant RFPs and contract signing. We currently are fully sold out with our capacities. We are commercializing the liraglutide GLP starting from Q4. And we are backordered as some of our customers have forecasted significantl y lower volumes. But having said that, we're trying to do everything to debottleneck and take in as much business as we can. So we are reaffirming higher end of the guidance closer to the $59 million - $60 million guidance exit run rate of $20 million per quarter and a very strong order book where you will see growth at the annualized exit run rate of $80 million in the business.
We've had a great response for our capital raise and we've got, we're very delighted to have marquee investors on our cap table at OneSource. This has also led in releasing close to about $700 million to Strides sharehol ders, and we are grateful for your patience while we build Stelis through its difficulties. An d I think the investment -- th e $100 million investment and the soft gelatine business has resulted in a si gnificant outcome to Strides’ shareholders, and we're delighted with that.
Use of funds of this $95-odd million would be to reduce our debt, including paying bridge loans that we have taken in anticipation of this process. We expect to be net cash by '27. This assumes a capex of approximately $100 million that will be required for -- required that will be a combination of customer advances, the $50 million that we will invest and also the free cash that the business will generate once the merger is completed.

We are sitting on an extremely strong order book, and therefore, we are very comfortable to also guide the $350 million - $400 million revenues over the next 3 to 4 years. Adjusted for the

H1, we alrea

dy are running a 30%, 30-odd percent EBITDA business for the rest of the businesses. And we expect with the exit quarter run rate of $20 million to already reflect an EBITDA very close to 40%. So th e 40% is more likely our exit quarter run rate as early as this financial year.

Overall, we are superbly excited with the number of RFPs that we have been issuing, especially post the Biosecurity Act, and we have very pleasing response to our drug substance capabilities. And we are actively closing out opportunities and businesses that we are very, very confident of winning. Our win ratio now is about 40%, which is quite a good number for a new CDMO player. And that is a pleasing number for us to share with you today.

And I'm also excited by the fact that we have completed our soft gela tine capsule capacity expansion. And all of the excess -- all of this additional capacity is now sold out, and we should be shortly increasing our capacity by another 1 billion units for the next year to meet continuously increasing demand for softgels.

Overall, good product approvals in our injectables space, Health Canada approvals between the two facilities, and overall, it's been a strong comeback for the group, especially a great outcome for OneSource and what the future looks like.

On the NCLT process, we are on track. We hope to have the NC LT a positive outcome, obviously, subject to regulatory approvals and the compliances that are required for us to get an NCLT order in place. We expect news -- positive news before the end of this calendar year.

And typically, the 60 days from that is when the -- is the outer limit when we expect the stock to be listed.

So yes, that's -- I'm now going to request Vikesh to speak about the financials, the ratios and our debt. And one -- just one last point on the debt. Obviously, we have a close to INR300 crores pushdown once OneSource happens. And consequently, we would be having -- we would have brought down debt in the last 3 years from a high of INR3,000 crores to INR1,500 crores just through internal operations -- I mean, operational efficiencies, which is also a testament to our teamwork here, our great focus on efficiencies and compliance.

Thank you, and over to you, Vikesh, and then we'll open the house for questions. Vikesh Kumar: Thank you, Arun. Good morning. Good afternoon, and Good Evening to all of you. I'm very pleased we are reporting another quarter of solid all-round perfo rmance. Our focus on delivering this momentum is vi sible across our metrics of profitability, efficiency and growth.

Arun covered on the EBITDA and PAT performan ce, a very strong pe rformance that we've had both quarter and this first half.

On the efficiency metrics, we have seen further improvement in our cash to cash cycle, which is now at 126 days. This has significantly helped us generate operating cash despite a very significant degrowth that we had during this quarter. On an H1 EBITDA of INR453 crores, we

have generated cash flow from operations of INR418 crores. And this has also helped continue our investment in growth capex, our capex spend of INR92 crores in H1.

With this strong operating cash generation, our debt is also reduced. Our net debt at INR1,902 crores is a reduction of INR133 crores in H1 . With this reduction, our Net Debt-to-EBITDA ratio is at 2.1x. And I'm very happy that we are tracking ahead of our net debt to EBITDA guidance of less th an two for FY '25.

Our all-round performance is also reflecting in the ROCE metric, has now improved to 17.2% from 12.8% that we ended in FY '24. Covering some of the specific cost line items, our expense for the quarter have remained steady on an increased revenue base. That has led to an improvement in our operating cost to revenue ratio. Our net interest costs for the quarter are lower at INR54 crores, and this has been aided by an interest

income on tax refunds that we have recorded during this quarter.

With the reduction in cost of debt, we also expect our cost -- interest cost to raise in H2 and going forward. Our effec tive tax rate at 17% is in line with our estimates, and we expect it to remain in this range of 17% to 20% for '25. It has been a very remarkable and comprehensive performance in the first half, and we remain focused on achieving our outlook for the rest of the year.

Thank you. I'm happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Rupe sh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Thank you for the opportunity. Congratulations on the fantas tic performance. My first question, sir, is teriparatide launch. Can give you some update on this now? Do we have all the approvals are in place? And when can we expect commercial launch of this product?

Arun Kumar: All approvals for Europe are in place, and we expect the launch to happen within this financial year.
Rupesh Tatiya: But Q3, Q4, sir?
Arun Kumar: Q4.
Rupesh Tatiya: Another question, sir, is this contract project we have won in animal health for a biologic with innovator. When can we see some commercial revenue from this project? Is it like 2 - 3 years away or it's not that far? And then do we need to do some capex for this project?
Arun Kumar: So we do not discuss specific phases in which we are with the product. We believe you're right. This is more like a 3-to5 year product commercialization, but we will have a very meaty R&D income in that time frame. We will probably need some more capex to do that, but we believe strongly that within the USD100 million range that we have indicated as capex to get to the USD400 million revenues, all of this will fit in.

Rupesh Tatiya: Okay. And then, sir, in the presentation we gave for OneSource, not this one but last one, you said you're also working on 10 non-GLP drug device combination projects. So maybe qualitatively, can you give some idea about these are biosimilars, biologics or these are some other products, some qualitative understanding of this?
Arun Kumar: It's a combination of both biologics and non-peptide drug device combinations, long-acting injections and stuff like that. I mean, please try and understand we are a CDMO. We are bound by confidentialities. Our primary responsibility is to protect our clients' IP and protect the relationships. So we can't get into specifics, but yes, it is a combination of biologics and non-biologics.
Rupesh Tatiya: And sir, these are also long-term commercialization or we can see maybe 2, 3 commercialization next year?
Arun Kumar: We have one product approved this quarter and we expect commercialization to happen in Q1.
Rupesh Tatiya: Thank you
Moderator: The next question is from the line of Naman from Nine Rivers Capital. Please go ahead.
Naman: I have two questions. First is on the gross margin side. So any one-offs during the quarter leading to the sequential decline? And what would be the steady-state gross margins we are aiming at? And second is on the last participant's follow-up. And then on the novel biologics projects, what could be the potential scale for us in the project?
Arun Kumar: So what do you mean by scale?
Naman: In terms of our revenue potential.
Arun Kumar: We will not be able to give you specifics. What is important is that we have won our first NB for a large company. And it's a full program, which is in late stage development and commercialization. Your question on gross margin, we are in that 59%, 60%, that is our target range. Like we said, we had a slightly elevated access market business and a lower European sale. That's why we had a tad 75 bps reduction this quarter. But for your modelling purposes, you should look at mo

re like 59% to 60%.
Moderator: And the next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Congratulations on a pretty solid share of numbers. Arun, on the OneSource business, I just want to quickly check on the softgel part of the business. I mean you talked about significant improvement in momentum in the business. Any particular reasons, which are driving this improvement -- I mean, this pickup in momentum?
Arun Kumar: So Nitin, we have been in soft gelatins for 20-odd years as you cover us well for so many years, but we've never offered soft gelatin as a CDMO opportunity at all. And given the disruption globally with capacities and there has been a very significant intake of capacity requests and RFPs that we are currently servicing, we have already onboarded one of the world's largest consumers of soft gelatins as ou r first customer and with commercial shipments

starting from this year. And you'll see a full blast volume increase with this 1 single customer getting to closer to 1 billion units in the next 2.5 to 3 years.
So we are building -- and as we move away from the current suppliers, it takes time because onboarding private labelers in softgels is a long-run process. But I'm delighted to say that we have secured our largest business there in a multiyear contract. And that will get to full blast volumes in about 2 years, but we are starting commercial supplies in about a few months -- few weeks rather. And it took us ever since we announced that we have become a CDMO to onboard them. So that's the time it takes to onboard a customer of that size and scale. But now that we are in the shipment phase, we're quite excited about the opportunity.
Nitin Agarwal: And secondly, on the GLP-1 business, I mean, wh at is the feedback that you're getting from

the clients in terms of their demand outlook for both Lira and the Sema in the emerging
markets over the next 3, 4 years? There are concerns around the fact that there could be
significant pricing erosion, which may come through in these products. I mean does it have any implications for our business for fill/finish?
Arun Kumar: So see, obviously, we have to be practical with -- currently estimating demand for GLP is hard.
On Lira, we are seeing a surprisingly increased volume demand for 2 reasons. One is that the
dose requirement of pens is double. So from a CDMO perspective, be agnostic if we are making semaglutide or liraglutide, right? From that perspective, it's a good uptake.
We are also saying that considering that Ozempic, Wegovy and the -- of each main GLP is a
back order. We are seeing a kind of revenge pickup on volume for Lira. So I think some of our
customers have forecasted volumes wrongly, and they're seeing more demand than that
originally is planned. So we are seeing inte resting volumes, but we ha ve really such limited
capacity at this place allotted for Lira. And we are disciplined with our approach for capacity
because customers -- our customers have also started booking capacities for Sema launch at
risk starting as early as August of next year. So we are balancing our capacity between these 2
acts. But yes, we are in a good place now to say th at it looks like we'll be able to sell most of
our 40 million units probably 6 to 8 months ahead of schedule.
Nitin Agarwal: And again, that's probably prompted you to go for the capacity expansion from 40 to 140. And
what kind of visibility do you have on probably in terms of utilization of this incremental
capacity also?
Arun Kumar: Nitin, our incremental capacity is now being funded through take or pays. So everybody is
throwing big volumes at us, and we're telling customers that you have to participate in the
capex to have capacity result. And we are able to get that today, in today's circumstances, the
GLPs we are because we have -- we are as ambiguous as you on how big

this business could
be, right, how disruptive it could be positively or negatively.
So we are cautiously optimistic and we're telling partners to take equal risk, and we are today
in a position to seek and receive capacity reservations and -- so the 150 million units, I think
we have fairly good visibility.

Nitin Agarwal: And if you can squeeze in a last, Arun. On the co ntinuing business for St rides, how should we
think about this business? Obviously, we are on track to deliver this year's number. But qualitatively, we've got the $400 million milest one for the U.S. over the next 3 years. I mean
what else -- what are the other sort of broad mile stones that you sort of leave us with in terms
of to visualize this business on its own over the next 2, 3 years?
Arun Pillai: I think you'll see the sedate business of Europe, the other reg markets to have, I won't say a
hockey stick growth but a significantly different level of growth in the next year onwards. So
we already told you that we'll be filing -- we have a nice range of controlled substance nasal
sprays. We should file our first key product in March of this year. And we have 3 programs
and very, very solid opportunities because the controlled substances can be produced only in
the US, requires a very specific device, which we have manufacturing capabilities. So we're quite excited about that entire niche. We believe the nasal spray niche will completely replace
the loss of the soft ge latin volume and EBITDA.
Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: Sir, just a couple of questions on the GLP-1 and the non-GLP-1 opportunity under OneSource.
Sir, we have talked a lot about the GLP-1 opportunity. But how should we look at the capacity
at OneSource, which is not GLP focused? How is the kind of ramp-up you expect there? Where in the past, you've talked about certain biologics, and you're now talking about doing
some novel biologic work as well. So any color you could provide on that front would be
helpful.
Arun Kumar: Yes. So we do have -- I mean OneSource is a combination of complex and specialty injections,
GLPs, but it also has lot of other parts of the business, right, like penicillin, where we are one
of the largest penicillin manufacturers and other standard injectables, where we are partnered
with. We see interest in all of our businesses gr owing. I think the Street is talking only about
the GLPs, but we are excited about several subparts of our business, which is growing nicely.
Of course, the GLPs take the limelight in terms of capital allocation capacities and the fact that
we are first to file, it's now in the public domain that we and our partners have licensed the
product to Viatris. And they have settled with th e innovator. We are first to file. We do have a
profit share, which we split with our partner, Natco, in this. So it's all in the public domain.
Obviously, there's a lot of excitement around it. But we are equally excited about the other
parts of the business. You should look at us being completely full up on our approximately
taking 7,000 to 8,000 liter mammalian and microbial capacity of increasing the microbial
capacity to 4,000 liters to be fu lly sold out within the next 12 months. And then we have to

probably look at this conversation later. So we are adding a lot of customers, the specialty products that are already approved.
With the Chinese angle, we're already securing our first major European contract, which we should be in a position to give more granularity soon. But yes, we're winning businesses, and we will add capacities and like I told earli er colleague of yours that there would be participation of our partners in the investment program. And we are no w positioning ourselves as a global CDMO.

For pricing, we are offering it a -- the pricing has a price. We are not leading contract winning by price but by service and therefore our pricing is not necessarily low. But we -- there is kind of interest that we didn't expect earlier until the Biosecurity Act came into play or is in play, of the nature of customers and RFPs that we are currently selling in and a number of RFPs. So I think, overall, you should strongl y believe that all engines are on fire and yes this is a good space to be. And I think we are all very excited about every small bit of our business in OneSource.
Abdulkader Puranwala: Got it. Wish you all the best and I will get back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Good evening sir. Three questions. First on OneSource GLP-1. So you have talked about one commercialization in Q4 one CSA. So how many CSA do we expect in say FY '26 to get commercialized?
Arun Kumar: In the GLPs?
Aman Vij: Yes.
Arun Kumar: Between 5 and 7.
Aman Vij: 5 and 7.
Arun Kumar: Yes.
Aman Vij: And is it safe to assume given there will be the Semaglutide expiries happening for the Indian market, for non US, non Europe market, so can some of these -- these are also getting launched in next year FY '26?
Arun Kumar: It is possible. We can't be specific. Canada is the first market going off patent in January 26.
Aman Vij: Yes. Sorry, you mentioned January what, January?
Arun Kumar: January of '26 is the first the patent goes off in Canada, in March of '26 in other countries.
Aman Vij: Sure. And normally what is th e lag between say a CDMO player supplying versus the actual launch date? So if patent expiry is happening in say Jan 2026. Can we expect the 6 months before these...
Arun Kumar: Yes. We can't give you specifics because there are confidential information around this product and the pattern regime. But it always has to be much before the launch date. So it depends upon customers and their risk appetite and production at risk and their launch capabilities, but yes you can see 5 to 7 unique customers, GLPs, commercial supplies from OneSource in the next financial year.

Aman Vij: Sure, sir. That's helpful. On the softgel side sir, we have expanded the capacity a lot and we are again talking about more expansion. So can you give roughly what is the revenue we are getting from Strides itself versus what the re venue is roughly from outside customers, non-Strides for softgel?
Arun Kumar: We have guided earlier. It's about half and half and we stay with that, but there's no incremental growth coming from Strides. All new contracts ar e only with third parties.
Aman Vij: Okay. So even the incremental 1 million you're talking about and you've talked about one customer who is scaling quite fast, that is also all outside Strides?
Arun Kumar: Yes. But we also announced when we did this deal that outside of the businesses that are already contracted which Strides will only be the logistics partner. The economics stays with OneSource. We will not add any new products to avoid any related party issues going forward.
Aman Vij: Makes sense sir. My final question is given Teri launch, Lira launch and you've talked about 5 to 7 launches CSA launches in FY '26, softgel expansion, SteriScience growth, can we expect maybe like the 300 milli on kind of number for OneSource in FY '26?
Arun Kumar: No.
Aman Vij: It's lower or higher?
Arun Kumar: We have guided numbers for this year. We've given an exit run rate of growth over the exit run rate of 80 million on the EBITDA. Focus on EBITDA. This is a business that is very focused on margin expansion. We are not -- and we have given you a view that in 3 to 4 years, we'll be

$350 million to $400 million. We are on track for all that.
Aman Vij: Okay. So in spite of

all these positives five, seven projects and all these new things you think
revenue might be lower, but will cover up in say EBITDA growth and all these things?
Arun Kumar: You'll have a significantly different EBITDA profile for FY '26 if I may say?
Aman Vij: Okay sir. That helps. I will ge t back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Ritesh Oswal from NRO Invest. Please go ahead.
Ritesh Oswal: Congratulations for good numbers. On Slide 19, you mentioned about Tirzepatide. When will -- when supply will be start for Tirzepatide?
Arun Kumar: We mentioned this earlier, Q4 of this year.
Ritesh Oswal: Q4. And it's for innovator?
Arun Kumar: No, sorry, my mistake. So I got confused between PTH and Tirzepatide. What we are saying here is that we have signed our first CDMO contract to develop this drug. Product patent goes off only in 2036.

Ritesh Oswal: So supply will start after 2036?
Arun Kumar: It depends upon, again, like in semaglutide, the patent regime is different from various countries. All we are announcing is that out of the 8 GLPs, commercially, we now have 7 contracted GLPs.
Ritesh Oswal: Okay. Thank you very much.
Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: All my questions have already been answered. So just wanted to get a sense, like, I think on our investor deck, we've said revenues might grow at 12% to 15%, and you're seeing that they'll be reeled on the higher side. But we've already, I think, grown at 17%, right? So are you being more conservative or just wanted to pick your brain a bit like in terms of FY '25 and FY '26, what outlook could we assume, sir?
Arun Kumar: So the outlook is there. We said we will grow 15%. We are currently at 17%. It's a marginal increase of what we said on the higher end. Ye s. And I think sometimes it's good to see at the side of caution. Obviously, when you launch a new product, especially in the U.S., you do not anticipate the level of success you achieve.
And we can -- we have always been trending -- like, today, I already alluded that we will be trending to the higher end of all the parameters on the outlook. So that already means that we are upping our guidance towards the higher end of margin, right?
Darshil Jhaveri: Okay. Fair enough, sir. And sir, any guidance you would like to give for FY '26, sir?
Arun Kumar: Not yet.
Darshil Jhaveri: Okay. Fair enough. All the best. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Raaj from Arjav Partners. Please go ahead.
Raaj: When are we going to commercialize Ozempic?
Arun Kumar: So technically, you can commercialize Ozempic in some countries starting from January to March '26.
Raaj: Sorry, I didn't get your answer. Can you repeat it again?
Arun Kumar: I think you're on a speakerphone, and that is why you can't hear me.
Moderator: Thank you. As there are no further questions, I would now like to hand over the conference over to the management for closing comments.

Arun Kumar: Thank you all. Appreciate your time today. And as always, if you have more questions, please write to us at our investor deck or please feel free to talk to either of us -- anyone of us rather.
Thank you, and much appreciate your time today.
Moderator: On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
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Call: Feb 2025

Strides Pharma Science Limited
CIN: L24230MH1990PLC057062
Corp. Off: Strides House, Bilekahalli, Bannerghatta Road, B engaluru - 560 076, India
Tel: +91-80-6784 0000 Fax: +91 80 6784 0700
Regd Off: ‘Cyber One’, Unit No. 902, Plot No. 4 & 6 , Sector 30A, Vashi, Navi Mumbai - 400 703, India
Tel:+91-22-2789 2924/ 3199
corpcomm@strides.com; www.strides.com

February 4, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip code: 532531
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051

Scrip code: STAR

Dear Madam/ S irs,

Sub: Transcript of Earnings Call pertaining to Un-Audited Financial Results of the Company for the quarter and nine months ended December 31 , 202 4.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and nine - month s ended December 31, 2024, conducted after the meeting of Board of Directors held on January 30, 2025, for your information and r ecords.

The said transcript is also available on the website of the Company at:
https://www.strides.com/investor -annualreport.html

Request you to k indly take the above on record.

Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary
ICSI Membership No. A30515

Encl: a/a

“Strides Pharma Science Limited

Q3 & 9M FY '25 Earnings Conference Call"
January 30 , 202 5

MANAGEMENT : STRIDES PHARMA SCIENCE LIMITED
- MR. ARUN KUMAR – FOUNDER AND EXECUTIVE CHAIRPERSON
- MR. BADREE KOMANDUR – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER
- MR. VIKESH KUMAR – GROUP CHIEF FINANCIAL OFFICER
INVESTOR RELATIONS CONSULTANT
- MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q3 and 9M FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhis hek. Thank you, and over to you, sir.
Abhishek Singhal: Good afternoon, and thank you for joining us today for Strides earnings call for the third quarter and 9 months ended financial year 2025. Today, we have with us Arun, Founder and Executive Chairman; Badree, Managing Director and Group CEO; and Vikesh Kumar , Group CFO, to share the highlights of the business and financials for the quarter.
I hope you've gone through our results release and the quarterly investor presentation that have been uploaded on our website as well as Stock Exchange website. The transcript for this call will be available in a week's time on the company's website.
Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pert aining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Arun to make the opening comments.
Arun Kumar: Thank you, Abhishek. Good afternoon, everybody. Thank you for joining Strides Q3 earnings call. Appreciate your time today. So by far, this has been one of our better quarters, especially after we carved out our high -margin soft gelatin business. In spite of that, we've come up wit h very phenomenal results and across all parameters, be it revenue, gross margins, EBITDA in absolute terms, PAT. And many of you would be pleasantly pleased with the fact of the lack of adjustments, considering that we now don't carry any costs related to underlying investments in erstwhile Stelis, now OneSource. So we now have a very clean set of data points for us to work on.
Most importantly, this quarter has been compelling from the point of us having very successfully delivered, once again, tremendous value when unlocking the soft gelatin business. And discussing its true value, while it was adjusting within the generic spac e at a suboptimal valuation, we discovered its true value of a niche business through OneSource. I'm also very delighted that Strides' shareholders, including, especially, minorities , have now benefited close to about $900 million of incremental value, whi ch all of you, as shareholders, are benefiting from your holdings in OneSource.
So that's been a great outcome, a very pleasing outcome. I know we do this not very often, but when we do this, we do this in style, if I may. And it's a very pleasing time when we came back to reset and regrow this group, it's a very pleasing testimony of our continued ingrained value about stakeholder value creation.
Importantly, for us, in our first year under Badree's direct leadership over 2.5 years, we have spent time building our sustainability matrices. And we have an initial and very pleasant outcome

for a stellar debut of our ESG rating at 76 out of 100 on the S&P Global Corporate Sustainability Assessment, which was recently announced, a very significant uptic k compared to industry standards across all three parameters of Environment, Social and Governance.

It's something that we pride of is obviously Governance, and we're delighted with the score. Not that the other areas are not important , we make an impactf ul work on Social and Environment. We have more work to do, but

we're very delighted by the fact that, for the first attempt, we are, by far, significantly better off than industry peers.

Having said that, we don't rest on our laurels, be it on our ESG sc ore or on our compliance score. So, we are only as good as our next outcome. We are very focused and tightly organized to ensure that we get to the next big outcomes at both these, on compliance and on ESG.

I'm also pleased to welcome Mukta Arora on our Board, further strengthening the deep pharmaceutical knowledge that she brings to our larger Board. I'm also delighted by the fact that we now stand out with 5 out of our 8 Directors being independent. That gives us a lot more inputs as we get diverse and very valued inputs from our Board, which will obviously play a very significant role now in our operations.

We do have my colleagu es, Badree and Vikesh who's been toiling away in the last so many quarters. So I don't want to take anything away from the great work that he's done across the P&Ls. And I'll request Badree to have his commentary on the business, and then Vikesh, our CFO, will take over with h is commentary on the balance sheet and P&L, after which we'll open the call for questions.

Badree Komandur: Thank you. Good afternoon, everyone. And I just want to say that we had a fantastic quarter.

Just as a recap, when we started the year, we had four goals , one was to get a revenue growth of 12% to 1 5%, as we speak, we have done about 17.3% year -on-year growth at the company level.

Second goal was to get an EBITDA of INR750 crores to INR800 crores. As we speak, we believe that we'll be at the top end o f the guidance as we end this year in FY '25. And we did about INR5.84 billion, that's INR585 crores in the 3 quarters in this year.

The third goal we kept was in terms of the debt -by-EBITDA ratio, which we said that we'll be <2 as we speak, and with the run rate here <2 just ahead by one quarter. And U.S. revenue, we gave a guidance between $275 million to $290 million, all in line, exactly on track to achieve within that range.

I'll focus on some of the growth metrics that are very important from a comp any perspective. One is in terms of revenue growth, 17.3%. Gross margin growth has been faster than the revenue growth, 21.4%. And EBITDA growth has been much faster than the gross margin growth, which is at 43%. And of course, all this relating to an EPS growth, which was much higher than all of this. And as seen in this quarter, our gross margins for Q3 has been at 58.4%, and EBITDA margins at 18.2%. And Vikesh will cover all the efficiency metrics in his speech.

Coming to the U.S. business, we closed th e quarter at $73 million, and year -to-date at $214 million. We are on track to get to $275 million to $290 million. We had five product approvals and launched 4 products. And additionally, we launched three products from the acquired Endo

portfolio in 9 mo nths FY '25. As we speak, we have got total commercialized products at 71. And we are ranked amongst top three in 36 products. This is something we continue to enjoy that position in the last 3 to 4 quarters.

We also have industry -leading customer service levels, which is also a highlight of the U.S. business. And we have given a very long -term outlook in terms of the U.S. business for up to FY27-28. We believe that we are on track to achieve the same.

Coming to other regulated markets. It has started to fuel growth. We are at 7.8% YoY growth in Other Regulated Markets. We believe that we have made enough investments for it to grow in the coming years, and our strategies are intac t to grow the business i n the future.

As far as the Growth and Access Markets are concerned, we have a healthy growth of 32.4% YoY . And we believe that we have made enough investments in regulatory, and a lot of work is happening in across t

he geographies, including the Growth Markets. And we believe that, in the future years, that will add new dollar value in terms of revenue and gross margins to the group.

And as far as the ESG is concerned, we are very happy with the result in the first year of operations. We have been tenacio usly working for the last 2 to 3 years. And we believe that we have got the best -in-class processes, and we continue to work on these processes as we go along in the future.

The last statement is that we continue to believe that our growth levers are inta ct across the business, and our focus will be on execution operationally and also improve PAT and also

EBITDA to EPS conversion.
With this, I'll hand it over to Vikesh for further comments.
Vikesh Kumar: Thank you, Badree. Good afternoon, everyone. It's a very pleasing quarter. And this quarter captures a very significant milestone in our journey. It's a milestone of value creation and resilience.
As Arun mentioned earlier, we demerged a very high -margin soft gelatin business to help create a unique speci alty CDMO platform. And with the listing of OneSource, we have delivered a significant value to our shareholders. All this while we also continued with our persistent efforts on building the quality of our retained business, the resilience of which is refl ected in today's results across all the key financial metrics.
Since the financials have been restated to incorporate the impact of this demerger, I just want to take a minute to explain them. As you are aware, the appointed date of this demerger was set at April 1, 2024, and therefore, the financials for the quarter and year -to-date, starting right from April 1, are now representative of the retained business. Q1 FY '25 and Q2 FY '25 have also been restated from our previously reported financials to incor porate the effect of this appointed date. All the line items of the P&L, even for the comparative period for FY '24, have also been restated so that they can be made comparable to the current retained business that we published for FY '25.

Moving to the o perational performance of the retained business. Our reported PAT for the quarter is at INR90 crores, with a reported EPS of INR9.56. It reflects one of our best quarterly performances despite the demerger of a very profitable soft gelatin business. Our EBITDA for the quarter at INR210 crores with an EBITDA margin of 18.2%. With this, our year -to-date EBITDA is at INR585 crores wit h an EBITDA margin of 17.3%.
Our operational PAT for the 9 months is at INR232 crores, with an operational EPS of INR25.2. Our reported PAT is much higher for the 9 -month period at INR324 crores, with a reported EPS of INR35. This is on account of INR102 crores onetime gain that we recorded on account of the continuing investments that Strides hold in OneSource post the demerger.
On the efficiency metrics, our cash -to-cash cycle has further improved to 190 days. It reflects a very strong operating cash ge neration. This has helped us invest growth capital for both our working capital needs and also capex using the cash generated from operations. Our net debt as at December '24 is at a very comfortable level of INR1,571 crores. Additionally, the investments in OneSource are now valued at INR300 crores.
During this year, in this 9 -month period, we have reduced debt by INR464 crores, and this is after spending INR134 crores in growth capex . During this quarter alone, apart from the INR283 crores of debt that w e transferred to OneSource as part of the demerger, we have reduced debt by an additional INR48 crores. With this reduction, our net debt -to-EBITDA is at 2x. And with this, we have achieved our full year outlook one quarter ahead of time.
As an update on the guarantees further to the release, all the guarantees that were given to OneSource from Stri

des are now fully released, and we do not have any outstanding guarantees as of date. Our ROCE metric has now improved to 14.7% compared to 12.8% for FY '24, an d our fixed asset turnover is now at 4.8x.
Covering specific cost line items. Our expenses for the quarter have remained steady as a percentage of sales. And we're very happy with the reduction in our borrowing costs. With the reduction in debt and improv ement in our borrowing costs, our gross interest costs have significantly reduced during this quarter.
Our net interest costs are at INR47 crores for the quarter and at INR152 crores for year -to-date, which is representative of our current run rate on int erest costs. Our effective tax rate is at 18% year-to-date, and it is in line with our estimates, and we expect it to remain in this range of 18% to 20%.
We have also accounted for the gain on account of the demerger, and this is at INR3,188 crores, and t his is reflected as part of our discontinuing operations. It has been a very comprehensive performance, and we remain focused on achieving the higher range of our outlook for the year across all our financial parameters.
Thank you. And we are happy to take any questions that you may have.
Abhishek Singhal: Maybe we'll open for Q&A now, please.

Moderator: The first question comes from the line of Akash Jain with MoneyCurves Analytics.
Akash Jain: Congratulations. I think very pleasant set of numbers and I think the biggest surprise has come

on the margin side, frankly. So Arun, my understanding, clearly, was that the Softgel business is a high -margin business. So , I was not very sure of what will be the margins of the remaining business, but we have had g reat margins in this quarter and even 17.3% for the full year.

So, I just want to understand, from an overall perspective going forward, what should we think of the overall margins? And now that over the next 3 years, we are guiding for certain revenue growth, is there levers on operating leverage side to further improve the margins from 17.3% that we have achieved for 9 months? So that's the first part of the question.

The second question is regarding the U.S. business. I think we have earlier guided , I think last quarter guided for about $400 million of revenues in the U.S. business by FY '28, which broadly is about 11%, 12% revenue growth. And , we also mentioned that we will reintroduce 60 -odd products into the U.S. market.

So, I just want to get a lit tle bit of insight from you , are there any meaningful products in that basket that has really moved the needle? A little bit of insight into how we are going to go this journey from $20 million to $90 million up to $400 million, yes?

Arun Kumar: Okay. Than ks, Akash. Thank you for your kind words. And firstly, I mean, ever since we announced the carve -out of the Softgel business, we've been looking at the retained business, and then working on those levers. We have the pleasure of having a year with us, and we compounded our actions around this last several quarters, which obviously you were not seeing it as they were embedded i n our consolidated results.

So we had a conscious strategy to improve our network optimization, improve our sales, reduce our costs. And you'll see a lot of parameters to be steady state while our leverage is going up. I just want to give you comfort that you would see absolute growth in our EBITDA as we take off the larger soft gelatin business of high margin, look at Strides fo r the next several quarters as a company that will be able to deliver on its growth and continue to grow on its absolute EBITDA numbers.

I don't think that, yes, we can in the next immediate near term. T echnically, if you look at the restated numbers, we have added about 350 basis points of margin expansion in the EBITDA level in the last 4 quarters. So , we w

ill have this slow and steady focus, but you have to now start looking how this company is able to deliver a lot more free cash, reduce debt more significantly. So, we are not necessarily worried about the percentage of EBITDA. It will not be lower than where we are now, but it will not significantly higher also from where we are. But I think the absolute quantum will increase. Our cash -to-cash cycle w ill reduce with all the actions we have taken, delivering significant new cash.

Coming to your U.S. question. We are continuing to retain our guidance. No change in spite of the Softgel business going off, and that's because of our strong belief that we h ave enough products to take us there. We have been consistently meeting our guidance for now, 14, 15

quarters of what we said is probably not as guided, at least in the calls. And we think that we will continue to grow that trajectory .

We don't specifical ly talk about products. There's a lot of products that you can pick up from the IMS. But we have this principled approach of not launching a product, unless it meets a certain profit margin and a market share philosophy. So yes, we have this nice range of products that help us support.

And our newer launch is a lot more than our historical $5 million to $10 million product. We are now more in the $20 million range. So every time we launch 1 or 2 products in the 60 -product basket, the trajecto ry changes qui te significantly.

Moderator: Thank you. Next question comes from the line of Anand Mundra , an Individual Investor. Please go ahead.

Anand Mundra: Sir, congratulations on the good results. Sir, my first question is with respect to gross margin. They have expanded significantly on a sequential and Y -o-Y basis. So wanted to understand, what are the key drivers for this expansion? And what is the sustainable gross margin?

And the second question I wanted to understand about, net debt to EBITDA. We alrea dy achieved 2x net debt to EBITDA as we guided. And so when we can expect to be debt free? And what is the capex requirement over the next 2 years to 3 years?

Arun Kumar: Yes. Vikesh should take that.

Vikesh Kumar: Yes. So the gross margin, what we gave fo r the current quarter at 58% is more representative of the business going forward. I think it should more be looked at from a 9 -month perspective, and the ups and downs were more because of the softgel and non -soft gel within. Now we're really focused on t he retained business consistently, and the current quarter is a more representative quarter of our gross margins.

On the net debt to EBITDA, like you rightly said, we've met our targets ahead of time, and we are focused on continuous debt reduction from s ome free cash generation over the next 2 years

to 3 years. And if we continue this trajectory, we should be debt -free.
In terms of capex , we are only looking at INR150 crores to INR 200 crores of capex every year, and that should sustain for the next coupl e of years. Our investments in R&D are going to be significant as we build up portfolio pipeline for future.
Anand Mundra: Sir, I wanted to understand more about gross margin. So for 9 months, we did 56%. And for this quarter, we did 58%, 58.4%.
Arun Kumar: I think, Anand, the commentary was look at absolute increase in gross margins. And as Vikesh alluded, we would be in this kind of a range. 300 basis points. It's not necessarily a very significant uplift. We'll have quarters of 300. We'll have some quarters of 200. But that 55%, 58% range, which effectively means our revenue growth will be a lot quicker and faster from here.

Anand Mundra: Understood. And sir, the last year competitive number of 54% and 53% for 9 months and third quarter, is this incl uding the softgel business? Or this i

s without soft gel business, the gross margin?
Arun Kumar: No. It's restated, Anand.
Vikesh Kumar: Yes. It's all restated. The numbers do not have the soft gelatin numbers in it. It's all restated for the continuing business.
Anand Mundra: Okay, thanks, sir. Thanks a lot, sir. Congratulations once again for good results . Sir, thanks.
Moderator: Thank you. Next question comes from the line of Nitin Agarwal with DAM Capital. Please go ahead.
Nitin Agarwal: Arun, on the point that you mentioned about the newer launches being more the $20 million product sort of range, some of these the newer products. So this -- are we talking about the post '28, sort of the post $400 million , as we call them, beyond generic la unches? Or even within the portfolio of 60 products that you're looking to relaunch over the next 2, 3 years, there could be products like these?
Arun Kumar: Nitin, your voice is cracking a little bit.
Nitin Agarwal: I was saying the point that you mentioned about $20 million product launches happening incrementally going forward. So this pertains more to some of the beyond generics products that you're talking about or even in the current sort of product.
Arun Kumar: No, not beyond generics. So , for example, we have Suprep, where, if you look at IMS, we are over $20 million. We have Sucralfate, which is very close to that trajectory. So there are a lot of new products. This year has been a good year for new product launches. We have some more coming our way soon. The controlled substances from our portfolio that we acquired from Endo, now are more than a $10 million -plus product, kind of.
So yes, there has been significant new shifts. The beyond generic 505(b)(2) and nasal sprays you'll see that in ' 27. Onwards FY '27, we expect those 2 products, that domain and the 505(b)(2), to be a very significant upside. And that's why we have not change the numbers in spite of the softgel business moving away.
Nitin Agarwal: Right. And given some of these dynami cs you've discussed, Arun, is there a probability of probably exceeding the U.S. guidelines for $400 million by F Y'28? Is it possible to sort of exceed that, overachieve that, given where the dynamics are?
Arun Kumar: Well, I mean, I think we need to wait for the next couple of weeks to see how things kind of pan out, specifically under the new political shifts in the U.S. and how , if there's any duties and stuff like that, which are bearing on the industry. We don't think so.
Having said that, you will al so probably know by now that a large part of our now U.S. sales comes from production, products manufactured in the U.S. So that, to a very large extent, we

have indicated, over time, with the acquisition of Endo facility in the portfolio, but yes, I mean, it's an aspirational number.
If you look at our current path to success, Nitin, we've been ahead of everything we've said a couple of quarters. So , I would like to believe that could apply for this. But at this time, we would not want to change anything upwards or change the dates by when we get there. I think it's a couple of more quarters and some more big launches, we should be in a position to give you more color on that.
Nitin Agarwal: Right. And if I can just push that a little bit, Arun. In terms o f the beyond generics part that you mentioned in the presentation, so there are these control substance nasal sprays you talked about and the 505 (b)(2)s. I mean, qualitatively, are there any other verticals or domains that you would want to get into over a slightly more longer period of time that you are already working on?

Arun Kumar: Yes. So we're doing a lot more in the nasal sprays. We are now becoming an important player in the liquids and the unit dose business. That's a new niche that we are de veloping. We have invested significant capex around those

capabilities, and we've already got product approvals.
So yes, we have been picking up niches and domains and working through them. So you'll see that panning out. But I think the big new domain wou ld be the nasal sprays.
Nitin Agarwal: And second one on the Other Reg M arkets, there's been a year of consolidation for this business versus earlier expectations. I mean, when do you see this business sort of breaking out from the current $40 -odd million quarterly range?
Arun Kumar: Yes. I know we've been stuck at these numbers for quite some time, Nitin. It frustrates us as much as it does people like you who cover us. But the point really is that, no, this is a pure B2B business. We work with very large partners who insist on getting their labels and MAs approved in every single EU market before they launch because we don't want the natural channels we work with a champion in the continent and the anticipated launch to launches, pushing out. The products are approved, but these companies take much longer than what we have hoped for. I think a breakout of this stagnant kind of bar chart would happen in the second half of next year onwards. And you'll see that coming out quite nicely with some of the -- so we have got all our products approved. We've got a contract signed. It's just the launch delays from our partners. And that's just because they're so organized with their priorities that when they launch, they do a good job. But until then, we wait.
Moderat or: Next question comes from the line of Rupesh Tatiya with IntelSense Capital . Please go ahead.
Rupesh Tatiya : I had two , three questions. One, sir, is this transfer pricing tax order that we received on, I think, January 20, I mean, you said the financia l impact cannot be assessed. But can you give some tentative range around that? It would be very helpful to just determine whether it's a material , I mean, materially large amount. Or it's just something we can manage? That is question number one.
Second question is, I mean, in the past, you have said that nasal sprays and control technologies, these 2 kind s of like beyond gener ics will be able to replace INR 150 crore EBITDA that has gone off from the softgel oral technologies. So this process, I mean, whe n can we s tart to see

this additional INR30 crore, INR 40 crore quarterly run rate? Can we start seeing this from FY '26? Or we're to wait until FY '27 for some of those gains to come in?
And then the final question is, I think Icosapent ethyl or Vascepa, that was, I think, a very good product that we had, but I think it got entangled in litigation. Do you have some update on that? Can this product make a comeback in FY '26? Those are my 3 questions.
Arun Kumar: I think on Icosapent, I'll answer th at, and the rest, Badree will. Icosapent, effectively, you're right. It's not a legal issue with us, but it's also to do with the class action suits in terms of supply chain squeeze -outs. And we hope that there will be a positive resolution around that in favor of the generic companies.
That's our belief. And that should then open up the market again. But remember that this product now is in the OneSource portfolio, and it's not so relevant to our conversations at Strides.
Badree Komandur : I think, it's all in the normal course and the amount is very, very immaterial. It's all light. We have to make a disclosure because of some new disclosure norms that have come. And that is very, very minuscule, if I may, material impact. Thank you.
Rupesh Tatiya : Yes, sir. Hello?
Badree Komandur : Yes.
Rupesh Tatiya : Yes. One more, sir, about that INR 150 crores EBITDA that we are expected to recoup from these nasal sprays and control substances. When can we see that process start?
Arun Kumar: Yes. We didn't understand your question. Can you repeat?
Rupesh Tatiya : No, sir, in the pas t ca

lls, you have said that INR 150 crore EBITDA we are losing because of the soft gel business moving from Strides to OneSource. But you have also said this INR 150 crore s EBITDA, we can make up from nasal sprays and control substances vertical. So my question is when can we see this?
Arun Kumar: Making up, happening in the last 2 quarters.
Rupesh Tatiya : Sorry?
Arun Kumar: Haven't you already seen the making up happening?
Rupesh Ta tiya: So control substances are already contributing, sir, in our revenue?
Arun Kumar: Yes, it is.
Moderator: Next question comes from the line of Sarvesh Gupta with Maximal Capital Private Limited . Please go ahead.
Sarvesh Gupta : Congratulations for a good set of numbers. Sir, my first question is on our overall guidance for

FY '26. So we understand that we have an aspiration of growth of 11%, 12% in the U.S. business,

and then we were looking for second half to be good for the oth er regulated markets. But probably, that has got pushed out to maybe the H1 of next year. So how do we look at overall growth guidance for next year?
Arun Kumar: Why are we discussing next year's guidance now?
Badree Komandur : He's asking what's the group guidance for the next year.
Arun Kumar: We gave a specific guidance because of the carve -out, right? And I don't really push us for what's going to happen next year. We will talk about this when we finish our year.
Sarvesh Gupta : Okay. And specific to the Other Regulated Markets, sir, do we expect some growth spurt to happen in the fourth quarter itself? Or do we see that pushed out to maybe the first half of next year?
Arun Kumar: I did respond to the earlier question that we said that we can see to Nitin' s question, that the Other Reg Markets will be probably steady state for another 2, 3 quarters. And you'll see the growth trajectory or the play out happening in H2 of next year for the reasons that I explained.
Moderator: Next qu estion comes from the line of Aniket Nikumb with ABN Capital . Please go ahead.
Aniket Nikumb: Congratulations on a great set of numbers. I just had a follow -up question. I think with respect to an earlier participant, what was your comment regarding the debt paydown? And if you could just repeat that, that would be helpful.
Vikesh Kumar: What we mentioned is that the focus is on free cash generation, and that trajectory will continue in terms of the operational cash flow to free cash generation. And whatever free cash is generate d will go to debt reduction.
Aniket Nikumb: Got it. Would you be able to tell us , what's the amount of capex you expect to do over the next couple of years?
Arun Kumar: No, I think w e have spent close to about INR 250 crores in the last 2 years. And then ty pically, that's how the industry works, that we invest, and then we get that capacity utilized. So our capex over the next 2 years would be relatively light. We can't put a number to it, but it will be relatively light.
Moderator: Next question comes from the line of Sufiyan Mansuri with Aventus Capital . Please go ahead.
Sufiyan Mansuri : Congratulations on the Q3 results. My question was following the OneSource demerger, could you clarify the Strides current subsidiary structure?
Arun Kumar: We don't have a ny subsidiaries related to OneSource.
Sufiyan Mansuri : No. I'm asking about subsidiaries related to Strides?
Arun Kumar: Well, we have plenty. Why don't you just send us an e -mail and we'll give you a long list of them.

Sufiyan Mansuri : Okay. Another question is you have 250 -product portfolio. So this new 60, relaunched dormant products are included in it?
Arun Kumar: Yes.
Moderator: Next question comes from the line of Neha Kharodia with Abakkus . Please go ahead.
Neha Kharodia : So I basically wanted to unders

tand about the R&D investments. So we have said that they'll be significant going forward. So just wanted to understand, one, whether it will be more directed towards product development or dosage form or technology? I would like just to have more qualitative understanding into that. And can we quantify the magnitude, let's say, annual R&D spend that we'll be doing for next 2 to 3 years?
Arun Kumar: Well, we don't need to spend any R&D dollars for our generic portfolio. We have ple nty of ANDAs. And as long as we clean them up and bring it to high standards, cost competitiveness, we'll launch them. When we say significant, our typical R&D spend, because of the fact that we had acquired a lot of ANDAs, was quite low. We were spending less than about 3% to 4% of our U.S. sales in R&D. And we are doing portfolio maximization using the same portfolio for other territories. So our R&D spend was low, significant enough to quantify it as doubling our R&D from this year, mainly targeted towar ds the domains that we spoke, 505 (b)(2) and nasal sprays.
Moderator: Next question comes from the line of Deepak Poddar with Sapphire Capital . Please go ahead.
Deepak Poddar : Sir, just wanted to understand, I mean, you did mention, right, in 3 years, we ar e looking to make our balance sheet debt -free. Is that right?
Arun Kumar: Yes.
Deepak Poddar : Okay. And so it will be fair to assume, right? I mean this quarter, our inter est cost was close to about INR 52 crores. So on a quarter -on-quarter basis or on an a nnual basis, we will see a

downward trend in that number, right?
Arun Kumar: Fair to assume.
Moderator: Next question comes from the line of Sandeep Dixit with Arjav Partners . Please go ahead.
Sandeep Dixit : Just a clarification. This is regarding EBITDA m argins. In one of your earlier response to the earlier question, you mentioned that the margins will be pretty much around the current levels moving forward, that is FY '26 onwards. But your presentation last quarter said EBITDA margin to be in the range o f 20% to 22%. I'm not sure which one of them is what I should work with?
Arun Kumar: You're looking at the guidance, including soft gelatins. So we said that soft gelatin is a high - margin business, and that is why Strides' shareholders received a little over $700 million for that business, right? Yes. So you're looking at a guidance which has not been adjusted for the soft gelatins.
Moderator: Next question comes from the line of Kiran D. with Tree Capital . Please go ahead.

Kiran D.: Sir, 2 questio ns from my side. One, from U.S., $400 million, should we expect an equivalent amount? Right now, we are about $250 million from other regulated markets and growth and access markets. Is it a fair assumption that the management, at least, is trying to do a 50-50? U.S. is $400 million and the rest of the markets, the regulated, the Growth and Access is $400 million as well? That's my first question. Second question is...
Arun Kumar: We can't hear you. You must be on a speaker phone or something so that we can hear you.
Kiran D.: Sir, is this better?
Arun Kumar: Yes.
Kiran D.: Okay. Sir, my first question essentially is, right now, we are, at U.S., $400 million -- sorry, in FY '28, U.S. probably will be $400 million . The Other Regulated plu s Growth & Access Markets, can we reasonably assume , right now, we are at about $250 million, can we reasonably assume that also will go to $400 million as well? That's my first question.
Second question, what are the possible risks over the next 6 to 8 quarters wher e we cannot maintain, for some reason, an EBITDA margin -- essentially, sir, in the last few c alls, we were talking about INR 1,000 crores EBITDA in FY '26. So , I'm just trying to understand what are the risks for that number not being achieved? It can

be i n terms of EBITDA margin or revenue degrowth. So those are the 2 questions, sir. One is $400 million and $400 million split, is it possible? And 2 is risk over the next 6 to 8 quarters that you see for revenue or EBITDA margins to be losing out?
Arun Kumar : We understood your question. On the ORM, your numbers of $200 million is wrong. We're currently at about $165 million. And we did mention that this business will take off only after about 2, 3 quarters from now. So it will lag the U.S. several years to g et to that $400 million size that we have. That was what we had suggested earlier, too.
As far as the U.S. is concerned, we don't see any issues in getting to those numbers. The risks are always getting product approvals, regulatory compliance, the standa rd 9 yards in ou r business. Will we achieve INR 1,000 crore EBITDA? We currently are at an acute quarter exit run rate of almost INR825 crores. So to add another INR150 crores to get to INR 1,000 crores looks very realistic, and it's quite possible. That's n ot a guidance we are providing at this stage, but it is something that we think we are confident of delivering in spite of not having the soft gelatin business.
Moderator: Next question comes from the line of Vivek Gautam with GS Investment . Please go ahea d.
Vivek Gautam : Congratulations for an excellent number coming from a pharma veteran of India, leading off pharma veterans. Kerala, it produces various little entrepreneurs, but we obviously have one exception. So just wanted to know about the headwinds i n the U.S. market. Have they reduced? So that the earlier competition intensity or generic price erosion, that is going down, and so the prospect is looking good for our company and the Indian pharma sector in general?

Arun Kumar: But we don't see so much of a price erosion that was prevalent 3 to 4 years ago. I think there's a little bit of sense in the buying group and in the supply set of people. So I think there is reasonability, I may use that word, in pricing strategies, and therefore, it becomes a lot more, I will not say attractive, but it's a lot more reasonable market to stay invested.
Moderator: The last question comes from the line of Akash Jain with Moneycurves Analytics . Please go ahead.
Akash Jain: Just one follow -up question. I just want to understand th e working capital days for Strides without the softgel...
Vikesh Kumar: Sorry, working capital loss?

Akash Jain: Working c apital days for Strides overall?
Vikesh Kumar: So working capital days for Strides overall is at 119 days. It is part of their debt, and that does not have the soft gelatin business.
Akash Jain: No, I know. My question was, is there also a path to further bring it down and optimize it? That is where I was coming from?
Arun Kumar: They're already best in class. It's g oing to be hard to bring in much lower than where we are, but we keep trying.
Thank you for your time today. And please feel to reach out to us if you have more questions.
Thank you.
Moderator: Thank you. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

Strides Pharma Science Limited
CIN: L24230MH1990PLC057062
Corp. Off: Strides House, Bilekahalli, Bannerghatta Road, B engaluru - 560 076, India
Tel: +91-80-6784 0000 Fax: +91 80 6784 0700
Regd Off: 'Cyber One', Unit No. 902, Plot No. 4 & 6 , Sector 30A, Vashi, Navi Mumbai - 400 703, India
Tel:+91-22-2789 2924/ 3199
corpcomm@strides.com; www.strides.com

May 2 7, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip code: 532531
The National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051

Scrip code: STAR

Dear Madam/ S irs,

Sub: Transcript of Earnings Call pertaining to Audited Financial Results of the Company
for the quarter and financial year ended March 31, 202 5.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and financial year ended March 31, 202 5, conducted after the meeting of Board of Directors held on May 22 , 2025, for your information and records.

The said transcript is also available on the website of the Company at:
Strides | Investor Presentation

Request you to k indly take the above on record.

Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary & Compliance Officer
ICSI Membership No. A30515

Encl: a/a

"Strides Pharma Science Limited
Q4 & FY '25 Earnings Conference Call"
May 22, 202 5

MANAGEMENT : STRIDES PHARMA SCIENCE LIMITED
- MR. ARUN KUMAR – FOUNDER AND NON-EXECUTIVE CHAIRPERSON
- MR. BADREE KOMANDUR – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER
- MR. VIKESH KUMAR – GROUP CHIEF FINANCIAL OFFICER
INVESTOR RELATIONS CONSULTANT
- MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Strides Pharma Science Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance duri ng the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhishek Singhal. Thank you and over to you, sir.
Abhishek Sing hal: Thank you, Pooja. A very good afternoon and thank you for joining us today for Strides' earnings call for the fourth quarter and full year ended financial year 2025. Today, we have with us Arun, Founder and Non -Executive Chairperson; Badree, Managing Director and Group CEO; and Vikesh, Group CFO, to share the highlights of the business and financials for the quarter.
I hope you've gone through our results release and the quarterly investor presentation that have been uploaded on our website as well a s stock exchange website. The transcript for this call will be available in a week's time on the company's website.
Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business . After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.
I now hand over the call to Arun to make his opening comments.
Arun Kumar: Thank you, Abhishek. Good evening to everybody w ho's joined this call. We really appreciate your time. We are fully conscious that today is a busy day for many companies in our sector announcing, so we appreciate that you could find some time to participate in our earnings call.
FY '25 has been a great year. We started the reset approximately 3 years before and I think we have delivered on all what we promised internally and externally. We had a phenomenal year in terms of performance, a true classic story of Opex leverage, significant growth in our EBI TDA and our highest ever PAT that this company has reported on an operating basis.
Very solid Q4. All outlook metrics have been met. And many of you know that Strides never used to guide, but I think we had to guide, given the turbulence that we had a cou ple of years ago. But now having demonstrated a very solid base, the company will continue to focus on opex leverage, higher EBITDA growth and absolute gross margin growth. While revenue, we have all the pivots for revenue, all of you are familiar with our measured growth. We have been consistently delivering in a particular range every 2, 3 quarters, and then we build up from there.
But having said that, little over 12 quarters, we've had Q -on-Q growth on our EBITDA, which is our internal metric for opex leverage, and we continue to build on that model going forward.
I'm more than happy to take questions after the introductions, both Badree and Vikesh will take over from me now, and we can then address your questions. Over to you, Badree.
Badree Komandur: Thank you. Good evening, everyone. And I'd like -- in the next few minutes, I'll try to take the -- I'll give you a complete flavour of the results. It has been a fantastic year for us FY '25.
Profitability, efficiency and growth has been the pillars on which the entire company has grown.

And there are 4 metrics which we kept for us, which we chased during the year, and one was in terms of revenue to grow between 12% to 15%. We grew 17.2%. And we said that EBITDA should be between a range of INR 750 crores to INR800 crores. We closed the year at INR802.8 crores, beating the higher end of the guidance. And net debt to EBITDA at 1.9 x. Our targe

t was
to get to less than 2 ; and U.S. revenue to be between $275 million to $290 million , We closed the year at $291 million, also surpassing the upper end of the guidance, what we have given for U.S. business. And what we want to say here is that t he U.S. business grew much faster than the overall company average by 22%.

From a revenue perspective, we grew 17.2% overall revenue and gross margins at 20.5% and EBITDA at 37% and PAT is a multiplier growth almost 12x from previous year. And the most pleasing aspect of the last 2 quarters has been that we have been able to maintain the gross margins at 58% to 59% range. And this has been the second consecutive quarter post the demerger of the Softgel business.

Coming to the U.S. business, we received 5 product approvals, and we launched 7 products, and we also sustained market share across the products. And we have market -leading positions in 36 out of 73 products which we commercialize. And we continue to enjoy great service levels compared to most of t he other people in the industry.

And we are also happy -- we are also pleased to announce that the first nasal spray product was filed -- which was beyond $400 million strategy was filed with U.S. FDA recently. From another regulated markets perspective, we grew at 13.5% and the strong in -licensing portfolio to drive near-term growth in U.K. and Nordic markets and we need to work hard on expansion of the product portfolio and new customer acquisitions, which will be the focus going forward. An d continued momentum in filings will also drive the growth in the medium term.

As far as the growth markets are concerned, we grew very well in the growth markets, 24.2%. Access markets was a slight degrowth. And we all know that access markets is very lu mpy, and we believe that we have got enough pilots in place to bring in new dollars for the growth markets in the near future. The company will be focusing heavily on the regulatory and the R&D work with respect to the new markets and -- so that the long -term growth is intact from a company perspective.

And focus on portfolio maximization strategies are also in place and channel partner expansion will also drive the future growth. And overall, if you really see, we are very happy with the growth and across all parameters of profitability, efficiency and growth.

And I'll let Vikesh to cover the efficiency and the growth parameters.

Vikesh Kumar: Thank you, Badree. Good evening to all of you. As Badree mentioned, it's very delighting to share that we have had a very strong closing to FY '25 with very consistent operating performance across all our metrics, demonstrating a very solid and comprehensive operational execution.

We had an exceptional year -on-year growth across all P&L metrics. We reported a n EBITDA of INR803 crores for the year, which grew by 37% with an EBITDA margin of 17.6%, a 252 -

basis points expansion in our margins. We also reported our highest ever operational and reported EPS for the year. Our operational EPS at INR37.46 per share gr ew 12x and our reported EPS is at INR44.05 per share.

Our operating leverage and focus on all our cost line items is clearly demonstrated in the significant improvement in our EBITDA to PAT conversion. For the quarter, we have reported an EBITDA of INR218 crores, which grew 22% year -on-year with an EBITDA margin of 18.3%. And operational PAT of INR113 crores for the quarter is, again, our highest ever quarterly PAT that we've reported, and our EBITDA to PAT conversion is at 52%, which is a significant impr ovement over the last few quarters.

Our operational EPS for the quarter, we've ended at INR12.27 per share. We are very happy to also state that our Board has approved a dividend of INR4 per share in our results today. Our focus on efficiency metrics is also seen in our cash -to-cash cycl

e, which is at 117 days, and this
has helped us deliver our best ever operational and free cash generation. Our operational cash flow of INR684 crores for the year is 85% of our reported EBITDA. And this has helped us to deliver a free cash of INR230 crores. This is after spending INR242 crores in capex .

This cash generation and with the debt we transferred to OneSource as part of the demerger has helped us significantly deleverage our balance sheet with our net debt reduc ing to INR1,522 crores. It is a reduction of INR513 crores during the year. We also had very focused efforts on reducing our high -cost loans, which has helped reduce our gross debt by INR619 crores during the year, and this has significantly improved our finance costs.

Our finance cost has improved by almo st 27% from Q1 to Q4. So just in the financial year, we have significantly improved our finance costs. Our net debt for the quarter reduced by INR49 crores, and this helped improve our net debt to EBITDA to 1.9x, which is ahead of our outlook of 2x. As of today, we have no outstanding corporate guarantees to Stelis. All the INR705 crores of guarantees that were issued have been closed during this year.

Coming to ROCE, our ROCE grew to 14.9% from a comparable 9.7%, a very strong growth.

Last year, we had re ported an ROCE of 12.8%, which included the demerged Softgel business. So even after the demerger, we've been able to grow our ROCE very strongly, and this is also reflected in our fixed asset turnover, which is now at 4.95x.

Our overall operating expense s for the quarter have remained steady for the year and these expenses have improved to 39% of sales from 40% last year. Our effective tax rate is at 18.7% for the year, and this is in line with our estimate of 18% to 20%. Overall, it has been a fantastic performance that we've had during the year, and we've demonstrated a very consistent quarter -on-quarter EBITDA growth for the last 8 quarters, and that continues to remain our focus going forward.

Thank you, and we are happy to take any questions that you may have.

Abhishek Singhal: Pooja. We are open to take questions.

Moderator: Thank you very much. The first question is from the line of Aniket Nikumb from ABN Capital. Please go ahead.

Aniket Nikumb: Congratulations on a great set of numbers, sir, and t he progress you've done over the last couple of years. I had 2 questions. First question, sir, was on the U.S. business. We've now achieved, call it, $291 million of revenue, and we've given a 2 -year outlook of $400 million. So, maybe would you like to giv e a little bit colour on how you're seeing FY '26 and maybe a little bit on what are the key launches you are seeing or a little bit more colour on the new controlled substance nasal spray opportunity that you are targeting?

Arun Kumar: Yes, sure. Aniket, we don't get to such granularity as a principle. The U.S. business continues to be an important part of our overall growth strategy. Our $400 million objective has been up in our slides now for a good 3 years. We have grown this business quite sign ificantly in the last 2 to 3 years, and we still have over 200, -- almost 150 ANDAs that are not commercialized.

So we'll continue to focus on the U.S. business. We have, we think, the contrarian approach of staying invested in U.S. has played well for us because of our product selection and our service levels. We still believe that there is -- with all the ambiguity that is still in the air as regards tariffs and stuff like that, we are in a very strong position to grow our U.S. business.

The U.S. plant that we acquired from Endo has a very significant controlled substance opportunity across all domains. Our first -- we have 3 filings in our nasal spray programs, which will all be completed within the year. The market opportunity of this is very significa nt. Th

e

nasal spray's market opportunity -- it's close -- the nasal spray global opportunity in the U.S. market is very significant. We expect to be one of the fewer players in controlled substance nasal sprays. And apart from -- we don't normally give pro duct names as a policy. I hope I've addressed your question.

Aniket Nikumb: Yes, that's helpful. And maybe would you like to give any colour on the 505(b)(2), what segment or any colour on that?

Arun Kumar: I mean, there are so many domains in the market. It's our first 505(b)(2) in a very specific area. It's too early for us to give you more product specifics.

Aniket Nikumb: Got it, sir. Very helpful. Sir, my second question was a little bit maybe just on the finance side. Obviously, we have delivered significantly. So, would you sort of expect a sort of credit rating uptake and a significant reduction in the cost of funds? What's our current borrowing rate? And do you think that sort of comes down meaningfully in the next year?

Vikesh Kumar: Yes. So, on th e finance costs, as you would appreciate, in H2, we have already done a significant level of renegotiations and improved our overall finance cost efficiency and that is reflected in Q3 and Q4. And clearly, after these results, we are working on the credit rating, and we will update you as we go forward.

Aniket Nikumb: Sir, what's the current cost of funds?

Vikesh Kumar: The current cost of funds is about 9%.

Moderator: We'll take our next question from the line of Anand Mundra from SOAR Wealth.

Anand Mundra : Sir, I have a question with respect to other regulated markets. So, revenue has been largely flat for the last 4 quarters in this segment. So, wanted to understand your growth prospect for FY '26?

Arun Kumar: Well, the other reg markets has steadied, and you're right that the last 4 quarters has been fairly straight line. And that has also to do with the fact that we have significant B2B business in Europe. And when we have licensed out our products to larger players in that market, it takes a little whil e for them to have their launch programs up and running.

So, I think achieving consistency was a key theme that we have achieved. And I think going

forward, although it's consistent 4 quarters, you'll notice there's a 13.5% growth. So it's not necessarily small growth. But we think that all the engines are now firing in Europe, and we should be reporting even a more improved outlook on these markets as the quarters go.
Anand Mundra: Noted, sir. Sir, other thing, in earlier calls, you had mentioned that oth er regulated market shall mirror U.S. market in the next 4 to 5 years. So that means that we are looking for substantial growth in other regulated market also. So, how do you -- what are the key driver for the same, sir? How do you think that would be achi evable?
Arun Kumar: So, it's there on our landing slide, it talks about portfolio maximization, incremental focus on newer partners, and we'll continue to drive growth in the medium term through these actions.
Anand Mundra: So do you see that U.S. market and other regulated market will be similar in next 4 to 5 years, sir, in terms of absolute size?
Arun Kumar: Well, that's a fair guess.
Anand Mundra: Okay, sir. Sir, my third question is with respect to cash conversion cycle, there's a significant improvement from FY '23 to FY '25. Can we expect further improvement in working capital cycle sir?
Arun Kumar: I think we already have industry -leading cash -to-cash cycle days. And Vikesh, you can allude to -- add more to that.
Vikesh Kumar: Yes. We've got to a position where I think it is important to sustain this performance over a longer term, and our focus is going to remain on maintaining these cash -to-cash cycle days.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal:

Congratulations to the management team for a brilliant turnaround this year. Arun, on the U.S. business, how many products are we looking to launch of the 60 -odd that we've identified from the dormant ANDAs over the next couple of years?
Arun Ku mar: Nitin, thank you for your kind words. Just to -- it has been 2 consecutive years of solid performance. I didn't want to take away anything from the team that delivered that. Having said that and specific to your question, we -- out of the 60, I think we have already now launched

more than 5 or 7 products and now -- and that is why we are very bullish about the market opportunity. But as you know, as a measured launch, the file -- the improvements in the files from what we acquired have been completed f or a lot more, but we'll only place the product at the right time and at the right price.
So, we are not opportunistic in accelerating our growth because we already have a fairly significant above peer group growth in terms of percentage Q -on-Q for the U. S. market. We'll continue with that, with the portfolio that we have. But we do have 60 products identified. A lot of them are -- we have got all the regulatory interventions done, some of them are launched, and we'll keep launching 1, 2 products every qua rter. We also remember, Nitin, that when we face challenges on our products, we also withdraw 1 or 2 products. So, it's not necessarily a net -net game.
Nitin Agarwal: Right, right. And in terms of the incremental R&D that we are doing, this is now largely g oing towards, as you call it, the beyond $400 million as a strategy of your portfolio or there is some R&D, which is really -- is this how we are calibrating the R&D incrementally?
Arun Kumar: For new ANDA filings, except for very few products where we hav e very strong fit for scarcity theme . So, it's a very small number of products. Almost 75% of our R&D investments, and this year it will be a fairly significant jump will be for the Beyond 400 portfolio, because most of the filings with 505(b)(2)s, as you k now, cost almost $2.5 million just on the fees. So, there will be incremental costs that you will see soon. But we're very confident about those products and the opportunities they bring to us.
Nitin Agarwal: And then these products would be typically start making impact for F '28 or further I mean, for '28 onwards or it'll take more like '29 onwards? These large complex products?
Arun Kumar: All the 3 nasal sprays, we expect to be commercial between 12 and 18 months from now. And they are fairly significant programs. And the C2 products, C1, C2 products that we can only make in the U.S., we have revived most of the files for us to relaunch, and that will also support the growth of products manufactured in the U.S.
Nitin Agarwal: Okay. And on the -- just a couple on the housekeeping numbers, the exit interest cost and the depreciation that we've had, these are the numbers that we can assume on a going -forward basis now?
Badree Komandur: Yes.
Nitin Agarwal: And Vikesh, what kind of debt reduction are we targe ting over the next couple of years?
Arun Kumar: I think we are in a very comfortable position now. We probably can reduce another INR1,000 crores in the next 2, 2.5 years. That's a goal. Yes. So, we think that we can generate the INR500 crores, INR600 crore s of free cash every year. We had a fairly significant capex play in the last 2 years of building some of these new domain capabilities. But now that will shift to the R&D

spends. And yes, I think we should be in a good position.

Nitin Agarwal: So, Arun, w hat kind of R&D spend are we looking at from here on with these newer investments you're looking at?
Arun Kumar: So yes, it's -- we are almost doubling our R&D spend from where it

was last year, and almost
$15 million of the $20 million that we are spendin g will be for the Beyond $400 million play.
Moderator: We'll take our next question from the line of Jegadees Sharma who is an investor.
Jegadees Sharma: Congrats for the quarter. Sir, what is our capex outlook for FY '26 to FY '27, sir?
Vikesh Kumar: The capex outlook, we expect to maintain similar or lower levels.
Jegadees Sharma: Okay. So, my second question is, we have reached INR218 crores of EBITDA on a quarterly basis and INR430 crores in the second half of this financial year. Are there any one -offs in this? Or is this a sustainable exit rate that we can extrapolate for FY '26?
Vikesh Kumar: You can, there are no one -offs.
Jegadees Sharma: There are no one -offs. And do we anticipate any growth, sir?
Arun Kumar: Any?
Jegadees Sharma: Growth in EBITDA.
Arun Kumar: We are not going to take a growth holiday. We've been growing every year. So if you see flow - through margins through EBITDA and PAT to be significantly higher than the revenue growth that we will achieve.
Jegadees Sharma: So, can we expe ct high teens margin, sir? Because our Softgel business has been carved out which was the most profitable segment. So, can we expect?
Arun Kumar: We have reported 18% EBITDA in Q4. So, what are you talking about, high teens? We are very close to 20%.
Jegade es Sharma: Yes 20%, 20% is I'm asking.
Arun Kumar: We should be there.
Jegadees Sharma: We should be -- in the next 3 years?
Arun Kumar: Yes.
Moderator: I'll take our next question from the line of Rupesh from IntelSense Capital.
Rupesh: Congratulations on fantastic year. My first question, sir, is on our ability to respond to U.S. tariffs. I mean -- a lot of things are fluid, but we have a facility there. And also, if you can give some colour on what kind of capacity we have, what is the capacity utilization? If things come to it, how fast can we move some production there? So, if you can give some colour on that, that will be really helpful.

Arun Kumar: Yes. So basically, on generics, it's impossible to compare costs. The U.S. costs are a bout 3.5x to 4x depending upon the product you manufacture compared to Asia. So, I personally think that we have almost 70% of our revenues and -- 70% of our margins coming from products that there are very few players or none and/or they are produced in t he U.S. already.
So, we -- as far as tariffs are concerned, we will not be able to eat the tariffs ourselves. We'll pass on the tariffs. And that's our stated policy. So, it may take a little time in terms of lag of introducing the new prices. But I think considering that we do not do commodity products where there are many players with the same ANDA, I think we are in a much better position to take head on the generics tariffs if it arrives.
Our personal belief is that it does not make sense from a ration al situation for generics to be tariffed, but that's our view. But if tariffs are there and it has to be beyond 100% for anything to be made in the U.S. viable or comparable, which is not going to happen. So, I think there will be some amount of tariffs, b ut we'll wait and see. It's too early to speculate.
Rupesh: Second question, Arun, is I think Europe -- I mean, in the past calls, you have always been saying that the Europe growth will pick up in FY '26. Other regulated markets also will pick up where we've been trying a few things in those markets. So, is it fair to assume that we will hit $50 million run rate in other regulated markets and $30 million run rate in growth markets this year? Is that a fair assumption to make?
Arun Kumar: It's not a fair ass umption, neither can I confirm or -- we are working on growth, right? And it takes time in Europe because it's not 1 market. There are 25 or 28 markets that we have to cover when we s

ell products in that market. It's time consuming. But we are feeding a lo t of products and programs. And I think you will see -- and this is very typical of Strides. If you look at the last 3 years, we stabilized the business over 2 to 4 quarters, and then we take it up a step. And

that's what we have done very successfully and that's the model we are following here.
So, to be sure that we have visibility of $40 million every quarter was the key goal and above. And now our goal will be more growing from there, and I'm not in a position to say if our exit rate will be 60%. It wi ll be an important market to see growth. And to your specific question on emerging markets, it is growing higher than the company average, as you can see, but it is a low base. It takes time to build that business. We have started a lot of activities. But we think it will also be a nice segue to our overall strategy to create value.
So, I think one of the earlier colleagues of yours who asked question was, will we be able to mirror us other reg markets to U.S. in a couple of years? That is a $400 million n umber in the U.S. The answer is yes. Do you see -- will we see a slightly better outcome in this year in ORM? The answer is also yes.
Rupesh: And just quickly, if I can ask about pricing pressure across all our key markets, any colour you can give on prici ng pressure? That would be my last question.
Arun Kumar: We have no pricing pressure. We've been saying this for the last 3 years. We ha ve no pricing pressure because we exit if there is pricing pressure. Okay. Next question?

Moderator: We'll take our next question from the line of Sarvesh Gupta from Maximal Capital.
Sarvesh Gupta: Congratulations on a very good set of numbers. Sir, just one question on the balance sheet. So, right now, we have a net debt of around INR1,500 -odd crores. And what we are g uiding is around INR500 crores odd reduction in this every year for the next couple of -- 2, 3 years, right? Is that the right understanding?
Arun Kumar: No, we are not guiding anything. All we are saying is that this year has been a significant free cash generating year. Vikesh clearly articulated that he expects that to continue. This year, the INR500 crores or INR600 crores gross debt reduction also included a push down of INR280-odd-crores to OneSource. So, it will be fair to say that we don't want to b e a debt -free company. We wanted a good strong balance sheet, and we already have achieved that at 1.9x. Clearly, we think that we can reduce debt even more because we are -- we do have the ability to fund all our programs without any new investments. And yes, maybe INR300 crores to INR500 crores is a range that we can look. Some years it will be INR300 crores, some years it will be INR500 crores. It depends upon the R&D spend that we are investing for the beyond $400mn strategy in the U.S.
Sarvesh Gupta: And this INR1,500 crores number does not include the INR300-crores -odd of retained interest in OneSource, right?
Arun Kumar: No.
Sarvesh Gupta: Okay. And final question is on the capex , sir. So this year, we've spent INR240-odd-crores. So, what is the capex plan for FY '26 and where are you planning to spend that? That's all.
Arun Kumar: It will be much lower than the INR245 crores because we did a fair amount of spend debottlenecking the facilities for the next several ye ars. But like I told earlier, our spend in R&D will increase. So, I think net -net between capex and R&D, the numbers will stay. Last year, we would have spent about INR350 crores between the 2, R&D and capex . But this time it will be skewed towards R&D and portfolio management. So, I still think that we'll have between INR300 crores to INR400 crores of cash left after doing this.
Sarvesh Gupta: R&D spends also will be capitalized, right?
Arun Kumar: No,

we don't.
Moderator: We'll take our next question from the line of Kiran from Tabletree Capital.
Kiran: My first question is around debt, sir. So, we have about INR1,800 crores of debt, net debt of INR1,500 crores. So, the question essentially is, what are the risks that we see for INR1,000 crores EBITDA in FY '26? And basically, the follow -up is then we can go for a more aggressive debt reduction program back to INR500 crores, just like Arun just said -- mentioned, right? From INR1,500 crores to INR500 crores over the next 2 years. So just trying to understand what is the risk for INR1,000 crores EBITDA in FY '26? And why aren't we going for a more aggressive debt reduction program?

Arun Kumar: I was asking where did you get this INR500 crores number from, Kiran?
Kiran: No, no. So, I was just saying INR1,000 crores EBITDA, what is the risk for INR1,000 crores EBITDA, and we have INR1,500 crores debt. You just said, we want to maintain a INR300 crores to INR500 crores debt. We don't want to be debt free. So I'm just saying INR1,500 crores minus about INR500 crores, higher part of your range is a INR1,000 crores reduction.
Arun Kumar: Okay. Everything that you said is fine, correct. Except the first line. We haven't guided for

INR1,000 crores. You are taking it -- you're maki ng that up.

Kiran: Sure sir. Yes, yes. That's understood, sir. I mean I'm just saying what is the risk of growth, just if I want to rephrase that?

Arun Kumar: Risk compliance which for, so far, we've had stellar records for the last 20 years. I think we ne ed to solve for the ambiguity of the tariffs. That would be kind of a tipping point. Not that it will impact us from our -- we are not changing our trajectory of the 400 million growth. Those are the standard risks.

Kiran: Got it. Got it. And the aggressiv e debt reduction program, sir?

Arun Kumar: I do not know what is this overhang of debt. We just reduced it from INR3,000 crores to INR1,500 crores. I'm not sure what are you trying to achieve from me by asking this question on debt. we are very comfortable because all of this debt is effectively working capital debt, it's backed up by receivables or inventory, and it's very normal for us to have it.

Moderator: The next question is from the line of Aryan Jain from Lotus Wealth.

Aryan Jain: Congratulations on the great set of numbers. We just filed our first beyond generic product, nasal spray for U.S. FDA approval. So how many more products do we have in our pipeline in the beyond generics portfolio?

Arun Kumar: We expect to file about 3 to 4 products ever y year from -- starting from this year. And most of them are 505(b)(2)s.

Aryan Jain: And I had another question. So, Strides has been investing heavily in the 505(b) product as a part of its beyond generic strategy. So, can you elaborate more on the therapeu tic focus areas, number of assets under development and expected approvals maybe in the next 2, 3 years?

Arun Kumar: No, we can't u nfortunately. I gave an indication that we'll have 4 filings, which effectively means we also hope we'll get 4 approvals per year.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: First of all, many congratulations for a great set of numbers. Sir, just wanted to understand, first thing, I mean, in the last call, we were talking about, I mean, this year FY '26, we might look at INR1,000 crores kind of EBITDA. So, that number remain intact, I mean, in terms of our great performance that we have seen?

Arun Kumar: We hope to continue the great performance that you are calling out. A nd whatever that adds up to, you will -- I mean, think about it, our exit run rate is INR870 crores, So, is it possible to get to INR1,000 crores? It depends upon what Mr. Tr

ump finally decides on tariff. Does U.S. take a -- will we be able to grow U.S. at the same levels? It's a function. That's the only thing in air. Otherwise, we believe that this Q -on-Q growth of EBITDA is definitely doable under whatever circumstances.

Deepak Poddar: Okay. So, we do -- we are targeting Q -on-Q growth in EBITDA. I mean, t hat's quite doable as per our understanding.

Arun Kumar: Thank you.

Moderator: We'll take our next question from the line of Chirag Shah from White Pine Investment Managers.

Chirag Shah: Sir, a few follow -up questions and one additional question. First is the 60 -product library that you indicated to drive. So, of that, how much would you think would be really active for the USD 400 million target, if you can just give some indication on that, how to think about it?

Arun Kumar: The 60 products that we plan to relaunch from the Endo portfolio is part of our $400 million story and not beyond $400 million.

Chirag Shah: Okay. So, all 60 would be launched?

Arun Kumar: Not necessarily. Depending upon -- our goal is to hit $400 million in a measured way, and we are happy with our growth trajectory. And to specifically answer your point the beyond $400 million has got no products that are being acquired. It is all R&D that we are doing ourselves.

Chirag Shah: Okay. And sir, just to clarify on this. So, when you think o f this new products launch, if you can indicate what is the minimum and maximum revenue potential range that you looked at given where we are operating today? And how would you incrementally think the minimum operating range of the molecules that you targe t? Revenue potential on an annualized basis or on a 3 -year basis, however you internally look at it?

Arun Kumar: I understand the question. Till about 3 years ago, our average revenue per molecule was about $3 million with 1 or 2 products exceeding $10 million. Today, our average product launch is $5 million, and we have several products which are more than $20 million.

Moderator: We'll take our next question from the line of Swaroop from Kemwell Biopharm.

Swaroop: Congratulations on a good set of numbers. So, I just have one question. So, just wanted to know if we'll be able to maintain the EBITDA margins of -- which are being currently managed by you?

Arun Kumar: Yes. Okay. You heard us, right?

Swaroop: Yes. Yes.

Moderator: We'll take our n ext question from the line of Kartik who is an individual investor.

Kartik: I just wanted to add on to what Chirag had asked earlier. Just trying to understand how the portfolio concentration will evolve in the U.S. for you when you hit the $400 million re venue mark. That's one.
And if you will indulge me, can you also split the profitability for the company between the U.S. operations and India operations separately or in terms of the rest of the of the world?
Arun Kumar: We don't have any Indian operatio ns in the first place.
Kartik: Sure. Okay. So, how about the first part of it? Can you clarify on the concentration part of the portfolio on the U.S. business? How many products contribute, say, 80% of revenues out of INR290 crores, for example? And how wo uld it look when you get to 400?
Arun Kumar: It's the 80 -20 rule here.
Kartik: It will be of the same weight. Let me clarify, I'm trying to understand the supply chain challenges you'd face as you keep adding more and more products, and that's really why I wanted to understand this better.
Arun Kumar: Our launches are very measured. We don't run to the market as soon as a product is approved. It's very measured. It's very well stocked, and that is why we have an industry -leading service level. Our fail ure to supply, not even 1%, okay? So that is an industry leading indicator. And that is the reason why we are able to keep market share for several years even when companies

-- even when other companies come with products, product approvals. So we have a v ery strong service level arrangement with our supply chain, and that is what is driving us.
We are not building -- and when we just completed within the last 2 years, we completed INR350 crores of capex between the 2 years. That has increased significantl y capacities of our existing operations. So, we are not building. So, it's not -- and we have automated very heavily. So, we have not have a headcount increase in our operations while we have debottlenecked and we are using technology to get there. So, we don 't see supply chain -- we see supply chain to be a problem if we want to launch all our 200 products. That is not our plan anyways. So, we are very comfortable with our supply chain planning and our process.
Moderator: We'll take our last question in the li ne of Anupam Jain from Indira Securities.
Anupam Jain: I just wanted to understand your OneSource investment. What will you do with that? Hello?
Moderator: Ladies and gentlemen, the line for the chairperson seems to have disconnected. Please hold while we reconnect. Ladies and gentlemen, we have the management line connected.
Abhishek Singhal: Pooja, you have the last question, if you can take that?
Moderator: Yes, sir, can you repeat your question.
Anupam Jain: Yes. Sir, we have OneSource investments of INR305 crores. What is the rationale and when are we looking to exit this?

Arun Kumar: What is the rationale means, rationale to keep the investment or what are you saying.
Anupam Jain: Yes, rationale to keep the investment as you've demerged the company?
Arun Kumar: Sorry?
Anupam Jain: As we have already demerged that part, what is the rationale to keep that investment? When are we looking to exit that? Because with that we can prepay our debt also?
Arun Kumar: Well, I think you need to be on not -- are you on a speaker phone because we can't hear you well.
Anupam Jain: Yes. So why are we retaining this OneSource investment currently? And when are we planning to sell it? Because this can help us in reducing our debt. That's what my question, sir.
Arun Kum ar: We don't need to reduce debt, and we think our investment in OneSource is a great strategic outcome. And the shareholders of Strides already benefited. And we had a small percentage in one of our associate companies, Arco Lab, and it would have complic ated the NCLT process.
So that is why we informed shareholders, typically, we distribute 100% of all the economics.
That's been the company's policy. In this particular case, it would have complicated the NCLT process. So, we retained this in Arco Lab, whic h is a wholly owned subsidiary of Strides.
And it will stay there, and we also need to be sure that -- I mean, we should be using that when there is a need. At this time, we have no challenges on our balance sheet or on our growth or on our capex growth, and we keep that for a rainy day.
Anupam Jai n: Okay. One last question. Your net finance cost ar ound INR 200 crores. Can we expect this around INR160 crores because your INR1,800 crores is your gross debt and 9% will cost around INR162 crores. So, can we expect next year it will be below INR160 crores or around INR160 crores?
Badree Komandur: Yes. I mean our net finance cost for the year is INR195 crores, but we are exiting out at INR44

crores a quarter. And if you just extrapolate that, we will be within that range.
Anupam Jain: INR44 crores for this quarter?
Badree Komandur: Correct.
Moderator: Ladies and gentlemen, in the interest of time, we'll take this as our last question. I now hand the conference over to the management for closing comments.
Arun Kumar: Thank you. Thank you all for joining today. And like Abhishek mentioned, if you have any questions, please do write to us. Thank you. Have a great evening.
Modera

tor: Thank you. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us and y ou may now disconnect your lines.

Call: Aug 2025

Strides Pharma Science Limited
CIN: L24230MH1990PLC057062
Corp. Off: Strides House, Bilekahalli, Bannerghatta Road, B engaluru - 560 076, India
Tel: +91-80-6784 0000 Fax: +91 80 6784 0700
Regd Off: ‘Cyber One’, Unit No. 902, Plot No. 4 & 6 , Sector 30A, Vashi, Navi Mumbai - 400 703, India
Tel:+91-22-2789 2924/ 3199
corpcomm@strides.com; www.strides.com

August 4 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip code: 532531
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051

Symbol : STAR

Dear Madam/ Sirs,

Sub: Transcript of Earnings Call pertaining to unaudited Financial Results of the Company for the quarter ended June 30, 202 5.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter ended June 30, 202 5, conducted after the meeting of Board of Directors held on July 29 , 2025, for your information and records.

The said transcript is also available on the website of the Company at:
https://strides.com/pdf/financial%20results/Annual%20Reports/Earnings%20Call%20Transcript/2026/Strides%20Q1FY26_Transcript.pdf

Request you to kindly take the above on record.

Thanks & Regards ,
For Strides Pharma Science Limited,

Manjula R
Company Secretary & Compliance Officer
ICSI Membership No. A30515

Encl: a/a

“Strides Pharma Science Limited
Q1 FY '2 6 Earnings Conference Call”
July 29, 2025

M
ANAGEMENT : STRIDES PHARMA SCIENCE LIMITED
- MR. ARUN KUMAR – FOUNDER AND NON-
EXECUTIVE CHAIRPERSON
- MR. BADREE KOMANDUR – MANAGING DIRECTOR
AND GROUP CHIEF EXECUTIVE OFFICER
- MR. VIKESH KUMAR – GROUP CHIEF FINANCIAL
OFFICER
INVESTOR RELATIONS CONSULTANT
- MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day, and welcome to Strides Pharma Science Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Abhis hek Singhal. Thank you, and over to you, sir.

Abhishek Singhal: Very good evening, and thank you for joining us today for Strides' earnings call for the first quarter of financial year 2026. Today, we have with us Arun, Founder and Non-Executive Chairperso n; Badree, Managing Director and Group CEO; and Vikesh Kumar, Group CFO, to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and quarterly investor presentation that have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website.

Please note that today's discussion may be forward-looking in nature and must be viewed in relation to the risks perta ining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team.

I now hand over the call to Arun to make the opening comments.

Arun Kumar: Thank you, Abhishek. Good afternoon, everybody. Good morning and good evening for those of you who are joining from outside of India. We appreciate your time today.

I am extremely pleased that we had another strong quarter with our disciplined and calibrated approac h focused across different line items of our business, focusing on growth, more importantly, profitability, free cash flow and a much stronger balance sheet. It's been several quarters of consistent performance, and I'm delighted in spite of the environment in which we operate that we continue to deliver strong and stellar performances.

I don't want to take the thunder away from the team that actually does this on a daily basis. That is Badree and his leadership team. And I'll let Badree take the lead in t oday's call and be more than happy to address questions as they come, both after Badree's and Vikesh's opening statements. Thank you.

Badree Komandur: Thank you. Welcome all. I'm very pleased to report the quarter 1 results for Strides. I'll cover all the growth metrics, and I'll leave Vikesh to cover the profitability and efficiency metrics of the Q1 performance.

This quarter, we clocked about INR11.2 billion, which is about INR1,120 crores. And gross margins expanded by 300 basis points. We touched the t hreshold of 60%. F rom an EBITDA perspective, we are at 19.5% and operational EPS of INR12.4.

What we believe is that operating leverage has started and completely playing out in our results. And I'll cover each and every business in terms of growth, and Vikesh can take in terms of profitability and efficiency.

As far as the U.S. market is concern ed, we grew 7% year -on-year and our long- term outlook of the business of $400 million in 2028, we continue to reiterate the business outlook. From a quarter perspective, the base business led the growth in this quarter. We received one product approval and launched one product in Q1 FY '26. And total number of commercial products stood at 70. We discontinued four products that did not meet our margin threshold. We continue to do this on a quarter -to-quarter basis as a part of our process initiative, and our focus has been on improving the profitability and efficiency, and we continue to do that. Based on this, this ca

ll

was taken to discontinue these four products. And we sustained the market share across the portfolio, and we are ranked among the top 3 in 37 products which covers almost 75% of the U.S. revenue. And we continue to invest in R&D programs for growth beyond 400 million, and you'll start seeing the picking of the entire R&D efforts in the coming quarters.

As far as the other regulated markets g rew at 9.2%, $42 million. We believe that the base is formed. And from now on, we should be able to see the growth in the other regulated markets. While we grew 9.2% year -on-year, the growth will be much better as we go along in the coming quarters , mainly due to expansion of the product portfolio and the new customer acquisitions, which will drive the growth in the near term. And we believe that we have got a very solid footing. And we have also spent a lot of time in the regulatory efforts to get to a ver y meaningful size.

As far as the growth markets are concerned, we grew well on a small base, almost 32. 2% growth. And access market has been very lull in this quarter because of the donor funding environment continues to be challenging.

And as far as the growth markets are concerned, all the regulatory work is in progress, and we believe that it will lead the growth in the near term. F rom a long -term perspective, I think the growth markets should grow much better in over a 2- to 3-year period. W e believe our portfolio maximization efforts and selection of products will play through like U.S. in the near term.

So with this , I'll hand it over to Vikesh to cover his comments on profitability efficiency and other balance sheet metrics.

Vikesh Kumar: Thanks, B adree. Good evening to all of you. I'm also very delighted to share that we've reported a very stellar Q1 performance. We remain very focused on our Q -o-Q growth outcomes. It has been a very calibrated approach to growth, just like Badree mentioned. And our focus has been to drive consistency in both our profitability and efficiency outcomes. And you can see that across the line items in our results.

Our EBITDA at INR218 crores, it has grown 15% year -on-year and with an EBITDA margin of 19.5% for the quart er. It's a very significant margin expansion, reflecting the strong operating leverage and margin improvement that we remain focused on.

On the operating PAT, we are continuing our momentum that we've had over the last few quarters, and it's very pleasing to report our highest ever quarterly operating PAT at INR114 crores which is a very good EBITDA to PAT conversion of 52%. Just for context, we were 33% on EBITDA to PAT conversion in Q1 of last year, and that operating leverage is clearly visible here. Wi th this, our operational EPS is at INR12.4 per share, which is an 81% growth year -on-year.

In terms of reported PAT, we also had a very strong reported PAT of INR106 crores. I just want to call out that last year in Q1 FY '25, we had a very significant one -time gain on account of the 1.6% stake that Strides continues to own in OneSource. That was reflected in the Q1 results of last year. It was INR102 crores gain, and therefore, operational PAT is the right metric to really look at the PAT performance for this quarter.

Our operational cash flow for this quarter is at about INR118 crores, and this helped us generate a free cash of INR26 crores, which has gone towards debt reduction. Our net debt is now less than INR1,500 crores. It's at INR1,496 crores. We were negatively impacted by forex , which was about INR19 crores. So if not for that impact, our net debt would have been further lower by another INR19 cror es. Our trailing 12 -month EBITDA to net debt ratio is at 1.8x.

Our cash -to-cash cycle remains steady at 116 days and ROCE has improved by 20 basis points to 15.1% on a trailing 12-month basis. Our capital employed that we use

to compute the ROCE,
it inclu des the value of investments in OneSource, which is currently valued at INR360 crores. We have not adjusted this investment in either our net debt or our ROCE calculation.

Touching on the operating expenses. Our operating expenses for the quarter are at 40.8% of sales. Q -on-Q, we have reduced our operating cost by INR16 crores. Year -on-year, it's about INR43 crore s increase. Our net finance cost for this quarter are at INR41 crores. This is a reduction of INR3 crores quarter -on-quarter and a significant re duction of INR19 crores year -on-year. Our effective tax rate is under 15% for this quarter, and we expect it to be in the range of 17% to 20% through the rest of the year.

Overall, it has been a very comprehensive operational performance, and we continue to work towards building sustainable growth and remain focused on our profitability and efficiency outcomes. Thank you, and we are happy to take any questions.

Moderator: Thank you very much. We will now begin the question-and -answer session. The f irst que stion comes from the line of Jagdish Sharma, an Individual Investor .

Jagdish Sharma : Congratulations for the good quarter. I have two broad questions. My first question is on tariff risk in U.S. manufacturing. What proportion of our U.S. sales currently comes from the Chestnut Ridge facility? And in light of any potential tariff risk, is there any headroom to scale up production from this site further? This is my first question.

Badree Komandur: Yes. So one -third of our revenue comes from Chestnut Ridge fac ility and the tariff continues to be an event which we need to watch out. Right now, the position is that it does not cover generics, and we'll have to wait and see how it impacts once we get any future announcements on this.

Jagdish Sharma: Sir, one-third of your revenue. Okay.

Badree Komandur: Yes.

Vikesh Kumar: We had scaled down our Chestnut Ridge facility from a two-shift operation to a single -shift operation. And if the need be, we can increase our shifts and it will improve the capacities that we have in U.S.

Jagdish Sharma: Understand, sir. My second question is on other regulated markets. What's the broader growth strategy for the other regulated market segment? And by when should we expect this segment to grow in double digits year-on-year on constant currency basis?

Badree Komandur: Yes. So as far as the other regulated markets are concerned, there are many markets. All we can say is that the regulatory process, the growth should start kicking in from the two to three quarters .

Moderator: The next question comes from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Congratulations to the team for another strong quarter. Badree, on the U.S. business sales, the decline Q -o-Q, this was largely on account of the discontinuation of the products? Or how should we read that?

Badree Komandur: Yes. So it is -- usually, that's a trend that has been prevailing, Nitin, for last many quarters, many years between the Q4 and Q1, there is a temporary decline and then the growth picks up in Q2, Q3, Q4. And discontinuation has also contributed to some portions. And there is also some amount of the seasonality in the trend. And that's what it is, but it's very temporary in nature.

Nitin Agarwal: Okay. And secondly, just following up on that in the market, are you seeing any meaningful changes in the trends on the market dynamics that you want to call out? Any change in terms of any reduction in competition or any change in price behavior with all the noise around tariffs which you've seen in the market?

Badree Komandur: We are not seeing any such trends at this point of time. And that's the reason we are able to maintain the market share of 36 out of 73 products in terms of the leading position. And anyway, we have to keep watching as we go along.

Nitin Agarwal: And secondly, on this beyond generics, we've talked about filing the first nasal spray. So how many of -- so in this -- if you can just probably give a little more color on this beyond generic strategy, how many -- I mean, are we loo king to -- how many products are we looking to file over the next 2, 3 years? And when do they begin to contribute?

Arun Kumar: Nitin, it's Arun. So, the beyond generics, what we co nnote is basically getting a higher per product volume, I mean, value and a higher investment in R&D. So we do have a very significant pipeline of programs, including 505(b)(2)s, the nasal spray, the entire domain, patches and also films. So that's the completel y new areas that we currently don't operate and all of those are produced or will be produced out of the U.S. And we believe that we will get to a fairly

significant size in the next three to four years, while we kind of saturate the $400 million generic strategy with a disciplined approach on pricing and margin control.

So the first product has been filed, but there are at least three or four filings that will be made this year. We will also have our first patch, which will be available for commercial operations

by the end of the year, end of this financial year. And then we have a series of filings in the patches and also in the nasal sp ray.
So we are also enhancing our domain space there and also using or leveraging our controlled substance manufacturin g capability at our Chestnut Ridge facility to get into more domains, which require control drug. So yes, it's early days, but exciting times in terms of how we allocate capital and build that business.
And just to add to what you asked Badree earlier, in terms of the changing environment, if we took off three products from the market, it is simply because it doesn't meet our profit criteria. We think we are -- our pipeline is strong enough to continue the momentum of growth.
And as Badree rightly said, w e do have a fair amount of seasonality in our H2 sales. That's been quite standard for us for the last decade or so. So it's not something new. So even a 7% Q -on-Q growth is a fairly nice growth from that perspective, considering that we have discontinued a few products.
So yes, overall, we see the only new trend that we are seeing is that almost 50% of all ANDAs approved have not been launched. So it effectively means while there is approvals are coming in for products that would have been filed two, thre e years ago or capital committed two to three years , we are now seeing rational approaches manufacturers are making in launching products when they see there's no real value in being a price leader.
So that we think is a positive trend and also probably people are a little cautious about the tariff scenario. We strongly believe that they shouldn’t, and it could, and the U.S. market cannot afford
tariffs on generics, but we could be proven wrong given the circumstances of the market in which we operate.
But I think overall, through an earlier question that was asked between a combination of local manufacturing and as Vikesh rightly said, we can expand our shifts . We have the ability to move a lot of our production into the U.S. Obviously, it comes at a pric e. So we will then balance the tariff impact to local manufacturing cost.
Overall, as long as our gross margin trajectory remains the same, we have the flexibility of a very large plant that can be quickly tuned up to take additional volume, but also reac t to potential
tariffs. So we will have to wait and watch these next weeks as we come to a deadline in terms of timing. But overall, we continue to be very positive about the U.S. opportunity. Sorry about the long-winded answer.
Nitin Agarwal: That's very helpful. And Vikesh, just a couple of housekeeping ones. On the gross margin, 60

.5, it's a probably the best we've done in a while. So is this gross margin that's around 60- odd percent

sustainable from here on? And an associated question is the overheads. I mean, how should we think about overheads from a current base perspective?
Vikesh Kumar: So on the gross margins, the business mix has really helped it. As you can see, access market is our lowest ever, and that has really also helped improve gross margins. And even the product portfolio in the U.S., the product mix has also helped us.
But we would say that it would remain in the range. I think 58% to 60% is a good range for us to remain in. And on the opex, even last quarter, we had mentioned that the H2 was a good run rate, and we will continue at that run rate.
Nitin Agarwal: So like INR460 crores, INR470 crores per quarter is like a run rate to sort of model going forward?
Vikesh Kumar: Yes.
Moderator: The next question comes from the line of Ankit Singh from Kotak Institutional Equities.
Ankit Singh: Sir, my question is on the U.S. business. You've given the guidance of $400 million U.S. sales by 2028, which implies a healthy double -digit sales CAGR from your FY 2025 base. If I look at the first quarter numbers in constant currency, we have grown only at mid -single digits. So do you see the sales growth to accelerate over the next two or three quarters in the remainder year? Or will it be more back ended in FY '26, '27, '28?
Badree Komandur: So we continue to maintain the long -term guidance of $400 mill ion, and the growth will definitely start from Q2 onwards. And we are not too much worried about the quarter -on-quarter as long as we achieve the $400 million mark by FY '28.
Ankit Singh: Okay. So essentially, you're saying that growth will pick up here on from the second quarter?
Badree Komandur: Absolutely.
Ankit Singh: And sir, secondly, on your nasal spray and controlled substances strategy. So is this baked in, in your $400 million guidance? Or will it be over and above this?
Arun Kumar: Let me address that first ly. I think you shouldn't get confused with this beyond generics strategy.
What we are basically saying is that we currently have enough portfolio of unlaunched products, approved but yet unlaunched products through our Endo acquisition or the facility acquisition and our own pipeline.
We are in the process of revamping a lot of these products, launching it at the right kind of opportune time. And that will, therefore, take us to $400 million. So that's just a timing issue

when do we laun ch a product, when we discontinue a product.
The beyond $400 million is more an indication of the new R&D focus the company has on getting into domains and areas that we have not been doing earlier, which will drive growth beyond the $400 million.

Now wi ll the two overlap? Maybe, maybe not. But it's just to give a differentiation between the two that we will get to the $400 million mark. We don't see an issue with that, as Badree correctly alluded. Will that have a few legs from the beyond $400 million or is it all coming from our existing portfolio is academic, and it's a moo t point that has no relevance to our growth strategy in the U.S.

Moderator: The next question comes from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, first questio n on U.S. opportunity again. I mean, so one, you made a statement that the competition, at least for now is behaving rationally. And second, there are some reports out there which talk about the small molecules, especially which are going off patent are 2x over the next five years versus what they were last five years.

So in that context, can we think of going beyond this $400 million also as part of our generic portfolio, keeping the beyond generics apart? I mean, what ha

s to happen for you to change your mind saying that we don't want to cap generics anymore and maybe we'll invest in R&D, get more products, just given what is opening up over the next five years and the way our peers are behaving?

Arun Kumar: Yes. So basically, Strides does not operate in the first wave generic strategy at all. So while you're right with the freedom to operate opportunities doubling in the next five years, we do not operate in the first to launch unless there's a very specific domain that we operate in, which is very rare. So we don't challenge, we don't patent settle. We don't like to be in the first wave. Our strategy of finding products which are difficult to make, scarce, hard to develop, approved, clinical studies or BE studies is what we are focused on. So that will c ontinue. And it doesn't mean that the reason why we say $400 million, it kind of guardrails our disciplined approach of gross margin.

If we launch the 100- odd approved ANDAs and take and decide to be the next large Indian generic company , it will come at the cost of margins, and that's not our focus. So, will -- can sales go beyond $400mn? The answer for sure. Do we want to guide for more than $400mn? The answer is no.

Pratik Kothari: Fair enough. And in this quarter -- I mean we are planning to ramp up our R&D spend largely for beyond generics. Is it already here? I mean, this -- from this quarter onwards?

Arun Kumar: Yes, it's already there.

Pratik Kothari: Thank you and all the best , sir.

Moderator: Thank you. The next question comes from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening, sir , and congratulations on a good set of numbers. Sir, two questions. Number one, with this impending tariff, are we seeing increased sort of purchases from the U.S. to fill up the inventories? Have you seen that behavior from buyers?

Arun Kumar: No.

Sarvesh Gupta: Okay. And secondly, on the beyond generics strategy, how much are we spending currently, which is baked in, in our P&L or capitalized?

Vikesh Kumar: We've not capitalized on that. I mean, you can look at the -- our total spend for the quarter is about INR29 crores, which includes both towards tangible and intangible capex. Intangibles is R&D.

Sarvesh Gupta: Okay. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Suvaan Mittal from MFC. Please go ahead.

Suvaan Mittal : I have mainly two questions lined up. The first being that this quarter, we have seen a drag in CFO in comparison to the EBITDA conversion, it was 54%. Like against INR211 crores, we've converted INR112 crores of cash flow, which is a degrowth compared to our previous quarterly run rate in conversion. So could you give any color that where the drag has been seen? Is it the U.S. or the rest of the world markets or access of growth markets?

Vikesh Kumar: So it is only -- this is only because of an increase in i nventory. Our inventories on quarter has increased by almost about INR70 -odd crores as we are building that for our growth in the next nine months.

Suvaan Mittal: So secondly, is this a short -term planning? Or should we expect in the coming quarters, the

conversion rate to go upwards of 70%, 80%, if any qualitative color you could give?
Vikesh Kumar: Yes, it would go upwards. I would not quantify that at this point.
Moderator: The next question comes from the line of Trisha Mehta, an Individual Investor. Pl ease go ahead.
Trisha Mehta: So I have one question on growth markets. We see a strong 32% Y -o-Y performance for this quarter. So what have been the key drivers behind this? And which specific geographies are leading to this momentum? Can we expect a simil ar trajectory in the upcoming quarters?
Badree Komandur: Yes. So the growth markets consist of many markets, especially

in different regions, APAC,
MENA, Canada, LATAM and Africa, South Africa, all that. So from our perspective, the way we see it is that w e have got -- we have been increasing our regulatory efforts significantly, and that's going to be the focus in the near term.
And we think this market will grow because we have already identified the products and we have got the portfolio maximization st rategy in place.
Trisha Mehta: Got it. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Kiran from Tabletree. Please go ahead.
Kiran: Thank you for the opportunity and congratulations on a great set of results. Sir, I had two questions, one strategic and one financial. The strategic question, sir, is, as part of your annual

report, you did speak about a lot about controlled substances, 505(b)(2) nasal sprays. We filed a nasal spray in April, the first nasal spray.
So just on c ontrolled substances, sir, as we look through the next $100 million in the U.S., how does the controlled substance business work? Do we kind of supply to the quota or supply to players who supply to the quota? And what is the broad EBITDA margin? And next $100 million, should we assume like 20%, 30% of the next $100 million will come from controlled substances?
If you could just give a little more color on what controlled substances and what kind of margins you can make and just the business model at a ver y high level, again, may not be specific, that would be great?
Arun Kumar: We don't give granularity of what you're seeking as a policy. Product information and quotas on controlled substances is very unique to organizations, and it's a policy that this company has for several years that we do not break out this into the kind of granularity you're seeking.
Kiran: Got it, sir. So I mean, the next $100 million at least, the rough ratio of how much?
Arun Kumar: We've given you a guidance of $400 million. Focus on that. I think the question around that.
Granularity around that is not something that we are willing to share with you.
Kiran: Sure, sure. Sir, the partnership with Orbicular Pharma, we did in May 2023. It's been a couple of years. The na sal spray that we submitted, is it part of that Orbicular Pharma? Is that still active? Do we expect some filings out of it? Just some qualitative insight?
Arun Kumar: It is. The nasal sprays is in partnership with Orbicular.
Kiran: Got it. Got it. Last question, sir, from a financial perspective, what is the expected debt pay down in FY '26?
Vikesh Kumar: Our focus is on generating free cash, and we remain committed to that focus. And you already -
- I mean, we also have INR360 crores worth of invest ments in OneSource, which is the 1.6% stake. So if you already adjust for that, we are at a very fairly comfortable position as far as net debt is concerned. I mean our focus remains to drive profitability and efficiency and a very
calibrated growth, and t hat is what we will continue focusing on.
Kiran: Okay. So there's no net -- sorry, expected debt pay down metric you'd like to share essentially?
Arun Kumar: I mean there is free cash generation, significant free cash. We are funding capex and R&D without any new borrowings, right? That will continue. And we should be able to reduce our debt. And just that you know that when we are funding long term with our own free cash, the debt is all related to working capital, which is backed up by receivables or inve ntory.
So we are in a very comfortable situation in terms of our debt book. And it's not something that we really need to be apologetic anymore from the situation we were four years ago.

Kiran: Perfect, sir. Understood. Sorry, sir, one last question on the qualitative aspect. Pricing challenges in U.K. is something that the presentat

ion mentioned. If you could just give some color on
pricing challenges in the U.K. and how has it affected -- or how will it affect FY '2 6? I'm not looking for quarter -to-quart er, but generally, how will it affect FY '26?
Arun Kumar: Yes. So Q1 was a unique quarter, which is in the U.K. market, we did face some headwinds on pricing. We think they are temporary in nature because it's not in -- we don't see it being ramped.

So we think it's temporary in nature and we should be able to pull back strongly from there.
Kiran: Got it, sir. Congratulations and all the best.
Moderator: Thank you. The next question comes from the line of Pranav Gandhi from Lotus Wealth. Please go ahead.
Pranav Gandhi: Congratulations for the good numbers. My question has been answered already. Thank you so much.
Moderator: Thank you. The next question comes from the line of Shashi Kapoor from MOS Capital. Please go ahead.
Shashi Kapoor: First, congratulati ons to entire team, Badree, Arun, brilliant performance, both in terms of operations as well as the stock is doing quite good. Two questions. First is, we would be getting around 400 million to 500 million free cash now. How the allocation would be towards debt reduction and R&D?
And second question is what are the two, three risks you foresee towards the guidance, which we have given of $400 million? And how we are planning to mitigate those risks? And lastly, if we see EV by EBITDA basis, we are one of the cheapest companies in the market. So maybe it's just a suggestion that we can look at strengthening our dies with especially Investor Relations team, we can strengthen that team?
Badree Komandur: As far as the first question is concerned, I just want to say that the R&D and R&D efforts are going to be increased and the debt will be maintained within a particular range. And the intention is to pay off the debt. And we always stated that from a long-term perspective, we wan t to be net debt-free in the next three to four years. That's what we are working on. And if all the things pan out as per plan, it is achievable at this point of time, the way we see.
As far as the risks are concerned, see, we are in generics. The things -- I think at this point of time, the $ 290 million to $400 million the path is clear. The products are known. 20 products will be launched every year. Plus there are also new opportunities which are coming through. I don't foresee any major risk at this point of time.
And as far as compliance is concerned, that is something which each and every pharma company has to focus on to get there. And as far as the suggestion is concerned, we don't want to speak on the market dynamics that the stock price will go up and down. As far as we are concerned,
we are focused on giving shareholder value, which we have demonstrated in a meaningful way and it's something which has been unforeseen for many years.

And the recent one being we distributed INR 78.8 billion back to shareholders in the form of demerger and listing. And we'll continue to focus on the shareholder value.
Shashi Kapoor: Thank you. Thanks a lot.
Moderator: Thank you. The next question comes from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: Congratulations on a great set of results. Most of my questions have been answered. So just wanted to ask like we have a clear -cut guardrail guidance for U.S. sales. Is there some kind of aspiration for the growth in access market, sir?
Badree Komandur: So we will take a few more quarters to let you know.
Darshil Jhaveri: Okay. I just wanted to know like access market this quarter has not performed as it usually does. So any kind of -- is there a cyclicality? Or how do we see that go ing forward, sir?
Vikesh Kumar: This has more got to do with the challenges that we've seen in the donor fundin

g space. And that space at this point remains -- continues to remain challenging. So we will see that lumpiness, and we continue to remain engaged with the buyers.
Arun Kumar: So I think more clarity, it will be good to know that almost 80% of the access market funding comes from USAID. And USAID funding has been completely cut off for the anti -retrovirals and malarias programs. Obviously, different countries and different agencies are trying to fill the gap. The gap is too big. So at this time, everything is up in the air, and I think it's across the industry that you would see a significant downturn in demand and order cancellations. So yes, it's a function of funding and funding is simply not there.
Darshil Jhaveri: Fair enough, sir. I think USAID say it's not happening anytime soon coming back. So I think that the growth markets are trying to compensate really well. So that's a good job done, sir.
Moderator: The next question comes from the line of Chirag Shah from White Pine Investment Management.
Chirag Shah: Congrats for a good set of numbers. Two questions from my side. First is gross margins. So, what is required for margins to go up from here? We are at around 60%. And you indicated 58%, 60% is a fair range on an annualized basis. Apart from pricing jump that can happen and that can bring in additional margins, what is required for us to push it up to, say, 60%?
Arun Kumar: I think nothing is required because we are in a good spot at 58% to 60%. I don't think we can expand beyond. There are various different cost structures, under recoveries in plants and other inefficiencies that we will work on. But to assume that we can grow beyond the 58%, 60% is a little difficult at this time.

Moderator: Thank you. The next question comes from the line of Maitri Shah fr om Sapphire Capital. Please go ahead.

Maitri Shah: Just one question on growth. So, this quarter also, we grew 7% Q -o-Q. So are we expecting a quarter -on-quarter for the next couple of years? Is that correct?

Vikesh Kumar: We grew 6% year -on-year on revenues. Quarter -on-quarter, it was a decline, but we remain focused on gross margins and EBITDA, where you see and PAT, in fact, you see quarter -on-quarter and year -on-year performance.

Maitri Shah: And the EBITDA margins at 19.5%, are these going to be mainta ined for the rest of the year? Is that a fair assumption?

Vikesh Kumar: Our endeavor is to maintain closer to that range.

Maitri Shah: That’s it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question for t oday. I now would like to hand the conference over to the management for closing comments.

Badree Komandur: Thanks, everyone , and we look forward to your support and as we focus on our execution and growing the company. Thank you.

Moderator: Thank you. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

Strides Pharma Science Limited
CIN: L24230MH1990PLC057062
Corp. Off: Strides House, Bilekahalli, Bannerghatta Road, B engaluru - 560 076, India
Tel: +91-80-6784 0000 Fax: +91 80 6784 0700
Regd Off: ‘Cyber One’, Unit No. 902, Plot No. 4 & 6 , Sector 30A, Vashi, Navi Mumbai - 400 703, India
Tel:+91-22-2789 2924/ 3199
corpcomm@strides.com; www.strides.com

November 5 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip code: 532531
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051

Symbol : STAR

Dear Madam/ Sirs,

Sub: Transcript of Earnings Call pertaining to unaudited Financial Results of the Company for the quarter and half year ended September 30, 202 5.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and half year ended September 30, 202 5, conducted after the meeting of Board of Directors held on Friday, October 31, 2025, for your information and records.

The said transcript is also available on the website of the Company at:
https://strides.com/pdf/financial%20results/Annual%20Reports/Earnings%20Call%20Transcript/2026/Strides -Q2FY26 -Transcrip t.pdf

Request you to kindly take the above on record.

Thanks & Regards,
For Strides Pharma Science Limited,

Manjula R
Company Secretary & Compliance Officer
ICSI Membership No. A30515

Encl: a/a

“Strides Pharma Science Limited
Q2 & FY26 Earnings Conference Call”
October 31 , 202 5

MANAGEMENT : STRIDES PHARMA SCIENCE LIMITED
- MR. BADREE KOMANDUR – MANAGING DIRECTOR
AND GROUP CHIEF EXECUTIVE OFFICER
- ADITYA KUMAR – EXECUTIVE DIRECTOR
- MR. VIKESH KUMAR – GROUP CHIEF FINANCIAL
OFFICER
INVESTOR RELATIONS CONSULTANT
- MR. ABHISHEK SINGHAL

Moderator: Ladies and gentlemen, good day and welcome to Strides Pharma Science Limited Q2 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Abhishek. Thank you and over to you, sir.

Abhishek Singhal : Very good evening, and thank you for joining us today for Strides earnings call for the second quarter and half year ended financial year 2026. Today, we have with us Badree Komandur , Managing Director and Group CEO; Aditya Kumar, Executive Director and Vike sh Kumar, Group CFO to share the highlights of the business and financials for the quarter.

I hope you've gone through our results release and the quarterly investor presentation that have been uploaded on our website as well as stock exchange website. The transcript for this call will be available in a week's time on the company's website. Please note that today's discussion may be forward -looking in nature and must be viewed in relation to the risks pertaining to our business. After the end of this call, in case you have any further questions, please feel free to reach out to the Investor Relations team. I now hand over the call to Mr. Badree to make his opening comments.

Badree Komandur: Thank you, Abhishek. Good morning, good afternoon, and good evening to all who are joining in this call. We are extremely happy with the results. The performance demonstrates our consistent execution as we invest in sustainable long -term growth. I'll cover my speech into two parts. I'll focus on all the growth metrics on the business. Our Group CFO, Vikesh will cover all the metrics relating to the efficiency as well as the profitability. I also will speak about some qualitative aspects of the key businesses which we have. And in the end, we'll t ake all the questions that has to be answered.

So from our perspective, the Q2 has been very strong for us. Our revenue grew by 4.6% year -on-year. Gross margins at 14.6% growth. EBITDA grew by 25.4% and operational PAT at 84%. All we want to say is that c onsistency and sustainable growth has helped us to create the operating leverage, and the multiplier effect is very clearly seen from our results, a 4.6% increase in revenue growth resulted in almost 3x increase in gross margin growth, almost 5x to 6x increase in the EBITDA growth, and almost 20x increase in the operational PAT. This is based on the quarterly performance.

As far as the half-yearly performance is concerned, the revenue grew by 5.5%, gross margin at 13.2% and EBITDA at 20% growth for the fir st half and operational PAT at 82.6%. Again, the complete operating leverage is visible in the entire P&L.

I'll go market by market now. The U.S. market at $73 million grew 2% year -on-year. There has been intense competition in recent launches. This is de spite the competition, we have grown 2% year-on-year. We also launched 3 products in H1 FY '26. And the total number of commercialized products stood at 70.

We continue to rank top three in 37 products, and we added more product to this list, which contri butes almost 75% of our U.S. revenue. And we have given a long -term outlook to the Street in terms of the $400 million by FY '28. We are continuing to focus on that and continue to execute based on that plan. And we have got 230 -plus ANDAs filed, and 215 -plus ANDAs approved as of July.

And the company has invested in new segments of Control Substances, and we are spending the new R&D on all those programs, which are beyond $400 million.

I also want to c

over some of the key points with respect to the U.S. business, and also the philosophy of the company in growing that business. As far as the U.S. business is concerned, our strength has been on the timing of the launch. We have been -- we wait for the market to get disrupted and we launch it at the appropri ate time. The second thing is in terms of the service levels. Our service levels continue to enjoy a very premium position as far as the U.S. generic suppliers are concerned. We are able to maintain the service levels at a very high level, and which also c reates a lot of stickiness as far as the business is concerned.

We have focused discipline on the entire capital allocation. We are focused on programs which are beyond the $400 million, and we are starting to invest now. And profitability has been the focus. If you see the first quarter, we also dropped a few products from commercialization, because we did not meet our profitability threshold.

So we are continuing to focus on the profitability as we go forward. And our In-U.S. For-U.S. strategy has played out quite well with the Chestnut Ridge plant, delivering good outcomes for us. And also, in terms of the overall context of the external environment in terms of tariffs and all of that, almost one -third of the revenue comes from U. S. Company continues to focus on execution and also supply chain efficiencies. This is what has led us to a very consistent performance in the U.S. in the last six quarters.

As far as the other regulated markets are concerned, we are extremely happy with the progress of other regulated markets. As you know, the other regulated markets are difficult to operate. And given that each market has got different regulatory pathways, making it a very high entry barrier. And we are able to see green shoots in t hese markets.

As has been reiterated in the past, our rest of the world market, which we call it as other regulated markets plus the growth markets, have registered a very strong growth at 14%. With other regulated markets is almost about 16% year -on-year. And there are number of markets which the company is focused on, where we have got B2B market, B2C across all geographies, which are in various stages of evolution. If you go back and see the last 6 quarters, the growth has been quite muted. And last 2 quarters, we have grown almost about 14% to 15% in these markets. And we believe that all pivots are in place and it has formed a new base, and we should be able to launch from now on. Overall, if you really see we are very happy with the 14% growth, inclu ding the other regulated markets and the growth markets, and 16% in the other regulated markets. And we believe that the new dollars will come from these markets and as we start to increase spends our regulatory efforts.

Our long -term objective of mirrori ng the U.S. market in next 2 to 3 years' time remains intact, and we believe that we have got all pivots in place to grow from here on. And we are pleased with the base that has formed, and you will start to see the accelerated growth in these markets. So coming to the other regulated markets, we had a 16% year -on-year growth.

And the deal momentum continues in Europe with large pan -EU partners being onboarded. Onboarding a partner takes time, and we have already started to see green shoots in these market s. As far as the U.K. markets and other markets are concerned, it's very steady and it has formed a new base, and we are confident of good growth in the near term. And the portfolio maximization and the portfolio build -up in the last six quarters on the in vestments which has been made on various programs has resulted in this growth.

As far as the growth markets are concerned, the growth markets revenue at $17 million grew 7% year-on-year. And when we say growth markets, this consists of markets, new

market s where the new dollars are expected to come in the near future. Our Africa has done very, very well in this quarter. And we are also starting to invest our regulatory efforts on the growth markets. A number of filings are being done. We should be able to see a substantial growth beyond FY '28 on these markets. And all the work is in progress, and we should be able to see new amount of dollars coming in beyond FY '27, FY '28 on these markets for which all pivots are in place, products are in place, regulato ry strategy is in place, and the go -to-market is also being planned out.

As far as access markets are concerned, we know that it's very lumpy, and donor -funding environment continues to remain challenging. And it's very opportunistic for us, and it will continue to be lumpy. We believe second half should be slightly better than the first half. But again, it has to be seen over the next 2 quarters how it pans out. It all depends on the donor agencies' decisions at that point of time.

Overall, if you really see, we are very pleased with the entire results. We are focusing on long - term growth. We are also focusing on EPS growth. And we believe that all the pivots are in place from a long -run perspective and to make the company extremely valuable in the near f uture. So with this, I will hand it over to Vikesh to cover the profitability and efficiency metrics that has gone into the results, and then we'll open the floor for questions from the management side. Thank you, and I'll hand it over to Vikesh.

Vikesh Kumar: Thank you, Badree. Good morning, good afternoon, and good evening to all of you. As Badree mentioned, it's very pleasing to report yet another strong quarterly performance. Our performance has been exceptional across metrics of profitability, efficiency and growth. I will start with the profitability metrics. First, I'll focus on the gross margins. Our gross margins for the quarter are at INR706 crores. It's an INR90 crore s increase from what we reported in Q2 of FY '25, with a gross margin pe rcentage of 57.8%. It's a 500 basis points improvement from our gross margins last year. For H1, our gross margins are at INR1,381 crores, with a gross margin percentage of 59%. So even for H1, our gross margins have improved by 410 basis points over H1 of last year.

Coming to EBITDA. We are reporting a very strong EBITDA of INR232 crores for the quarter with EBITDA margin of 19%. As Badree already mentioned, it's a 25% EBITDA growth year - on-year. And for H1, we are reporting INR450 crore s EBITDA with an EB ITDA margin of 19.2%. The EBITDA margin has also moved from 15.8% to 19% in Q2. So that's a 320 basis points improvement for the quarter. And similarly, for H1 at 19.2%, we've improved by 230 basis points over H1 of last year.

Coming to the operational PA T. Our operational PAT for the quarter is at INR140 crores. INR140 crores is the highest ever operational PAT that we've reported in a quarter. So it's an exceptional performance from a PAT perspective and an operational EPS at INR15.2 is again our highest ever quarterly EPS. For H1, our operational PAT is at INR254 crores with an operational EPS of INR27.6. Our reported PAT for the quarter is at INR132 crores, and our reported PAT for H1 is at INR237 crores. So all in all, if you look at all the profitabil ity metrics, you can see the multiplier effect flowing in, and the EBITDA to operating PAT conversion is also at a very healthy 57%.

Focusing on a couple of other line items of the P&L. Our operating costs have remained steady, in line with previous quarters at 39% of sales, which is also visible in the EBITDA margin expansion. Our gross finance costs continue to improve. For the quarter, our gross finance costs are at INR46 crores. Our net finance costs for the quarter are significantly bett er at INR20 crores due to

finance income that we reported in this quarter.

For H1, our net finance costs are at INR61 crores, which is significantly lower than the INR105 crores of net finance cost we reported for H1 of last year. We expect our gross finance costs to continue to improve, while the net finance cost for H2 may slightly go up due to the income that we've had in H1. Our ETR for Q2 and for H1 has been around 15%, and we expect it to be in the range of 15% to 20% for the year.

Moving to the efficiency metrics. I'll start with the operational cash. We are reporting an operational cash of INR394 crores for H1, which is about an 87% of EBITDA to operational cash conversion. This strong operational cash has helped us deliver a free cash of INR73 crores, which we have used for debt reduction.

Our net debt at the end of Q2 stands at INR1,449 crores. We were also adversely impacted by forex on our net debt. That impact was almost INR71 crores. Despite this impact, we were able to reduce our net deb t by INR73 crores. And consequently, our EBITDA to net debt ratio is now at 1.65x, improving from 1.9x that we reported at the end of March.

We have also invested significantly in capex. Our investments in capex for H1 are at INR149 crores. So in addition to maintenance capex, we've also made investments for growth, including acquisitions of intangibles for future growth. Our cash -to-cash cycle remains steady at 113 days. We've improved by 3 days quarter -on-quarter.

And our ROCE has now improved to 16% co mpared to 14.9% in March '25. Both our capital employed and our ROCE does not include the investments in OneSource, which is currently

valued at INR339 crores. This INR339 crores is also not adjusted in our net debt and EBITDA to net debt ratios.

So overa ll, it has been a comprehensive performance across metrics, and that is clearly visible, both in the profitability and the strength of our balance sheet. We hope to continue and sustain this momentum as we focus on our growth levers for the future. Thank y ou, and we can now open up for questions.

Abhishek Singhal : Danish, you can take the Q&A, please.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question and answer session. The first question comes from the line of Anand Mundra from Soar Wealth.

Anand Mundra: Sir, my question is with respect to other regulated market. It has been strong this quarter. What are the key drivers to make this growth sustainable? Is it fair to assume that other regulated markets should grow faster than U.S. going forward? These are the questions rela ting to other regulated markets?

Badree Komandur: Yes. So as far as the other regulated markets, I'll put it like this, like one is in terms of rest of the world markets, you have to look at it as a bucket, other regulated markets plus the growth markets, minus the access markets. If you really see this quarter, we have reached an important threshold of INR10.3 billion, that's INR1,000 crores we crossed this in this market .

And if you really see the last -- the trajectory of the last six quarters, this market has been forming in various geographies. And this is the first time we have just broken that trend. And we believe that this is very sustainable in the future. Our long -term objective of mirroring the U .S. market in the next 3 years. And with the other regulated -- I say call it as rest of the world markets, which consists of, again, other regulated markets and the growth markets minus the access markets . We believe that we can mirror the U.S. market in 3 years' time from now. And we have got enough pivots in place. And you should not look at it from quarter -to-quarter and all of this. Over the period of 3 years, I think we should be able to get there.

Anand Mundra: Sir, if I look at the U.S. m arket, it is flat for the last si

x , seven quarters. So not for one or two quarters, but we have come back to the same level what we were doing eight quarters back?

Badree Komandur: Yes. So if you really see, we have also specifically said that as far as the U.S. market is concerned, there has been some intense competition in certain select molecules. And if you really see the entire buildup of the U.S. market, we are focused on profitability and we are focused on various other metrics which are outside the -- we are also focusing on a number of metrics.

So we believe that the long term is intact as far as we are concerned that we are focusing on long term. We are focusing on value more than the quarter -on-quarter trend. And we believe that we have got enough products as well as the strategies in place to get there in the next 2.5 years to 3 years' time frame.

Vikesh Kumar: Badree, just one point I would want to add. So specifically on the U.S. market, in Q1 of FY '25, we had reported roughly about $65 million, $66 million in terms of revenue. And then over the

last five quarters, we've been upwards of $70 million. It is a ve ry calibrated approach that we focus on profitability rather than revenue growth, and you will see that be it in U.S. or in other regulated markets. So other regulated markets, historically, for many quarters, we were at $40 million. And now we've stepped up to that $44 million range, and we expect to remain there. So similarly for U.S., 4 quarters back, we had stepped up from $65 million odd to a $70 million plus. And we have steadied in that range despite the competition that has been there on certain molecules, we have been able to maintain and grow revenues. Our focus continues to remain on profitability rather than chasing revenue growth.

Anand Mundra: Sir, the second question is with respect to profitability only. It is largely driven by increase in our gross margin. So this 58% to 60% gross margin, is this sustainable, sir, given the rising competitive intensity in U.S.?

Badree Komandur: Yes.

Vikesh Kumar: Yes. And we have remai ned in that range for the last four quarters.

Anand Mundra: The third quest ion with respect to our other income, which is INR18.5 crores, this is being reported as a part of finance cost you have reduced. What is this related to, sir?

Vikesh Kumar: So this is related to interest on certain refunds that we've got. And largely, we' ve seen this income coming in year -on-year. So it is more a timing of the income rather than that. So the way we are looking at it is net finance cost for H1 is at about INR60 crores -- INR61 crores. With this level of income not repeating in H2, it may sl ightly go up. But overall, we've seen our gross finance cost coming down quarter -on-quarter for the last many quarters.

Anand Mundra: So on a run rate basis, it's fair to assume INR40 crores, sir?

Vikesh Kumar: It should be less than that.

Moderator: Our next question comes from the line of Akash Jain from Moneycurves Analytics . Please go ahead.

Akash Jain: I think it has been extremely positive surprise on margins. And I think the management team should get full accolades for that. I just w ant to also understand a little bit on, is there an interplay between margins and revenue growth? I think a little bit of that you referred to earlier. But for example, are we following or are we stopping some -- reducing some revenues to improve profitabi lity? Just to understand a little bit on are we -- is some of this margin also come at the cost of revenue because the margins look great, but revenue has been obviously lower than what we had expected and what we had guided earlier. So just a little bit q ualitative and quantitative aspect of what is happening on revenue growth versus trying to ma nage and trying to grow margins?

Vikesh Kumar: Yes. So I will take this. So if you look at t

he EBITDA, while the margin has been healthy, even
the absolute growth in EBITDA and profits has been healthier, and which is where you also see the multiplier effect right at EBITDA and at PAT. So the focus is both on absolute profit growth and margin growth.

So what we are s aying we want to take in revenues that either mee t our strategic margin thresholds in terms of profitability or they should help our under recoveries, which helps in improving our operating leverage. And that philosophy has played out. So it is just that we don't want to do loss leaders or don't want to chase extremely low -margin products just for the sake of revenue. It's a very calibrated approach. We have achieved leadership positions in the products that we sell, and we want to maintain that niche.

Akash Jain: So we had earlier said that we will launc h 60 products in the U.S. in the next 3 years. But I think if you look at H1, the number has been significantly lower than the run rate that is required. So I'm just trying to understand -- and in the light of the fact that you have said that the targe t for doubling U.S. revenue sorry, the target for revenue growth in U.S. remained intact terms of what you had guided earlier. So how do I understand both together in terms of filings and approvals versus revenue growth versus what you are seeing actually in H 1?

Vikesh Kumar: So if you follow our historical trends as well, it has been a very calibrated approach in terms of launch . We don't launch products as soon as we get approvals. We wait for the right timing, both in terms of pricing and market. We prepare ourselves and make sure that when we launch, we launch it at a very profitable and at a very stable level. And that strategy has really played out well for us. we continue to remain focused on that. And given that we've got the pipeline, we've got the prod ucts, from a long -term standpoint, we see that to be intact and which is what we continue to mention. So while there are some -- there were some near -term headwinds, but our long term remains intact.

Moderator: Our next question comes from the line of Amresh Kumar from Geosphere Capital.

Amresh Kumar: Sir, congratulations on a very strong set of numbers. So the first question would be on our Beyond Generics. So we had launched our Nasal Spray. Is there any update on that in this quarter? And second ques tion...

Badree Komandur: Yes. We have already filed for the one product, and we expect to file a few more in the next 12 months.

Amresh Kumar: The second question is on the balance sheet. So it was heartening to see that the debt coming down with the free cash flow this first half. So do we foresee some more debt reduction going forward and some reduction in further finance cost -- gross finance cost?

Vikesh Kumar : We will continue to focus on profitability and efficiency. So we expect finance costs to come down. And from a free cash generation, whatever free cash we generate, our aim will be to reduce debt.

Amresh Kumar: And sir, then deliberating on the same points of the previous two speakers. So last -- our run rate is about $300 million in U.S. cur rently, more or less. And this rate was increasing very fast by about 25% till about a year back. And we are still maintaining that we will go from current $300 million to $400 million by FY '28. So are we going to see some step-up jump o r will we see a gradual increase from here?

Badree Komandur: Yes, it will be very steady. That's all we can say that in the next 2.5 years, we should be able to get there is our hope. But of course, external events are there. We have to watch out, and we want to take step b y step. And most important thing is we are focused on the sustainability of that revenue or sustainability of that target. That'

s important for us as a company a nd that's what
we are focussing on .

Amresh Kumar: Got it sir. Okay. Thank you so much and congr atulations once again on a very strong set of numbers. Thank you so much.

Moderator: Thank you, sir. O ur next question comes from the line of Krishna Mehta, an Individual Investor.

Krishna Mehta: On capex intensity, it has increased to INR149 crores in H1 FY '26. Could you highlight the major areas of investment? And what will be our incremental spend in H2 FY '26 and FY '27?

Vikesh Kumar: So I already touched upon the capex spends. It has gone towards maintenance capex, as well as for future growth, so including certain investments for intangibles that we have done. And we expect to maintain it at similar levels for H2.

Moderator: Our next question comes from the line of Rupesh Tatiya from Long Equity Partners.

Rupesh Tatiya: Congrats on fantastic set of numbers. I have a few questions. First question, Vikesh, reported PAT is INR131 crores. Operational PAT, you said in presentation is INR140 crores. So can you give some reconciliation maybe line by line? And also the INR71 crores adverse currency

impact, what portion of that is routed through P&L?
Vikesh Kumar: So on the first part, the difference between the operational PAT and reported PAT is just the exceptional items. So these are expenses related to past events and -- that are incurred in the quarter, and are not relating to the performance for the quarter. So that is the exceptional loss. So it's just one item that's a reconciliation item.
Rupesh Tatiya: So these are like one -offs, basically?
Vikesh Kumar: Yes, these are one -offs.
Rupesh Tatiya: This INR71 crores, what has profit...
Vikesh Kumar: In terms of the INR71 crores, so that is the balance sheet position as of the date. So if you look at the average rate versus the closing rate, the closing rate is much higher than the average rate. So the per formance -- the exchange does not flow through in the P&L. Whereas from a balance sheet standpoint, it gets restated by the end of the quarter rate.
So there is some portion of that that would have flown through the P&L, but it is -- what happens is it co mes -- the impact in the P&L comes with a lag. Whereas the balance sheet is immediate. Balance sheet is immediate because it is as of that date.
Rupesh Tatiya: Second question, Badree, is where are we on the Control Substances execution? I think in one of the investor conferences, I think hosted by Emkay, you said we can hit $25 million near term.

So I mean, what is near term? Have you figured out how the quotas work? Have you launched the products? Some color, qualitative and quantitative ar ound that would be very helpful?
Badree Komandur: Yes. As far as the Control Substances is concerned, this is the first full year of execution. Last year, we had some approvals of a few products. And this year also, we have some -- we have launched one or two products in the Control Substances space. So this is a business which we are seeding in, and we are also working very hard to execute it much better.
The full impact from the Control Substances will be seen only f rom the next year onwards. I will put it that way, because there are times -- lead times which happen between the quota allocation, purchase of API, manufacturing and then selling. So all of this -- and this will be a very good investment year, where we un derstand the entire various legs of the Control Substances, and we should see the full impact of that in the next year.
Rupesh Tatiya: Just one clarification, Badree, the -- we have $15 million, $16 million and $3 million, $4 million per product kind of re venue realization?
Badree Komandur: No, no. I don't think so that is right. Overall, as a Control Substances as a bracket, if you really see if you are able to g

et to the full potential, it will be slightly meaningful in the coming years.
Rupesh Tatiya: Final question, Badree, the Q4 exit run rate, U.S. $80 million, other regulated market $50 million. Is that -- does it have good probability that we will get there by Q4?
Badree Komandur: We don't want to make any forward -looking statements within the year. All I can say is...
Rupesh Tatiya: What is the risk? Let me ask you other way, what is the risk to those numbers?
Badree Komandur: That $400 million over a 3 -year period, we should look at as long term. Quarterly, there can be here and there, but it all depends on the market. But all I can say is that our aim is to grow -- and if you see the other regulated markets, it is other regula ted -- when I say rest of the world markets, which includes other regulated markets plus growth markets, minus the access markets have reached a INR10 billion mark, that's INR1,000 crores. And when we see all of that, we should see it as a basket. And most important thing for us is to grow wherever the opportunity is. And that's what we are trying to focus, not losing sight of the long term what we have kept for ourselves.
Rupesh Tatiya: Just final clarification, historically H2 better than H1. So...
Modera tor: I'm so sorry to interrupt you. Mr. Tatiya, I'm really sorry to interrupt you. I request you to please rejoin the queue for questions.
Rupesh Tatiya: Yes. Just a one -- it's a very simple question. I'm sorry. It's just a very simple question. Badree, so historically, H2 has been better than H1. So nothing changes this year as well, right?
Badree Komandur: Yes, you got it correct.
Moderator: Our next question comes from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, one questi on on competition. So last quarter, we had called out some intense pricing pressure in U.K. Again, this quarter, we are talking about -- I mean, in the presentation, we have spoken about U.S. We have, I think, discontinued five, six products in first half. Just across 2 markets, anything to read into it, how to look at -- I mean, is this just one -off some products coming in? Is this -- I mean, some intense increased competition that we saw 3, 4 years back? Some color, please?

Badree Komandur: Pratik, just t o give you a clarity on this. See, the competition is something which no company has got control of, right? So from our perspective, at the end of the day, you have to look at it as a portfolio. Some you will gain, some you will lose, right? So from that p erspective, if you really see the -- there is definitely some competition in the marketplace. And what is more important for us to focus is that how we are ahead of the competition. That's what the company is working on. But the most important thing is we don't want to compromise the profitability of the company at the cost of top line growth. And that has been the philosophy all throughout. And if you really see this year -- this quarter, we have added 1 more to the 37 out of 70 products at a market - leadin g position. So it has to be -- it is a trade -off between the competition and the profitability as well as the -- what you want to do as a company.

Our disciplined execution has really helped us to get here. I think that is the right way to look at us. We don't want to be looked at, for every quarter in terms of ups and downs. But overall, what we are chasing is something which is very value driven and the volume or the price driven.

Pratik Kothari: Sir, actually the point that I was coming from was, becaus e it happened over 2 quarters, 2 geographies some -- and hence the question, right? Because, yes, I mean, is it just some product specific? I mean, is it just the number of players filing has gone up or maybe last 2 years were good for U.S. generic market and now someone is taking price hike or ma

rket share at cost of
pricing? I mean obviously, we're too soon to call out any trend, but basically what we're saying is -- correct.

Badree Komandur: There is no such specific trend. All I'm saying is competition will come and go. What Strides will do is to how to stay ahead of the competition is what we are focusing on. And quarter -on-quarter is something which you should not even look at. From a long -term perspective, I think we have got enough strategies in plac e, and we'll continue to execute on our strength, which will give us all the value which we are chasing.

Pratik Kothari: Sir, second, on R&D, we were to double our R&D spend from $10 million last year to $20 million. So I mean, is that run rate already hit ting our P&L? Have we ramped that up?

Badree Komandur: Yes. We are have we said that it will be between $15 million to $20 million, and we are on track to spend that R&D expense.

Pratik Kothari: Earlier, Vikesh mentioned about this spend on intangibles, and that is what we see in the balance sheet. Intangibles have gone up by about INR100 crores. So if you can just highlight this is just a few registrations, et cetera, or if you can highlight the nature of the intangibles?

Badree Komandur: Vikesh, you would like to take that?

Vikesh Kumar: Yes. So it is a few intangibles. It's more -- few ANDAs that we have acquired, and it is for near to medium -term growth. And so it is in the INR100 crores, it is a combination of the acquisition as well as exchange rate impact, because exchange has also moved significantly in the last 6 months. So that will also impact when you compare year -on-year numbers.

Moderator: Our next question comes from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Badree, congratulations, on our team for a very good performance. Just one question on the R&D. Now R&D, the $15 million, $20 million that we're looking to spend, are there any particular areas that you're going to be focusing on more, that you can highlight?

Badree Komandur: So we have said that we'll be focusing on Nasal Sprays and the Beyond Generics. And there are certain specific domains we have identified, Nitin. It's early days, but we are committed to focus on that. But Nasal Sprays is one thing, something which we need to call out at this point of time.

Nitin Agarwal: Secondly, Vikesh, on the capex. So this year is about INR300 crores or thereabouts. Is this a run rate we should work with on these future yea rs also?

Vikesh Kumar: Our maintenance capex is going to be between the INR100 crores to INR150 crores. And the rest is more -- it is more quarterly driven, rather than being a trend. So it is more event driven is what I would say.

Nitin Agarwal: Lastly, on the overheads, I think we've done a pretty commendable job in terms of sweating out or creating operating leverage on the overheads over the last few quarters. I mean, do you still see opportunities to create more operating leverage on the overh ead part of the business -- overheads going forward?

Badree Komandur: So we still have some level of under recoveries across our plants, and that is where we are focused on to get in the incremental revenues without the need to spend in new operating costs . So there is surely some legs that are left as far as the operating leverage is concerned.

Moderator: Our next question comes from the line of Siddharth Bhattacharya from Authum Investment.

Siddharth Bhattacharya : First, I wanted to understand about the gross margin expansion. How structural is that? And is that a function of the product mix that we did during this quarter for the first half? If you could throw some light on that?

Badree Komandur: It is fairly structural. I mean if you look at the las t 6 quarters, we've been in that range and expanding in a very calibrated manner. So

H1 FY '25, we were at 55%. H1 FY '26, we are at 59%. Q3, Q4 of last year, we were at 58%. And so it is in line, and it has got to do with the discipline that we follow acr oss markets in terms of how we onboard new businesses.

Siddharth Bhattacharya : The second question I had is that H1 to H1, if I look at numbers, your gross margin increase has not really translated into corresponding EBITDA increase, which tells me that th ere is some variable cost that has grown much faster than the gross margin increase. So going ahead, you think that will sort of taper down and lead to EBITDA expansion in the coming quarters?

Badree Komandur: Yes. So if you see Q1 of last year, the expens es were significantly lower, the revenue was lower. And from Q2 onwards, and that is where the year -on-year difference you're able to see much more starker . But when you look at Q3, Q4, the last 4 quarters, it has been fairly in a very steady range.

Modera tor: Our next question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Congrats on a steady set of numbers. So first question is on the tariffs. So now that we have seen 1 month post tariff in the quarter gone by, and 1 month in t his quarter, how do you -- if you can throw some color on the impact of the tariffs that we are seeing on our business?

Badree Komandur: Currently, there is no impact, and we continue to watch the external developments and things are changing every day, bu t at least some clarity has come in that the tariff is not going to be there in the near term. But it's as good as news every day, right? So we have to watch out. So far, there has been no impact for us for generics pharmaceuticals.

Sarvesh Gupta: You said that the other regulated market business would mirror U.S. business. So now the U.S. business itself on a quarterly run rate can grow to maybe $100 million in another 2, 3 years. So do we mean that the other regulated business will also reach to that leve l in that time frame, thereby increasing by almost 2.5x?

Badree Komandur: Yes. I just want to make a small correction in what you said. When I said that U.S. market, we have got a plan to grow to $400 million. I named the -- other than U.S., which I call it as rest of the world, which consists of both other regulated markets and the growth markets reached INR10.3 billion, INR1,030 crores, which is the first time we are crossing INR1,000 crores in that market. And that's growing steadily at about 14% on a first half -- for the last 2 quarters. If we keep up the same trajectory, we should be able to mirror the market -- the U.S. market in the next 2, 3 years from now. That's the thing I said. You have to -- I didn't say other regulated markets, other regulated markets plus growth markets minus. That's it.

Sarvesh Gupta: So that shou ld also reach a run rate of $100 million in 2, 3 years?

Badree Komandur: Yes. That is what is our plan. And it will -- again, that's a long -term aspiration. When it will happen, we don't know, but we are working towards it. With the growth, whatever trajec tory that is there, we believe that it can catch up.

Sarvesh Gupta: Finally, on the expense out things versus capitalized. So you have $15 million, $20 mi llion of R&D that you mentioned then you have a maintenance capex of INR100 crores to INR150 crores. A nd then you have filing -related intangible expenses, I think. So how much of these items are going through the P&L? And how much is going to get capitalized and under what time frame?

Vikesh Kumar: So everything that we spend internally, except for the fil ing fees goes through the P&L. Anything that is bought out is what goes through the balance sheet.

Sarvesh Gupta: So this R&D expense and maintenance capex, are they going through the P&L?

Vikesh Kumar: Maintenance capex is for the factories. That does not pertain to R&D.

Sarvesh Gupta: The R&D expense of $15 million to $20 million?

Vikesh Kumar: It is already in the P&L, in the reported numbers.

Moderator: Our next question comes from the line of Kiran D from Table Tree Capital.

Kiran D: Congratulations, sir, on a very good set of numbers. A couple of questions. One, sir, we are talking about $400 million in U.S., maybe $200 million, $220 million just in ORM, ORM plus growth market is $400 million. So I'm thinking ORM will be somewhere aro und $200 million, $250 million. So again, not asking for a quarter -to-quarter, but at least from a run rate perspective, we should at least start hitting $80 million, $85 million, $90 million in U.S. and probably $50 million in other regulated markets. Do you see this happening in FY '27? Again, not for a particular quarter, but at least some run rate growth that we have to see to reach 400, right? I t will not suddenly jump to 400?

Badree Komandur: Yes. So just to reiterate, right, this is an aspirational g oal, right? And we are starting to see growth. And all we are saying is that the last 6 quarters of market formation has resulted in a growth for the rest of the world mar kets, excluding access markets.

And we believe that if you are able to grow in the s ame trajectory, we should be able to mirror that market in the next 2 years. And that's what we are expeditiously working on. And you will see that the narrowing as we go along from quarter -to-quarter between U.S. and the rest of the world markets, which i ncludes both the other regulated markets and the growth markets.

Kiran D: Sir, my question was different. So my question essentially was we should see some run rate increasing, right, at least in the U.S. markets to $80m, $85m growth markets -- not growth market, but at least the ORM markets to $48m, $50m. So I'm asking, is that run rate that we're going to see in FY '27, that $80m, $85m kind of run rate in U.S. and $45m, $50m in ORM next year?

Badree Komandur: Yes. Because see, I don't want to get into specifics on how you are thinking in terms of model ling. But all I can say is if I have to mirror the markets in 2, 3 years, all of it what you said is true.

Kiran D: Second question, sir, in terms of Nasal Sprays, we said we'll launch one nasal spray. Mos t of our nasal sprays are going -- R&D is also going around majorly in nasal sprays. Is there any particular therapy area, sir? Because some industry players do INR1,000 crore s molecule in a single product, right, in Nasal Spray. So just wanted to understa nd if there's any therapy area that you can talk about?

Badree Komandur: No. We are not going to specifically talk about any therapy play. All we are saying is that we filed one product. We are in the process of filing few more in the next 12 months. Once we'll get an approval, and then we'll have to look at launch. At least it is about 18 months to 24 months away from the current date.

Moderator: Our next question comes from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Thanks for this opportunity and c ongrats for good set of numbers. Sir, three questions. First question is on currency. So what is our average hedge duration? When will we see this benefit of stark INR depreciation in P&L? That's one. Second, on this intangible o r ANDAs that you have, if you can give more color on that in terms of number or what kind of opportunity size it will target if everything plays to the playbook.

Third was on the U.S. competition, in general competition that we see. If you can just give us a color how should one look at it, simply because we all have a refresh memory of competitive intensity what happened after COVID, which lasted very long. But if y

ou go back into the history, generally, is this competition a short -term one to two quarter event and how intense generally it tends to be?

Vikesh Kumar: Yes. Thanks, Chirag. Chirag, on the currency, I did not follow your question.

Chirag Shah: I will re peat it. I'm saying you indicated a reasonable amount of hedge loss -- accounting hedge loss, when I say hedge loss, given the currency inventory. So how -- what is the duration of our current hedges, outstanding hedges and from when can we see the benefit of current INR rates, for example?

Vikesh Kumar: So we are seeing the benefit of the current INR rates. You should also appreciate that we have a large part of our operations outside of India, where there are costs that are in USD. But largely, the way we really focus on is that on a net basis, the currency impact benefit flows through, and we see that flowing through in terms of the P&L. The impact on the balance sheet comes in when the depreciation is far steeper than what it is during the course of the period, where the currency benefits come with a lag over subsequent quarters, if the currency rate stays. So if the currency stay -- rate stays, that benefit should flow through over the next few quarters.

As far as the ANDAs or the products are concerned , they are in line with our strategic profile, in terms, of how we look at products internally, and we expect to launch them in the near to medium term. So those are very small tuck -ins that we really saw value in and took them over, but we cannot get into specific of it. They will form part of our pipeline and growth in the near term to medium term.

As for the competition and the intensity, it is very specific to the new launches that we've had over the last 12 months. If you really see across the rest of the portfolio or the large part of the portfolio, we are not seeing any erosions. In fact, we continue to maintain our market leadership position, both in terms of volumes and which is where you also see that gross margins are steady.

What the impact on t hese products meant is that what could have been a very solid growth, that growth did not come through because of these impacts.

Chirag Shah: Just a clarification. So first, on hedges, what I was referring to is whatever balance sheet hedges, losses that w e have booked would be with respect to the outstanding forex you would have taken for forward booking of revenue, right, potential revenue?

Vikesh Kumar: We have not booked any balance sheet losses or hedges. I mean that impact is not much. What I spoke ab out was the impact of restatement of foreign currency debt.
Chirag Shah: It's more about restatement. Okay, I understood that.
Vikesh Kumar: It is more restatement of foreign currency debt. We don't have any significant outstanding hedges that are impacting.
Chirag Shah: Just clarification on the competitive intensity. But generally, in the past, if we exclude the post -COVID period intensity, how long you will be in a better position to make a guess than us understanding that it's a forward -looking statement, it may or may not hold. So, I understand that. But how long in general or how long it last? Forget about the intensity, but generally -- because there are multiple -- if you can just help us understand, because we all think that when competition threatens, it can last for 2, 3 years, and the price erosion could be very severe, given the recent experience of post -COVID?
Vikesh Kumar: Yes. I mean, like we had said, our focus remains on profitable expansion, and we continue to remain focused on that. We expect that through our AVD programs and cost improvement plans, we will be able to mitigate and offset these impacts.
It is just that when an impact comes in, it comes in immediate, whereas your improvement takes 6 to 12 months to ge t back those margins. So

that is what we are focused on, that we need to recoup. It's a competitive market. We have to continuously work on our costs and keep improving our costs across line items and retain our leadership positions.
Moderator: Ladies and gentlemen, due to the time constraint, that was the last question for today. I now hand the conference over to the Management for the closing comments.
Badree Komandur: Thank you, everyone. And wish you a very happy weekend. And all we are saying is that w e'll continue to focus on long -term sustainable business with EPS accretion. Thank you.
Vikesh Kumar: Thank you.
Moderator: Thank you, sir. On behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us and you may no w disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

Strides Pharma Science Limited
CIN: L24230MH1990PLC057062
Corp. Off: Strides House, Bilekahalli, Bannerghatta Road, Bengaluru – 560 076, India | Tel: +91 80 6784 0000
Regd. Off: 'Cyber One', Unit No. 902, Plot No. 4&6, Sector 30A, Vashi, Navi Mumbai – 400 703, India | Tel: +91 22 2789 2924/3199
corpcomm@strides.com ; www.strides.com

May 21 , 202 6

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip code: 532531
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex
Bandra (E) Mumbai - 400 051

Symbol : STAR

Dear Madam/ Sirs,

Sub: Transcript of Earnings Call pertaining to audited Financial Results of the Company for the quarter and financial year ended March 31, 202 6.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings call for the quarter and financial year ended March 31, 202 6, conducted after the meeting of Board of Directors held on Mon day, May 18 , 202 6, for your information and records.

The said transcript is also available on the website of the Company at:

https://www.strides.com/Upload/PDF/strides -q4FY26 -transcript.pdf

Request you to kindly take the above on record.

Thanks & regards,
For Strides Pharma Science Limited,

Manjula Ramamurthy
Company Secretary & Compliance Officer
ICSI Membership No. A30515

Encl: a/a

Strides Pharma Science Limited
Q4 & FY26 Earnings Conference Call
May 18, 202 6

MANAGEMENT : STRIDES PHARMA SCIENCE LIMITED
- BADREE KOMANDUR – MD & GROUP CEO
- VIKESH KUMAR – GROUP CFO

Moderator: Ladies and gentlemen, good day, and welcome to the Strides Pharma Science Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.

I now hand the conference over to Mr. Abhishek. Thank you, and over to you, sir.

Abhishek Singhal: Thank you, R utuja. Very good evening, and thank you for joining us today for Strides earnings call for the fourth quarter and financial year 2026. Today, we have with us Badree, MD and Group CEO, Vikesh, Group CFO, to share the highlights of the business and financials for the quarter and the financial year. I hope you've gone through our results release and the quarterly investor presentation that have been uploaded on our website as well as Stock Exchange website.

The transcript for this call will be available in a we ek's time on the company's website.

Please note that today's discussion may be forward -looking in nature and must be viewed in context of risks inherent in our business. After the end of this call, in case you have any further questions, please feel free to reach out to Investor Relations te am.

I now hand over the call to Badree for his opening comments.

Badree Komandur: Thank you, Abhishek. Hello all, and thank you for joining us for the Strides Q4 and FY26 earnings call. Like in previous quarters, I will begin with an overall summary of the Q4 and full year performance, focusing on growth metrics across revenue, margins and operating performance. I'll then take you through a detailed review of the geograph ies. After my section, Vikesh will walk you through the financials in more detail, followed by Q&A.

Before I get into the operating performance, let me capture the 3 years journey in perspective. Over the last 3 years, we have been very clear on our priorities, geographical diversification, profitability and balance sheet strength. These priorities were deliberate because we believe that sustainable growth can only be built through strong foundation of profitability and operational discipline.

The results of this strategy are now visible. Over the last 10 to 12 quarters, we have consistently delivered improvement across revenue, EBITDA, PAT for reporting our highest ever EBITDA and operating PAT on a sustained basis.

Let me cover the first point, the geographical diversification, which has been one of the critical pillars of our strategy. While U.S. continues to remain the key market where we have long -term aspiration, ex -U.S. markets have emerged as the most important highlight of our performance. Over the last few quarters, we have been consistently talking about a calibrated strategy of growing these markets, and I am pleased to say that the strategy is now delivering results faster than what we had actually initial ly anticipated.

If we look at the last 3 years, we have delivered consistent growth across key metrics with overall revenue growth at a CAGR of approximately 12%, supported by 11% CAGR in U.S. and 19% CAGR in Ex-U.S. markets. More importantly, the mix of the business has shifted meaningfully. Ex-U.S. contribution has increased from 41% in FY24. approximately to 46% in FY26. And on a Q4 basis, it is now close to 50%. This marks a very important structural shift in our business model. It clearly indicates that we are moving away from a single market dependency to a more diversified, balanced and resilient portfolio.

Profitability has been the cornerstone of our transformation journey, and we continue to see strong and consistent improvement. EBITDA compounded at approximately 2

6% over the last

3 years, driven by the EBITDA margin expansion of 400 basis points to close FY26 at 19%. This reflects improvements across our business, whether it is a better portfolio mix, conscious de-prioritization of low margin institutional business, strong pricing discipline and overall operational efficiency. Operating leverage is clearly visible at t he bottom line.

Operational PAT has grown 18x over the last 3 years and EPS has increased to INR 56 for FY26, which is the highest for us with a strong exit run rate of INR14.7 per share in Q4. This shows that we are now operating with significantly stronger earnings engine, where growth is translating into incremental profitability.

The third pillar has been efficiency and particularly around cash generation and balance sheet

strength. Our focus on working capital discipline on cost optimization and cash flow generation has led to a meaningful improvement in the financial metrics. Cas h flows are strengthened, cost structures have been streamlined and asset productivity has improved across the Board.
This is reflected in our return metrics as well with ROCE improving to 15.76% for FY '26 from single digits just 2 years back. More importantly, our continued focus on profitability and cash generation has enabled us to significantly reduce debt. Today, we are operating with much stronger and more resilient balance sheet, which gives us the flexibility to invest in growth while navigating external volatility.
Coming to the full year performance, FY '26 to be viewed in the context of a challenging external environment, particularly from a geopolitical standpoint. We reported a revenue of INR48,587 million that is INR48 billion, representing a growth of 6.4% year -on-year. This was impacted by a few specific factors, particularly in the U.S. business. The flu season did not materialize as expected in the second half this year, which typically contributes meaningfully to our revenues.
In addition, the overall growth was impacted by access markets, which are currently facing donor funding challenges and remains tactical in the nature. Adjusting for these access markets, our underlying revenue growth was much stronger at approximately 10% . This growth was driven primarily by our Ex-U.S. markets, which delivered a robust 21% growth.
Coming to U.S. business. We delivered a revenue of $284 million for FY '26 and $70 million in Q4. The performance during the year was impacted by a weaker flu season in the second half.
Historically, the fourth quarter tends to be stronger for us given the seasonal flu demand in the U.S., which unfortunately did not materialize as expected this year.

Over the last couple of years, we have been consciously reshaping our portfolio transitioning from a smaller revenue products to more meaningful products. In line with this strategy, we launched 6 products during the year and some of our molecules have fac ed increased competition. And accordingly, we have rationalized our market share while maintaining our focus on the profitability.
We exited 9 products that did not meet our internal return thresholds and reinforcing our continued focus on portfolio quality and profitability. We launched controlled substances from Chestnut Ridge acquired ANDAs portfolio. Given that we are a new entran t in controlled substances, allocations are lower than expected in FY '26. However, with a full year of operating track record now established, we believe that we are better positioned to secure additional allocations.
This portfolio should add to our near -term growth. Over the past year, we have made targeted investments into global R&D programs. We have spent INR2,500 million (~$30 million) over the last 24 months towards IP purchase and partnered R&D programs focused on medium and long-term growth. We expect the benefits of these inv

estments starting in the second half of FY
'27. In parallel, our strategic partnership in U.S. are progressin g well the B2B business that should drive the incremental growth.
Our pipeline continues to shift towards the more differential programs with a clear focus on nasal sprays, transdermal patches and films. We also filed our second nasal spray in May '26, further strengthening the portfolio. We continue to focus our aspirat ion of reaching $375 million to $400 million in the U.S.
Coming to the next Ex-U.S. markets. This has been a very strong year for us. And more importantly, it reflects a structural transformation that has been underway over the last few years.
As I mentioned earlier, we have grown this business at a CAGR of around 19% over the last 3 years, and we are now starting to see the benefits of the investments we have made across markets, partnerships and product portfolio.
To put this growth in perspective, the Ex-U.S. business has scaled from $40 million per quarter in Q1 of FY '24 to about $70 million in Q4 of FY'26, a $30 million growth in 12 quarters, and this steady progression highlights not just a growth, but the consistency and sustainability of the busine ss model we have built.
In our other regulated markets, we are seeing strong traction across key regions such as Europe, U.K., Australia, Nordics. In the last 12 quarters, the ORM revenues have grown from about $31 million in Q1 of FY '24 to $52 million an exit run rate in Q4 FY '26, reflecting a consistent sequential improvement on strong execution on the ground. At the same time, Africa continues to be a key co ntributor within our growth markets , where performance has been encouraging across regions. Our focus here is evolving b eyond just scaling revenues to increasing the share of branded business, particularly in the markets such as Francophone Africa, where we are already growing faster than the underlying market. The focus towards branded business will drive both sustainably and margin resilience over the long term.

We also announced the acquisition of certain products from Sandoz in February '2 6, with addition of the Sandoz portfolio, which is expected to start contributing from the second half of FY '27, we will further strengthen our presence in Africa. The combined strength of our existing portfolio on the Sandoz branded business positions us well to become one of the leading pharmaceutical players in sub -Saharan African region over time.

Our continued focus has been building on high -quality, sustainable business across Ex-U.S. markets and these geographies are characterized by a relatively high entry barrier, stable pricing environment and strong partner relationships all of which will contribute to the predictable and resilient revenues.

Despite a strong growth in Ex-U.S. markets, our margins have remained robust. This clearly demonstrates that we are not compromising on our underlying business fundamentals and in fact, margin profile between the U.S. and Ex-U.S. business is now becoming increasingly similar. This is an important milestone as it validates the Ex-U.S. is not just a growth engine, but also a strong and reliable earnings driver.

What also gives us confidence is that the key growth drivers are now firmly in place, whether it is presence in the right markets, strong partner relationships yet diversified and expanding product portfolio or a steady pipeline of regulatory approvals.

Looking ahead, our filing momentum in Ex-U.S. markets remain strong, and will continue to drive growth over the medium to long term. Overall, we believe that U.S. markets will continue to grow faster than the company average and will remain a critical pillar of our strategy, not only for growth but al so for improving the resilience of overall business.

On some of the qualitative matters, I just want to cover some few po

ints. One is with respect to
ESG. From a ESG standpoint, we are happy to report a 5 -point improvement in our score and inclusion in the year book for the second time, reflecting our commitment to responsible growth and governance.

I also want to make some few comments on the external environment. The external environment remains challenging with cost pressures across raw materials, logistics, fuel as well as foreign exchange. We are also closely monitoring these developments and rem ain focused on cost discipline. We remain committed to achieving our long -term aspiration, and we aim to reach EBITDA margins upwards of 20% and gross margins in the 58% to 60% range and continue to driving operating leverage to deliver strong EPS and PAT growth.

Lastly, the Board has recommended a dividend of INR5 per share.

And before I close, I'm pleased to announce to share an important leadership update. We are delighted to announce the appointment of Ramaraju, our current Chief Operating Officer, as an Executive Director. Ram has been with Strides Group for more than 18 y ears and brings with him a deep experience across the pharmaceutical and health care sectors.

As Executive Director, Ramaraju will be responsible for overseeing the global technical operations and strategic management of critical functions, including manufacturing, supply chain and procurement. With this, let me hand over to Vikesh for his comments.

Vikesh Kumar: Thank you, Badree. Very good morning, good afternoon, and good evening to all of you. FY '26 has been another year of strong profitable growth, which has been anchored in our pillars of profitability, efficiency and growth. At the core of this philosophy h as been our disciplined approach towards profitability -led growth, a very efficient capital allocation and a drive to achieve sustainable and resilient business model.

We are very pleased with the sustained progress across all of these metrics of profitability, efficiency and growth over the past few years as we continue to build long -term shareholder value. Over the last 12 quarters, we have significantly expanded on our profitability metrics, improved our cash flows and strengthened our balance sheet.

Despite a challenging external environment in Q4, where we have seen additional cost pressures . We have continued to deliver consistent quarter -on-quarter growth in our absolute EBITDA and operational PAT, which truly reflects the resilience of our business.

I will now take you through the numbers, starting with the full year performance. For FY '26, we are reporting an EBITDA of INR925 crores, which is a healthy 15% growth year -on-year, with EBITDA margins expanding by 140 basis points over FY '25 to 19%. On operational PAT, we have grown even faster with a 50% year -on-year growth.

We are reporting an operational PAT of INR518 crores crossing the INR500 crore s mark for the first time. This was supported by sustainable growth in our EBITDA and lower finance costs.

Our EBITDA to operational PAT conversion ratio also significantly improved to 56% which

underlines the structural strength and quality of our profitab ility. Operational EPS also grew by 50% year -on-year with an EPS for the year at INR56.2 per share.
Our reported PAT for the year is at INR575 crores, which is up 40% with a reported EPS of INR60.3 per share. Our reported PAT is higher than operational PAT on account of the sale of investment property that we had in Q3 of FY '26. On the efficiency metrics, our cash -to-cash cycle is at 124 days, which is an increase of 7 days year -on-year.
And this increase is on account of higher inventory levels, which have increased by 21 days year-on-year. So in addition to the superior growth that we've had in ex -U.S. markets, which was supported by these inventory levels, we have also built resilience in our supply chain, adapting

to the challenges that have been posed by the current environment. And therefore, stocked up adequately to take care of our business needs. We had a corresponding increase in payable days in Q4, and we expect these to normaliz e over the coming days.
After funding for this increase in cash -to-cash cycle, we've delivered an operating cash flow of INR703 crores for the year, which translates to a 76% EBITDA to operating cash conversion. We also invested in growth capital spend. We invested INR418 crores across both tangible and intangible assets.

It includes INR236 crores of tangible capex, where in addition to the maintenance capex that we spend every year, we made very targeted growth investments in building our nasal spray capabilities. Enhancing capacities to support our Ex-U.S. business and acquisition of a new office space in U.K. to cater to the growing needs of our business. We spent INR182 crores towards intangible investments, which included certain global product rights, which will drive our growth in the near future in both the U.S. and the Ex-U.S. markets.
In the intangibles, the spends also include a very significant upgrade to our global ERP platform as we migrated to SAP HANA. While we made significant investments in growth this year, our superior profitability and cash flows have helped improve our net d ebt-to-EBITDA ratio from 1.9x last year to 1.55x as we closed FY '26. This is despite a negative impact of the currency depreciation, which impacted our net debt by about INR112 crores for the year. Our reported net debt as of March '26 is at INR1,437 cror es.
In addition, our investm ents in OneSource valued at INR 337 crores adds further strength to our balance sheet. In terms of debt reduction, our net debt on a constan t currency basis reduced by INR197 crores, which reflects the strong underlying cash generation and disciplined deleveraging in our operational business.
While there may be near -term headwinds due to our cash -to-cash cycle, we remain confident of improving our net debt to EBITDA ratio over the next few quarters. Our ROCE continues to improve. It is at 15.8% for FY 26 compared to 14.9% last year, which reflects our improvement in operating performance.
With the significant investments in growth during this year, which are yet to play out, we see this metric to continue to improve in the near future. Overall operating expenses for the year were at approximately 40.6% of sales. Employee costs remained stab le at 19% of revenues while other operating costs increased to 21.5% due to both a business mix shift towards Ex-US markets and the elevated supply chain and manufacturing costs largely in Q4 due to the dynamic geopolitical environment.
Our net finance costs stood at INR 138 crores for the year, which reflects a consistent reduction from FY 25 levels, which has been supported both by lower debt and improvement in our borrowing costs.
Our effective tax rate for the year remained at sub 15%, which is at the lower end of our expectations.
Quickly moving to the Q4 performance. For the quarter, our EBIT DA grew 10% year -on-year to INR 240 crores, which reflects our continued growth in absolute profitability. Our EBITDA margin for the quarter was at 18.1%. EBITDA margins were impacted on account of cost increases that were attributable to the escalations in logistics cost and air freight , which were seen to be significantly higher than the previous quarter s. Thes e costs were to the tune of INR 20 crores, which would have otherwise added to our performance for the quarter.
Despite these challenges, we are delighted to report growth in absolute numbers and we continue to remain focused on building a resilient and sustainable EBITDA profile. Our PAT and EPS

continue to expand on a quarterl y basis. Operationa

l PAT at INR 136 crores grew 20% year -on-
year with an operational PAT margin of 10.3%. Operati onal EPS for the quarter at INR 14.7 per share reflect continued improvements in earnings quality.
Our reporte d PAT for the quarter is at INR 129 cr ores with a reported EPS of INR 13.8 per share, which has grown by 54% year -on-year. Overall, FY 26 has been another year of disciplined execution with strong growth in profitability, significant improvement in operational PAT and EPS, improved ROCE, balance sheet discipline while we continue to invest for future growth.
The growth momentum in our Ex US business, along with our profitability orientation has enabled us to drive improvement in gross margins and EBITDA with a significant expansion in PAT and EPS over the last couple of years.
We remain focused on building a structurally resilient business with sustainable growth, disciplined capital allocation and continued strengthening of our balance sheet.
Thank you, and we are now happy to take any questions that you may have.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pratik Kothari from Unique PMS. Please go ahead.
Pratik Kothari : Yes hi, good evening and thank you. Sir, my first question on the US portfolio. I mean while we have reoriented and we are doing exceptionally well in our other regulated markets and the growth markets, one, if you can touch upon what is happening in the US market s in terms of , I mean, because you're seeing product discontinuations, even the product launches that we had anticipated or plans for didn't go th rough. So just one comment on US , what is happening there?
Badree Komandur: Yeah , sure. So Pratik, from a US perspective, I just want to give you some few things which did not happen in the last year. One is the seasonal aspect. Second is the , we have been telling that the controlled substances, we need a past history. Like we need a good stable year of controlled substance before the growth comes back because it depends on quota and then production and then the actual commercialization.
And the third one is in terms of the portfolio, if you really see , we have got a lot of launches coming up from the second half of this year, which will continue until about '28. And we just don't want to lose profitabi lity discipline as far as the US business is concerned. And that has been a stated policy. And if you really see post the OneSource that happened, still the , our growth is quite good from a 11% perspective over the last 2 to 3 years.
And overall, if you really see, this is a conscious effort to maintain the profitability at the marketplace. And we believe the growth should start from H2 onwards, with a higher trajectory.
Pratik Kothari : Correct. And then it's a steep growth, I believe, because we still hold on to a target for next year. So this would be driven by a combination of everything your nasal sprays and your controlled substance ?

Badree Komandur: Aspirationally, we have kept just US$375 million to US$400 million. And if you remember, the US$400 million was given in the context of some 2 years back, and we want to chase that for the simple reason that we have got that drivers in place, and we are also working on till the last dollars to make it happen. And that's what we are focusing on, and we should be able to get to that growth trajectory very soon.
Pratik Kothari: Just double clicking on this. So to maintain these margins, we have either not launched as many products or we have let go of a few. So this increased competition o r pricing pressure is coming from where? That is peer , Indian peers who are doing this ?
Badree Komandur: There are a lot of peer players, .It also , we have explained it in the previous quarter also, like there has been intense competition in few of

the molecules. But the most important part, Pratik
you should know is that we still have leading positions in 37 of the 70 products, right? The market lea ding positions in 37 out of 70. All of this plays out. And I think we should be there. It's not a very difficult situation. The only thing is we'll have to focus on a few things and we've got 8 quarters to make it happen.
Moderator : Sorry To interrupt you. May we request you to please rejoin the queue. Mr. Kothari, we have other participants waiting for their turn. Thank you. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.
Dhaval Shah : Hi, thank you for the opportunity sir. Yes. So my question is related to the flu season. So our , sir, I'm fairly new to the company so my question could be a bit basic one. So this , our medicines are given more when the patient is in the hospital or at home? How is the prescription , how does the prescription work for because I was just reading on the net that the influenza related hospitalization w ere third highest since 2010 -11 flu season in U S. And while towards February, March, the cases, in fact started increasing a lot. So what is exactly impacting our growth for this flu -related drugs? Yes, your thoughts on it.
Badree Komandur: Yes, sure. So from your perspective, what you are saying is the very general thing. From what we need to see is what is based on our portfolio, right? Our portfolio, usually, it adds quite well in the H2 and that has been the past trend for the last 3 year s and some of this is this year because

of the better discipline with the wholesaler and all of these things and they are able to , the demand uptick did not happen. It's not that , it can come back next year also. We don't know. But what we can say is that definitely, the uptick which happens between the H2 and H1, what we have seen in the last 3 to 4 years did not happen in the current year. And that's what usually if you really see the entire growth, the 100% is divided into 45% in the first half and 55% in the second half. But if you really see, this year, it's more or less it's 50 %, 50% from that standpoint.
Dhaval Shah : Yes. Thank you for that. And sir, the second question is on the controlled substances. Now can you help me understand a bit about this product, again, through my limited research, I could understand it's a difficult business to do and also, at the same time, has a very strong EBI TDA margins. So can you throw some light how should I look at this business? And from your plan for the next 2, 3 years perspective, how do you plan to scale this up?

Badree Komandur: Yes. So as far as the controlled substan ces is concerned, it is an in US for US strategy for us. And we have launched 4 products in controlled substances, and one of the important things you should know is that it's a very , it has got a stringent regulatory process.
First is you have to apply for quota. That's the first step. Once you get a quota , for getting a quota, you have to demonstrate your past history in the sense like if you have been selling controlled substances in the past, the quota will be restri cted to the way you sell, right?
For a company which is entering newly controlled substances, it takes at least 1 to 1.5, 2 years to settle down and display that past history, right? So last year was the first year where we had a full year of controlled substances.
Then what we do is once we get the , once we demonstrate the sale, we go back to the DEA again and apply for an additional quota because the government wants to be making sure that you are able to deliver what you take. And based on which and if you are able to give that what you say, assura nce, then you get more quotas. That's how it works. So and then you'll have to get the API and then we'll have to , then you'll have to produce , then

you go to sell and then go back to the
DEA again. So this is the entire process.
So what , the controlled substances started somewhere in the year of '24, '25, the second half o r the third quarter. It's almost about 18 months or 19 months we have sold controlled substances. And last year, of the first year, we had a full year. And we will go back to DEA with request for additional quota, and that should drive the future growth for us.
Dhaval Shah : Got it. And sir, on the profitability front, is it going to significantly influence our margin trajectory going forward the 20% guidance ?
Badree Komandur: It's more or less similar, okay, it depends on the product, but I don't think so the profitability is going to change dramatically because of controlled substances. That's for sure.
Dhaval Shah : Got it. So in overall scheme of things, you should look at Strides as an operating leverage play going forward to improve the margin? Or it's going to be a mix of product mix as well?
Badree Komandur: Yes. I covered that in my speech, like our long -term aspiration is to get to an EBITDA upwards of 20% and also staying 58% to 60% in a gross margin range. And that's what we've been working internally, and we have been working relentlessly on various line items together.
Moderator : Sorry to interrupt. I request Mr Shah to . Thank you. The next question is from th e line of Rudraksh Raheja from i thought Financial Consulting. Please go ahead.
Rudraksh Raheja: Sir, I hope I'm audible?
Badree Komandur: Yes.
Rudraksh Raheja : Thank you. Sir, in previous history, you mentioned target US$600 million, US$700 million market opportunity wise, and we are planning to launch 3 products this year. So how much of that market are we tapping in the first year?

Badree Komandur: I think , I did not refer anything on the US$600 million and US$700 million.
Abhishek Singhal: Where did you get this number from Rudraksh?
Rudraksh Raheja : I think in some previous calls or communications?
Badree Komandur: No, I don't think so. We have not communicated . We have stayed completely to the same theme in the last 2, 3 quarters. I don't think so we have communicated in any forum at least as far as I remember in the recent past.
Rudraksh Raheja : Okay. Sir, is it possible to disclose what kind of market size are we trying to target?
Badree Komandur: No, no. See, we have given the overall guidance, the overall outlook how we are looking at the business for the next 2 years, right? You have to stay with that.
Abhishek Singhal : Are you talking about specifically controlled substances, is it?
Rudraksh Raheja: Yes, nasal spray market, sir, specifically ?

Badree Komandur: We have not specifically -- this is beyond FY '25 strategy for us. The market has to form, we have just filed 1 product last year. We have filed 1 more this year. And we are building capabilities in our Chestnut Ridge plant. And at least it is another 12 months away from commercialization. And once we get a better clarity, we'll come back to you.
Abhishek Singhal : So, FY '28 is when you will see the impact of this.
Badree Komandur: Yes.
Rudraksh Raheja: Understood, sir. understood. Sir, would it be possible to disclose capacity utilization across different manufacturing plants.
Badree Komandur: Yes. So the capacity utilization , we have got enough capacities to cover the next 2 years. We have been driving operational efficiencies but it's always good to have some spare capacity because to meet any emergencies. And we have been operating at a fair level typical of any pharma compa ny which will operate in this space. All I can say is that we don't need additional too much capacities in the next 1 or 2 years, except for incremental capex , which will give us incremental growth.
Moderator : The next question is from the line of Prolin Nandu from Edelweiss

Public Alternatives.
Prolin Nandu : So Badree, just wanted to understand a little bit more on the U.S. business, right, the $70 million run rate, right? So I mean, one of the things that I wanted to double click on was that apart from the controlled substance launches, which were delayed bec ause of the reasons that you explained, Were there any other launches, which were also delayed and was competition, the reason there? Or because you mentioned you had some plans to launch but you did not. So was that comment specifically for controlled substance for or was it for outside the controlled substance as well?

And a question related to that would be, what are you expecting in next 2 quarters for you to say that the recovery or growth will start happening in H2. Why would Q1, Q2 will still be on a weaker side, right? What are the reasons that you are seeing in the next 2 quarters for you to say that the growth will start happening only in H2 of FY '27 ? So that's my first question.
Badree Komandur: Yes. So what I want to say is I want to correct you here. Like if you really see, my comment was not limited to controlled substances. That is number one. And second thing is we also have 150 products in our portfolio, right? And Strides policy has been to the launch when the market actually gives an opportunity. We are not in a hurry to launch. There are also products which are there, which are available for us to launch at any point of time.
And that's what we will do. We will wait for the market disruption to happen, be it our API or be it a new player coming , be it any player going out and that's been a practice because that helps us to maintain the overall company level gross margins. As far as next 2 quarters is concerned, I'm only saying that the full potential of the growth you will start to see from H2 onwards. It's not just that it's muted or it's not like that. There will definitely be a growth.
But see we have to look at it from a long -term perspective. Some things take at least 16 to 18 months sorry, 18 to 24 months to solve, right? So while the quarter -on-quarter there'll be growth, the full potential of the growth with more launches, you will see the impact of it more in the H2 onwards.
Prolin Nandu: That's clear. The second question would be on the margins, right? On the controlled substance, right, you mentioned that they would be similar to our existing U.S. business. But one would have thought that because this is more specialized, the margins woul d be higher, right? And so where is that understanding wrong and in that context, right, while right now, you are seeing the convergence of non -U.S. and U.S. margins .
But over the period of time, once controlled substances and nasal spray and some of the new products becomes a decent part of our U.S. revenue. Don't you think that U.S. revenue are structurally, I mean, pointing towards a higher than the company average or the non -U.S. part ?
Badree Komandur: Yes. So as far as controlled substances are concerned, I just want to say that it's an in U.S. for U.S. strategy. See, you have to understand that we are a very new entrant to controlled substances still, right? We have just had 1.5 years of experience, last 7 quarters, we have been, right, we have been in the business of controlled substances. So we have to see how it pans out because at the end of the day, our endeavor is to improve the margins.
And we all know that U.S. gross margins are much higher compared to the company level margins. And the good part is that once the history is established and once we come to a reasonable size, our ability to do many things in that business becomes much more stronger. So from a nasal spray perspective, it's just at least another 1 year away for us to launch.
And our endeavor is to see how much we can gain market share at the time of launch.

And if
you really see the overall context, the U.S. business has to be understood because we are also

equally investing in R&D. So that's also a very important factor we ne ed to take into

consideration. But overall, I think your observation is right. But it takes the controlled substances will take its time to build that profitability and the operating leverage that we are looking for.

Moderator : The next question is from the line of Sarvesh Gupta from Maximal Capital Private Limited.

Sarvesh Gupta: So my first question is on this -- you described the tangible and intangible investments to the tune of around INR350 crore s plus. So what is the broad run rate, let's say, for the next 2 years in these 2 buckets?

Badree Komandur: Yes. it will be around INR300 crores is what I think because the tangible portion is almost coming to an end from a fact we need only the maintenance capex . But there will also be some intangible global rights, which we may acquire to fast track the growth. I think it should be about INR300 crores is what I think.

Sarvesh Gupta: Okay. Understood. And secondly, sir, just sorry to harp on this point again, but the U.S. guidance for FY '28 of now earlier, we were seeing $400 million. Now we're saying $375 million to $400 million. But is it an exit run rate sort of a guidance? Or is it what we want to achieve in FY '28, number one? And secondly, this translates broadly to 15% to 20% CAGR from the current base. So does it look achievable in the context of the kind of growth we are se eing currently?

Badree Komandur: Yes. I just want to give you a perspective of this $400 million. This $400 million is there for the last 2 to 3 years, right? And post that, we had a demerger of our soft -gel business. That's number one. But we did not change the $400 million because we want to chase an aspiration. And we believe that we can be between $375 million to $400 million at this point of time, right? And we are working towards it. And what is more important is that while you harp on U.S. business, but there is also other regulated markets, which is also growing at a very healthy rate, and it is growing much faster than the U.S. market. So from our perspective, we look at the overall company and as a basket. And together, we should be able to give the economic long - term result. That's the way I look at it.

Sarvesh Gupta: But presently, this is a target for full year of FY '28, right?

Badree Komandur: Yes, that is correct. We have not taken any exit run rate and all that. The reason why we are saying is that we have got another 8 quarters to go, we want to try to reach as close to the $400 million as possible.

Moderator : The next question is from the line of Sanjay Shah from ASK Securities.

Sanjay Shah: Badree, your opening remarks are really helpful to understand the company and congrats to Mr. Ramaraju. Sir, my question was regarding our top 37 products contribute around 75% of U.S. revenue. How vulnerable are these products? Can you highlight upon it or is the pricing erosion, competition side, and even customer concentration side?

Badree Komandur: Yes. So one of the things I just want to highlight here is that, Sanjay, thanks for your question. And as far as the 37 products is concerned, it's widely spread across the entire U.S. revenue. That's the first thing. There is no great customer concentration. So second, in terms of the pricing

pressure, we have had marginal pricing pressures, but it has been offset by most of the other measures like we have some COGS improvements. And that's the reason we are able to keep the gross margin between that 58% to 60% range. And in fact, if you really see the last 3 years that disciplined approach has helped us to improve gross margins by more than 300 basis points and as

well as the EBIT DA margins by almost 400 basis points when we started post OneSource, when you adjust for OneSource , from 15% to alm ost about 19%.

As far as the customer is concerned, I just want to say that we have got a very wide customer base. In fact, the big customers contribute almost a reasonable portion, but there are also a lot of many customers which contribute to give the portfolio great support because these are the customers where we don't see price erosions much. And we are able to ma intain it within a range. And I think, overall, to answer your question, the vulnerability is not there from a customer or a product perspective. Second thing is the objective has been to maintain the gross margins. And that is what we have done consistently, you can see all the 8 quarters, we have demonstrated the gross margins between that 58% to 60%, and we wil l continue to work on it to get to that range.

Sanjay Shah: So we are investing heavily on complex generics like nasal spray, transdermals and films so what are the execution capabilities still need to be built internally? And what time line can we expect before meaningful commercialization of the product?

Badree Komandur: Yes. So as far as the nasal spray is concerned, one of the strategic acquisitions we made some many years back was from Endo to a Chestnut Ridge facility . Today that facility has got that capabilities to manufacture nasal sprays and controlled substances. As far as the R&D is

concerned, we have got a combination of the third -party manufacturer as well as the in -house manufacture.
And these all should contribute meaningfully beyond '28 i.e. FY28 and beyond. That's what we are expecting. While one or two nasal products can be commercialized much earlier, which we believe we can, if everything goes right. But you will see bulk of the revenues coming in '28 and FY29 onwards.
Sanjay Shah : Very helpful. And congratulations to that.
Moderator : The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal : Badree, two things on is, on the newer sort of growth engines you're talking about. You've talked about the nasal sprays, file a couple of them, they'll begin to contribute '29. There are some other modalities which you mentioned in the presentation. Can y ou give us a little more color on what are the time lines for those modalities.
Badree Komandur: Yes. These are all again, it is a '28 and beyond. It's not going to contribute anything much to '28. We already started all the programs. It's all going in full swing. So, which we will start filing in the next 18 months. And then it will be beyond '28 for us.
Nitin Agarwal : And so, in those apart from nasal spray, which is the second modality will probably start to become meaningful commercial for us?

Badree Komandur: Patches and thin films. These are the two areas of domains we have identified. The R&D is in full swing. We should be able to file for that in the next 12 to 18 months. And then commercialization later.
Nitin Agarwal : And on the nasal sprays. So apart from controlled product nasal spray that you guys mentioned earlier, what is the total pipeline that you probably are looking at, say, from a 2, 3 -year filing perspective?
Badree Komandur: There are a few items we have added. In fact, there are some third -party programs. We have added at least another 5 or 6 of them. I don't know the exact number. But definitely, there is a portfolio that's being built on nasal spray domain because we are co mpletely backward integrated in terms of Chestnut Ridge catering to that business.
Nitin Agarwal : So, these will be all controlled product nasal sprays?
Badree Komandur: Yes. Controlled as well as other nasal sprays also.
Nitin Agarwal : Okay. And with all of this going on, how do you visualize the R&D spend goin

g forward now?
Badree Komandur: Yes. So, the R&D spend we said last year also that R&D spend is going to be higher. It will be upwards of $25 million , $20 million to $25 million for sure in the coming 2 years. And we believe that we have got the enough growth engines to invest on the R&D and also the scale up of the business.
Nitin Agarwal : And lastly, second one, on the growth market s, if you can just let us know about how should we think about the Sandoz transaction and the impact it makes for all the growth markets. And overall, any update on how the growth market businesses , I mean any positives to call out for the growth market growth for this year?
Badree Komandur: Yes. So as far as the Sandoz transaction is concerned, it's expected to fructify in the second half of FY27, that is between October and March. Next year, it should contribute meaningfully to the growth. The third thing is in terms of overall the branded p ortfolio will definitely technically double for us more than 1.5x as with this portfolio. And we think that over the long term, we should be able to build a good brand portfolio as a part of the overall revenue of the company, and it's growing quite well.
So far in the last few quarters, we have grown faster than the market. And our brand was more related to the Francophone region wherein we have done quite well. And with this Sandoz portfolio, we get a much more broader presence in Africa. And we think thi s will add very meaningfully to the margins because as you know the brands have higher margins compared to generics.
Nitin Agarwal : And then lastly, how should we think about this quarter, SG&A expense spike? And should we look at annualized , this should be the base to analyze when you model next year?
Badree Komandur: Yes, it will be in that range. Because last quarter was a sudden increase in the freight cost, and we are watching the geopolitical situation very closely. And I covered it in my opening speech

also, there has been increase in prices and we are working very closely with the customers how much to pass on. And we are working on multiple strategies to maintain the gross margins within that 58% to 60% range. And if we're able to do that, the operating leverage automatically plays out. But having said that, the logistics costs have increased. Maybe you can put some discounting

factor on the Q4 and then maybe you should take that.
Moderator : The next question is from the line of Shilpa Saboo an Individual Investor. Please go ahead.
Unknown Analyst : I'll be asking on behalf of Shilpa Sabu. I have a first question on the controlled substances. So, sir, as discussed in previous concall, now we have completed 1 year in controlled substances.
So, are we eligible for higher quota allocation for the US market? And if yes, then what is the revenue potential?
Badree Komandur: Yes. So, we don't want to give a very specific revenue potential on controlled substances. All we can say is that , this will be an engine of growth and completed a full year , and because it's pretty difficult to commit without getting the quota, right? So, it's a chicken and egg story . But all we can say is that the last 1 year, we have demonstrated whatever the quota we have received, we have been able to sell and we are able to demonstrate . And if there is anything additional quota, it wi ll anyway get reflected in the growth as we go along.
Unknown Analyst : Okay. And second question is on 505(b)(2). So, for 505(b)(2), we had around 8 to 9 products in pipeline so will be 3 to 4 be commercialize this year? And what will be their market size?
Badree Komandur: We have not had any 505 (b) as far as I know, I don't think so it is there. Maybe verify it and come back.
Unknown Analyst : So, what will be the market size?
Badree Komandur: No, no, we don't have at all.
Moder

ator : The next question is from the line of Vedant S from Mas Investment. Please go ahead.
Vedant S: Sir, I wanted to confirm that you mentioned that there will be a Q -on-Q growth. So, like last year when you guided at the start of FY that sequentially Q -on-Q there will be a growth. So, this year also, you can expect the same.
Badree Komandur: Yes, of course.
Vedant S: Sequentially, there will be growth, right? Like from this Q4 to Q1 ?
Badree Komandur: Last quarter, right, in Q4, we have grown at 11%. If you adjust for institutional business, we have grown at 14%.
Vedant S: Okay. And the margins will also reverse since you are seeing...
Badree Komandur: I have clearly said that margins will be between the 18% to 20% range. The endeavor is to get to on the long -term margins upwards of 20%.

Vedant S: And sir, controlled substances you mentioned in last Q3 of some call that from Q1 also, you will see some uptick. So are we online on that or still not decided until this quota...
Badree Komandur: See, we've got a past history to go back to DEA at this point of time. So, once we go back and once, we get an additional quota and then if it gets into a commercial revenue, anyway, it gets into the growth, right? So that's what we are working on. And we are very happy with what we have done in the last 1 year with the quotas what we received. And we have gone back to DEA on that.
Vedant S: We have already gone back. So, results will be out in , this quota result will be out in this quarter or next?
Badree Komandur: Yes. It will come anytime soon. There's no specific time line to this, but we have gone back.
Vedant S: All right, sir. Thank you very much .
Badree Komandur: Thank you.
Moderator : Ladies and gentlemen, due to time constraints, that was the last question for today. I will now like to hand the conference over to management for closing comments.
Badree Komandur: Thank you very much for all your questions. And should you require any more follow -ups, we are there available or the Investor Relations team, along with me and Vikesh, we'll be able to clarify all the queries you have in the near future. Thank you.
Moderator : Thank you. Ladies and gentlemen, on behalf of Strides Pharma Science Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.